بنك الاتحاد
Bank al Etihad

Annual Report 2022

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Our profile

Who we are and why we're here

We're Bank al Etihad, a financial institution proud to be Jordanian. Built on family values, we see every customer as one of our own and make it our business to help wherever we can. For us, empowerment is everything. That's why we work with individuals, entrepreneurs, local and global businesses, and the next generation of female leaders, so they can succeed the way they want to. It will always be our goal to help people shape their future.

Our values

- Endlessly Entrepreneurial
- Always learning
- Championing creativity
- Community spirited

Our purpose: To empower and engage

We exist to help our customers grow and achieve their ambitions by allowing them to bank on their terms, anywhere and anytime. Whether saving for a holiday, buying a house, or starting a new business, we're committed to supporting their success.

Our promise: Shape your future

We empower our customers to shape their futures. By championing innovation, entrepreneurialism, and new technology, we develop progressive services that help people achieve their needs and ambitions. Life is full of challenges, but money management shouldn't be one of them. We always put our customers first and are committed to helping them build a bright future.

Our Journey

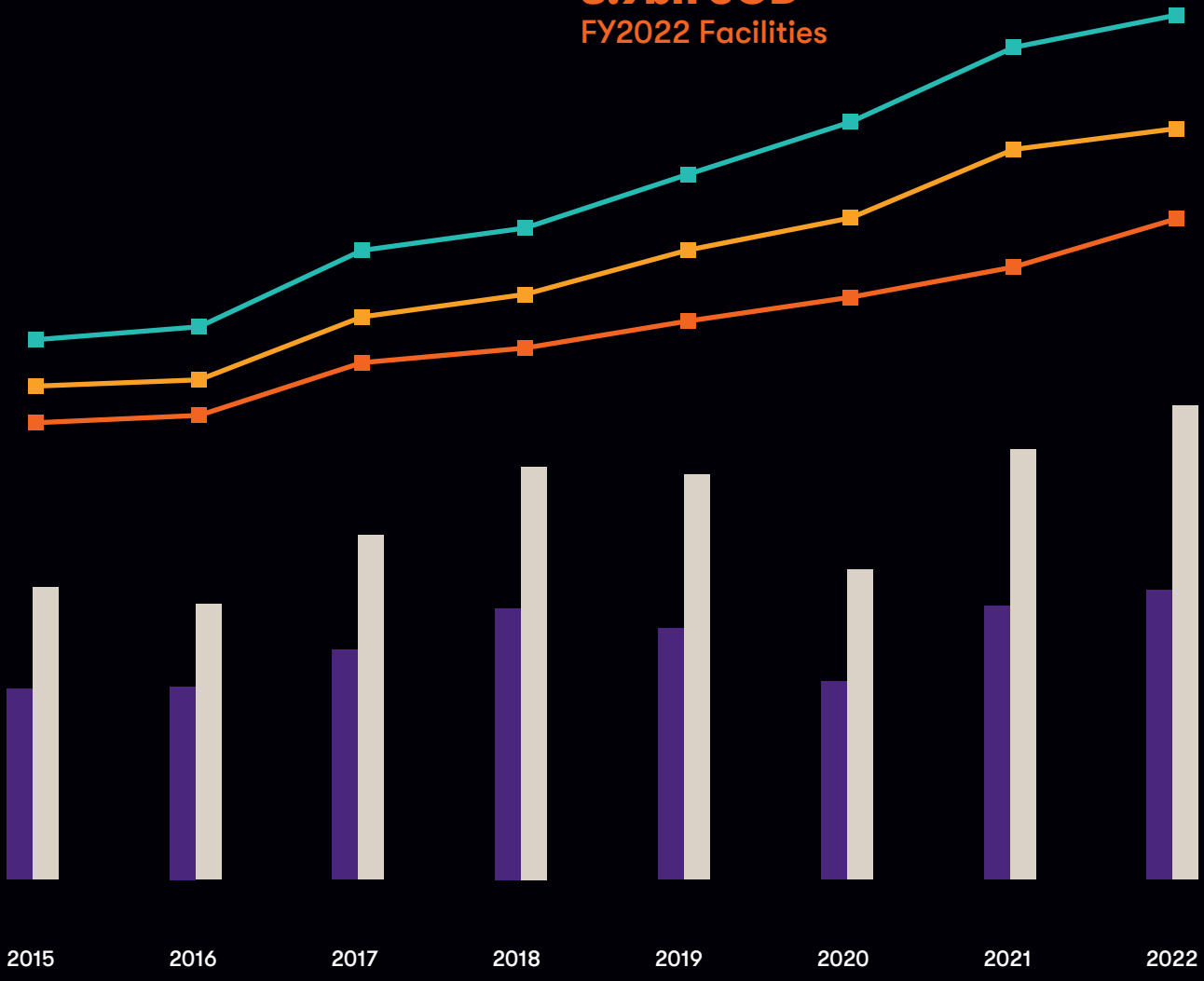
6.6bn JOD
FY2022 Total assets

43.8M JOD
FY2022 Net income

5.1bn JOD
FY2022 Deposits

71.7M JOD
FY2022 Profit (before tax)

3.9bn JOD
FY2022 Facilities



2015

We launched Etihad Leasing Company.

2017

We acquired 62.4% of Safwa Islamic Bank, making it our arm in the Islamic banking sector.

2019

We launched our upgraded mobile banking app and developed our vision of becoming the leading digital bank in Jordan.

We established the Etihad Financial Technology Company.

2020

We were awarded the “Best Digital Bank” in Jordan and the “Most Innovative Digital Bank” in Jordan and the Middle East.

2022 at a glance

6.6bn
Total assets
(FY2021: 6.2bn JOD)

5.1bn
Customer deposits
(FY2021: 4.9bn)

3.9bn
Facilities
(FY2021: 3.3bn JOD)

'BB-'
Fitch Rating
(with a stable outlook)

Best Mobile Banking in Jordan

We also won Best Online Portal/User Experience (UX) in the Middle East and Best Bank for CSR.



59%
Of our new customers were digitally onboarded

64%
Of our business customers are currently registered on Etihad for Business

54.8%
Net Promoter Score
(FY2021: 53.2%)

33%
Increase in our eNPS

See our full financial review on page 30

Board of Directors



Isam Halim Jaris Salfiti
Chairman



Basem Isam Halim Salfiti
Vice Chairman

Social Security Corporation
Represented by Jalal Anwar Mousa Al Ajlouni

Libyan Arab Foreign Investment Company
Represented by: Moussa Hussein Atiq Ali (first seat)*
Mohamed Altabani Ali AlAgdel (second seat)*

Imad Mohammad Ali Abdel-Khaleq
Member

“Mohammed Nabil” Abdel-Hadi Mohammed
Member

Mughith Ghiath Munir Sukhtian
Member

Rana Jamil Said Abbadi
Member

Riad Abdul-Mohsen Taher Al-Dajani
Member

Jabra “Raja Yaqoub” Jabra Ghandour
Member

* As of 1/12/2022 The Libyan Arab Foreign Investment Company was represented by Moussa Hussein Atiq Ali and Mohamed Altabani Ali AlAgdel and were previously represented by Amjad Samir Mohammad Aburawi (first seat) and Fauzi Musbah Ali Abokhzam (second seat) from 1/11/2022 until 20/11/2022.



Nadia Helmi Hafez Al-Saeed
Chief Executive Officer



Deema Mefleh Mohammed Akel
Deputy Chief Executive Officer



Bashar "Mohammed Khair" Awad Ababneh
Chief Auditor



Tamer Wasef "Mohamed Moussa" Barakat
Senior Director, Compliance



Khaled Abdel-Malek Mohamed Abdel-Malek
Chief Risk Officer



Daniel Fawaz Odeh Al-Sharaiha
Chief Human Resources and Customer Experience Officer



Zaid Eyad Akram Kamal
Chief Finance Officer



Tarik "Mohammed Said" Hasan Badawi
Chief Credit and Credit Administration Officer



Amer "Mohammad Kheir" Zaki Abu Laila
Chief Technology Officer



Fadi "Ahmad Kamal" Marei
Chief Treasury, FI and Investment Officer



Mahmoud Tayseer Ahmad Badwan
Chief SMEs Officer, and Chief Retail Banking Officer



"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh
Chief Corporate Banking Officer



Mohamed Mahmoud Ahmed Burjak
Chief Operations Officer



Natalie Mazen Yousef Alnaber
Senior Director, Corporate Communications and Marketing

Distinguished shareholders,



In the last two years, I wrote to you against the backdrop of the pandemic and the exceptional circumstances that it brought to life, to health, to family, and to the economy. An unwavering belief of mine is the notion that "the only way forward is through." I write this letter and I'm aware that without you what we have accomplished in the last 2 years wouldn't have been possible. And for that, I thank you.

As we move forward, I still carry the sentiments of the past 2 years where I am both deeply grateful for and humbled by the extraordinary resilience of humanity in its ability to adapt albeit never losing sight of the hardships that have occupied the minds of so many. Last year, I hoped that 2022 would be a year of reconciliation for you, and I continue to hope so.

What the last few years have taught all of us - and it's something I have always known to be true - is that in the face of adversity there is an opportunity to rise. And together, we rose. Through creative and innovative solutions, and the resilience of our team, we were able to navigate the challenges of the pandemic and its resulting impact on our country, the economy, our team and our customers. Today, we continue to reap the benefits and the success of our digital transformation. The new technological infrastructure we've built has shaped how we operate from the way we serve our customers to how we bring on new talent. Our demographic is also changing and expanding. Since digitising our services, we've attracted a large number of millennials and Gen Zers who have proven to be a force to reckon with as we shape our strategy as a bank.

I've shared with you our goal to become the leading digital bank in Jordan and we don't take this lightly. Our approach to digital banking is guided by two questions: What matters most to our customers? And where can we make the most significant impact?

We centre our guiding questions on the customer because there is no doubt that they are the heart of what we do. Our customers are people from all walks of life in pursuit of their different versions of tomorrow. I write this and I recall the opening of our first branch. The sentiment I yearned for all our customers to have is that there is a place and opportunity for anyone and everyone with us. That this is a place where they can achieve their goals and ambitions.

Their success is our success, and in turn, the success of our shareholders and board of directors who have always steadfastly and generously supported us. In lieu of that, our digitisation strategy is to enhance the customer experience but not replace the human connection that is so valued at our bank. After all, we are a human bank.

With these questions on my mind, this year we embarked on several projects that informed our strategy on how to have a direct impact on our customers and how to empower our own team. We want to offer financial and non-financial services and products that will enable and empower people. This led us to take a close look at our corporate culture, our loyalty program, our SMEs and formalise our sustainability journey into a strategy.

Despite the challenges that prevailed in the region over the past five years the bank has continued to demonstrate its ability to achieve positive growth and we've grown our assets by 6.8% at the end of 2022 compared to the end of 2021, amounting to JOD 6.69 billion. Shareholders' net equity increased by JOD 25 million at a growth rate of 5.8% to JOD 453 million at the end of 2022. In addition to a 10.1% increase in our total profit before tax.

Our market share of total customer deposits with the banking sector in the Kingdom grew by 12.35%. Total customer deposits grew by 9.5%, and SME deposits increased by 5.3%. Total credit facilities grew by 18.93% compared to 14.69% in 2021.

Corporate Culture

Just as much as we care about our customers, we care about the well-being of our workforce to not only lead healthier lives but to give them the opportunity to thrive. I know that the term itself, culture, has been used as a buzzword for so many but building a corporate culture for us is about building a team with a shared common goal. When we acquire talents or expand our team, our objective is to welcome them into an environment that can be home to them for the long-term - an environment that will allow them to grow and live their true potential.

Today, we are committed to fostering a safe, uplifting, and encouraging workplace. Our management considers the bank to be a pioneer in implementing diversity and inclusion policies and has renewed its commitment to the United Nations Women Empowerment Principles ("WEPs"), ranking higher than the average MENA score in gender gap analysis.

In 2022, we took it one step further and articulated the principles and behaviours we wish to foster in the organisation to build a resilient, agile, and driven workforce into an integrated culture framework. This culture framework includes four

principles that guide the way the organisation operates (we work for our customers' success, we are driven by long term goals, we are servant leaders, and we work together to win together) and six values/behaviours that we look for in our employees (Empathy, Transparency, Innovation, Humility, Agility and Drive).

Reaffirming our support for SMEs and entrepreneurs

The pandemic proved to be exceptionally tough for SMEs. Some businesses struggled but managed to trudge along, while others were forced to shut down permanently. However, I am thrilled to say that after a 2-year hiatus from the bank's annual SME awards, in 2022 we came back stronger than ever to reward entrepreneurs that exhibited resilience throughout the pandemic.

Our Commitment to Arts & Culture

The promotion of arts and culture across the Kingdom is a venture that truly stems from the heart. I believe that a thriving community is one where arts and culture play a vital role because not only does it enrich our community, it brings it together. And at the bank, serving and bringing our community together is one of the most important parts of who we are. I'm proud to share that in 2022, we launched our non-profit, Bank al Etihad Foundation for Arts & Culture.

First, we launched the Bank al Etihad Foundation with the aim of promoting education and training in music and theatre through the Amman Institute of Performing Arts (AIPA). Second, we re-established the Amman Chamber Orchestra after a 2 year hiatus, due to the pandemic, which put together 8 classical musical concerts. I'm thrilled to report that 1,885 people attended these concerts. It's a true honour to be able to make a significant impact on our growing arts scene and share the power of music and theatre with our beloved community and country.

Our Commitment to Sustainability

I cannot relay just how important it is for us to think about our children and grandchildren and the planet that they will live on. I wholeheartedly believe that it is our duty as a bank to lead that change, protect our environment and build communities that are more resilient, sustainable and powerful.

The environment in which we operate from is certainly different today. There is no doubt that change is needed. After all, Jordan is one of the most affected countries by climate change in comparison to others in the region. This is not a reality to be ignored or taken lightly. It has become crucial for Bank al Etihad to commit to making meaningful changes and raise awareness among our teams and our community.

Recognising that our responsibility to shareholders and our customers should also include a commitment to sustainability, in 2022, we began working on the bank's sustainability strategy, joining the wave of change that many are pioneering in Jordan and across the globe. It focuses on applying sustainable policies and procedures to drive investor, consumer, and regulatory demands as well as attracting top talent all in alignment with best practices and ensuring we align with The Paris Agreement.

As such, we are prioritising initiatives that address climate change, support financial inclusion, strengthen the entrepreneurship ecosystem and invest in community wellbeing.

And while we're at the early stages of our sustainability journey, I'm proud of what we've been able to achieve. As a bank we've made significant changes in our own use of energy, water and material consumption. We issued our first sustainability report in accordance with GRI standards and finalised our sustainability strategy framework. We carried out a gap analysis, identifying priority areas in our policies and operations and devised a 3 year action plan to tackle them. Finally, we started building a portfolio of green products to drive demand. Of course, I recognise that there's a lot to be done but we are committed to building a more inclusive, low-carbon, and environmentally sustainable economy.

We are a bank with a purpose. We recognise that with power comes a great deal of responsibility to do good. Banking has for so long been considered to simply be a financial engine but this is not how we see it. Banks are uniquely positioned to impact people's lives for the better. And it's a privilege to have the opportunity to be part of the change we so desire to see in our world today.

And lastly,

I would like to extend my utmost appreciation to our board of directors for their continuous support and for their generosity in sharing their expertise to help us grow.

I would also like to thank our customers for continuing to trust us, and being part of our journey - you are our driving force.

Bank al Etihad is now 45 years old, and our mission has never felt more critical. We are a human bank that strives to make money work for everyone - a pursuit that drives big ideas and fosters a culture that puts the customer at the forefront of everything we do.

I am grateful that our mission remains at the heart of our team. Our shared goal is the engine behind the growth that we've experienced and the progress that we continue to make. I am more excited than ever about the opportunities the future holds for us, for our customers, for our community and for our kingdom.

Isam Halim Salfiti

Chairman

Our business model and strategy

Simply put, we aim to be the leading digital bank in Jordan. We approach our work by focusing on fundamental questions. What matters most to our customers? And where can we make the most significant impact?

Our digitisation strategy stems from our belief in economic empowerment and the importance of democratising access to finance. It means making the most of all our resources to boost efficiency without affecting customer experience and working productively to stay ahead of trends, launch exciting new products, and serve our customers more dynamically.

Sustainability is at the heart of our business, we work with people and the planet in mind through our commitment to sustainable finance, financial literacy initiatives, diversity, equity and inclusion policies, and supporting entrepreneurs and SMEs.

Agility and passion for innovation

Our passion and enthusiasm for growth and innovation have an entrepreneurial spirit, which is why we take an agile approach to strike a balance between doing our business and continuing to innovate. We work to reimagine the way we do business to keep pace with all developments as we empower and encourage our team to create, implement, and experiment with their ideas to achieve desirable results. We continue to listen to our customers and utilise our technology infrastructure to serve them better.

We aim to be part of our customers' daily lives

We're keen on providing the best possible experience for our customers through our employees, digital channels, and automated banking services anytime and anywhere.

Enhance efficiency and productivity

We work to launch services and products that are up to date with the developments around us to serve our customers better, use all available resources optimally, reduce costs, and increase efficiency without affecting the customer experience.

Seeking steady growth

We grow strategically and take calculated risks. We have employed the latest technologies and control systems to protect our internal and external environment by complying with regulatory compliance, anti-money laundering, and anti-terrorist financing systems used in the best international banks.

Operating efficiently

We work within a framework that aims to achieve growth and prosperity while maintaining cost-effectiveness:

Profit: We work together to achieve distinct revenues and profits, and we are aware of the ways that help us manage our operations to control the associated costs.

People: We attract qualified talent to carry out work with high productivity and efficiency.

Efficiency: We automate our processes, develop our procedures, and optimise the use of available resources to reduce costs and increase efficiency without affecting our customers' experiences.

Making data-driven decisions

We always analyse our customers' data to understand what they need, to design products and services that meet their needs and expectations. We are keen on making continuous improvements to our current offerings to keep pace with market demands, working to improve our procedures and enhance our technological infrastructure. Our goal is to provide our customers with unique services and experiences that gain their trust and meet their daily banking needs.

Building a culture that we love

We are an organisation that values diversity and respects individual differences and are known for fostering a safe, uplifting, and encouraging workplace. Last year, we received more than 100,000 applications, which always encourages us to create new jobs to attract talents. We are keen to involve our team in our success journey to give them the freedom to innovate and reach their goals and fulfil their ambitions.

Taking meaningful steps toward sustainability

We hold ourselves to the highest standards when it concerns the sustainability of our environment and the community we operate in. We prioritise access to finance, support SMEs, champion entrepreneurship, and embed sustainability into every aspect of our business.

2022
Strategic projects

We're making strides towards becoming Jordan's leading digital bank

The banking landscape is rapidly changing. But the one thing that remains to be our focus is our customers. They are our driving force, and we strive to meet their financial needs. With all the technological innovations that are transforming the banking sector, customers' needs are ever changing.

Because of that, our ongoing strategy has been driven by our unwavering commitment to our North Star to become Jordan's leading digital bank and continue to serve our customers in the best and most effective way possible.

Keeping our objective in mind, in 2022, 59% of all our new accounts were opened digitally through the app, and 60% of customers are engaged and conduct their daily banking transactions through the app. Further, the app continues to maintain the lead on the top charts for iOS and Android app stores, with a rating of 4.8 and 4.6, respectively, making it the highest-rated app in Jordan on both platforms.

We continue to invest in enhancing our digital capabilities by upgrading our systems, and digitising and automating our workflows and end to end processes. This allows us to deliver more personalised digital experiences, reduce cost and create additional capacity to support our customers. This, in turn, has led to an increase in our digitised processes from 74% in 2021 to 83% in 2023.

Data has been key in helping us identify, solve and anticipate customer needs. By harnessing the power of data, we are better equipped to remain customer-centric, personalise our services, stay ahead of the curve and leverage our technological infrastructure to innovate, transform and provide the "best" banking experience.

We remain committed to elevating our customer experience

We're meeting our customers' needs and providing the best banking experience in the market by simplifying banking and streamlining our services through customer centric services and digitisation. These efforts are reflected in our improvement in the Customer Experience Index from 72.5% in 2021 to 75.6% in 2022. By digitising our services, we're providing a more convenient, seamless and secure method for our customers to access, manage, and perform various types of tasks from opening accounts to conducting transactions to applying for loans and credit cards.

Through our focus on service and customer experience, we're fostering stronger relationships with our customers resulting in an increase in our Net Promoter Score (NPS) from 53.2% in 2021 to 54.8% in 2022 for retail and business segments.

We are using technology to solve human problems by continuously designing and launching new features through our mobile app.

Our customers can now...pay later

We recognise that very often one-time purchases can be a heavy burden on customers. We're now proud to have upgraded our Easy Payment Plans and digitised the process that allows customers to pay for purchases in instalments through the app with a 1% monthly interest with the ability to choose the time frame which ranges from 3 to 12 months. With this service, our customers have flexibility and more control over their finances.

Our customers can now...replace their cards through the app

Customers have always been able to freeze their cards on the app in the event that their debit or credit card was lost or stolen. However, we've added on to our service by launching a feature that allows customers to replace and/or terminate their debit cards through the app. With a few taps the request to replace an expired debit card or request a new one for whatever reason is instantly processed, and it'll be delivered straight to the customer's doorstep.

Jordanian expats residing in the GCC can now open a bank account... through digital onboarding

We recognise that a significant number of Jordanians are living and working abroad in the GCC. By leveraging our digital infrastructure, we availed digital account opening to Jordanians living abroad. The account can be accessed from their mobile phones no matter where they are, and their debit cards will be delivered to their country of residence in 3 days. This service streamlines our customers' experience and provides them the comfort and ease of being able to bank with us wherever they are.

Our customers are being rewarded for their loyalty

We value our customer's trust in us and their loyalty to us, and with our new gamified rewards program, customers can get up to 3% instant cashback on all purchases using all of our cards, including debit and credit cards.

The program is integrated into the app offering a fully digital journey, allowing customers to see which rank they're in, what percentage of cashback they will receive, and what they need to do to move up or maintain their rank. Upon making a payment, customers receive their cashback, which is real money, instantly and is directly deposited into a "cashback vault" on the app. Customers can withdraw them anytime they want to and without having to collect a minimum cashback amount and with no expiration date.

Since the launch of the program, we've seen a 17.5% average increase in monthly debit card transactions per customer and the number of active credit cards increased by 17% with a 32% average increase in monthly credit card transactions per customer.

Etihad for Business

We consider our ability to empower our local community and Jordan's economy as both a privilege and a responsibility, and one that we fully embrace. In that spirit, our commitment to supporting SMEs remains one of our top priorities.

SMEs are an essential part to growing an economy and building one that can thrive. Because of that, we continue to extend loans through a specialised lending scheme with preferential interest rates in partnership with The Central Bank of Jordan for specific sectors. The sectors include: tourism, manufacturing, agriculture, IT, renewable energy, healthcare, transportation, exporting activities, and vocational and technical training.

In addition to that, this year, we launched a new Startup Program where businesses under the age of 2 years can benefit from 365 days of fee-free banking including an exclusive waived fee on domestic and international transfers, account management, cheque book management and foreign currency deposits.

Customers in this program get a pre-approved credit card, 4 hours of legal support and no minimum account balance. With this program, our goal is to empower and support young entrepreneurs, tech companies and underbanked sectors to invest their capital in the growth and development of their business. Since the launch of this program, we've gained a strong and loyal base of start-ups and increased the lifetime value of existing accounts that belong to newly established companies.

In 2020, we launched prepaid transfer bundles for SMEs to help customers save money on domestic and international business transactions by purchasing a monthly subscription that allows them to make bulk transfers. In 2022, we took it a step further and extended this option to our large corporations and integrated the service into our Etihad for Business platform making it easier for our customers to request and pay for the transfer bundle online.

Our platform for business banking continues to experience steady growth, with 64% of our business customers currently registered on the platform. Since the launch of the newly designed platform last year, we have been constantly improving and adding new services and features based on the feedback from our customers. This includes quick access to information, real time notifications, and the ability to perform transactions with a few clicks.

For example, we launched CliQ for Businesses which was previously only for non-business customers. With CliQ, businesses are able to send and receive instant payments up to 10,000 JOD free of charge and hassle. All they need is the alias or a phone number that is used to identify the recipient.

The 2023 Bank al Etihad SME Awards

The pandemic proved to be exceptionally tough for SMEs. Some businesses struggled but managed to trudge along, while others were forced to shut down permanently. After a 2-year hiatus from the bank's annual SME awards, in 2022, we came back stronger than ever to reward entrepreneurs who exhibited resilience throughout the pandemic.

We received more than 162 applications from SMEs who showed resilience and an ability to quickly adapt to change. We were proud to see so many Jordanian entrepreneurs working towards bettering our economy with innovative ideas. A committee of judges shortlisted 5 finalists who took part in a live pitch where they presented to a panel of judges from within the ecosystem.

The winner was Basma Uraiqat from Konn Homes, who showed true resilience by completely shifting their business model. Amidst a global pandemic, Basma and her partner transformed Uraiqat Architects into a new technologically driven business that allows customers to design homes through Konn Homes' online platform and order them within weeks.

Our other finalists Digitales, Jo Academy, Sowt, and WashyWashy were able to reach the final stage.

We continue to build our brand awareness

In today's commoditised marketplace, where differentiating who you are can be seemingly challenging, our brand is one of our most valuable assets. We believe that our brand is not just what we do but the emotions we evoke in our customers' journey with us. We are above all a human and purpose driven brand. And we prioritise creating meaningful connections with our customers. Today, we're proud to say that Bank al Etihad's brand enjoys high saliency. Through our unique value proposition, relatable content, high net promoter score and employer of choice status, we were able to increase our unaided top of mind awareness by 71% in the last 3 years.

We're being recognised for our service

In 2022, we won Best Online Portal/User Experience (UX) Design and the Best Information Security and Fraud Management from Global Finance magazine under the Best Corporate/Institutional Digital Bank Awards in the Middle East. We were also recognised by Global Finance magazine as the Best Corporate/Institutional Digital Bank Awards in the Middle East. And finally, and proudly, we were Jordan's #1 for Best Mobile Banking by International Business magazine.

To read the full list, please refer to page 28.

Building a strong culture for our people

Our culture is at the core of everything we do - it's what helps us continuously progress and perform with greater strength and efficiency. We believe that a strong culture is built upon bringing together brilliant individuals who are problem-solvers, innovative thinkers and the ones who are willing to break down barriers to elevate customer experiences and provide exceptional services. We draw that strength from the diversity of our team members, who come from all walks of life, each with their own unique goals, aspirations, and diverse skill sets. What unites us all is our shared mindset and goal to work towards our North Star.

Creating such a strong culture comes in different forms. This year, we introduced our culture code, which was launched through a company-wide event, and have since begun implementing our long-term strategy, which is aligned with our culture code's values. We restructured our onboarding process and revamped our employee orientation program for new hires.

We also created initiatives such as "Coffee with the CEO" and "Get Closer" sessions with executives from different departments. Furthermore, we embarked on culture tours focusing on branches located in other governorates with the sole objective of aligning the organisation as one team.

With our strategy in place, we saw a 15% increase in our employee Net Promoter Score (eNPS) to 69%, placing us at par with some of the best employers in the world. Furthermore, 79% of our employees reported improvement in the bank's culture following our culture-focused initiatives.

Our continued commitment to enhance women's economic participation

In 2014, we launched our "Shorouq" program, designed to provide financial and non-financial solutions for women. We believe that increasing women's economic participation in Jordan offers significant opportunities to grow the economy and our customer base. Since we launched in 2014, our female customer base has grown by 10X.

Along with the financial services, Shorouq offers a range of diversified non-financial services that provide access to knowledge, information, networks and markets. These include legal advisory services, networking events and workshops, the Career Comeback program, and Shorouq Connect, designed to provide opportunities to inspire, empower, and connect like-minded women.

In 2022, 462 non-financial sessions such as workshops, and mentorship and coaching sessions, were delivered through partners, with more than 1,193 women benefiting from virtual and in-person sessions.

After a 2-year hiatus due to the pandemic, we relaunched the Shorouq Comeback Program which enables women to resume their professional journey after a voluntary career break. The program aims to bridge learning gaps to seamlessly reintegrate women into the corporate world and harness their true potential.

This year, we selected 37 women out of more than 1,000 applicants. To expand the impact of the program, we partnered with 6 like-minded organisations, which allowed us to double the number of beneficiaries. The companies that took part include: Amam Ventures, PwC, Zain, Hikma, Bpwa and the Crown Prince Foundation.

Sustainability

In 2022, we formalised our sustainability strategy and published our first sustainability report which reinforces our commitment to contributing to the betterment of our planet, communities and country. Under our sustainability strategy, we launched new financial initiatives.

We launched an Environmental and Social Risk (E&S) Policy which sets the basis for determining, assessing and managing clients' environmental and social risks and provides the standard for due diligence and monitoring thus supporting the bank's responsible decision-making. By adopting this policy, we aim to promote sustainable business, increase transparency, and ensure that our risk management processes are aligned with the industry's best practice and our lending and investment decisions are environmentally and socially sound and sustainable.

Every reasonable effort will be made during the underwriting due diligence process to identify possible adverse environmental and social consequences associated with each potential investment.

We signed an agreement with EBRD (European Bank for Reconstruction Development) to support the green economy in Jordan. Jordan greatly suffers from water scarcity and is among the countries with the highest demand for energy but is fully dependent on energy imports. The agreement is part of the GEFF (Green Economy Financing Facility) and provides a total amount of USD 10 million, including co-financing USD 500,000 from the Green Climate Fund (GCF).

With SMEs at the forefront of growing the economy of Jordan, the fund will support individuals and SMEs with sub-loans to finance investments in climate change, adaptation, and mitigation technologies and services.

We became the first financial institution in the region and the world to pilot the development of an institutional transition plan with EBRD to align our financial flows and business practices with the goals of the Paris Agreement and integrating climate risks considerations, identifying business opportunities and supporting our clients with low carbon products and services.

The agreement involves a USD 35 million subordinated loan to strengthen our lending capacity to businesses, individuals and women-led MSMEs. The loan proceeds will be used to expand sustainable growth opportunities across Jordan. In addition, a total of USD 10 million from the proceeds will be allocated towards granting loans to women-led MSMEs in Jordan under the local EBRD Women in Business program which aims to support them in capitalising on the significant untapped opportunities and possibilities in the country's growing market.

We signed an agreement with CRIF ITS Jordan, a subsidiary of the CRIF group which will provide us and our SMEs and corporate clients access to Synesgy, a digital platform that scores companies based on environmental, social, and governance (ESG) criteria. The agreement aligns with our strategy to promote sustainable finance, support credit policies, commercial green financing strategies, supply chain selection, risk management, and funding for SMEs and corporates. This agreement is born out of our commitment to support and empower the local community to overcome challenges ranging from climate change to social and environmental issues.

Corporate Social Responsibility

We're a purpose-driven bank. We don't consider corporate social responsibility as merely a box to check, but rather an integral element that guides and informs our decision-making, culture, and our operations. Our commitment to social responsibility is our commitment to building and developing a better future for our stakeholders, our team members, our customers, and the greater community.

We want to serve our community and play a vital role in strengthening the economic ecosystem in Jordan through supporting start-ups, elevating financial literacy, and community investment. Moreover, we are devoted to minimising the negative environmental effects caused by our operational activities.

With this in mind, we are driven to innovate and we believe that an investment in education and working towards equal access to education is at the heart of building a better future and equipping members of the community with the skills, and knowledge that are required to help them achieve their goals and aspirations. In alignment with that, we invest in contributing to Jordan's rich cultural scene and invest in creating opportunities to enhance and grow arts and culture across the Kingdom. Finally, at the heart of our strategy is our commitment to sustainable development. Our goal is to actively contribute to creating a more sustainable future that is also in line with the UN Sustainable Development Goals (UN SDGs). We are continuously striving to innovate, develop, and learn how to better reflect the needs of our communities with the goal of sustainable development.

Goals



Goal 2: Zero Hunger

Goal 3: Good Health and Well-Being

Goal 4: Quality Education

Goal 5: Gender Equality

Goal 7: Affordable and Clean Energy

Goal 8: Decent Work & Economic Growth

Goal 9: Industry, innovation and infrastructure

Goal 10: Reduced Inequalities

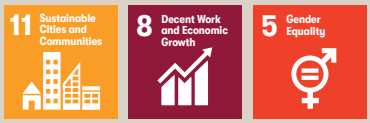
Goal 12: Responsible Consumption & Production

Goal 13: Climate Action

Goal 17: Partnerships to achieve the Goal

Key initiatives in 2022

Financial Inclusion & Economic Empowerment



Financial literacy and inclusion are crucial to improving the lives of people. As a financial institution, we did the following to achieve this goal:

- Continued working hand in hand with INJAZ to support the enrolment of the Financial Education Program in the national curriculum for students across the Kingdom,
- In conjunction with Global Money Week, we hosted our annual Money Talks tour to spread financial literacy amongst 500 high school students in Amman. The tour's objective was to expose those teens to the value of money management in preparation for university life.
- More than 500 primary school students (6-12 years old) from private and public schools in Jordan were reached through our financial literacy puppet show "Dream Bank." Nine employees from Bank al Etihad, who volunteered to spread financial literacy amongst kids, performed the puppet show.
- For the 4th year in a row, we continued supporting "Wasel for education and awareness" through the "Shabbek Wa Ibtaker" program which targeted 29 unemployed youth from different governorates. The program provides young jobseekers with the necessary training to launch their own projects in partnership with local business incubators. In 2022, 8 ideas were incubated by local incubators.
- In partnership with the Jordan River Foundation, we continued supporting 18 women from East Amman working on Jordan River Foundation/IKEA's handicrafts production line. In addition to creating jobs for those women, the program aims to also help the participants gain pre-employment training and on-the-job training led by JRF.
- Sponsored the enrolment of 25 women from Tafileh, Madaba, Amman, and Irbid in a series of e-commerce trainings to help them grow their online business. This was done through free mentorship from e-commerce experts in partnership with "Giving Joy Foundation" and the World Bank.
- In 2020, we launched our own financial literacy blog, covering everything from the basics of money management, saving, budgeting, and banking to the future and technologies shaping finance and the banking industry. In 2022, we published 100 bilingual articles with a growth rate of 13% month over month and a 50% growth in readership from the previous year in both languages combined.
- Last year, we also launched the first Arabic financial literacy podcast called "Mali wa Maluk". The podcast deconstructs banking and financial concepts to give listeners a holistic understanding of money management, saving, debt pay-off, and investing. The podcast was published and is available on all streaming platforms: Apple podcasts, Google podcasts, Spotify, Soundcloud, Anghami, Castbox and Deezer.

Community Well-being



We are built on family values and make it our business to help our community wherever and whenever it is possible. Our main initiatives in 2022 included:

- The launch of "100 Wishes," a CSR donations campaign during Eid Al Adha. The initiative's aim is to collect cash donations that can fulfil 300 wishes of terminally ill children. Both clients and employees participated in the campaign through our mobile app. This was done in partnership with a local NGO called "Masarrah;"
- A CSR campaign in partnership with Jordan's Food Bank and Careem Jordan, during the holy month of Ramadan, to encourage people to donate their excess food to people in need. We sponsored the Careem rides so that people can donate their excess food to the food bank from the convenience of their homes and for free. Through the campaign, we were able to collect a total of 6,673 iftar meals for families in need.
- As part of our partnership with the Jordan Trail Association (JTA), we adopted a hiking trail that goes between King Talal Dam and the area of Rumaymin. To promote local tourism and support the local communities in the area, we organised an event for the bank's employees and tourists during JTA's HikeThru event. Our aim was to ensure that everything for the event was sourced from the local community and more than 100 local suppliers participated.
- Signing a strategic partnership with Tadamon, an online platform that organises fragmented societal and humanitarian cases by verifying them and presenting them on a single online platform, making it easy for donors to support.
- Our continued support to the Hussein Society for Intellectual Disabilities by providing two school scholarships to students with disabilities, in addition to supporting 38 of their beneficiaries to receive prosthesis and orthosis.
- Our ongoing strategic partnership with the King Hussein Cancer Foundation by sponsoring the "Save a Life" and "Piggy Bank'' programs. Both programs aimed to collect donations from school students and staff, and spread awareness about cancer and the importance of adopting a healthy lifestyle. As a result of this partnership, 33 private schools and 12,000 students participated in the "Save a Life" race in 2022, with donations reaching 120,000 JOD. As for the "Piggy Bank" campaign, 46 local directorates and public schools participated in collecting a total of 132,445 JOD in donations.
- In addition to our support to the King Hussein Cancer Foundation, we continued supporting the Training Academy of the King Hussein Cancer Foundation, which aims to enhance the knowledge and skills of workers in the field of cancer care and build the capabilities of the workforce in the institution. The academy also works on developing and updating content related to oncology in medical colleges in Jordan. As a result of this partnership, 1,990 medical and administrative staff joined the centre for training through 43 training courses in 2022.
- The renewal of our partnership with Medical Aid for Palestinians to purchase medical supplies for the health centres in Palestinian refugee camps.
- Maintaining our partnership with Naua, one of the Crown Prince Foundation's initiatives, as a strategic founding partner, by using their platform to reach out to various local community institutions, provide support, and encourage youth volunteering through their "Nahno" platform. Through the Naua platform, we implemented 8 community projects that benefited more than 1,800 beneficiaries across different governorates.
- Our continued support for Tkiyet Um Ali by distributing food parcels to 588 beneficiaries and 7 families in need.
- To spread the joy of sharing and the spirit of giving during the holy month of Ramadan, we organised a series of fun activities and Iftar meals, for a total of 360 underprivileged children.

Environment



In 2022, we made significant strides in our environmental goals.

- In collaboration with "Himmeh Wa Lammeh" and the "Jordan Hashemite Fund for Human Development" (JUHOD), we launched the "I can" environmental awareness curriculum in Amman, Irbid, and Madaba and reached 346 youths aged 10-12 and their mothers. Through implementing carefully designed immersive workshops, the curriculum incorporates sports, dance, music and team-building activities to effectively convey information on saving the environment and discourage littering.
- As part of our responsibility to protect the planet and reduce the negative impacts of climate change, we launched the SAWN youth climate action program in partnership with UNICEF Jordan and the Ministry of Youth. SAWN, which translates to the word "preserve" in English, is composed of several interventions, around the key pillars of Awareness Raising, Capacity Building, and Support to National Advocacy, and aims to reach more than 100,000 youth advocates between 2022-2023.
- Another component of our partnership with UNICEF Jordan was sponsoring the Local Conference of Youth (LCOY), which hosted youth climate action advocates from different governorates in Jordan. The conference provided a platform for adolescents and youth from Jordan to come together to share ideas, resources, and experiences, as well as potential solutions, to promote meaningful action towards climate change. During LCOY, 100 participants from across the country gathered to discuss pressing climate and environmental concerns and priorities and unite in a call for urgent action through a Youth Declaration on Climate Change. The participants came out of the conference with a solid foundation of knowledge and awareness, paving the way for participation in the Conference of the Parties (COP 27) which took place in Sharm El Sheikh, Egypt.
- We expanded the impact of our own environmental initiative "Plastiqua" to reach 20 women from Jabal al Nathif this year. The initiative aims to upcycle expired plastic bank cards into art pieces & accessories with the help of women from Jabal al Nathif, and allocate the income generated from sales to support the local artisan women who produced them.
- The implementation of The Solar PV Systems project in three locations (Wadi El-Eis, Sukhna, and the roof of our main administration building) resulted in the following for the year 2022:
  - Cash savings of 1,387,696 JOD
  - Reduction of CO2 emissions by 7,785,183 kg
  - Production of energy totaling 4,988,813.55 kWh
  - The connection of 49 Bank al Etihad buildings and branches to our solar energy system.

Access to Knowledge



Education and access to knowledge are the most crucial factors in shaping the future of the next generation. As a result, we are committed to ensuring that young men and women have equal access to education, information, and skills. In 2022, we facilitated access to education through:

- Granting 25 scholarships to outstanding students in Jordan and Palestine.
- Launching the "Back to School" campaign which involved our employees donating new school bags to 100 students in need in Al Nuzha Public Schools for Boys.
- Continuing to support the Queen Rania Foundation for Education and Development by contributing to two main educational initiatives: Madrasati and Al-Aman Fund for Future of Orphans. Through sponsoring the "Masahati'' extracurricular program under Madrasati, we were able to reach more than 1026 students and 70 teachers from Um Ma'bad Secondary School for Girls. The intervention provides students with an alternative learning space to learn and grow through after school student activities and clubs. Through Al Aman Fund, we sponsored 9 students to continue their higher education and provided them with a series of capacity-building training to better prepare them for their future.
  - Supporting an NGO called "Raneen for audible storytelling." Raneen aims to develop children's listening and language skills in less fortunate areas. We implemented this project this year in Um Ma'bad public school to reach 350 students and 7 teachers through 28 workshops on audible storytelling.
  - Signing a strategic partnership with Abwab to sponsor the Equal Access to Learning initiative "EquAL". The program aims to deliver online-based education to vulnerable refugees and host young community people who face challenges in accessing and/or completing their formal schooling.

Arts & Culture

Arts and culture play a crucial role in building a strong community and bringing people together. In 2022, we launched the Bank al Etihad Foundation with the aim of promoting education and training in music and theatre through the Amman Institute of Performing Arts (AIPA) and established the Amman Chamber Orchestra. In addition, over the past year, we have supported the cultural and artistic scene in Jordan, through sponsoring a wide-range of activities such as:

- The Dar Art exhibition in Sweifieh Village which saw the participation of a wide range of Jordanian artists and regional artists. The exhibition included art collections from different galleries and more than 160 independent artists under one umbrella.
- Capacity-building in order to protect Jordan's archaeological, cultural, and natural legacy, particularly in the city of Petra, which is listed on the UNESCO World Heritage List in partnership with "Petra National Trust".
- The thirty-sixth season of the Jerash Festival of Culture and Arts, which was held in the city of Jerash, with an audience of more than 300,000 people.
- The "Alwan" Children Street Festival in partnership with the community organisation "Young Minds for Culture and Entertainment." The festival featured a line-up of street theatre performers from around the world, as well as interactive installations, engaging shows, and arts and crafts activities curated for children between the ages of 6 and 12.
- Palestinian singer Nai al Barghouti's second concert in Jordan which saw more than 800 attendees. Nai's authentic tarab songs brought joy, beauty and music and a revival of classical Arabic music.
- The old classical adaptation of the "Wizard of Oz" musical at the Mashrek International School which was performed and directed by their students and teachers.
- "Bugsy Malone" which marked the biggest stage production in the history of the Amman Baccalaureate School with more than 1,140 attendees of all ages.
- Stardust Academy's production of "The Greatest Showman" in partnership with the Modern Montessori School with more than 900 attendees.

The year 2021 saw the soft launch of our non-profit, the Bank al Etihad Foundation. As a long standing-supporter of the arts and culture in Jordan, Bank al Etihad founded its foundation with the aim of promoting the performing arts in Jordan and the Arab world.

The foundation is centred around the Amman Institute of Performing Arts (AIPA), which promotes education and training in Music, and the Amman Chamber Orchestra (ACO) offering a series of concerts that combine Western and Middle Eastern classical music. Alongside the main concert season, orchestra members regularly engage with the wider community in Jordan through outreach and educational work.

- In 2022, the ACO held 8 classical musical concerts with a total number of 1,885 people attendees
- AIPA gave a total 415 hours of music classes in 2022
- We organised 3 outreach concerts at the SOS village, The White Beds Society, and provided children from the "Madrasati" initiative the opportunity to attend a concert at American Community School (ACS)

Volunteering

We believe that cultivating a strong volunteer culture within the bank is integral to building a better future for our community. By instilling both a sense of belonging in our employees towards their workplace and the communities they serve, we build a culture that prioritises giving back. In 2022, our team of 211 employees from different branches and departments contributed 763 volunteering hours and were able to reach approximately 5,145 children, young men and women through 27 volunteering activities.

Donations, grants, and contributions to community service:

Pillar	Total Amount
Access to Knowledge	136,536.38
Financial Inclusion & Economic Empowerment	244,157.91
Community Wellbeing	866,758
Environment	124,601
Arts and Culture	138,360
Others	121,175
Total	**1,631,588.29**

Risk management

With the ever-changing conditions of the economic, political and market environments, our commitment to risk management is reinforced. Our strong organisational structure and governance system's approach to identifying and mitigating risks is aligned with global standards, which supports the bank to embed effective risk management practices and cultivate a strong risk management culture. This is very crucial to us because we believe that every individual in the organisation should be responsible and accountable for identifying and controlling risk.

We're also working on strengthening aspects of our governance and risk management practices, and our objective is to continue to do so throughout 2023. This is all to ensure that we are always operating responsibly and safely, ensuring that our customers, partners, and investors have faith and trust in us to manage risk optimally. This year, we focused much of our practices in the following areas:

Market and liquidity risk

This year, we successfully implemented a new automated tool for Assets & Liabilities Management (ALM), which has enabled us to better assess our market risk positions and manage our assets and liabilities through stress scenarios and dynamic risk shocks. In turn, this not only helped us mitigate risk, but it also optimised our balance sheets.

Information security

One of our top priorities in risk management is strengthening our cyber control framework and protecting confidentiality and data privacy. To this end, we implemented two tools that are in alignment with best practices and data privacy regulations, such as GDPR and/or PCI DSS. First, we implemented a Data Leakage Prevention solution to monitor, detect, and prevent data breaches by identifying and classifying sensitive data, monitoring its usage and movement, and enforcing access controls and security policies to prevent unauthorised access.

Second, we implemented a File Integrity Manager (FIM) tool to monitor and detect changes to internal folders, files, and file systems in real-time to ensure data integrity. FIM is essential in helping us detect and respond to cyber attacks, insider threats, or compliance violations by providing visibility into the integrity of critical files and systems. With these security tools intact, we have a much stronger cyber security framework and our systems are better equipped to protect our data and ensure confidentiality.

Operational risk management

We introduced an Operational Resilience Framework to ensure our operations are able to withstand threats and potential failures as well as respond, adapt and recover from disruptive events. The framework has also enabled us to recover and learn from such events in order to minimise their impact on the delivery of critical operations.

Credit Risk

In 2022, we received a rating from Fitch Credit Rating Agency, considering the credit rating for the Jordanian Government is 'BB-' with a stable outlook. The Fitch rating agency affirms Long-Term Issuer Default Rating (IDR) to Bank al Etihad at 'BB-' with a stable outlook. The rating also states that Bank al Etihad enjoys a solid domestic franchise and strong funding and liquidity.

Audit

In 2022, we contracted an external audit firm (PwC) to carry out an independent external evaluation process required to comply with international audit standards. The goal of the evaluation was to ensure that our internal audit meets global industry standards. The results of the evaluation process, which is usually performed every 5 years, showed that our internal audit obtained the highest evaluation score, indicating that we are aligned with global internal audit standards and principles of professional ethics and best practice.

Compliance

Anti-Money Laundering and Counter-Terrorism Financing systems (AML/CFT)

This past year, we continued to make significant strides in ensuring our operations are in compliance with worldwide standards and best practices to protect the bank and our customers. We upgraded policies, procedures, and implemented systems to monitor transactions that are within the scope of the bank's activities and products. Further, we worked on increasing the effectiveness and efficiency of monitoring operations to better identify and enhance the mitigation of money laundering and terrorist financing. Such work included collaborating with other departments in the bank to help identify risks and further strengthening our anti-money laundering and counter-terrorism financing (AML/CFT) program where we conducted an assessment of the risks and took the necessary steps to mitigate them.

To enhance customer protection, we conducted a review of our customer due diligence procedures and incorporated compliance monitoring protocols for opening and monitoring customers accounts without compromising the customer's experience. Lastly, to further increase the efficiency and effectiveness of monitoring customer movements, we updated our risk-based system for 2022.

International sanctions regime

In alignment with our efforts to ensure regulatory and legislative compliance, we worked on modifying policies and procedures of the Economic Sanctions Team to align with global sanctions policies. Our efforts included continuing to improve systems responsible for controlling financial movements such as improving escalation conditions and increasing the effectiveness of systems. Further, we cooperated with the Financial Institutions Department, and updated lists of sanctioned countries. We reorganised the Economic Sanctions Team into two teams: one looking after sanctions examination systems and matching of names and the other studying movements with high risks and due diligence.

This reorganisation led to a reduction in transaction processing time. It also positively affected the customer experience. To meet the constantly evolving global sanctions policies and regulations, and provide banking services more effectively, we connected with several international providers to replace our current examination system with a more modern and effective one.

Regulatory compliance and governance

Bank al Etihad believes that building an institutional culture of compliance within the organisation and among our employees is a priority under the umbrella of compliance. This year, we established a monthly calendar of educational messages sent to all our employees to encourage them to report on malpractices. Our aim with that is to create and maintain a work environment that is professional, competent and ethical.

Based on the Jordanian corporate governance rules issued by the Corporate Control Department in cooperation with IFC, the Compliance Department assessed the extent to which subsidiaries adhere to corporate governance instructions. This assessment led to the preparation of a charter that reinforced the responsibilities and powers of the board of directors and powers of the subsidiary board of directors to ensure the best foundation for corporate governance and compliance.

Training programs

By investing in the development of the bank's employees, we ensure that our team is best equipped with the necessary skills and knowledge to provide the best service and adhere to the highest standards of compliance. This year, we allocated 10% of the total training budget towards training programs to ensure a consistent culture of compliance among all employees.

The program included training employees on anti-money laundering and terrorist financing issues, regulatory compliance, sanctions and embargo policies, cybersecurity topics, guiding texts for money laundering and terrorist financing, and combating corruption and bribery through the e-learning system. At the end of the training program, all employees underwent exams. In addition, all new employees must complete their training requirements through in person sessions within 3 months from their date of appointment.

In addition to 50% of the compliance department's employees obtained specialised certificates in the field of combating money laundering and terrorist financing and international sanctions, such as (CAMS / CCO / ICA - Sanctions/ CCM/ CCRS) while a number of the first line of defence employees obtained the certificate specialised in the field of combating money laundering and terrorist financing (CAMS).

Further, the Head of the Compliance Department conducted an in-person training session for our Board of Directors encompassing the field of compliance, money laundering, terrorist financing and international sanctions, and presented relevant case studies.

Recognition

“Best Bank for CSR”

in 2022 by **Euromoney**

“Best Mobile Banking Jordan 2022”

by **International Business magazine**

“Most active issuing bank”

in Jordan by **EBRD**

Highly graded as an “SME Market Leader”

in 2022 by **Euromoney**

“Best bank” in terms of “Employee Empowerment and Development”

in Jordan for the year 2022 by **The World Union of Arab Bankers**

Highly graded as a “CSR Market Leader”

in 2022 by **Euromoney**

“Best Information Security and Fraud Management” under the “Best Corporate/Institutional Digital Bank Awards” in the Middle East

by **Global Finance magazine**

“Best Online Portal/User Experience (UX)” under the “Best Corporate/ Institutional Digital Bank Awards” in the Middle East

by **Global Finance magazine**

“Most Innovative Digital Bank” under the “Best Corporate/ Institutional Digital Bank Awards” in the Middle East

by **Global Finance magazine**

Highly graded as a “Market Leader in Digital Solutions”

in 2022 by **Euromoney**



Financial analysis and operating results for 2022

First: Financial position for 2022

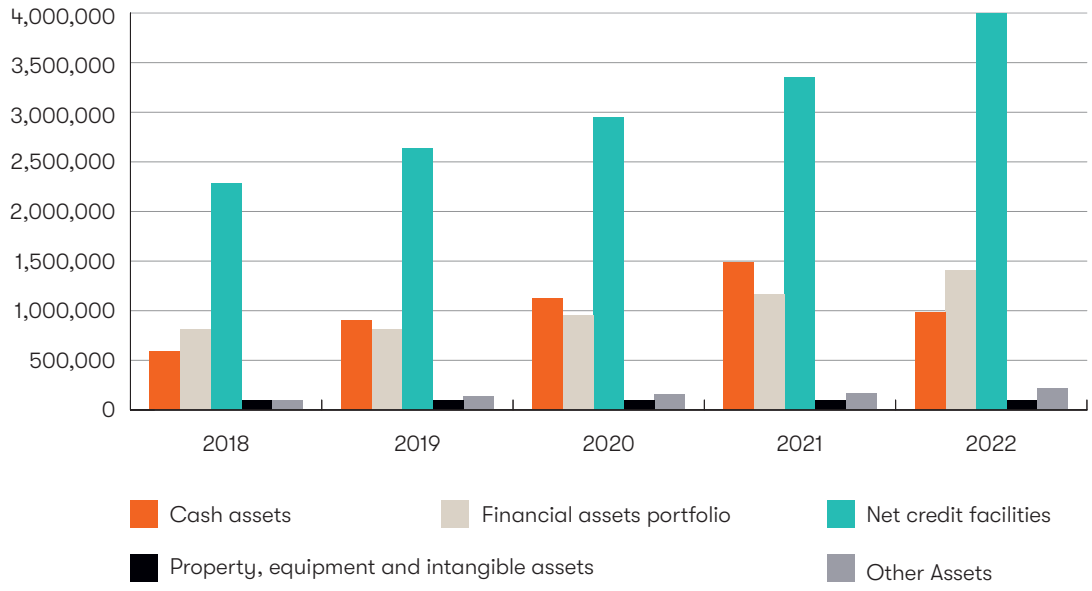
Total assets

The bank has maintained growth rates in most of its assets, leading to a 6.8% increase in total assets at the end of 2022 compared to the end of 2021, amounting to JOD 6.691 billion after the increase of JOD 428 million. Over the past five years, the bank's annual growth rate of total assets was 11.6%, with a rate of return of 0.7%.

The table and graph below show the development of the main assets during 2018-2022:

Description	2018	2019	2020	2021	2022	Growth Rate 2021-2022
Cash Assets	585,729	897,673	1,122,593	1,484,678	983,163	(33.8%)
Financial Assets Portfolio	807,702	814,423	950,878	1,161,552	1,405,491	21.0%
Net Credit Facilities	2,277,918	2,635,851	2,951,628	3,351,124	3,991,119	19.1%
Property, Equipment, and Intangible Assets	96,672	96,549	95,829	93,877	95,410	1.6%
Other Assets	100,048	135,180	152,777	171,290	215,708	25.9%
Total Assets	**3,868,069**	**4,579,676**	**5,273,705**	**6,262,521**	**6,690,891**	**6.8%**

(Rounded to JOD 1,000)

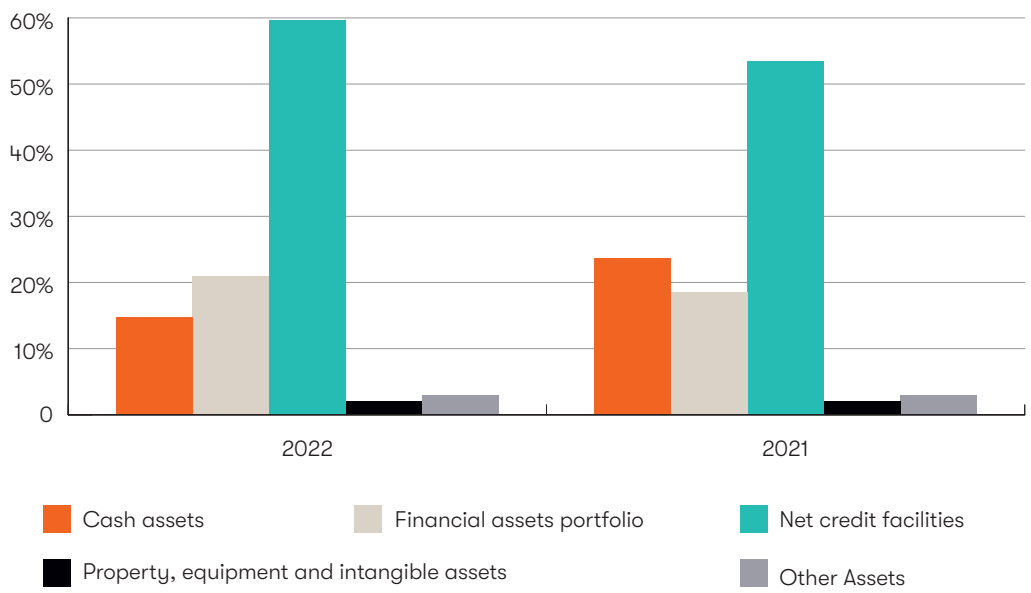


(Rounded to JOD 1,000)

In 2022, net direct credit facilities continued to be in the lead as the bank's most significant asset, accounting for 59.7% of total assets, up from 53.5% in 2021. The financial assets constituted 21.0% of assets compared to 18.5% in 2021, while cash assets constituted 14.7% compared to 23.7% in 2021.

By considering the income-generating asset items, these indicate the Bank's ability to manage its assets and utilise its sources of funds in maximising income considering the policies and procedures followed and the risks associated with each of such asset items.

The Relative Importance of the Bank's Total Assets

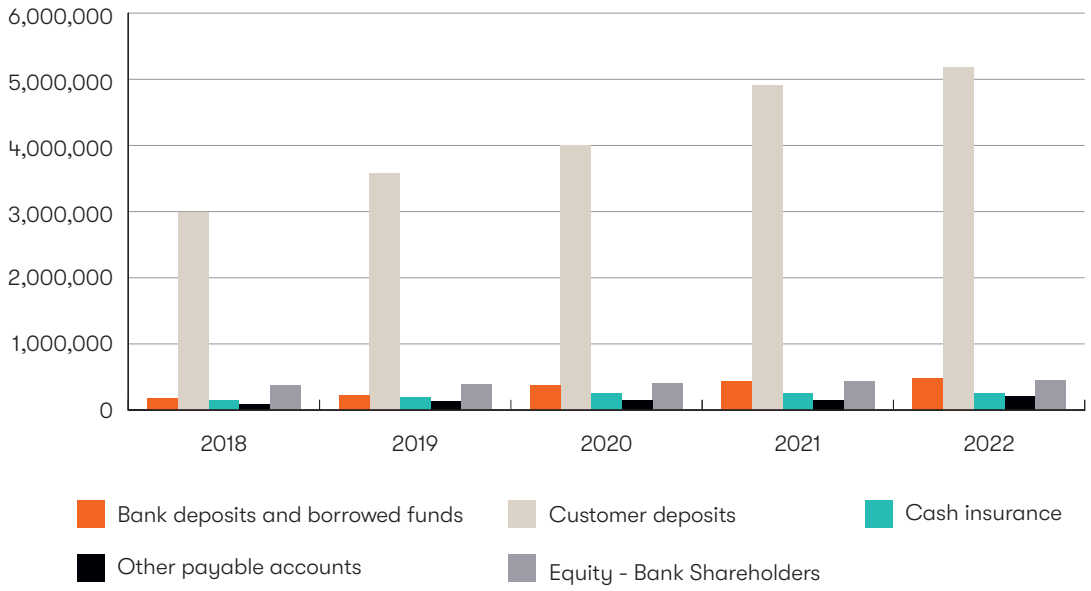


Liabilities and equity

The table and graph below show the growth in the main Liability and Equity items during the years (2018 – 2022):

Report	2018	2019	2020	2021	2022	Change Percentage 2021-2022
Bank deposits and borrowed funds	181,924	215,167	370,840	425,349	479,558	12.7%
Customer deposits	2,988,950	3,575,967	4,003,011	4,910,374	5,186,344	5.6%
Cash margins	141,815	185,698	251,303	244,828	257,368	5.1%
Other payable accounts	88,134	123,599	142,148	152,502	207,584	36.1%
Shareholders' Equity	376,742	387,273	407,956	428,012	453,047	5.8%

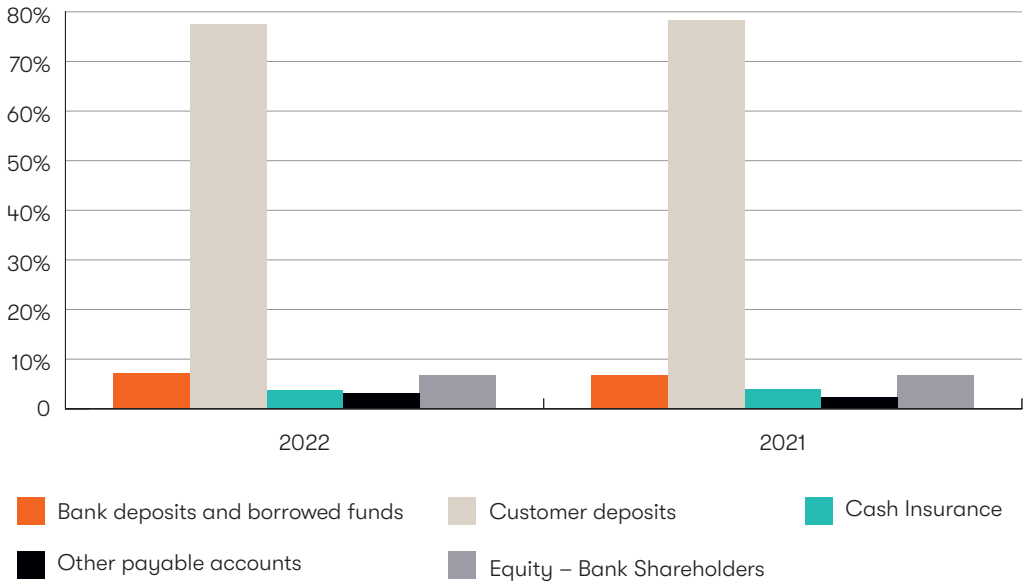
(Rounded to JOD 1,000)



(Rounded to JOD 1,000)

Based on the importance of the Bank's Liability and Equity components, as shown in the graph below, Customer Deposits accounted for 77.5% of the bank's liabilities, compared with 78.4% at the end of 2021. Equity accounted for a ratio equivalent to 6.8%, maintaining the same percentage as the previous year followed by Bank Deposits and Borrowed Funds, which accounted for 7.2% compared to 6.8% at the end of 2021. Cash margins and other credit balances accounted for 3.8% and 3.1% compared to 3.9% and 2.4%, respectively at the end of 2022.

The Relative Importance of Total Liabilities and Equity



Financial Assets Portfolio:

- **Bonds:** By the end of 2022, the bond balance amounted to JOD 1.327 billion, after an increase amounting to JOD 226 million, at a growth rate of 20.5%. This growth is a result of an increase in bonds amounting to JOD 122 million, at a growth rate of 15.5% as well as an increase in bonds in foreign currencies amounting to JOD 104 million, at a growth rate of 32.9%.
- **Portfolio of Local and International Shares:** In 2022, the Bank invested in local and foreign shares with strong financial positions and acceptable investment risk levels. This led to a total increase of JOD 18.2 million in the stock portfolio, representing a growth rate of 29.9%. At the end of the year, the balance of the stock portfolio amounted to JOD 79 million, compared to JOD 60.8 million at the end of 2021.

Total Direct Credit Facilities

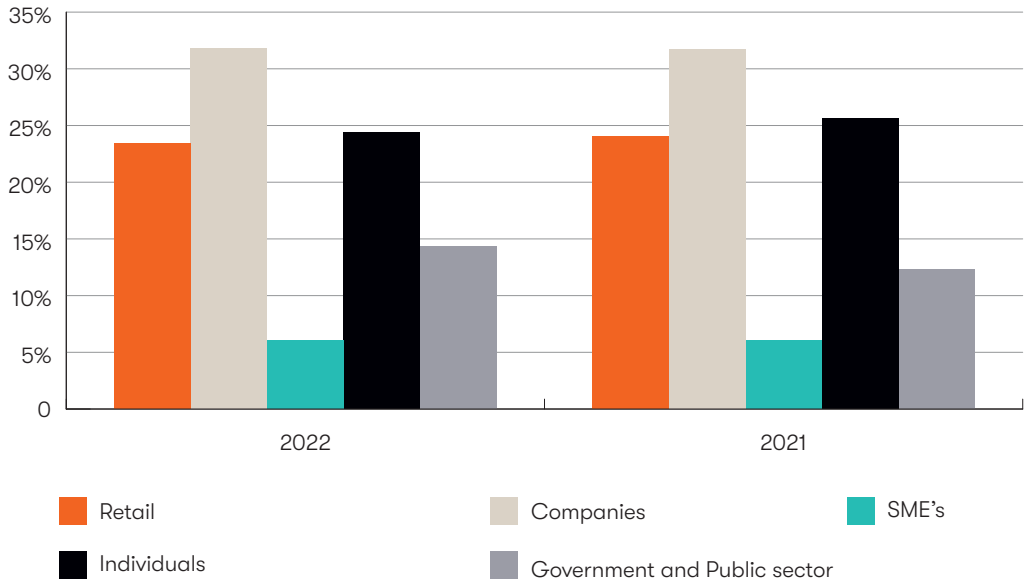
According to the bank's financial accounts for the year 2022, the Total Direct Credit facilities increased by 19.1% from 2021 reaching JOD 4.179 billion. This represents the bank's strategy to maximise the return on assets. This was a result of the increase in the balance of facilities in Jordanian dinars at a growth rate of 16.6% and an increase in the balance of facilities in foreign currency at a growth rate of 42.9%.

The average annual growth rate of Net Direct Credit Facilities during the last five years (2018-2022) amounted to 11.9%.

The significance of the individual sectors in the bank's total direct credit facilities decreased slightly from 24.0% in 2021 to 23.4% in 2022. Meanwhile, the small and medium enterprise sector represented 6% of the total direct credit facilities. Additionally, the percentage of credit facilities allocated to the business sector increased from 31.7% at the end of 2021 to 31.8% in 2022.

With respect to the real estate sector, the total credit facilities reached 24.4% at the end of 2022, compared to 25.6% at the end of 2021. The credit facilities granted to the government and the public sector accounted for 14.3%, compared to 12.3% at the end of 2021.

The Relative Importance of Total Direct Credit Facilities According to the Borrower



Provisions for Impairment of Facilities:

To strengthen its financial position, the bank continued to follow its policy of hedging and maintaining adequate guarantees to cover the customer facilities it granted. This was done in compliance with the requirements of the Central Bank and international accounting standards, in addition to the application of the (IFRS9) standard. Accordingly, the balance of the provision for the reduction in direct credit facilities increased to JOD 171.9 million from JOD 141.5 million at the end of 2021.

It is worth mentioning that the coverage ratio of direct credit facilities in the third phase reached 76.3% compared to 77.4% in 2021. The ratio of credit facilities in the third phase after the deduction of suspended interest from the outstanding balance of direct credit facilities also reached 3.29% compared to 3.26% in 2021."

Customer Deposits:

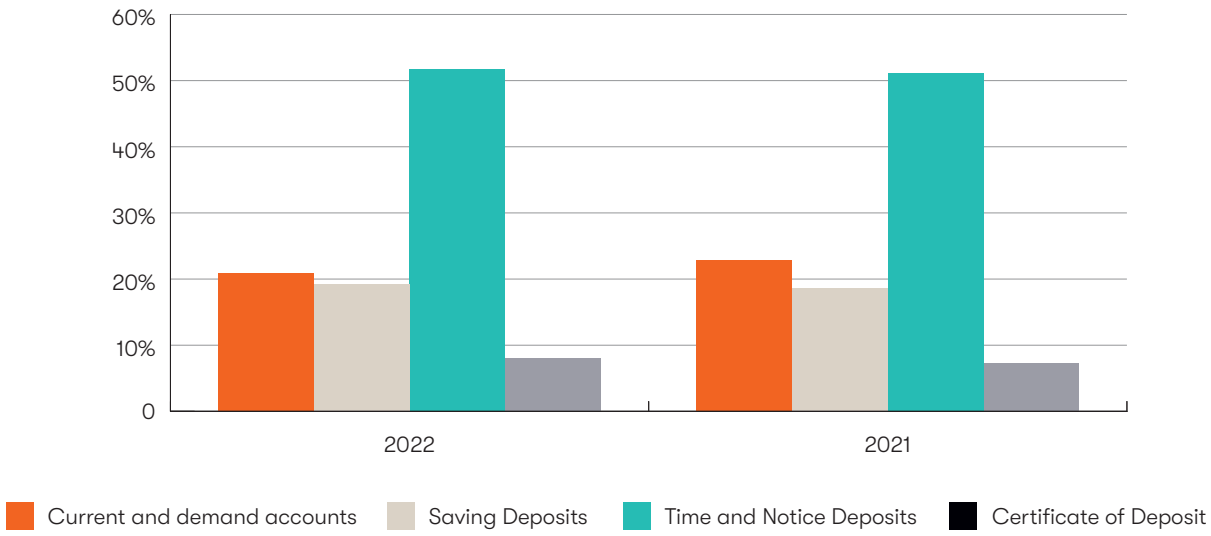
Despite the current challenging circumstances prevailing in the region, the bank has achieved a positive annual growth rate of 11.7% in total customer deposits over the past five years. Through its exceptional and competitive programs, the bank successfully attracted customers from various targeted segments, resulting in a growth rate of 5.6% compared to the end of 2021, amounting to 276 million JOD. This has led to a total customer deposit balance of 5.186 billion JOD.

As a result, the bank's market share of total customer deposits within the banking sector in the kingdom reached 12.35%, compared to 12.44% at the end of 2021.

In terms of total customer deposits according to depositing entity, individual sector deposits grew by (9.5%), small and medium enterprise deposits increased by (5.3%), and government and public sector deposits increased by (4.4%). The percentage of decline in deposits of large corporations was approximately (5.7%).

According to an analysis of the structure of Customer Deposits by deposit type, "Time and Notice deposits" accounted for 51.7% of Total Deposits, compared to 51.2% at the end of 2021. Meanwhile, "Current and Demand accounts" accounted for 20.9% compared to 22.9% at the end of 2021. Saving Deposits accounted for 19.3% compared to 18.6% in 2021. As for the Certificates of Deposit, these amounted to 8.1% of total deposits, up from 7.3% in 2021, as indicated in the chart below:

The Relative Importance of Total Customer Deposits According to Deposit Type



Shareholder's Equity

The bank's shareholders' net equity increased by JOD 25.0 million at a growth rate of 5.8% to JOD 453 million at the end of 2022. For the past five years, the annual growth rate was 3.8%. It is also worth noting that the rate of Return on Equity has maintained the percentage attained in 2021 of 7.8%, indicating an outstanding performance for 2022.

Level of Financial Solvency and Capital Adequacy

The Capital Adequacy Ratio amounted to 13.80% compared to 14.49% at the end of 2021. The current CAR remains higher than the minimum requirements required by both Basel III at 8% and the Central Bank at 12.5%. We also note that the ratio of basic capital to risk-weighted assets has decreased to 11.62% from 12.70% in 2021. This represents the bank's capacity to withstand potential banking risks, as well as its capacity to expand and grow within the Capital Adequacy Determinants.

The Bank's Competitive Position

The bank's ability to compete in the current regional conditions is demonstrated by its strong growth in total credit facilities and total deposits, surpassing the growth rates achieved by the Jordanian banking sector in 2022. The bank has also secured a substantial market share of 13.25%. Moreover, the proportion of total customer deposits utilised for credit facilities amounted to 12.35%, highlighting the bank's effective management of liquidity and credit risk.

The comparative table below demonstrates the growth rates achieved in the Jordanian Banking Sector compared with those achieved by Bank al Etihad.

Based on the Central Bank of Jordan's statistical bulletin for 2022, the growth rates achieved by the Jordanian banking sector and Bank al Etihad in total direct credit facilities and customer deposits can be compared. The growth rate of total direct credit facilities in the banking sector reached 8.54%, up from 4.85% in 2021, while the growth rate of total customer deposits reached 6.54% compared to 7.43% at the end of 2021.

In comparison, Bank al Etihad achieved a growth rate of 18.93% in total direct credit facilities, compared to 14.69% in 2021, and a growth rate of 5.71% in total customer deposits, compared to 22.70% at the end of last year.

	Growth Rate			
	The Banking Sector		Bank al Etihad	
	2022	2021	2022	2021
Direct Credit Facilities	8.54%	4.85%	18.93%	14.69%
Customer Deposits:	6.54%	7.43%	5.71%	22.70%
Current and Demand	0.67%	9.69%	(3.57%)	36.78%
Savings	(1.79%)	7.93%	9.08%	18.66%
Term Deposits	12.14%	6.81%	6.93%	21.74%
Cash Insurance	8.25%	6.42%	5.12%	(2.58%)

Financial solvency indicators

Report	2018	2019	2020	2021	2022
Average Return on Total Assets	1.1%	0.9%	0.6%	0.7%	0.7%
Return on Equity Rate	9.6%	8.3%	5.9%	7.8%	7.8%
Capital Adequacy	14.12%	13.99%	14.48%	14.49%	13.8%
Facilities within the Stage III/Total Facilities	4.93%	4.24%	3.83%	3.73%	3.66%
Debt within Coverage Ration - Coverage of Impairment of Total Facilities Stage III	73.4%	77.7%	75.1%	77.4%	76.3%
Total Statutory Liquidity	118.58%	117.97%	122.77%	144.49%	119.88%

Second: The bank's operating results

Interest and commissions received

The bank's income from interest, returns, and commissions has increased over the last five years, rising from JOD 242 million in 2018 to JOD 352 million at the end of 2022, with an annual growth rate of 7.8% and a rise of 21.8% since 2021.

By considering the interest and returns items received, the interest that resulted from the direct credit facilities accounted for 80.3% of the total interest at the end of 2022. The interest and returns earned on retail facilities achieved a growth rate of 19.3% by the end of 2021, while corporate facilities achieved a rate of 11.2%. Small and medium enterprises accounted for 25.1%. Meanwhile, the growth rate for real estate loans amounted to 18.4%. In addition, government and public sector facilities achieved a growth rate of 25.1%.

As for the number of commissions received, those increased by 30.9% compared to 2021, reaching JOD 35.8 million.

Interest, expenses and commissions paid

This item increased by 30% compared to 2021. The annual growth rate over the past five years reached 8.9%, whereby interest, expenses, and paid commissions increased from JOD 90 million in 2018 to JOD 137.2 million at the end of 2022.

Interest paid on Customer Deposits accounted for the largest share of the total interest and commissions paid which amounted to 84.6%, with the remaining interest coming from bank deposits, cash insurances, borrowed funds, and deposit guarantee fees.

Operational Expenses

Between 2018 and 2022, operational expenses (administrative and general expenses, depreciation, and amortisation) increased at an annual growth rate of 7.6% from JOD 82.9 million to JOD 119.7 million. By considering the details of this item, we find that the staff's expenses increased for the last five years from JOD 43.1 million to JOD 57.5 million, while other general and administrative costs rose to JOD 46.7 million at the end of 2022 from JOD 28.7 million at the end of 2018. Additionally, during the same period, depreciation and amortisation costs rose from JOD 11 million to JOD 15.6 million. It is worth mentioning that this increase in operational expenses is due to the increase of the bank's network of branches, which is dispersed throughout most of the Kingdom, with the number of branches rising from 47 in 2018 to 58 in 2022. In light of the expansion, the bank made investments in providing trainings in skill-development for its staff members. In addition, the bank also made investments in its technological infrastructure and launched multiple advertising campaigns for its new products and services.

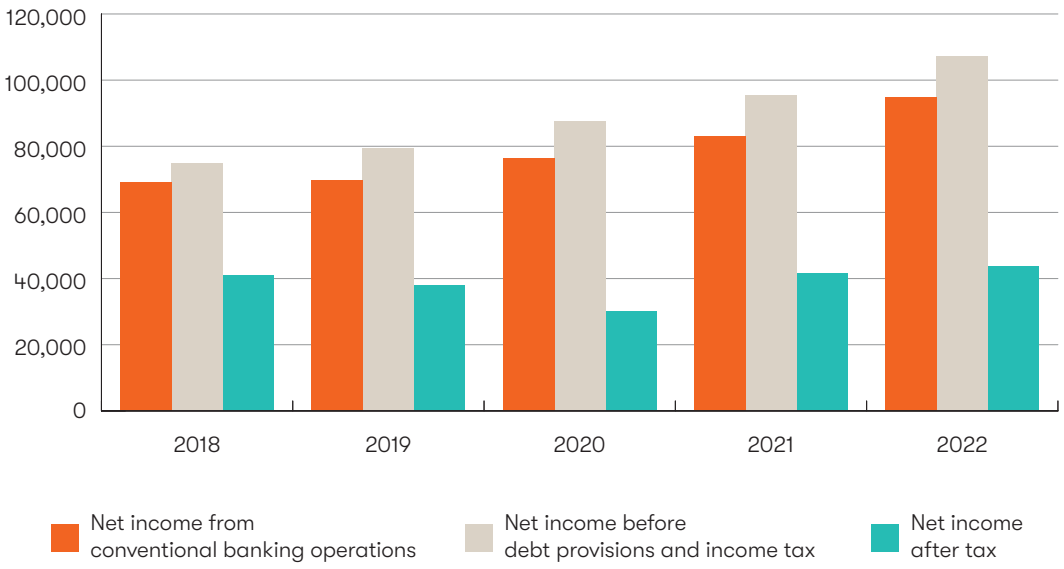
Net Income

Net income from conventional banking operations grew by 14.2% to reach JOD 94.7 million by the end of 2022. The annual growth rate for this item over the past five years was about 6.5%. Net income before provisions and income tax increased recording JOD 107.3 million at the end of the year, at a growth rate of 12.6%. Accordingly, the Net Income achieved after tax amounted to JOD 43.8 million at the end of 2022, achieving a growth rate of 5.7%.

The following table shows the development in income and expenses during the last five years (2018-2022).

Statement	2018	2019	2020	2021	2022
Interest and Commission Received	241,562	279,716	277,050	288,776	351,615
Paid Interest and Commission	89,760	117,288	103,803	105,570	137,197
Net Interest and Commissions	151,802	162,429	173,247	183,206	214,418
Expenses, Depreciation, and Amortisation	82,854	92,863	96,987	100,297	119,750
Net Income from Conventional Banking Operations	68,948	69,566	76,260	82,909	94,668
Income from foreign currencies and gold trading	5,854	6,965	6,750	6,840	11,440
Income from Investments	(1,433)	1,351	3,063	3,370	(840)
Other Revenues	1,346	1,457	1,462	2,160	2,007
Net income before provisions and income tax	74,715	79,337	87,535	95,279	107,275
Provisions	12,185	17,991	40,628	30,096	35,540
Income Tax	21,444	23,330	16,863	23,758	27,934
Net Income after Tax	41,086	38,016	30,044	41,425	43,800

(Rounded to JOD 1,000)



(Rounded to JOD 1,000)

Governance report for shareholding companies

Bank al Etihad believes in the importance of corporate governance in furthering the principles of safety and security within the banking sector. It aims to cultivate and strengthen trust among depositors and investors in the bank, which would further enhance the bank's standing and create a sound foundation to support the bank's strategic growth plans. To this end, the Board of Directors continue to uphold the Corporate Governance Manual incorporating the principles which shall be adopted for the management of our corporation and govern the relationships among all relevant stakeholders, including shareholders, depositors, the Board of Directors, executive management, employees and various regulatory authorities. This report was prepared in line with the requirements of the 2017 Corporate Governance Regulations for Listed Shareholding Companies issued by Jordan Securities Commission, requiring the preparation of a governance report and inclusion thereof in the bank's annual report as well as disclosing the extent of the bank's compliance in implementing the provisions of such regulations.

First: Information and details related to the implementation of the corporate governance regulations for listed shareholding companies

The Bank is committed to implementing all provisions outlined in the Corporate Governance Regulations for listed shareholding companies.

Second: Information related to the Board of Directors, and board committees.

Profile of members of the Board of Directors

1. Isam Halim Jaris Salfiti
Chairman of the board (non-executive, non-independent director)

Chairman of the Credit Facilities Committee and the Corporate Governance Committee

Year of Birth: 1944

Academic Qualifications: Bachelor's Degree in Economics, American University – Beirut, Lebanon, 1967.

Work Experience:

- Chairman of Bank al Etihad (6/1997 to date)
- General Manager, Bank al Etihad (07/1989-07/2008)
- Chairman of the Board of Directors of Etihad Financial Brokerage Company (02/2006 to date)
- Deputy General Manager, Arab Financial Corporation (Jordan) (10/1986-6/1989)
- Former member of the Board of Trustees of the University of Jordan
- Former Chairman of the Jordanian Hotels and Tourism Co., (PSC)
- Former Chairman of the Board, Middle East and Commodore Hotels Co., – previously (PSC)
- Member of the Board of Zara Investment Co., (PSC)
- Member of the Board of Education for Employment
- Member of the Board of Amman Baccalaureate School
- Member of Jubilee School

2. Basem Isam Halim Salfiti
Vice-Chairman of the Board (Non-Executive, Non-Independent Director)

Chairman of the Information Technology Governance Committee and a Member of the Management Committee, Credit Facilities Committee, and the Risk Management Committee

Year of Birth: 1972

Academic Qualifications:

- Bachelor's Degree in Electrical Engineering, Brown University, USA, 1993.
- Master's Degree in Finance and Corporate Strategic Planning, Columbia University, USA, 2000.

Work Experience:

- Chairman of the Board of Trustees, of Al-Hussein Technical University (HTU)
- Board Member of Petra National Trust (PNT)
- Board Member of Innovative Startups and SMEs Fund (ISSFJO)
- Board Member of Delta Insurance Company, (PSC)
- Board Member, LIWWA
- Representative of the Etihad Islamic Investment Company on the Board of Directors of Safwa Islamic Bank, (PSC)
- Partner and Co-Director of Hummingbird Ventures London, UK (2012-2016)
- Managing Director at Perella Weinberg Partners in London, UK (2007 - 2012)
- Executive Director of the Technology Investment Banking Unit at Morgan Stanley & Co., London, UK (2000 - 2006).
- Chief Executive Officer of Operations at Best Laboratories Inc., Sunnyvale, California (1994 - 1998)

3. "Mohammad Nabil" Abdel-Hadi Mohammad Hammoudeh
(Non-Executive member, Non-Independent Director)

Chairman of the Management Committee and a Member of the Nominations & Remuneration Committee and Credit Facilities Committee)

Year of Birth: 1949

Academic Qualifications: BA in Business Administration from England, 1974

Work Experience:

- Chairman and General Manager of Hammoudeh Group
- Businessman and investor (1975 to date)
- Grindlays Bank (until the end of 1974)
- Board Member at several public and private companies
- Board Member of Middle East Insurance Co., PSC
- Chairman of the Board, Jordan Poultry Processing and Marketing Company PLC – (PSC)

4. Social Security Corporation - a Jordanian government institution (Non-Executive member, Non-Independent) Represented by: Jalal Anwar Mousa Al-Ajlouni

Member of the Audit Committee and Risk Committee

Year of Birth: 1981

Academic Qualifications:

- Master's Degree in Banking and Financial Sciences, Yarmouk University, Jordan, 2006
- Bachelor's Degree in Banking and Finance, Yarmouk University, Jordan, 2003
- Certified Project Manager (CPM), 2011
- Certified Credit Analyst (CCA), 2008

Work Experience:

- Head of the Treasury of the Social Security Investment Fund (to date)
- Former Vice-Chairman of the Board of Directors, Al Daman Company for Financial Leasing
- Former Board Member of the Jordan Worsted Mills Co. Ltd

5. Imad Mohammad Abdel-Khaleq (Non-Executive member, Independent Director) No longer independent as of 23/12/2022

Chairperson of the Nomination and Remuneration Committee, Member of the Credit Facilities Committee, and Management Committee until 23/12/2022

Year of Birth: 1963

Academic Qualifications: BA in Mathematics, University of Wisconsin, USA, 1987

Work Experience:

- General Manager, Jordan Insurance Company, since 2005
- Vice President, Jordanian Insurance Federation, (2009-2010)
- Held several positions at the Munich Reinsurance Company, Germany, the last being Senior Regional Manager (1990-2005)
- Board Member, Asia Insurance Company, Kurdistan, Iraq
- Board Member, Al-Watania Insurance Company, Yemen
- Vice-Chairman of the Executive Committee, Arab Fund to Cover War Risks (AWRIS) / Bahrain.
- Member of Middle East and North Africa's Insurance CEOs Club.
- Former Board Member, Jordanian Insurance Federation.

6. Mughith Ghiath Munir Sukhtian (Non-Executive member, Non-Independent Director)

Member of the Credit Facilities Committee, IT Governance Committee and Management Committee

Year of Birth: 1973

Academic Qualifications:

- BSc and MSc in Industrial Systems Engineering, Rensselaer Polytechnic Institute -Troy, New York, USA, (1994).
- MBA, Columbia University, New York, USA, (2001).

Work Experience:

- Managing Director, GMS Specialised services, (2013-to date).
- Deputy Assistant Director, Mergers and Acquisitions of Financial Institutions Group, JP Morgan, USA, (2000-2003).

Board Memberships:

- Board Member, Ghiath Munir Sukhtian Holding Group, (GMS).
- Board Member, Palestinian Telecommunications Company.
- Board Member, Munir Sukhtian International Group, (MSI).
- Board Member, VTEL Holdings and subsidiaries.
- Board Member of Trustees, Columbia University Middle East Research Center.
- Member of the Board of Trustees, Jordan Media Institute.
- The member is not a member of the board of any public shareholding companies inside Jordan.

7. Rana Jamil Said Abbadi (Non-Executive, Independent Director)

Chairperson of the Audit Committee and a member of the Compliance Committee and the Corporate Governance Committee

Year of Birth: 1966

Academic Qualifications: Bachelor's degree in Accounting and Business Administration, Jordan University

Work Experience:

- Financial Advisor and Digital Transformation Consultant, Ezz Al-Arab Group
- Board Member and Chairman of the Audit Committee, Orascom Financial Holding
- Held several positions at Orascom and Orange Group:
  - Deputy CEO, Government Relations and Wholesale Affairs
  - Deputy CEO, Quality and Institutional Support (4/2009 to 12/2011)
  - Deputy CEO, Development (1/2007 to 4/2009)
  - Chief Financial Officer (6/2002 to 12/2006)
- Financial Director, Fastlink, (1995-1997)
- Senior Auditor, Saba & Co., (1988-1995)
- Board Member, International Company for Financial Leasing, Egypt
- Board Member, International Finance Company, Egypt
- Board Member, Chamber of Information Technology Industry - Egyptian Ministry of Industry and Trade
- The member is not a member of the board of any public shareholding company in Jordan

8. Riad Abdul-Mohsen Taher Al-Dajani (Non-Executive, Independent Director)

Chairman of the Compliance Committee, Chairman of the Nomination and Remuneration Committee, and a member of the Corporate Governance Committee and the Audit Committee

Year of Birth: 1940

Academic Qualifications:

- Master's degree in Accounting, DePaul University, Chicago, USA
- Member of the American Institute of Certified Public Accountants
- Founder and member of the JCPA

Work Experience:

- Managing Partner, Arthur Andersen & Co.
- Managing Partner, Dajani & Aladdin Company, Jordan
- Former Chairman of the Board, Al-Mashreq Insurance Company, Ramallah
- Chairman of the Board, Jericho Tourist Village Company, Jericho
- Former Trustee, Saint John Eye Hospital, Jerusalem
- Former Trustee, St. Joseph Hospital, Jerusalem
- Former Member of the Palestinian Center for Microfinance, Jerusalem
- The member is not a member of the board of any public shareholding company in Jordan

9. Jabra "Raja Yaqoub" Jabra Ghandour (Non-Executive, Independent Director)

Chairman of the Risk Committee, Member of the Audit Committee and the Nomination and Remuneration Committee

Year of Birth: 1962

Academic Qualifications:

- Master's degree in Architecture, University of Texas, USA
- Bachelor's degree in Civil Engineering, University of Arlington, USA

Work Experience:

- Managing Global Wealth and Investments, Boubyan Bank Kuwait, (2022 to date)
- CEO, Boubyan Capital Investment Company, Kuwait, (July 2018 – 2022)
- Board Member, Bank of London and the Middle East, (2015 to date)
- CEO, Bank of London, and the Middle East, (2015-2016)
- CEO and Board Member, Qatar International Bank, (2012-2015)
- General Manager, National Bank of Kuwait (Jordan) (until 2012)
- The member is not a member of the board of any public shareholding company in Jordan

10. The Libyan Foreign Investment Company

Date of establishment: The Libyan Foreign Investment Company was established under Law No. 6 of 1981 as a wholly owned Libyan joint-stock company owned entirely by the Libyan state, with legal personality and independent financial liability, until it was subordinated to the Libyan Investment Corporation by virtue of Decision No. 205 of 2006 and Law No. 13 of 2010.

Company capital: 3.5 billion Libyan dinars.

Company's nature of activity: The establishment or participation in the establishment and full or partial ownership of companies and investment projects in various economic activities. Lending or borrowing money.

Representatives:

Moussa Hussein Atiq Ali has held the first seat since December 1, 2022 (Non-executive, non-independent member)

Member of the Audit Committee and a member of the Information Technology Governance Committee

Date of Birth:	29/11/1986
Academic Qualifications:	Master's degree in Law from Bournemouth University in the United Kingdom
Work Experience:	• Board Member, International Hotel Investment Company • Board Member, Sahel and Sahara Bank • Chairman of the Board, Financial Brokerage Company • Vice Chairman of the Board, Arab Petroleum Investments Company • General Manager, Libyan Company for Foreign Investments, to date • General Manager, Libya Africa Investment Portfolio • Legal Advisor, Libyan company • Secretary of the Board, Libya Africa portfolio

Mohamed Altabani Ali AlAgdel has held the second seat since December 1, 2022 (Non-Executive Member - Non-Independent Director)

Member of the Risk Committee, member of the Compliance Committee, and member of the Credit Facilities Committee

Date of Birth:	23/4/1974
Academic Qualifications:	Bachelor of Economics, University of Tripoli
Work Experience:	• Director of the Office of the Chairman and Executive Director, Libyan Foundation • Board Member, Sixth of October Agricultural Projects Company • Former Board Member, Housing Company for Tourism and Real Estate Investments • Adviser to the Prime Minister for Investment Affairs • Advisor to the Chairman of the Board, Libyan Investment Corporation • Member of the Investment Committee, Savings Company for Investments and Urban Development • Director, Contributions and Evaluation Department in the Libyan Investment Authority, to date.

Amjad Samir Ahmed Aburawy has held the first seat until 11/20/2022 (Non-Executive, Non-Independent Director)

Member of the Audit Committee and the Risk Committee until 11/20/2022

Year of Birth: 1986

Academic Qualifications: Accounting Certificate, Arab Academy for Banking and Financial Sciences, Jordan, 2008

Work Experience:

- Director, General Department of Investment, Long-term Investment Portfolio to date
- Head of Accounts and Budget Department, Long-term Investment Portfolio, 2013-2019
- Accountant in the Long-term Investment Portfolio, 2008-2013
- Member of the Board, OLA Energy Company 2017-2020
- The member does not have any memberships with any public shareholding company in Jordan

Fauzi Musbah Ali Abokhzam has held the second seat until 11/20/2022 (Non-Executive Member - Non-Independent Director)

Member of the Compliance Committee and the Information Technology Governance Committee until 11/20/2022

Year of Birth: 1965

Academic Qualifications:

- Ph.D., Software Engineering, University of New Brunswick, Canada
- Master's Degree, Software Engineering, Acadia University, Canada.
- Bachelor's Degree in Mechanical Engineering, University of Benghazi, Libya

Work Experience:

- Director, Payments and Settlements Department, Central Bank of Libya
- Board Member, Arab Banking Corporation Egypt (Part-time)
- Vice-Chairman of the Board, Sahara Bank (Part-time)
- Assistant General Manager of Operations Activities, National Commercial Bank
- Director of the Comprehensive Development Project, National Commercial Bank in cooperation with an international consulting company
- Director of the Information Technology Department, National Commercial Bank
- Faculty Member, Academy of Higher Studies, Tripoli
- Faculty Member, Sabha University

Technical Committees

- Vice President, Strategic Committee, Central Bank
- President of the Higher Technical Committee, Central Bank of Libya
- President of Electronic Transaction Development Committee, Libyan Banking Market
- Member, Training and Human Resources Development Committee, Central Bank, Libya
- Member, Arab Committee for Payment and Settlement Systems
- Member, Information Committee of the Association, Libyan Banks.
- The member is not a member of the board of any public shareholding company in Jordan

Names of the board members who resigned during 2022

There are no members who submitted their resignations during the year 2022, however, the representatives of the legal council member, the Libyan Foreign Investments Company, Amjad Samir Mohammad Aburawi (first seat) and Fauzi Musbah Ali Abokhzam (second seat), were replaced by new representatives Moussa Hussein Atiq Ali (first seat) and Mohamed Altabani Ali AlAgdel (second seat).

Third: Board Committees:

- Audit Committee
- Corporate Governance Committee
- Risk Committee
- Compliance Committee
- Nominations and Rewards Committee
- Governance Committee of Information Management and Associated Technology
- Management Committee
- Facilities Committee

The Number of Board Meetings and Board Committees during 2022

1. Board of Directors meetings: (7) Meetings

Member	Meeting Attendance Information						
	17/02	17/04	05/06	14/08	09/10	20/11	21/12
Isam Halim Jaris Salfiti	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Basem Isam Halim Salfiti	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Mohammad Nabil Abdul-Hadi Hamoudeh	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Jabra "Raja Yaqoub" Jabra Ghandour	Missed	Attended	Attended	Attended	Attended	Attended	Attended
Mughith Ghiath Munir Sukhtian	Attended	Attended	Missed	Missed	Attended	Attended	Missed
Riyad Abdul Mohsen Taher Al Dajani	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Representative of the Social Security Corporation/ Jalal Anwar Musa Al Ajlouni	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Rana Jamil Saeed Abadi	Attended	Attended	Attended	Attended	Missed	Attended	Attended
Imad Mohammad Ali Abdel-Khaleq	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Libyan Foreign Investments Company/ Fauzi Musbah Ali Abokhzam until 20/11/2022	Attended	Attended	Attended	Attended	Attended	-	-
Libyan Foreign Investments Company Amjad Samir Mohammad Aburawi until 20/11/2022	Attended	Attended	Attended	Attended	Attended	-	-
Libyan Company for Foreign Investments/ Moussa Hussein Atiq Ali from 01/12/2022	-	-	-	-	-	-	Attended
Libyan Company for Foreign Investments/ Mohamed Altabani Ali from 01/12/2023	-	-	-	-	-	-	Attended

2. Audit Committee: (9) Meetings

Member	Meeting Attendance Information								
	10/02	27/03	24/04	26/06	27/07	29/09	30/10	18/12	28/12
Rana Jamil Saeed Abadi	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Riad Abdul Mohsen Taher Al Dajani	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Jabra "Raja Yaqoub" Jabra Ghandour	Missed	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Jalal Anwar Musa Al Ajlouni	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Amjad Samir Mohammad Aburawi until 20/11/2022	Attended	Attended	Attended	Attended	Attended	Attended	Attended	-	-
Moussa Hussein Atiq Ali from 01/12/2022	-	-	-	-	-	-	-	-	Missed

3. Corporate Governance Committee: (2) Meetings

Member	Meeting Attendance Information	
	11/09	20/12
Isam Halim Jaris Salfiti	Attended	Attended
Riad Abdul Mohsen Taher Al Dajani	Attended	Attended
Rana Jamil Saeed Abadi	Attended	Attended

4. Risk Management Committee: (5) Meetings

Member	Meeting Attendance Information				
	23/03	16/05	08/08	16/10	19/12
Basem Isam Halim Salfiti	Attended	Attended	Attended	Attended	Attended
Jabra «Raja Yaqoub» Jabra Ghandour	Attended	Attended	Attended	Attended	Attended
Jalal Anwar Musa Al Ajlouni	Attended	Attended	Attended	Attended	Attended
Imad Mohammad Ali Abdel-Khaleq	Attended	Attended	Attended	Attended	Attended
Amjad Samir Mohammad Aburawi until 20/11/2022	Missed	Attended	Attended	Attended	

5. Compliance Committee: (4) Meetings

Member	Meeting Attendance Information			
	16/02	27/04	10/08	22/11
Riad Abdul Mohsen Taher Al Dajani	Attended	Attended	Attended	Attended
Rana Jamil Saeed Abadi	Attended	Attended	Attended	Attended
Fauzi Musbah Ali Abokhzam until 20/11/2022	Attended	Attended	Attended	-
Mohamed Altabani Ali AlAgdel from 01/12/2022	-	-	-	-

6. Nominations and Remuneration Committee: (4) meetings

Member	Meeting Attendance Information			
	28/3	26/7	14/11	19/12
Imad Mohammad Ali Abdel-Khaleq	Attended	Attended	Attended	Attended
Jabra «Raja Yaqoub» Jabra Ghandour	Attended	Attended	Attended	Attended
Mohammad Nabil Abdul-Hadi Hamoudeh	Attended	Attended	Attended	Attended

7. IT Governance Committee: (3) meetings

Member	Meeting Attendance Information			
	24/03/2022	31/05/2022	12/10/2022	01/2023
Basem Isam Halim Salfiti	Attended	Attended	Attended	
Fauzi Musbah Ali Abokhzam	Attended	Attended	Attended	
Mughith Ghiath Munir Sukhtian	Missed	Attended	Attended	

The fourth meeting of the Information Technology Governance Committee will be held during January of 2023 due to the amendment of the members of the committees, where Mr. Musa Ateeq will replace Mr. Fawzi Abu Khazam.

8. Management Committee: (21) meetings

		Members			
		Mohammad Nabil Abdul-Hadi Hamoudeh	Mughith Ghiath Munir Sukhtian since 20/02/2020	Basem Isam Halim Salfiti	Imad Mohammad Ali Abdel-Khaleq
Meeting Attendance Information	06/01	Attended	Attended	Attended	Attended
	13/01	Attended	Attended	Attended	Attended
	30/01	Attended	Missed	Attended	Attended
	03/02	Attended	Attended	Attended	Attended
	10/02	Attended	Attended	Attended	Attended
	17/02	Attended	Attended	Attended	Attended
	17/03	Attended	Attended	Attended	Attended
	24/03	Attended	Missed	Attended	Attended
	17/04	Attended	Attended	Attended	Attended
	21/04	Attended	Attended	Attended	Attended
	12/05	Attended	Attended	Attended	Attended
	19/05	Attended	Attended	Attended	Attended
	02/06	Attended	Attended	Attended	Attended
	23/06	Attended	Missed	Attended	Attended
	07/07	Missed	Attended	Attended	Attended
	04/08	Attended	Missed	Attended	Attended
	29/09	Attended	Missed	Attended	Attended
	06/10	Attended	Attended	Attended	Attended
	27/10	Attended	Attended	Attended	Attended
	24/11	Attended	Attended	Attended	Attended
	22/11	Attended	Attended	Attended	Attended

9. Credit Facilities Committee: (43) meetings

		Members				
		Isam Halim Jaris Salfiti	Mohammad Nabil Abdul-Hadi Hamoudeh	Mughith Ghiath Munir Sukhtian	Basem Isam Halim Salfiti	Imad Mohammad Ali Abdel-Khaleq
Meeting Attendance Information	06/01	Attended	Attended	Attended	Attended	Attended
	13/01	Attended	Attended	Attended	Attended	Attended
	20/01	Attended	Attended	Attended	Attended	Attended
	30/01	Attended	Attended	Missed	Attended	Attended
	03/02	Attended	Attended	Attended	Attended	Attended
	10/02	Attended	Missed	Attended	Attended	Attended
	17/02	Attended	Attended	Attended	Attended	Attended
	24/02	Attended	Attended	Attended	Attended	Attended
	03/03	Attended	Attended	Missed	Attended	Attended
	17/03	Attended	Attended	Attended	Attended	Attended
	24/03	Attended	Attended	Missed	Attended	Attended
	07/04	Attended	Missed	Attended	Attended	Attended
	14/04	Attended	Attended	Attended	Missed	Attended
	21/04	Attended	Attended	Attended	Missed	Attended
	12/05	Attended	Attended	Attended	Attended	Attended
	19/05	Missed	Attended	Attended	Attended	Attended
	29/05	Attended	Attended	Attended	Attended	Attended
	02/06	Missed	Attended	Attended	Attended	Attended
	09/06	Attended	Attended	Attended	Attended	Attended
	23/06	Attended	Attended	Missed	Attended	Attended
	07/07	Attended	Missed	Attended	Attended	Attended
	21/07	Attended	Attended	Missed	Attended	Attended
	28/07	Attended	Attended	Missed	Attended	Attended
	04/08	Attended	Attended	Missed	Attended	Attended
	11/08	Attended	Attended	Missed	Attended	Attended
	18/08	Attended	Attended	Attended	Attended	Attended
	25/08	Attended	Attended	Attended	Attended	Attended
	01/09	Attended	Attended	Attended	Attended	Attended
	08/09	Attended	Missed	Attended	Attended	Attended
	15/09	Attended	Attended	Attended	Attended	Attended
	22/09	Attended	Attended	Attended	Attended	Attended
	26/09	Attended	Attended	Missed	Attended	Attended
	06/10	Attended	Attended	Attended	Attended	Attended
	13/10	Attended	Attended	Attended	Attended	Attended
	20/10	Attended	Attended	Attended	Missed	Attended
	27/10	Attended	Missed	Attended	Attended	Attended
	03/11	Attended	Missed	Attended	Attended	Attended
	10/11	Attended	Attended	Attended	Attended	Attended
	17/11	Attended	Missed	Attended	Attended	Attended
	24/11	Attended	Attended	Attended	Attended	Attended
	01/12	Attended	Attended	Attended	Attended	Attended
	08/12	Attended	Attended	Missed	Attended	Attended
	22/12	Attended	Attended	Attended	Attended	Attended

- The number of meetings held by the Audit Committee with the external auditor in 2022 was four meetings. One of these meetings fulfilled the requirement of meeting with the external auditor without the presence of the executive management.
- The Executive Director of the Compliance Department serves as the Governance Liaison Officer in the bank.
- The committees carry out their assigned tasks in accordance with what is stated in the Institutional Governance Guide.

Fourth: Information related to executive positions in the bank and the names of those holding those positions

Executive Position	Name
CEO	Nadia Helmi Hafez Al-Saeed
Deputy CEO	Dima Mefleh Mohammad Akel
Chief of Corporate Banking	"Muhammad Ghassebb" Abdullah Abdel-Majeed Hatamleh
Chief of Credit and Credit Management	Tarik "Mohammad Said" Hasan Badawi
Chief of Central and Administrative Operations Department	Mohamad Mahmoud Ahmed Burjak
Chief of Financial Operations Department	Zeid Eyad Akram Kamal
Chief of HR and Customer Experience Development	Daniel Fawaz Odeh Al-Sharaiha
Chief of Audit Department	Bashar "Mohammed Khair" Awad Ababneh
Chief of Retail Banking Services Department	Mahmoud Tayseer Ahmad Badwan
Chief of SME Banking Services	Mahamoud Tayseer Ahmad Badwan
Chief of the Treasury, Investment and External Relations Department	Fadi "Ahmed Kamal" Marei Marei
Chief Technology Officer	Amer "Mohammad Khair" Zaki Abu Laila
Chief of Risk Management	Khaled Abdel-Malek Mohamed Abdel-Malek
Senior Director, Corporate Communication and Marketing Department	Natalie Mazen Yousef Alnaber*
Senior Director, Compliance Department	Tamer Wasef "Mohamed Moussa" Barakat*

* Note: In the board meeting held on 21/12/2022, Tamer Wasef "Mohamed Moussa" Barakat was promoted from Senior Director of the Compliance Department to Chief of the Compliance Department. In addition, Natalie Mazen Yousef Alnaber was promoted from Senior Director of the Corporate Communication and Marketing department to the position of Chief of Corporate Communication and Marketing. The Central Bank was contacted by letter No. (7210/7) on 2/1/2023, and the non-objection of the Central Bank of Jordan was obtained for what was mentioned above in letter No. 483/2/10 on 9/1/2023.



Isam Halim Jaris Salfiti

Chairman

Disclosures required by the Securities Commission and Corporate Governance Manual

Main Company Activities

Providing all banking, credit and financial services, products and financing operations to individuals, small and medium enterprises, and large companies. In addition to opening incoming and outgoing credits, as well as issuing local and foreign letters of guarantee to all customers. The bank also accepts deposits of all kinds (on demand, savings, term, and certificates of deposit).

Bank's geographical locations and the number of employees in each of them

The number of bank branches spread in the Kingdom for the year 2022 reached (58) branches, in addition to the ATM locations, the Boulevard ATM and Jabal Al-Weibdeh, Bonded Warehouses, Etihad Financial Leasing Company, Etihad Financial Brokerage Company, Etihad Islamic Investment Company and Etihad Company for Financial Technology.

The addresses of each of them are detailed at the end of the report within (the network of branches, subsidiaries and cash offices operating in the Hashemite Kingdom of Jordan):

Location Name	Number of Employees	Location Name	Number of Employees
Head Offices	633	Shmeisani	24
Jabal Amman	6	Dabouq	13
Gardens	18	Sweifieh	11
Mecca Street	14	Jubaiha	9
City Mall	20	Dahyet Al Yasmeen	6
Marj Al Hamam	9	Downtown	6
Wehdat	7	Marka	13
Taj Mall	15	Abdoun	16
Abdoun North	6	Um Uthaina	13
Jo Park	9	Jabal Al Hussain	7
Rainbow Street	5	Irbid University	7
Bayader	7	Rabieh	6
Karak	9	Khalda	13
Sahab	7	Tabarbour	6
North Hashimi	4	Madaba	8
Zarqa	7	New Zarqa	9
Al Ramtha	6	Irbid	8
Al Hussun	8	Aqaba	14
Mahis	5	Abdali Mall	14
Al Mafraq	7	New Amman Center/Irbid	11
Al Muqablein	10	Jerash	6
Daheit Al Rasheed	8	Sweileh	7
Abu Alanda	7	Sport City	6
Business Center	4	Salt	6
Shafa Badran	10	Dabouq 2	5
Sweifieh Village	6	Free Zone – Zarqa	7
Mecca Mall	16	Ruseifeh	6
Bab Al Madina - Zarqa	15	Vegetable Market	5
Ajloun	6	Weibdeh	5
Daheit Al Nakheel	7	Bonded Warehouse	6
Direct Sales	49	Contact Center	79
Central Exchange/Shmeisani	18	Boulevard ATM	2
Etihad Financial Brokerage Company	3	Etihad Leasing Company	10
Etihad Financial Tech Company	4	Etihad Islamic Investment Company	-
Total			**1,329**

Capital Investment

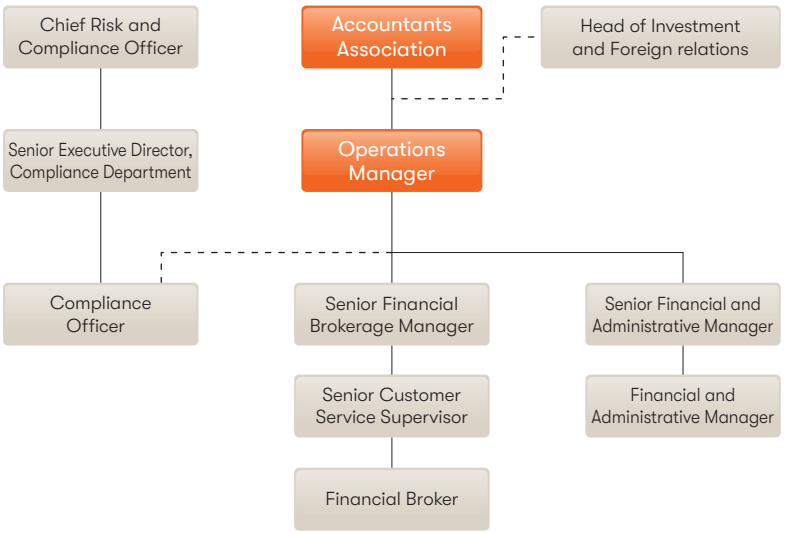
The capital investment as of 31/12/2022 amounted to JOD 144.310 million.

Bank Subsidiaries:

1. **Etihad Financial Brokerage Corporation:** Established in 2006, it is a wholly-owned limited liability company by the bank, established in 2006 with a capital of JOD 5,000,000. The company's scope of work and activities include financial intermediation services, acting as a financial intermediary on its behalf, investment trust services, financial consultancy, investment management, and margin financing.

   The company's name was mentioned in the section "Branch Network, Subsidiaries, and Operational Cash Offices in the Hashemite Kingdom of Jordan." The number of employees was also mentioned under the subsection "Geographical Locations of the Bank and the Number of Employees in Each Location."

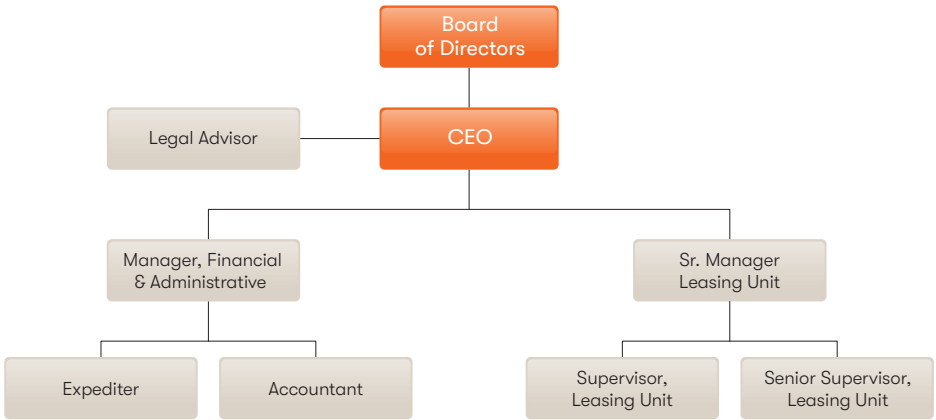
   There are no branches for the company, and there are no projects owned by the company.



2. **Etihad Financial Leasing Company:** It is a wholly-owned limited liability company by the bank, established in 2015 with a capital of JOD 12,000,000. The nature of its business and activities includes leasing vehicles and cars for ownership purposes, leasing and owning movable and immovable assets necessary for executing leasing contracts, borrowing necessary funds from banks, and mortgaging real estate to implement leasing contracts. It also involves buying, selling, trading, importing, and exporting fixed assets such as machinery, equipment, and devices, either for cash or through leasing. The company opens accounts in banks and financial institutions within and outside Jordan to carry out leasing purposes and enters into partnerships with individuals, commercial, industrial, and financial companies, as well as financial institutions and banks inside and outside the kingdom.

   The company's address was mentioned in the section "Branch Network, Subsidiaries, and Operational Cash Offices in the Hashemite Kingdom of Jordan." The number of employees was also mentioned under the subsection "Geographical Locations of the Bank and the Number of Employees in Each Location."

   There are no branches for the company, and there are no projects owned by the company.

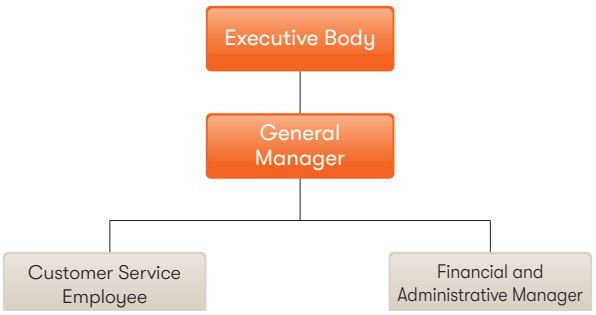


3. **Etihad Islamic Investment Company:** established on November 30, 2016, as a private limited shareholding company with a capital of JOD 113,039,028. The bank owns 58% of its capital. Its main activities include owning shares, bonds, and stakes in companies and borrowing necessary funds from banks.

   The bank acquired a controlling stake in Safwa Islamic Bank, representing 62.4% of its capital and valued at 100 million dinars.

   The company's address was mentioned in the section "Branch Network, Subsidiaries, and Operational Cash Offices in the Hashemite Kingdom of Jordan." The number of employees was also mentioned under the subsection "Geographical Locations of the Bank and the Number of Employees in Each Location."

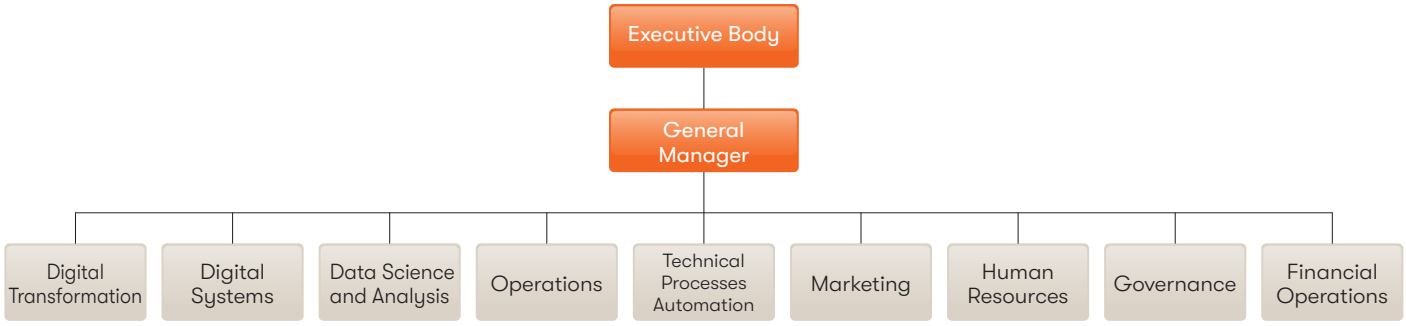
   There are no branches for the company.



4. **Etihad Financial Technology Company:** The company is a wholly-owned private limited shareholding company established in 2019 with a capital of 100,000 dinars. Its main activities include investing in financial technology (Fintech) sectors, financial education, financial inclusion, manufacturing, and selling electronic and electrical communication devices related to Fintech. It is also involved in manufacturing, programming, preparing, developing, and supplying Fintech software, systems, or applications, along with their accessories.

   The company's address was mentioned in the section "Branch Network, Subsidiaries, and Operational Cash Offices in the Hashemite Kingdom of Jordan." The number of employees was also mentioned under the subsection "Geographical Locations of the Bank and the Number of Employees in Each Location."

   There are no branches for the company, and there are no projects owned by the company.



A list of former and existing Board of Directors members, as well as a brief introduction to each of them:

This subject was extensively discussed in the governance reports of the listed shareholder companies.

Statement of the names and ranks of the senior executive management:

HE. Mrs. Nadia Helmi Hafez Al-Saeed

CEO

Year of Birth: 1965

Education:
- MBA in Finance and Management Information Systems, American University in Cairo, Egypt, 1992.
- Bachelor's Degree in Economics and Business Administration, Jordan University, Jordan.

Work Experience:
- Chief Executive Officer, Bank al Etihad.
- Strategic Development Consultant, Bank al Etihad.
- CEO, Dead Sea Foundation for Development.
- Minister of Information Communication Technology.
- Secretary General of the Ministry of Information Communication Technology.
- Economic Advisor to the Minister of Information Communication Technology.
- 10 years of experience at Bank al Etihad in several positions, the latest of which is: Director of the Corporate Banking Services Department.
- Jordan Information Technology Group.
- Najjar Group - Cairo.

Memberships:
- Vice Chairman of the Board, Etihad Financial Brokerage Company.
- Vice Chairman of the Board, Etihad Financial Leasing Company.
- Vice Chairman of the Board, Etihad Union Company for Financial Technology.
- Member of the Board, Etihad Islamic Investment Company.
- Member of the Board, Association of Banks in Jordan.
- Chairman of the Board, Endeavor Jordan.
- Member of the Board, Jordan Loan Guarantee Company.
- Member of the Board, Jordan Capital and Investment Fund.

Deema Mefleh Mohammed Akel

Deputy CEO

Year of Birth: 1968

Academic Qualifications:
- MBA, Imperial College - University of London, Britain, 2001.
- Master's Degree, Financial Markets, 1998.
- Bachelor's degree, Electrical Engineering, 1990.

Work Experience:
- Deputy CEO, Bank al Etihad since 01/2012.
- Assistant General Manager of Bank al Etihad for Risk Management and Compliance until 01/2012.
- Assistant General Manager / Head of Risk and Compliance Department at Al Ahli Bank (2005-2007).
- Head of Risk Management and Credit Policy at the Housing Bank (2004-2005).
- Credit Risk Manager at the Arab Bank (1990-2004).
- Board Member, Etihad Financial Brokerage Company.
- Board Member, Etihad Financial Leasing Company.
- Board Member, Safwa Islamic Bank.

"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh

Chief of Corporate Banking

Year of Birth: 1971

Academic Qualifications:
- MBA Finance, NYIT University, Jordan, 2007.
- Bachelor's degree, Economics, Damascus University, 1993.

Work Experience:
- Bank al Etihad since 06/1999.
- Cairo Amman Bank (1994-1999).
- Board Member, Commercial Banks Company for Shareholding in companies
- Member of the Board, Commercial Banks Investment Company.
- Member of the Board, National Company for Investment in Infrastructure Projects.

Bashar "Mohammed Khair" Awad Ababneh

Chief Auditor

Year of Birth: 1970

Academic Qualifications:
- MBA, Finance, Birmingham City, UK, 1999
- Bachelor's Degree, Accounting, Jordan University, Jordan, 1994
- Certified CBA, ACPA, Passed Level I CFA

Work Experience:
- Bank al Etihad since 08/2008.
- Director of Internal Auditing, Arab Banking Corporation (2005-2008).
- Assistant Director - Principal Financial Analyst in the Deposit Insurance Corporation (2002-2005).
- Banking Inspector and Financial Analyst, Central Bank of Jordan (1994-2002).
- Vice Chairman of the Board, Chairman of the Executive Committee, Chairman of the Audit Committee, Member of the Governance Committee and Member of the Remuneration and Nominations Committee as a representative of Bank al Etihad on Daman Investment Company's Board of Directors (11/5/2010 - 5/10/2021).
- Chairman of the Audit Committee, Member of the Audit Committee, King Hussein Foundation, (17/03/2016 - 20/04/2022).

Tarik "Mohammed Said" Hasan Badawi

Chief of Credit & Credit Management

Year of Birth: 1966

Academic Qualifications:
- MBA, Accounting, Jordan University, Jordan, 1995.
- Bachelor's Degree, Accounting, Minor in Economics and Statistics, Jordan University, Jordan, 1987.

Work Experience:
- Bank al Etihad since 10/2008.
- Member of the Board, Public Shareholding Investment Company, representing Bank al Etihad.
- Bank AlJazira, Director of Credit, Eastern Province, Saudi Arabia (2007-2008).
- Credit Supervisor of the Facilities Department, Arab Bank, Jordan and Palestine Branches (2005-2007).
- Credit Supervisor, Bank Audi, Amman- Jordan (2004-2005).
- Credit Supervisor, Arab Bank, Jordan and Palestine Branch Facilities Department (1991-2004).

Mohamed Mahmoud Ahmed Burjak

Chief of Operations Department

Year of Birth: 1972

Academic Qualifications:

- Bachelor's degree, Accounting, Al-Ahliyya Amman University, Jordan, 1994.
- Certified Business Process Re-Engineering Practitioner, The Mountain Home Institute for Innovative Management, U.S.A, 2005.

Work Experience:

- Bank al Etihad since 08/2008.
- Expert in International Trade Operations with 25+ years of experience in Trade Finance and Banking Operations.
- Commercial Operations Manager, Jordan Commercial Bank, Jordan (2005-2008).
- Arab Bank, Jordan, Riyad Bank, Kingdom of Saudi Arabia, and Jordan Capital Bank, Jordan (1994-2005).
- Chairman of the National Banking Committee of the International Chamber of Commerce, Jordan.
- Member of the Paris ICC Banking Commission - Paris and a member of the ICC Task force Guarantees - Paris.
- Member of the ICC Uniform Customs and Documentary Credits, (UCP 600) - Paris.
- Adjudicated in many international documentary disputes in the field of international trade operations.

Daniel Fawaz Odeh Al-Sharaiha

Chief of Human Resources and Customer Experience Department

Year of Birth: 1977

Academic Qualifications:

- Bachelor's degree, Electrical Engineering, Al Balqa Applied University, 2000.
- Certificate of Chief Assessor of Quality Management Systems 2005.
- PMP, Microsoft, 2007.
- Conflict Resolution Management, Eastern Mennonite University, USA, 2009.
- Executive Director Certificate in Human Resources Management, Academy of Human Resources Management, Bahrain / Kenya 2010.
- Certificated Trainer and Specialist in Educational Dialogue from Global Learning Partners Canada, 2012.
- Certified Specialist in Strategic Management of Human Resources, London Business School, London, 2014.
- Certified Business Strategies Professional, INSEAD University, Singapore, 2017.
- Change Management and Human Resources Management, University of London, 2018.
- Advanced Certificate in Business Administration from IE University and AUB, 2/2019-6/2019

Work Experience:

- Bank al Etihad since 09/2010.
- Certified Consultant and Trainer, Human Resource Management and Customer Experience Management for several international and private companies, governmental institutions, and non-governmental organisations (NGO) (2005-2010).
- Executive Director of Customer Experience Management, Human Resources Management/ Development, Training and Talent Management at Zain (2002-2010).
- Electrical Engineer at Setelcom (France Telecom Group) (2000-2002).

Fadi "Ahmad Kamal" Marei Marei

Chief of Treasury Department, FI, and Investment Officer

Year of Birth: 1978

Academic Qualifications:

- Master's degree, Business Administration, University of Liverpool, UK, 2016
- Bachelor's degree, Banking and Finance, Yarmouk University, Jordan, 2002.
- Issuance Manager License, Securities Commission, 2013.
- Investment Manager License, Securities Commission, 2015.
- Financial Advisor License, Securities Commission, 2015.

Work Experience:

- Bank al Etihad since 08/2002.
- Vice Chairman, Etihad Financial Brokerage Company.
- Chairman, Al Tajamoat Company for Tourism Projects, 12/2022.
- Board Member, Union Company for Metal Forming and Engineering Company W.L.L.
- Former Board Member, Jordan Solar One Company (Cayman) / Jordan PSC until 9/2022.
- Former Board Member, Al-Ward Al-Juri Power Generation Company, until 9/2022.
- Former Board Member, Zahrat Al-Salam Power Generation Company LLC. until 9/2022.
- Former Board Member, Al-Zanbaq Energy Generation Company LLC. until 9/2022.

Zaid Eyad Akram Kamal

Chief of Finance Department

Year of Birth: 1980

Academic Qualifications:

- Chief Financial Officer Program from Columbia Business School Executive Education.
- (CPA) from the American Accounting Association.
- Bachelor's degree, Business Administration, minor in Banking and Finance, Yarmouk University, Jordan, 2001

Work Experience:

- Bank al Etihad since 04/2014.
- Financial Director, Military Credit Fund (2011-2014).
- Financial Controller, Standard Chartered Bank - Jordan (2007-2011).
- Chief Accountant, Capital Bank - Jordan (2004-2007).
- Assistant Department Head, Cairo Amman Bank (2001-2004).

Amer "Mohammed Khair" Zaki Abu Laila

Chief of Technology Department

Year of Birth: 1982

Academic Qualifications:

- Bachelor's degree, Business Systems and Networks Management, Philadelphia University, 2005.

Work Experience:

- Bank al Etihad since 11/2016.
- Founder and CTO of (MarkaVIP) (2010-2016).
- Executive Director of Technology, Eram Creative Production (2007-2010).
- Director of Technology Development, Quality Management Systems, Resourcing Services LTD (2006-2007).

Mahmoud Tayseer Ahmed Badwan

Chief of Retail Banking and SMEs Department

Year of Birth: 1982

Academic Qualifications:
- Master's degree, Accounting and Finance, Hashemite University, Jordan, 2008.
- Bachelor's degree, Accounting, Yarmouk University, Jordan, 2004.

Work Experience:
- Bank al Etihad since 07/2013.
- Financial Manager, Al Rashid Hospital (2012-2013).
- Department Head - Small and Medium Enterprises, Jordan Ahli Bank (2007-2012).
- Customer Relationship Manager, Housing Bank for Trade and Finance (2004-2007).

Natalie Mazen Yousef Al-Naber

Senior Director, Corporate Communications and Marketing

Year of Birth: 1985

Academic Qualifications:
- Bachelor's degree, Marketing Franklin University, Switzerland, 2007.
- Currently completing a Master's degree, Columbia University, New York.
- Certified board member certificate from the Jordanian Governance House, JioD, and the International Finance Corporation (IFC).

Work Experience:
- Bank al Etihad since 03/2013.
- Director of Corporate Communications, Saraya Aqaba Company (2011-2013).
- Market Research Analyst, Saraya Real Estate Development Company (2010-2011).
- Corporate Communication Officer, Saraya Real Estate Development Company (2007-2010).

Khaled Abdel-Malek Mohamed Abdel-Malek

Chief of Risk Management Department

Year of Birth: 1982

Academic Qualifications:
- Master's degree, Corporate Risk Management, University of Salford, Britain, 2007.
- Bachelor's degree, Finance, University of Jordan, 2003.

Work Experience:
- Board Member Etihad Brokerage Company.
- Senior Executive Director Credit Risk 2011-2018.
- Director of risk models and management information systems, Bank al Etihad (2010-2011).
- Market Risk Officer, Cairo Amman Bank (2007-2010).
- Credit Officer - Cairo Amman Bank (2003-2006).

Tamer Wasef "Mohamed Moussa" Barakat

Senior Director, Compliance

Year of Birth: 1986

Academic Qualifications:

- MBA, German Jordanian University, 2012.
- Bachelor's degree, Finance, Jordan University, Jordan, 2008.
- Certified Anti-Money Laundering and Terrorism Financing Specialist (CAMS).
- Certified Financial Crimes Specialist (CFCS).
- Certified Fraud Examiner (CFE).
- ICA-Advanced Certificate in Managing Sanctions Risks.
- Certificate in Information Technology Governance (COBIT 5 Foundation).
- Certificate in Information Technology Governance (COBIT 5 Implementation).
- Certificate in the Common Reporting Standards (CCRS).

Work Experience:

- Bank al Etihad since 2018.
- Compliance Department Director, Arab Banking Corporation, Jordan, (3/2016).
- Assistant Manager of the Compliance Department, Arab Bank, Jordan, (8/2012).
- Commercial Services Officer (Appropriations), Jordan Ahli Bank, (4/2008).

Names of major shareholders with equity exceeding 5%

Shareholder's Name	No. of Shares as on 31/12/2022	%	Pledged Shares	Beneficiary	No. of Shares as on 31/12/2021	%	Pledged Shares	Beneficiary
Libyan Foreign Investment Co.	32,413,763	20.3	-	-	32,413,763	20.3	-	-
RS Finance	24,012,599	15.01	21,312,307	Housing Bank	24,171,599	15.1	16,429,000	SGBJ
Social Security Corporation	17,645,358	11.02	-	-	13,645,358	8.52	-	-
Isam Halim Jaris Salfiti	15,0057,886	9.41	8,127,223	Capital Bank of Jordan	15,207,886	9.5	5,551,508	SGBJ
							2,000,000	NBK – Bahrain
Total							**7,551,508**	
Banque Banorient France	14,635,967	9.14	-	-	27,435,967	17.14	-	-

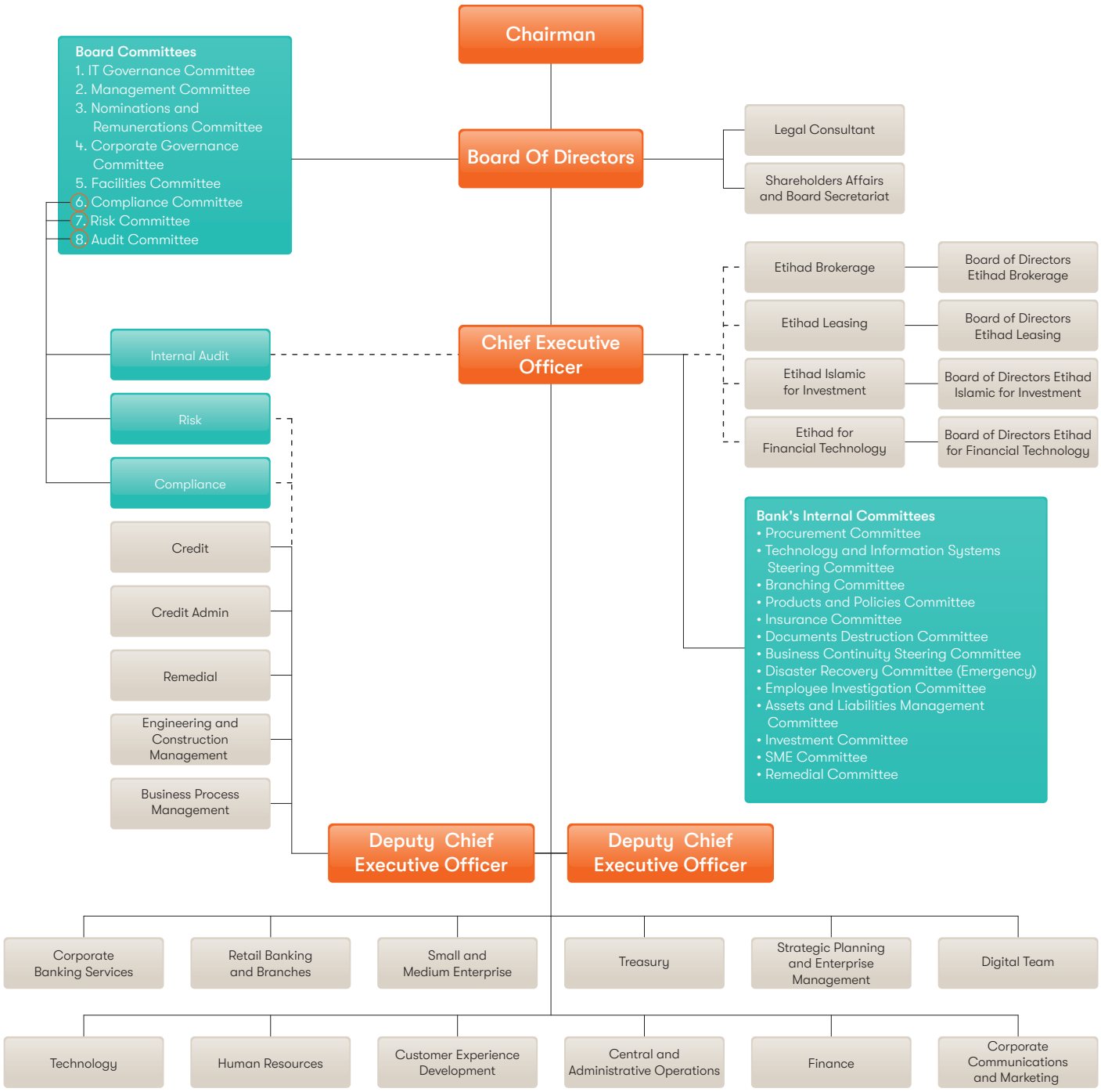
The bank's competitive position by business segment and its market share

This item is included in the Analysis of the Financial Position and Operating Results of 2022.

Additional declarations

- The Bank does not rely on major suppliers or customers (locally and internationally) that account for 10% or more of its total purchases or earnings.
- The Bank and its products or services do not enjoy any government protection or privileges under laws, regulations or otherwise.
- The Bank has not obtained any patents or franchise rights.
- There are no government or international organisations decisions that have a major impact on the Bank's business or its competitiveness.
- The Bank obtained the following certificates:
  - PCI DSS Payment Cards Industry Data Security Standard
  - ISO/IEC 27001 Information Security Management certification
  - ISO/IEC 27017 Cloud Security Controls

Organisational structure of the bank



Number of employees

The number of bank employees by the end of 2022 reached 1,329:

- 1,312 employees at the Head Office and Branches in Jordan.
- 3 employees at the Etihad Financial Brokerage Company.
- 10 employees at the Etihad Leasing Company.
- 4 employees at the Etihad Financial Technology Company.

Employees according to their academic qualifications

Academic Qualifications	Head office and Local Branches	Etihad Financial Brokerage Company	Etihad Leasing Company	Etihad Financial Technology Company
PHD	-	-	-	-
Master's	94	-	-	-
Higher Diploma	-	-	-	-
Bachelor's Degree	1,104	3	10	4
Diploma	29	-	-	-
Tawjihi	45	-	-	-
Below Tawjihi (Messengers, Drivers, Guards)	40	-	-	-
Total	**1,312**	**3**	**10**	**4**

Training and development

Bank al Etihad believes in the importance of developing and refining its employees' skills. The bank aims to increase the efficiency of its employees in the banking and financial sector academically and professionally by upgrading and diversifying academic and scientific training programs both inside and outside the Kingdom.

The following table shows a breakdown of the number and type of training programs provided by the bank in 2022:

Description	No. of Participants		Branches		Head Office	
	No.	%	No.	%	No.	%
Local Training Courses	2,848	24.54%	1,371	21.25%	1,477	28.67%
International Training Courses	19	0.16%	2	0.03%	17	0.33%
The Bank's Training Centre	616	5.31%	392	6.07%	224	4.35%
Virtual Training	7,999	68.93%	4,660	72.21%	3,339	64.82%
Professional Certifications	122	1.05%	28	0.43%	94	1.82%
Total	**11,604**	**100%**	**6,453**	**100%**	**5,151**	**100%**

To ensure that the bank is up to date on the latest innovations in its sector, 122 employees from various departments earned professional certifications.

In line with the Bank's policy aimed at serving the local community and making use of future cadres to fill possible vacancies within the Bank if so required, the Bank provided training opportunities to 177 high school and university students, and recent graduates.

Universities and Institutions	Number of Students Trained
Universities	111
German – Jordanian Universities	4
Schools	43
Shorouq Program	18
Administration	1
Total	**177**

Risks the bank is exposed to:

Credit risk

These are the risks resulting from the borrower's inability and/or unwillingness to settle the amounts due thereon (principal of loans and/or associated interest and commissions).

Bank al Etihad employs a variety of strategies to ensure its stability and safety, such as the strategy of diversifying the credit portfolio, as a tool to mitigate credit risk. To ensure this, the concentration risk department operates through credit limits across economic sectors, geographical areas, credit ratings and products.

To identify future risks, the Bank conducts stress tests on a regular basis, assuming scenarios of stressed conditions and unfavorable economic and trade expectations, in order to identify ways to avoid or lessen the effects of these risks.

Market risk

Market risk refers to the potential impact of changes in interest rates, exchange rates, financial asset prices, or adverse economic conditions on a bank's profits, losses, economic capital, or liquidity levels. To mitigate these risks, Bank al Etihad follows a conservative policy that includes a dedicated market risk management department and a middle office. The bank's market risk policies are developed based on international best practices and approved by the Board of Directors. The most important of these risks are:

Interest rate risk

Interest Rate Risks refers to losses arising from fluctuations in market interest rates or from changes in the prices of products as a result of changes in interest rates which negatively affects the bank's revenue and equity.

These risks arise when there is a mismatch between the re-pricing dates of assets and liabilities, which may decrease revenues as a result of the time differences between the re-pricing dates.

The Assets and Liabilities Committee regularly manages the interest rate risk through pricing gap reports and corresponding ceilings.

Liquidity risk

Liquidity risk refers to the risk that arises from the bank's inability to fulfill its short-term financial obligations, especially towards depositors, within reasonable time and acceptable cost, as a result of long-term holdings or investments. To avoid these risks, the bank plans liquidity at two levels:

1. **Level I:** It relates to the management of statutory and self-monetary reserves to ensure compliance with regulatory requirements and internal policies.
2. **Level II:** It relates to forecasting the Bank's cash needs in the coming periods.

Liquidity risk is managed through a liquidity strategy which is prepared by the Senior Management of the Bank.

This strategy takes into account diversifying the sources of funds, maintaining a reasonable balance of financial instruments readily realisable in the financial market, diversifying maturity dates of credit facilities, avoiding concentration of customer deposits and fund investments, and maintaining limits with correspondent banks and ensuring easy access to them within reasonable time and cost.

The Bank relies on a contingency plan for liquidity that is updated and reviewed periodically to ensure the availability of the necessary liquidity during emergencies.

Operational risk

Operational risk is defined as the risk of loss resulting from failed or inadequate internal processes, people, or systems, or from external sources (an event). This definition also includes legal risks and risks related to regulatory authorities.

Operational risk management is a part of the Bank's comprehensive framework for risk management, which works to periodically identify, assess, follow up on and control operational risks and reinforce and develop internal control mechanisms. In order for the Bank to achieve its objectives while maintaining an acceptable level of operational risk, operational risks are identified, measured, and monitored across all processes and products, and responses to these risks are defined. In accordance with the risk appetite statement accepted by the bank, acceptable exposure limits are monitored.

The risk management relies on multiple mechanisms to manage these risks, the first of which is the control self-assessment (CRSA), which identifies the risks unique to each department and/or unit and evaluates the control procedures to determine their effectiveness and efficiency in managing the risks associated with them.

The Operational Risk Department continues to develop key risk indicators that will enhance the risk control mechanism as an early warning tool that enables decision makers to identify undesirable events and potential losses before they occur.

This is in addition to developing a database of financial losses resulting from operational risks in order to analyse the Bank's exposure to operational risks as well as the efficiency of the applied control procedures. It is important to note that the bank's operational risk management process does not aim to design systems that eliminate all potential operational risks, but rather to understand the financial and other potential effects of these risks and to develop systems and control procedures that would, if sustained, keep such risks within acceptable levels.

Compliance risk

Compliance risk is also known as integrity and reputation risk. It refers to the risk of regulatory or legal sanctions (fines), material losses, or reputational risks that the Bank faces as a result of noncompliance with laws, regulations, instructions, orders, codes of conduct, and sound banking practices.

The Executive Management assumes absolute responsibility for developing and implementing the compliance policy, approving it with the Board of Directors, and circulating it to all departments and employees of the Bank. It is also the responsibility of the administration at all levels to ensure that the correct procedures and measures are applied in the event of discovering violations resulting from non-compliance. Moreover, In addition, the Management is responsible for employing competent and qualified staff and providing the necessary resources to establish an independent compliance monitoring unit to implement compliance policies

Furthermore, the Bank adopts internal policies and processes within a solid and strong framework of internal controls, which are evaluated on a regular basis, to maintain the highest level of integrity and transparency.

Information security and cyber security risks

Information security and cybersecurity risk management are based on utilising all internationally available means, tools, and procedures, in adherence to international standards, to protect information, networks, and bank equipment from internal and external risks and threat, as well as preventing access to information by unauthorised users, to maintain the confidentiality, integrity and availability of information and the continuity of the related supporting systems.

To that end, Bank al Etihad employed qualified staff and the necessary resources, in addition to contracting third parties to protect information security and cyber security from security breaches.

The department develops policies, standards, and procedures for information security and cybersecurity in line with international best practices to protect the bank's assets. It also updates and develops the best plans to ensure business continuity during disasters and crises to ensure the continuity of the bank's business and the provision of all services to all its customers, over and above monitoring compliance with information security standards, by relying on the latest technologies and systems.



Bank activities and achievements

The bank's achievements are included in the (Analysis of the Financial Position and Operating Results for 2022), as well as (the Achievements of 2022 and Future Strategic Plans).

The financial impact of operations of a non-recurring transaction as well as operations outside the bank's core business

There has been no financial impact from non-recurring operations that occurred during the fiscal year that do not fall within the Bank's main activity. Moreover, the Bank has not carried out any operations outside of its main activity.

Realised profits and losses, distributed cash dividends and net shareholders' equity for the years (2018-2022)

Year	2022	2021	2020	2019	2018
Realised Profits	43,800,423	41,425,295	30,044,044	38,016,223	41,085,911
Distributed Cash Dividends	-	16,000,000	16,000,000	-	22,400,000
Proposed Dividends	16,000,000	-	-	-	-
Shareholders' Equity	453,046,660	428,011,954	407,955,721	387,273,066	376,741,532

The bank's share price for the years (2018-2022)

Year	2022	2021	2020	2019	2018
Price	JOD 1.950	JOD 1.750	JOD 1.560	JOD 1.608	JOD 1.600

Analysis of the financial position and the operating results of 2022

This item is included in (Analysis of Financial Position and Operating Results of 2022).

Key future developments of the bank

Future developments and expectations of the Board for the results of the Bank's operations are included within the Future Plans.

Amount of auditors' fees for the bank and its subsidiaries

The 2022 Auditors' fees amounted to JOD 165,300 including sales tax, as follows:

Description	Amount
Bank al Etihad	140,360
Etihad Financial Brokerage Company	6,960
Etihad Leasing Company	7,540
Islamic Investment Company	3,480
Etihad Financial Technology Company	6,960
Total	**165,300**

Bank shares owned by Board Members and their relatives

Name	Appointment Date	Nationality	As of 2022				As of 2021			
			Board Member	Member Rep	Relatives	Total	Board Member	Member Rep	Relatives	Total
Isam Halim Salfiti	20/02/2020	Jordanian	15,057,886				15,207,886			
Samia Suleiman Sukkar (Wife)	-	Jordanian			3,004,125	18,062,011			3,004,125	18,212,011
Bassem Isam Salfiti	20/02/2020	Jordanian	875,245			875,245	875,245			875,425
Libyan Foreign Investment Company (LAFICO)	20/02/2020	Libyan	32,413,763	-	-		32,413,763	-	-	
Represented by: Amjad Abu Rawi and	-	Libyan	-				-	-	-	
Mr. Fawzi Musbah Ali Abu Khazam from 3/3/2021 Until 20/11/2022	-	Libyan	-				-	-	-	
It was then represented by Mohammed Al Tabani Ali Al Ajdal	-	Libyan	-	-	-					
And Musa Al Hassan Atiq Ali	-	Libyan	-	-	-	32,413,763				32,413,763
Social Security Corporation Represented by	20/02/2020	Jordanian	17,645,358	-	-		13,645,358			
Mr. Jalal Anwar Mousa Al Ajlouni		Jordanian	-	-	-	17,645,358	-	-		13,645,358
Imad Mohammed Ali Abdel Khaleq	20/02/2020	German	4,294			4,294	4,294			4,294
"Mohamed Nabil" Abdul Hadi Hammoudeh	20/02/2020	Jordanian	1,158,907			1,158,907	1,498,294			1,498,294
Mughith Ghiath Munir Sukhtian	20/02/2020	Jordanian	16,657			16,657	16,657			16,657
Rana Jameel Saeed Abbadi	20/02/2020	Jordanian	5,120			5,120	5,120			5,120
Riad Abdel Mohsen Taher Dajani	20/02/2020	Jordanian	28,040			28,040	28,040			28,040
Jabra "Raja Yaquob" Ghandour	20/02/2020	Jordanian	51,120			51,120	51,120			51,120

- Members of the Board of Directors and their relatives do not own any shares in the Bank other than those mentioned in the table above.
- There is no controlling share by any company owned by any Board Members or by their relatives.

Shares owned by Senior Executive Management and their relatives

Name	Nationality	No. of Shares As of 2022			No. of Shares as of 2021		
		Employee	Relatives	Total	Employee	Relatives	Total
Nadia Helmi Hafez Al- Saeed	Jordanian	760,973	-	760,973	718,704	-	718,704
Daniel Fawaz Odeh Al-Sharaiha	Jordanian	127,150	-	127,150	103,147	-	103,147
Amer "Mohammad Kheir" Zaki Abu Laila	Jordanian	433,786	-	433,786	102,572	-	102,572
Deema Mefleh Mohammed Akel	Jordanian	48,506	-	48,506	36,800	-	36,800
"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh	Jordanian	40,000	-	40,000	30,000	-	30,000
Bashar "Mohammed Khair" Awad Ababneh	Jordanian	22,776	-	22,776	16,273	-	16,273
Tarik "Mohammed Said" Hasan Badawi	Jordanian	22,558	-	22,558	16,055		16,055
Mohamed Mahmoud Ahmed Burjak	Jordanian	23,420	-	23,420	16,787		16,787
Fadi "Ahmad Kamal" Marei Marei	Jordanian	76,639	-	76,639	63,812		63,812
Zaid Eyad Akram Kamal	Jordanian	18,539	-	18,539	13,076		13,076
Natalie Mazen Yousef Al-Naber	Jordanian	13,261	-	13,261	8,969		8,969
Mahmoud Tayseer Ahmad Badwan	Jordanian	22,769	-	22,769	13,989	-	13,989
Khaled Abdel-Malek Mohamed Abdel-Malek	Jordanian	11,035	-	11,035	5,832	-	5,832
Tamer Wasef "Mohamed Moussa" Barakat	Jordanian	7,966	-	7,966	4,064	-	4,064

- Members of the Senior Executive Management and their relatives do not own any shares in the Bank other than those mentioned in the table above.

- There is no controlling share by any company owned by any of the members of the Senior Executive Management or their relatives.

Benefits and remuneration of the Chairman and members of the Board of Directors for 2022

Description	Position	Gross Annual Salaries	Fees and Transportation	Annual Remuneration	Annual Travel Expenses	Total Annual Benefits
Isam Halim Jaris Salfiti	Chairman	515,135	28,000	455,000	-	998,135
Basem Isam Halim Salfiti	Deputy Chairman	-	69,500	5,000	-	74,500
"Mohammad Nabil" Abdel Hadi Mohamed Hamoudeh	Board Member	-	58,500	5,000	-	63,500
Social Security Corporation	Board Member	-	34,500	5,000	-	39,500
Mughith Ghiath Munir Sukhtian	Board Member	-	52,500	5,000	-	57,500
Emad Mohamed Ali Abdel Khaleq	Board Member	-	63,500	5,000	3,980	72,480
Riad Abdel Mohssen Taher Al Dajani	Board Member	-	37,000	5,000	-	42,000
Rana Jameel Saeed Abadi	Board Member	-	37,000	5,000	8,215	50,215
Jabra "Raja Yaqoub" Jabra Ghandour	Board Member	-	37,750	5,000	8,830	51,580
Amjad Samir Mohamed Abu Rawi until 20/11/2022	Board Member	-	30,250	5,000	-	35,250
Fauzi Musbah Ali Abu Khazam until 20/11/2022	Board Member	-	26,500	-	2,730	29,230
Mousa Al Hassan Atiq Ali as of 01/12/2022	Board Member	-	2,500	-	-	2,500
Mohammad Al Tabani Ali Al Ajdal as of 01/12/2022	Board Member	-	2,500	-	700	3,200
Total	-	**515,135**	**480,000**	**500,000**	**24,455**	**1,519,590**

* No financial or non-financial benefits/compensations were received by members of the Board except as indicated above.

Benefits and remuneration of the Senior Executive Management for 2022

Description	Position	Gross Annual Salaries	Fees and Transportation Allowance	2021 Annual Remuneration Paid in 2022	Non-financial 2021 bonuses (shares) paid in 2022	Annual Travel Expenses	Total Annual Benefits
Nadia Helmi Hafez Al- Saeed	CEO	336,000	-	251,875	73,125	-	661,000
Deema Mufleh Mohamed Akel	Deputy CEO	217,600	-	69,750	20,250	-	307,600
"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh	Chief Corporate Banking Officer	184,000	-	50,375	14,625	-	249,000
Bashar "Mohammed Khair" Awad Ababneh	Chief Auditor	155,200	-	38,750	11,250	-	205,200
Tarik "Mohammed Said" Hasan Badawi	Chief Credit and Credit Administration Officer	160,000	-	38,750	11,250	-	210,000
Mohamed Mahmoud Ahmed Burjak	Chief Operations Officer	171,200	-	39,525	11,475	-	222,200
Fadi "Ahmad Kamal" Marei Marei	Chief Treasury, FI and Investment Officer	172,000	-	50,375	14,625	-	237,000
Daniel Fawaz Odeh Al-Sharaiha	Chief Human Resources and Customer Experience Officer	228,350	-	38,750	11,250	-	278,350
Zaid Eyad Akram Kamal	Chief Finance Officer	144,000	-	32,550	9,450	-	186,000
Mahmoud Tayseer Ahmad Badwan	Chief SMEs and Retail Banking Officer	172,000	-	52,313	15,188	-	239,501
Natalie Mazen Yousef Al-Naber	Chief Communications and Marketing Officer	112,000	-	25,575	7,425	-	145,000
Amer "Mohammad Kheir" Zaki Abu Laila	Chief Technology Officer	248,000	-	186,000	54,000	-	488,000
Khaled Abdel-Malek Mohamed Abdel-Malek	Chief Risk Officer	116,000	-	31,000	9,000	-	156,000
Tamer Wasef "Mohamed Moussa" Barakat	Chief Compliance Officer	92,000	-	23,250	6,750	-	122,000
Total		**2,508,350**	**-**	**928,838**	**269,663**	**-**	**3,706,851**

- The Bank has allocated JOD 4,500,000 in bonuses for all bank employees, including the Executive Management, for 2022, to be paid in 2023, according to the approval of the Board of Directors, upon completion of the performance evaluation.
- The bank also provides the following benefits to members of the Executive Management (full-time Chairman, CEO and Deputy CEO):

  1) Car, all-expense paid.

  2) Mobile phone line, including the device.
- No financial or non-financial remunerations were given to members of the Senior Executive Management except as indicated above.

Donations, grants and contribution to community service

This item is included within our Social Responsibility for 2022.

Compatibility of contracts with the bank's internal regulations, CBJ instructions, and Banking Law

All contracts and dealings concluded by the Bank with the Chairman of the Board, Board Members, General Manager, bank employees and their relatives are consistent with Bank's internal regulations, CBJ instructions and the Banking Law. Details of these contracts and dealings appear in Note No. 42 within the Bank's financial statements.

The bank's contribution to environmental protection and community service

This item is included within our Social Responsibility for 2022.

Additional information required by disclosure instructions

Names of major shareholders with equity exceeding 1%

Shareholder's Name	Nationality	No. of Shares as of 31/12/2022	Share Capital %	Ultimate Beneficiary	Number of Pledged Shares	Percentage of Pledged Shares of Total Contribution	Pledging Agency
Libyan Foreign Investment Co.	Libyan	32,413,763	20,26	**LIA LIBYAN INVESTMENT AUTHORITY & Libyan Government**	-	-	-
BANQUE BANORIENT FRANCE	French	14,635,967	9.14	**A branch of BLOM Bank A branch in France Shareholders in the management of BLOM BANK:** **- Bank of NY 34.37%** **- Rest Shareholders 26.68%** **- Banorabe S.A SPF 18.73%** **- Azhari Family (7.53%)** **- Shaker - Family (4.83%)** **- Saade Family 2.55%** **- Jaroudi Family 2.17%** **- Actionnaires- Unis 1.83%** **- Khoury Family 1.8%**	24,171,599	15.1	16,429,000
RS Finance	Cayman Islands	24,021,599	15.01	**Raja'i Salfiti Holding 100%** **-TRHS Holding 25% ownership (Tareq Rajai Salfiti) 100%** **-ZRS Holding 25% ownership (Zaid Rajai Salfiti)100%** **-FRS Holding 25% ownership (Faisal Rajai Salfiti)100%** **-DRS Holding 12.5% ownership (Dina Rajai Salfiti) 100%** **-SRHS Holding 12.5% ownership (Samia Farah issa Fraih)100%**	21,312,307	88.72	Housing Bank for Trade and Finance
Isam Halim Jaris Salfiti	Jordanian	15,057,886	9.41	**Himself**	8,127,223	53.97	Capital Bank Jordan
Social Security Corporation	Jordanian	17,645,358	11.02	**Itself**	-	-	-
Jordan Valley Livestock Development Company	Jordanian	1,776,768	1.11	**A Jordanian company with partners represented by:** **1- Sami Abdul Hadi Hammoudeh 20%** **2- Samir Abdel-Hadi Hammoudeh 20%** **3- Jordan Chemicals Company 20% (Sami 25%, Maher 25%, Samir 25%, and "Mohammed Nabil" Abdel-Hadi Hammoudeh 25%)** **4- Maher Abdel-Hadi Hammoudeh 20%** **5- "Muhammad Nabil" Abdel-Hadi Hammoudeh 20%**	-	-	-
Al Markazia for Trade and Vehicles	Jordanian	3,521,967	2.20	**A Jordanian company with partners who represent it as shown below:** **1- Ibrahim Emile Haddad (20%)** **2- Omar Moatasem Ismail Al-Belbeisi (7.5%)** **3- Tareq Moatasem Ismail Al-Belbisi (7.5%)** **4- Nabil Emile Haddad (20%)** **5- Nihad Emile Haddad (20%)** **6- George Emile Haddad (25%)**	-	-	-
Samia Suleiman Yousef Sukkar	Jordanian	3,004,125	1.88	**Herself**	-	-	-
Provident Fund for Bank al Etihad Employees	Jordanian	4,332,482	2.70	**Bank al Etihad Employees**	-	-	-
Samia Halim Jiryes Salfiti	Jordanian	1,887,763	1.17	**Herself**	-	-	-

Shareholder's Name	Nationality	No. of Shares as of 31/12/2022	Share Capital %	Ultimate Beneficiary	Number of Pledged Shares	Percentage of Pledged Shares of Total Contribution	Pledging Agency
Widad Ayoub Awadallah Al Khouri	Jordanian	4,472,300	2.79	**Herself**	-	-	-
Ramzi Raouf Jaris Salfiti	Jordanian	1,767,607	1.10	**Himself**			
Mermaid of the Ocean for Investments	Jordanian	6,449,981	4.03	**A Jordanian company with partners, represent it as shown below:** **1- Tariq Rajai Halim Salfiti (25%)** **2- Faisal Rajai Halim Salfiti (25%)** **3- Zaid Rajai Halim Salfiti (25%)** **4- Dina Rajai Halim Salfiti (12.50%)** **5- Samia Farah Issa Freih (12.50%)**			
Sound of the Canary Investment Company	Jordanian	3,719,158	2.32	**1- Isam Halim Salfiti 20%** **2- Nadim Essam Salfiti 20%** **3- Basem Isam Salfiti 20%** **4- Wassim Isam Salfiti 20%** **5- Samia Suleiman Sukkar, 20%**			

Direct and indirect credit facilities granted to members of the board and related parties

Name of Member/Group	Credit Facilities		Total
	Direct	Indirect	
Isam Halim Salfiti and Basem Isam Halim Salfiti Group:			
Abu Alanda Property Management Co	37,500	10,000	47,500
Ankaa Al-Maghrib Property Management Company	14,098,046	30,000	14,128,046
Motajer Amman Property Management Co	53,755	10,000	63,755
Basem Isam Halim Salfiti	246,809	-	246,809
Zaid Rajai Halim Salfiti, and Faisal Rajai Halim Salfiti	900,081	-	900,081
Tareq Rajai Halim Salfiti	106,957	-	106,957
Faisal Rajai Halim Salfiti	349,314	-	349,314
Zaid Rajai Halim Salfiti	669,850	-	669,850
Omar Bulus Youssef Al Zumot and Faisal Rajai Halim Salfiti and Osama Isam Jaber	-	1,914,300	1,914,300
Omar Osama Halim Salfiti	119	-	119
Jordan Hotel Tourism Company	788,860	-	788,860
Al Kasra for Trading Marketing Co	171,183	47,665	218,848
President Import and Export Company	-	2,375,150	2,375,150
Samia Farah Issa Freih	318,579	-	318,579
Etihad Marketing Company	2,983,061	53,849	3,036,910
Isam Halim Salfiti and Samia Suleiman Sukkar	11,877	-	111,877
Faisal Rajai Salfiti and Omar Bolos Al Zumot	430,138	-	430,138
Youssef Al Zumot Company and Omar Salfiti	498,585	-	498,585
"Mohammad Nabil" Hammoudeh Group:			
Al Shafaq Beauty Company	35,067	-	35,067
Jordan Poultry Processing and Marketing Co	14,354,824	255,000	14,609,824
Jordan Feed Company	211	-	211
Modern Paints & Chemical Industries Co	3,379,901	170,908	3,550,809
Qaser Al Halabat for Broiler Production & Marketing	4,763	-	4,763
Jordan Chemicals Company	1,378,383	3,000	1,381,383
Etihad Foodstuffs Trading Company	-	500	500
Shukri Yousef Saleh Abdelrahman	23,538	-	23,538
"Mohammed Nabil" Abdel Hadi Mohammed Hammoudeh	1,779,158	95,000	1,874,158
Al Nubala'a Water/Hani Shukri Yousef Abdel Rahman	1,286,412	-	1286,412
Nabila Abdel Hadi Mohammed Hammoudeh	10,475	-	10,475

Name of Member/Group	Credit Facilities		Total
	Direct	Indirect	
Hani Shukri Youssef Abdel Rahman	16,033	-	16,033
Sharif "Mohammed Nabil" Abdel Hadi Hammoudeh	68,586	-	68,586
Box Trading Company for Sports Equipment	456,719	-	456,719
Bashar Samir Abdel Hadi Hammoudeh and Nour Walid Abu Zer	2,232	-	2,232
Mughith Ghiath Sukhtian Group			
Central Gas Advanced Company	515,927	-	515,927
Mughith Ghiath Munir Sukhtian	103,794	5,000	108,794
Arabian Office Automation Co.	-	2,836,000	2,836,000
MS Pharma Jordan	2,332,555	161,792	2,494,347
United Pharmaceuticals LLC	4,790,111	85,028	4,875,139
Saramad Nimeh Abdullah Al Dulaimi	-	2,000	2,000
Jordan Media Education and Training Co	1,539	-	1,539
Sanadcom for SME Funding PSC	1,385,190	-	1,385,190
Imad Abdel-Khaleq Group			
Imad Abdel-Khaleq	44,491	-	44,491
Ali Mohammed Ali Abdel Khaleq	23,901	-	23,901
Libyan Foreign Investment Company			
Iskan Co. for Tourism & Hotel Investments	-	625,800	625,800
Jabra Raja Yaqoub Ghandour Group			
Raja Jabra "Raja Yaqoub" Ghandour	50	-	50
Jabra "Raja Yaqoub" Jabra Ghandour	1,128	-	1,128
Rula Raja Jabra Ghandour	17,993	-	17,993
Zeina Jabra "Raja Yaqoub" Ghandour	2,724	-	2,724

Remuneration policy

The Bank's annual salary increases and remuneration policy reflect its objective of ensuring internal fairness and equality, retaining and rewarding skilled staff members and executive management members for their exceptional performance, and recruiting the best talents and skills in the banking industry.

Annual bonuses and salary increases are paid to employees who were hired on or before the 30th of June of the evaluation year. The annual bonus and salary increase are determined proportionally by the hiring date of employees who have not been with the bank for a full year. If hired after the 30th of June, they are not eligible for an annual increase or bonus.

The percentage of the annual increase for employees (if any) is determined by the Bank's annual profits and performance compared to its estimated budget, inflation rate, employees' performance evaluation, salary surveys, and the results of the annual survey, which compares salary increases granted to employees in the banking sector. This percentage is approved by the Nominations and Remuneration Committee.

The annual bonus is based on employees' productivity, performance, achievement of goals, and interactions with colleagues and customers of the bank, the general principles established by the Nominations and Remuneration Committee for all employees according to the bank's performance, the market, and employees. The annual bonus may be a percentage of the monthly salary or a multiple of monthly salaries or lump sum amounts.

Annual salary increases and bonuses are granted after the completion of the annual performance appraisal process. Employees' performance is reviewed and evaluated at the end of each year, and the increases or modifications are effective as of April or as approved by senior management.

In addition, performance-based remunerations are awarded executive management team members (including the CEO) in the form of deferred bonuses. This is carried out in accordance with the provisions of corporate governance relating to the financial remunerations for executives.

Recruitment policy

- The Bank's approved organisational structure, plans, and budget, as approved by the Board of Directors, shall serve as the basis for all employee appointments. No employee shall be appointed outside of this framework. This determines the number of personnel in each department and the vacancies and credentials required to fill them. Necessary approvals must be obtained if exceptions are to be made.
- The Jordanian Labour Law, the Banking Law, and the provisions of the Bank al Etihad Employee Regulations (and any amendments thereto) must be adhered to in respect to appointment procedures.
- The instructions of corporate governance of banks (and any amendments thereto) must be adhered to in recruitment, resignation, and replacement.
- Upon the appointment of any staff member at the Bank, the Human Resources Department's Recruitment Section must adhere to the following:
  - Candidates must be Jordanian nationals and must successfully pass all stages of recruitment, including the Bank's prescribed admissions exam and personal interviews, according to the position and rank thereof.
  - If the Bank wishes to hire a candidate who is not Jordanian, they must fulfil the requirements of the relevant labour laws and the Central Bank and obtain approval from the Ministry of Labour.
  - Candidates must be at least 18 years of age.
  - To ensure that the employee has not been convicted of a felony or misdemeanour involving moral turpitude and is of good reputation, character, and conduct.
  - To ensure the employee is in good physical condition based on a bank-approved medical evaluation.
  - Candidates must hold a university degree from a university recognised by the Ministry of Higher Education and Scientific Research, apart from some unclassified jobs where Tawjihi and Diploma holders can be appointed.
  - The candidate's advancement through different stages of the hiring process, which includes scheduled entrance exams and individual interviews, depends on the specific position and its corresponding level.
  - According to the terms of the Jordanian Labour Law, new employees are subject to a probationary period. During this period, the employee's performance is assessed and appraised by their seniors based on the predetermined and approved criteria for the position to determine whether to continue their employment.
  - Ensuring that the bank's policy on the appointment of relatives in the Bank is activated.
  - Adopting the best modern methods in attracting and recruiting qualified and experienced candidates.

Customer Complaints Unit

Customer complaints are valuable to us as they provide an opportunity to enhance our level of service. While we are committed to resolving customers' issues effectively, we believe that there is more to be done beyond simply solving the immediate problem. At Bank al Etihad, we strive to maintain a high level of customer complaint handling as one of our primary objectives. This involves educating complainants about banking policies and regulations, so they know their rights when filing a complaint and guiding them through the procedures to ensure a smooth and prompt response.

In line with the CBJ's instructions on dealing with customers fairly and transparently, No. 56/2012, issued on 31/10/2012, a unit of qualified staff was established to manage and handle customer complaints through automated systems. The unit reports to the Compliance Department.

The responsibility of following up on customer complaints rests with the unit's employees. Once an employee receives a complaint, they must listen carefully to the customer, contribute effectively and accurately to help them resolve their complaint and explain the bank's point of view to reach a satisfactory solution. The main tasks of the customer complaints unit are:

1. Receiving and analysing customer complaints, documenting them on the complaints system/electronic record, and following up with them.
2. Responding to customer complaints within the specified time frame.
3. Preparing reports on customer complaints, including compiled statistics of the number of complaints raised and the actions taken in response, a qualitative analysis of the nature of the complaints, and an action plan to prevent and limit their recurrence and submit them to the appropriate authorities.
4. Providing monthly reports to the senior management of the bank and the directors of the relevant divisions.
5. Submitting «quarterly» reports to the Central Bank of Jordan. These reports shall include, at a minimum, the aggregate number of filed complaints and the corresponding actions taken. Additionally, the reports shall provide a qualitative analysis of the nature of filed complaints.

6. Implementing a mechanism for managing and handling customer complaints, approving and circulating them to all bank employees.
7. Providing several avenues through which the customer can lodge a complaint, such as:
   - Phone No. +(962) 6 5600444
   - Email customerscomplaint@bankaletihad.com
   - Fax +(962) 6 562 4231
   - Standard mail Customer Complaints Management Unit - General Administration, P.O. Box: 35104, Postal Code: 11180, Amman - Jordan
   - Visiting a branch in person
   - Complaint boxes in the branches

The following data shows the number of customer complaints received through different channels during the year 2022:

Category	Total Number of Complaints
Contracts and Terms of Work	141
Professional Behaviour	202
Work Environment	67
Electronic Services	55
Transfers	14
Payment Cards	32
Commissions and Fees	24
Credit Inquiry	4
Interest/Return Rates	22
Guarantees and Guarantors	1
Account Category	19
Marketing of Services and Products	1
Fraud	1
Total	**583**

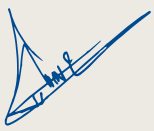
These complaints were dealt with within the following framework:

- Providing complaint reference numbers and furnishing them to customers for tracking purposes.
- Studying and analyzing complaints and responding to them within the specified timeframe according to the categorization and nature of the complaints.
- Recommending proposed measures to mitigate the recurrence of these complaints in the future, including:
  - Modifying work procedures if necessary.
  - Implementing corrective actions.
  - Adjusting the infrastructure of electronic services.
  - Training employees.
  - Sending circulars to the relevant service departments within the bank.

Endorsement by the Board of Directors

The Board of Directors of Bank al Etihad assumes responsibility for ensuring the accuracy and adequacy of the financial statements and providing effective and adequate internal control. Additionally, the Chairman of the Board, the Chief Executive Officer and the Chief Financial Officer confirm the correctness, accuracy and completeness of the information and data in the annual report.

The Chairman of the Board, the Chief Executive Officer, and the Chief Financial Officer also guarantee that the information and statistics contained in the annual report are correct, accurate, and complete.

Name	Position	Signature
Isam Halim Jaris Salfiti	Chairman	
Basim Isam Halim Salfiti	Deputy Chairman	
Social Security Corporation Jalal Anwar Moussa Al Ajlouni	Board Member	
“Mohammed Nabil” Abdel Hadi Mohammed Hammoudeh	Board Member	
Riad Abed Al Muhsen Taher Al Dajani	Board Member	
Mughith Ghiath Munir Sukhtian	Board Member	
Libyan Foreign Investment Company Moussa Al Hassan Atiq Ali Mohammed Al Tabanni Ali Al Ajdel	Board Member	
Emad Mohammed Ali Abed Al Khaleq	Board Member	
Rana Jameel Saeed Abadi	Board Member	
Jabra “Raja Yaqoub” Jabra Ghandour	Board Member	
Nadia Hilmi Hafez Al Saeed	CEO	
Zaid Eyad Akram Kamal	CFO	

Corporate governance manual

Part One: introduction

The Board of Directors at Bank al Etihad has adopted the Corporate Governance Manual as a representation of the bank's commitment to the principles of safety and security in the banking sector. The manual aims to increase the confidence of depositors and investors in the bank, both of which have a positive effect on the stability of the bank and the success of our long-term growth strategies.

This manual was developed in accordance with the Central Bank of Jordan's corporate governance instructions issued on 23/8/2007, as well as the instructions of corporate governance for banks No. 58/2014 issued on 30/9/2014 and its amendments, including issue No. 63/2016 dated 1/9/2016 and the amendments made thereon on 25/9/2016. The manual is also in compliance with other relevant laws and international best practices for corporate governance.

This manual is based on the following four guiding principles:

- The fair treatment of stakeholders (including shareholders, depositors, creditors, employees, and regulatory authorities).
- Transparency and disclosure, whereby all financial, regulatory, and administrative information that enables depositors and shareholders to evaluate the bank's performance are disclosed, whereby the disclosure policy endorsed by the bank is fully adhered to.
- Accountability in the relationships between the Bank's executive management and the board of directors, as well as between the board of directors and shareholders and other relevant stakeholders.
- Responsibility in terms of a distinct division of responsibilities and the delegation of authority through the bank's endorsed policies and procedures.

This Manual has been adopted by the Board of Directors and is updated annually by the Corporate Governance Committee to reflect the latest internal and external developments.

The Board of Directors, through the Corporate Governance Committee, will ensure the implementation of all provisions contained in this Manual.

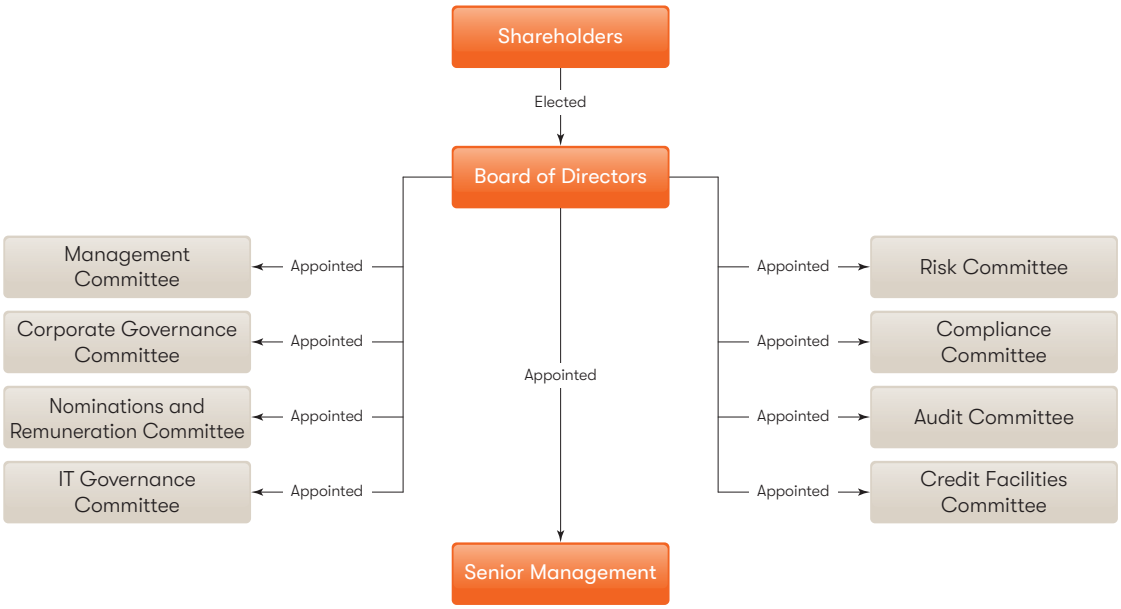
This Manual is published in the Bank's annual report and on its website. The extent to which the bank is dedicated to executing all sections of the Manual is detailed in the annual report, and any shareholder may request a copy of the guide.

At Bank al Etihad, we believe that the principles of corporate governance should be applied creatively, beyond simply complying with rules and regulations, and also includes:

- Regulating the relationship between all concerned parties in the bank.
- Ensuring the application of an organisational structure that guarantees efficiency, accountability, responsibility, and internal control.
- Building an institutional, corporate culture that believes in the objectives of the institution and enhances the foundations of responsibility, efficiency, and effectiveness.
- Providing a sound and efficient foundation for developing and activating the role of internal control, auditing, risk management and compliance.

Part two: corporate governance structure

Bank al Etihad is managed under the directives of the Board of Directors, which, in turn, allocates management duties to the Bank's staff and executives under the supervision and direction of the Chief Executive Officer. This Manual outlines the Board of Directors' composition, responsibilities and relationship with the Executive Management, employees, and minority shareholders.



Part three: composition of the board of directors

- The Board of Directors consists of 11 members.
- The Board will appoint a Chairman from among its members.
- The Nominations and Remunerations Committee shall name members of the Board, considering the competencies and credentials of the nominees as well as their past performance as Board Members.
- The Board's term of office shall be four years from the date of its election, and each member shall be eligible to run for re-election at the Bank's Annual General Assembly Meeting.
- The positions of Chairman of the Board (Chairman) and Chief Executive Officer (CEO) shall be separate, provided there is no relationship between the Chairman and the CEO that is less than fourth degree, and the separation of responsibilities shall be in accordance with written instructions approved by the Board and shall be reviewed whenever necessary.
- Consideration should be given to selecting a CEO with the highest levels of technical and professional knowledge, as well as integrity, honesty, and decision-making skills.
- Diversity in practical experience and specialised skills is considered in the formation of the Board, provided that all members of the Board are non-executive members.
- The number of independent members of the Board shall not be less than four.
- The position of Chairman of the Board shall be a non-executive position.

An independent member is a member (whether in his/her personal capacity or as a representative of a legal entity) who has no relationship with the Bank other than his/her membership on the Board of Directors and whose judgement on matters is not influenced by any internal or external considerations or matters that limit his/her ability to make objective decisions in favour of the Bank. The following requirements must be met by an independent Board Member:

1. To have extensive qualifications or expertise in finance or banking.
2. The member or any of his/her relatives of the first kin does not have a direct or indirect stake in contracts, projects, or engagements made with the Bank or any of its affiliates or subsidiaries that are equal to or greater than JOD 50,000.
3. Has not occupied the position of Board Member of the Bank or any of its subsidiaries or the position of management Board Member therein for more than eight consecutive years.
4. That neither him/her nor any company in which he/she is a Board Member, owner, or major shareholder has received

any credit by the Bank exceeding 5% of the Bank's subscribed share capital and is not a guarantor of a credit exceeding the same rate.

5. That he/she is not a major shareholder in the bank, or a representative of a major shareholder; or an affiliate of a major shareholder in the bank; or that his/her shareholding combined with an affiliate equals the amount of a major shareholder's shareholding; or a major shareholder in one of the Bank's subsidiaries or affiliates; or a major shareholder in the group that owns the Bank.
6. That he/she is not related to any other member of the Board, any member of the boards of directors of the Bank's subsidiaries, or any of the Bank's major shareholders by a relationship up to the second degree.
7. The member or any of his/her relatives (up to the second degree) must not be or have been a member of the board of directors or in senior executive management of the Bank or any affiliate or subsidiary company in the three years preceding his/her election.
8. The member must not be or have been employed by the Bank or any affiliate or subsidiary company in the three years preceding the date of his election.
9. That the member is not a first-degree family of the Bank's external auditor, and that the member or one of his/her relatives (first-degree) is not a partner or employee of the Bank's external auditor, and that he has not been a partner or employee in the three years preceding the date of his election.

Part four: qualifications and responsibilities of board members

In addition to the standards stipulated in the Corporate Governance Manual members of the Board of Directors, must meet the following conditions to ensure the Board's effectiveness in performing its duties.

First: personal qualities

1. Independent in judging matters and making sound decisions.
2. Integrity and objectivity.
3. Credibility and honesty.
4. Transparency.
5. Avoiding conflicts of interest or taking advantage of the position and information made accessible to him/her as a member of the Board.
6. Leadership skills.

Second: technical qualifications and experience

1. The ability to understand and evaluate the Bank's financial performance by reviewing the various reports and financial statements.
2. Academic qualifications and/or practical experience in accounting, finance, and banking.
3. Adequate understanding and knowledge of banking operations and related risks.
4. Familiarity with the laws, legislation, and instructions that the Bank must comply with.
5. Full knowledge of the regulations issued by the Central Bank of Jordan and any concerned supervisory authorities, including ongoing amendments and additions.
6. Reviewing and following up on emerging issues in the financial services sector.
7. Familiarity with the Bank's business and reviewing any amendments or additions that may affect it, including the requirements for appointment to senior executive management positions at the Bank.
8. The ability to deal with and manage short-and long-term crises.
9. The ability to plan strategically and have a clear future vision.

Third: duties and responsibilities

1. Attend all meetings of the Board of Directors in person, and prepare in advance for them, fulfilling all the responsibilities required of a member of the Board of Directors. If personal attendance is not possible, a member of the Board can attend the meeting through video or phone conference after the approval of the Chairman of the Board and has the right to vote or sign the minutes of the meeting. Approval of the minutes and quorum are subject to the Chairman of the Council and the Secretary.
2. Commitment to membership in the required Board committees and attend their meetings.
3. Attend the General Assembly meetings.
4. Obtain all the required information to ensure that all decisions are made in the best interests of the bank.
5. Seek objective advice from external parties when necessary.
6. Prioritise the interest of the Bank in all transactions that take place with any other company in which it has a personal interest and avoid exploiting the Bank's business opportunities for his/her own benefit while avoiding conflict of interest and disclosing to the Board, in detail, any conflict of interest if any.
7. Disclose in writing and on a regular basis of any personal interest in any dealing or contract with the bank for themselves, their spouse, or relatives up to the second degree, or for companies in which they have an influential interest. Members must not participate in any meeting in which that dealing or contract is discussed, therefore abstaining from voting on any decisions that could involve a conflict of interest. This disclosure must be recorded in the Board's meeting minutes.
8. Not to disclose confidential information related to the Bank or use it for his/her own benefit or for the benefit of others.
9. Evaluate the extent to which the other activities of Board Members affect their independence as members of the Bank's Board of Directors.
10. Board members shall not influence the decisions of the Executive Management in any way except through deliberations that take place in the meetings of the Board or Board Committees.
11. Devote sufficient time and effort to the Bank.
12. Constant review of developments in the banking field, both locally and globally.
13. Each member shall allocate sufficient time to carry out his/her duties as a member of the Board of Directors.
14. To be familiar with the laws and principles governing the banking industry and the operating environment of the bank, as well as keeping abreast of internal and external developments pertaining to its business, including the qualifications for appointment to the positions of senior executive management at the Bank.

Part 5: Board of Directors' responsibilities

General framework

1. The Board shall oversee and follow up on the performance of the Executive Management and ensure the integrity, financial position, and solvency of the Bank. It shall adopt appropriate policies and procedures to oversee and monitor the performance of the Bank.
2. The Board is responsible for establishing the Bank's corporate values and principles, clear lines of duty and accountability for all Bank activities, and fostering a culture of high ethical standards, integrity, and professional conduct among Bank administrators.
3. The Board shall be fully responsible for the management of the Bank and the soundness, efficiency, and profitability of its various operations. It shall also be responsible for fulfilling the requirements of the CBJ and other regulatory authorities in relation to its business, keeping in mind the interests of shareholders, depositors, creditors, and employees.
4. The Board shall provide the Chief Executive Officer and Executive Management the authority required to carry out such responsibility effectively and accomplish the Bank's strategic objectives.
5. The Board shall ensure that the Bank is managed responsibly and in accordance with the applicable laws and regulations and the Bank's internal policies. The Board shall also be responsible for monitoring the actions of the Executive Management to ensure effective control over the daily operations of the Bank, including outsourced operations.
6. Each Board member must be committed in principle to the Bank and its shareholders and not to any individual shareholder.
7. The Board shall ensure that no member of the Board of Directors, Executive Management, or any of the Bank's employees derive a personal benefit at the expense of the Bank's interests.
8. The Board shall determine the banking operations that require its approval, so long as its supervisory role is not compromised and does not delegate executive responsibilities, such as the power to grant credit to a single member of the Board, including the Chairman of the Board.

9. The Board shall verify that the Bank's credit policy includes an assessment of the quality of corporate governance for its corporate clients, particularly public shareholding companies so that risks are evaluated for clients based on their weaknesses and strengths based on their corporate governance practices.
10. The Board shall guarantee that the Bank adopts appropriate social responsibility initiatives in the areas of environmental preservation, health, and education and shall consider the provision of finance to small and medium-sized businesses at reasonable rates and terms.

Regarding risk management and regulatory requirements

1. The Board shall adopt and oversee a risk management strategy and monitor its implementation to ensure the Bank is not exposed to high risks. The Board must be familiar with the Bank's operational work environment and its high risks. It must make sure that the Bank has risk management tools and infrastructure capable of identifying, measuring, controlling, and monitoring all types of risks to which the bank is exposed.
2. Ensure that the Bank complies with all legislative laws issued by governmental and regulatory bodies in all its activities, and that all bank personnel at all administrative levels comply with them.
3. Ensure the accuracy of the information submitted to the regulatory authority through the various board committees.
4. Ensure that all the bank's risks are effectively managed, and that the Board regularly reviews the qualitative and quantitative risk reports and statistics.
5. Ensure the regular rotation of the external auditor offices at least every seven years from the election date. In the first year after rotation, the new auditor shall work jointly with the old one. The old auditor may not be re-elected before the passage of at least two years from the date of its last election, not including the joint audit assignment.
6. Ensure that the Bank discloses information in accordance with International Financial Reporting Standards (IFRS) and International Accounting Standards (IAS), as well as the Central Bank of Jordan's current directives issued in compliance with the applicable Banking Law and the relevant statutes.
7. Ensure that all revisions to the International Financial Reporting Standards are fully implemented (IFRS).
8. Ensure that the bank is aware of changes in international financial reporting practices and the scope of transparency required of financial institutions.

Regarding appointments and succession

1. The Board of Directors, based on the recommendation of the competent committee, shall appoint a CEO who possesses integrity, technical competence, and banking experience. The Board shall also accept the resignation or termination of the services of the CEO upon obtaining the Central Bank of Jordan's Letter of No Objection regarding the resignation or termination of services.
2. The appointed CEO must not be a relative of the Chairman of the Board of Directors, up to the fourth kin.
3. The Board shall approve the appointment of executive managers and ensure they have the required expertise.
4. Based on the recommendation of the relevant committee, the Board shall appoint the Audit Manager, Risk Management Manager, and Compliance Manager, as well as accept their resignations or terminate their services. A no-objection must be obtained by the Central Bank of Jordan for the resignation or termination of any of their services.
5. The Board must approve the Executive Management's succession plans, whereby it includes the required qualifications and requirements that must be met for such positions.
6. Ensure the independence and objectivity of the Internal Audit Department. It shall also ensure that the Department is always staffed with qualified employees well-positioned in the Bank's organisational structure.

Regarding self-assessment and the CEO's performance evaluation

1. Through the Nominations and Remuneration Committee, the Board must evaluate the performance of the Board as a whole at least once a year.
2. The Nominations and Remuneration Committee reviews and evaluates the performance of each member of the Board of Directors on an annual basis.
3. The performance of the CEO shall be evaluated annually by the Board.
4. The Board shall adopt a policy to monitor and review the performance of the executive management by setting key performance indicators (KPIs) to identify, measure and monitor performance and progress towards achieving organisational goals.

Regarding planning, code of conduct and conflict of interest

1. The Board shall determine the Bank's strategic objectives, and direct the executive management to develop, implement, and evaluate a strategy to reach these objectives.
2. The Executive Management shall establish the necessary business plans to implement the Bank's strategy through a process incorporating the input of all Bank departments. Budget estimates are also developed as part of the process of short-term planning and performance evaluation.
3. Quarterly reports shall be submitted to the Board, describing achievements, necessary revisions of plans, estimate budgets, and corrective measures applied where needed. Such revisions shall be used as the basis for assessing the performance of the Executive Management.
4. The Board is responsible for ensuring that the bank operates at the highest standard of integrity in the conduct of its business. To that end, it has established policies and a code of conduct that defines conflicts of interest and prohibits employees from engaging in transactions that benefit their own interests based on inside information about the Bank acquired as a result of the authorities granted to them.
5. The Board shall adopt a disclosure policy covering all matters required to be revealed to the public through the Bank's annual report, the press, the Bank's website, etc.
6. The Board shall take adequate measures to ensure a clear separation of powers between influential shareholders and the Executive Management to strengthen good corporate governance while establishing mechanisms to limit the influences of shareholders possessing influential interest through the following but not limited to:
   - Shareholders with an influential interest cannot occupy any senior executive management position.
   - The Executive Management shall derive its authority only from the Board and operate within the parameters of the mandate assigned by the Board.

Control and oversight systems

- In the field of control and oversight systems, the Board of Directors adopts policies, procedures, instructions, and internal systems for the bank, including defining authorities, tasks, and means of communication between all management levels, ensuring administrative and financial control over the bank's operations.
- The Board ensures the provision of comprehensive work policies, plans, and procedures within the bank that are in line with relevant legislations and have been disseminated to all management levels and are regularly reviewed.
- The Board ensures the existence of procedures that guarantee the continuous review of these policies and procedures to ensure their coverage of any amendments or changes that have occurred in laws, instructions, economic conditions, or any other matters related to the bank.
- The Board adopts the bank's internal control and oversight systems and reviews them annually, ensuring that both the internal and external auditors review the structure of these systems at least once a year.
- The Board takes appropriate measures to address weaknesses in internal control and oversight systems or any other issues highlighted by the external auditor.
- The Board ensures the independence of the external auditor, both initially and continuously.
- The Board ensures the presence of sufficient and reliable Management Information Systems (MIS) that cover all bank activities.
- The Board verifies the commitment of the bank's management and employees to the approved policies and procedures through various reports submitted to it.
- The necessary measures are taken to enhance the effectiveness of internal auditing by prioritising the auditing process and ensuring its establishment in the bank, as well as monitoring the correction of audit findings.

Part 6: Responsibilities of the bank's Board Chairman

1. Establishing a constructive relationship between the Board and the bank's executive management.
2. Creating a culture during Board meetings that encourages constructive criticism about issues being discussed and those on which there is disagreement among members, as well as promoting discussions and voting on such issues.
3. Ensuring that sufficient information reaches both the Board members and shareholders in a timely manner.
4. Providing each newly-elected member of the Board with a comprehensive summary of the bank's activities upon appointment or request.
5. Providing each member of the Board with relevant laws related to banking operations, Central Bank instructions regarding the work of the Board, including the institutional governance instructions for banks, along with a booklet

detailing the member's rights, responsibilities, duties, the duties of the Board Secretary, and the availability of independent specialised technical advice when necessary.

6. Engaging with any new member, with the assistance of the bank's legal advisor, regarding the responsibilities and roles of the Board, especially those related to legal and regulatory requirements, to clarify the functions, authorities, and other matters concerning membership, including the term of membership, meeting dates, committee duties, reward value, and the possibility of obtaining independent technical consultation if required.
7. Addressing the needs of any new Board member in terms of enhancing their expertise and continuous learning and allowing the new member to attend an orientation program, considering the member's banking background. This program should cover, at a minimum, the following topics:
   - Bank's organisational structure and institutional governance.
   - Institutional objectives and the bank's strategic plan and approved policies.
   - Bank's financial status.
   - Bank's risk structure and risk management framework.
8. Ensuring the existence of a charter that regulates and defines the Board's work.
9. Discussing strategic and important issues in Board meetings in detail.
10. Ensuring the presence of high standards of institutional control in the bank.
11. Scheduling Board meetings and committee meetings to ensure compliance with the instructions in this guide and the efficiency of committee work.
12. Ensuring that all Board members receive minutes of previous meetings, sign them, and receive an agenda for any meeting well in advance of its convening, including written information about the topics to be discussed in the meeting. The agenda should be delivered by the Board Secretary, and the Board Chairman should verify this.
13. The Chairman of the Board should invite the Central Bank to attend General Assembly meetings well in advance to ensure sufficient time for representation.
14. The Chairman of the Board should provide the Central Bank with minutes of General Assembly meetings within no more than five days from the date of approval by the Chief Inspector or his representative on the minutes of the meeting.

Part 7: Organising the Board's work

1. The Board meets at least six times a year.
2. In order to ensure comprehensive coverage of the topics discussed in Board meetings, the executive management initiates the inclusion of important issues on the agenda of each meeting.
3. The upper executive management is responsible for providing the Board members with the meeting agenda items, comprehensive and accurate information about the issues listed on the meeting agenda at least one week before the Board meeting, to enable them to make appropriate decisions. The Board Chairman should verify this.
4. Board members are required to maintain ongoing awareness of developments within the bank and the local and international banking sectors. The bank should provide members with an appropriate summary of the bank's activities and significant developments in the banking sector on a regular basis and as needed.
5. Board members and their committees have the authority to communicate directly with the executive management and the Board Secretary whenever necessary.
6. Board members and their committees have the authority, when necessary, to seek external sources of assistance to help them perform their assigned tasks effectively, coordinated with the Chairman of the Board.
7. Minutes of the Board and its committees are recorded in official minutes, accurately and comprehensively detailing the work performed by the Board, the decisions made by it, and those made by the committees, serving as legal evidence of the procedures carried out by the Board and its committees. The minutes should also record any voting processes during the meetings and document any reservations raised by any member. Attachments and references to any documents or documents referred to during the meetings should also be included. The bank should appropriately store all these minutes.

Part 8: Board secretary

1. The decision to appoint or remove the Board's secretary shall be made unanimously by the Board.
2. When appointing the Board's Secretary, he or she must be selected from among the Bank's employees who is known for their accuracy and high level of commitment to their work.
3. The Board shall establish, in writing and formally, the duties and obligations of the Board Secretary in accordance with the guidelines set forth in this Manual.
4. The responsibilities of the Board's Secretary shall include at least the following:
   - Provide each newly elected Board Member, upon election, with a letter that clearly outlines the member's rights, responsibilities, and duties.
   - Ensure that Board members follow the procedures determined by the Board, and that information is passed between Board members, Board Committees, and the Executive Management.
   - Attend all Board Meetings and record all deliberations, recommendations, objections, and reservations, as well as how to vote on the Board's draft resolutions.
   - Ensure that the Board members sign the minutes of meetings and decisions.
   - Follow up on the implementation of Board resolutions and points of discussion postponed at previous meetings.
   - Determine the dates of the Board's meetings, in coordination with the Chairman, and write up the minutes of the meetings as specified above.
   - Prepare the Board meeting agenda and distribute all necessary information and documents to members well in advance of the meeting date.
   - Keep all records and documents of Board meetings.
   - Take the necessary steps to ensure that the draft resolutions that the Board intends to issue are in accordance with the law.
   - Prepare for General Assembly meetings and collaborate with Board Committees.
   - Provide the Central Bank with a copy of the declaration of suitability signed by each Board member.
   - Facilitate Board Members access to all necessary information.
   - Manage the relationship with shareholders and ensure they have easy access to all the necessary information to be able to follow up and evaluate the Bank's activities.

Part 9: relationship with shareholders

1. The Bank shall take the necessary measures to ensure ongoing and effective communication with shareholders through the relevant department.
2. The Bank will setup a department focused on handling shareholder relations to ensure efficient flow of communication and to provide them with information through the Bank's website and other communication channels.
3. All necessary information shall be disclosed to the shareholders and grant them access to such information.
4. The Bank shall take steps to encourage shareholders, particularly minority shareholders, to attend the General Assembly's annual meeting and vote in person or in their absence by proxy.
5. Representatives of the external auditors are required to attend the annual General Assembly meeting to respond to any questions regarding the audit and auditor's report.
6. Each topic raised during the General Assembly's annual meeting will be voted on separately.
7. Board members as well as the external auditor shall be elected or re-elected during the annual General Assembly meeting.
8. A report shall be prepared to notify the shareholders of the decisions made during the annual General Assembly, including the voting results, shareholders' inquiries, and the Executive Management's responses thereto.

Part 10: Suitability

It is the duty of the Board and the Nominations and Remuneration Committee to ensure that the Board members and the Senior Executive Management exhibit the highest level of credibility, integrity, competence, necessary expertise, and the capacity to commit and devote time to the work of the Bank.

Suitability of Board Members

1. The Board shall adopt an effective policy to ensure the suitability of Board Members, provided that such policy shall comprise the minimum criteria, requirements, and conditions that the candidate or elected member must meet. The Board shall revise the policy as required and set-up sufficient procedures and regulations to make sure that all members satisfy the suitability criteria at all times. A copy of such policy shall be provided to the Central Bank provided it shall be approved by the Board of Directors.
2. The Chairman and every Board Member must meet the following conditions:
   - Must be at least 25 years old.
   - May not be a Board Member, General Manager, Regional Manager, or an employee of any other bank inside the Kingdom, unless such bank is a subsidiary of the Bank.
   - May not be a lawyer, legal advisor, or auditor of the Bank.
   - Must at least have a bachelor's degree in economics, Finance, Accounting, Business Administration, or any similar specialisation. The Nominations and Remuneration Committee may consider adding other specialisations if they are associated with an experience related to banking.
   - Cannot be a government employee or an employee of any public institution unless he/she is a representative thereof.
   - Neither the Board Member nor the representative thereof is a member or representing a member in the Board of another similar or competitor bank and is not a member of the Board of directors of more than five public shareholding companies inside the Kingdom in his/her personal capacity in some and as a representative of a legal person in others.
   - Must have at least five years of experience in banking, finance, or similar fields.
   - Must be of good conduct and reputation.
3. Every member of the Board, including the Chairman, is required to sign a declaration of sustainability prescribed by the Governance Instructions for Banks No. (63/2016) and submit a copy of it to the Central Bank together with each member's resume.
4. The Chairman of the Board is responsible for notifying the Central Bank of any material information that may negatively affect the suitability of any of its members.

Suitability of members of the Senior Executive Management

1. The Board shall establish a policy to ensure the suitability of the Bank's Senior Executive Management, provided that this policy specifies the minimum standards, requirements, and conditions that a member of the Senior Executive Management must meet. The Board shall evaluate this policy on a regular basis and implement adequate procedures and systems to guarantee that it is followed. All members of the senior executive management are subject to and continue to benefit from adequacy standards. Once approved by the Board of Directors, a copy of this policy must be sent to the Central Bank.
2. The Board shall appoint a General Manager who demonstrates integrity, technical competence, and banking experience, and has obtained a prior No Objection letter from the Central Bank prior to his or her appointment.
3. Obtaining the approval of the Board when appointing or accepting the resignation or termination of the services of any of the senior executive management members.
4. The Board shall adopt and review a Succession Plan for members of the bank's senior executive management at least once a year.
5. The Board shall inform the Central Bank of any material information that may adversely affect the suitability of any member of the senior executive management.

6. Members appointed to the senior executive management must meet the following requirements:
   - Must not be a member of the board at any other bank inside the Kingdom unless such bank is an affiliate bank.
   - Must be dedicated full-time to managing the Bank's business.
   - Has a minimum of a bachelor's degree in economics, finance, accounting, business administration, or similar specialisations that are banking related.
   - Must have a minimum of 5 years' experience in the field of banking or related business, except for the General Manager or Regional Manager, whose experience in the field of banking business should not be less than ten years.
   - Must be of good conduct and reputation.
   - The appointment of the member shall not constitute a conflict of interest arising out of a relationship with the Chairman of the Board of Directors or any member thereof or with any major shareholder, including a relation up to the third kin in the case of the General Manager and up to the first kin in the case of holders of senior posts.
7. The Bank must obtain a no-objection letter from the Central Bank before appointing any member of the Senior Executive Management. Therefore, prior to appointing any member of the Senior Executive Management, whether it is an appointment/promotion/transfer (including temporary assignment), the Bank must obtain from the candidate an attached CV with supporting documents such as academic certificates, experience certificates, certificates of good conduct and any other necessary documents, as well as sign the required declaration and provide the Central Bank with a copy of the declaration along with the CV.

Part Eleven: performance evaluation of executive officers

1. The Board will create an evaluation process for itself and its members that incorporates the following requirements as a minimum:
   - Setting specific goals and defining the role of the Board in achieving these goals in a measurable manner.
   - Determine and use the key performance indicators (KPIs) that can be derived from the strategic plans and objectives to measure the performance of the Board.
   - Communication between the Board and shareholders and the frequency of this communication.
   - Schedule regular Board meetings with Senior Executive Management.
   - The role of a Board member in Board meetings, including an evaluation of their performance in comparison to other members. Feedback shall be obtained from the concerned Board Member to improve the evaluation process.
2. The Board shall evaluate the General Manager's performance annually in accordance with an evaluation system developed by the Nominations and Remuneration Committee, which includes the development of key performance indicators (KPIS), whereby the General Manager's performance evaluation criteria include the Bank's financial and administrative performance, as well as the extent to which he or she achieves the Bank's medium and long-term goals and strategies. The committee reports the results of this evaluation to the Central Bank.
3. The Board will create a system that measures the performance of Executive Officers other than Board members and the General Manager. This system shall, at minimum, meet the following:
   - To give appropriate weighted average to measure the commitment performance with the risk management framework and implementation of internal controls and regulatory requirements.
   - Total income or profit should not be the only element for measuring the performance of Executive Officers; rather, other elements must be considered, such as the risks associated with the main operations, customer satisfaction, and others where applicable.
   - Not to take advantage of influence and conflict of interest.

Part Twelve: remuneration of executive officers

1. Based on the evaluation system adopted by the Board, the Board shall setup procedures to determine the remuneration of its members.
2. The Bank's Nominations and Remuneration Committee shall establish an objective and transparent policy for granting remunerations, benefits, incentives, and salaries at the Bank, including those of executive management.
3. The Central Bank shall be provided with a copy thereof within seven working days from the date of its approval thereof by the Board. The said policy shall be reviewed on an annual basis.
4. The remunerations policy shall meet the following requirements:
   - To be structured to recruit and retain qualified and experienced executives and to motivate them and promote their performance.
   - To be designed in a manner that ensures that it is not used in a way that may affect the Bank's solvency and reputation.
   - To take into consideration the risks, liquidity position, profits, and their timing.
   - To ensure that remuneration is not only based on the performance of the current year, but also on his/her performance over the medium-and long-term performance (3-5 year).
   - To reflect the Bank's objectives, values, and strategy.
   - Remuneration shall be rewarded in the form of fees, salaries, allowances, bonuses, share options or any other form of advantages.
   - To allow for the possibility of delaying the payment of a reasonable portion of remuneration such that the amount and the length of the delay are decided based on the tasks' inherent risks and the concerned executive officer's current activity.
   - No remuneration shall be granted to the Executives of Supervisory Departments (Risk Management, Audit, Compliance, etc.) based on the performance of the departments which they supervise.

Part Thirteen: conflict of interest

1. Executive officers shall avoid conflicts of interest.
2. The Board shall adopt policies and procedures for dealings for related-party transactions, whereby they include the definition of these parties taking into consideration the legislation, terms of transactions, approval procedures and the method of monitoring these transactions so that such policies and procedures shall not be exceeded.
3. The supervisory departments in the Bank must ensure that the transactions of stakeholders have taken place in accordance with the approved policy and procedures. The Audit Committee must review and monitor all transactions of stakeholders and inform the Board of these transactions.
4. The Board must ensure that the senior executive management implements the approved policies and procedures.
5. The Board must implement restrictions on the flow of information between departments to prevent exploitation for personal benefits.
6. The Board must adopt policies and a professional code of conduct and circulate them to all executive officers, which shall include the following at minimum:
   - Not to use any of the executive officer's internal information in the bank for their personal interest.
   - Rules and procedures regulating related-party transactions.
   - Cases where conflict of interest may arise.
7. The Board shall guarantee that the executive management operates with the highest level of integrity and avoids conflicts of interest in the course of its duties.

Part Fourteen: general provisions

1. When appointing members of the Board's committees, the principle of transparency must be adhered to. The names of these committee members and a synopsis of their duties and responsibilities shall be provided in the Bank's Annual Report.
2. Some committees may be merged, when necessary, provided that the merger does not impact the committees' responsibilities, and provided that the work of any committee does not overlap with the work of the audit committee.
3. The Bank must notify the Central Bank of its intention to nominate the external auditor for election or re-election by the General Assembly at least thirty days prior to the date of the General Assembly meeting.
4. The Bank must notify the Central Bank of the number of shares pledged by the Bank's shareholders who own 1% or more of the bank's capital, as well as the party to whom these shares are pledged.
5. The Bank shall provide the Central Bank with information related to the members of the Board, its committees, and members of its senior executive management on a semi-annual basis, and in the event of any amendment.
6. The Bank must submit to the Central Bank, on a semi-annual basis and whenever there are any changes, information about the board members, board directors, and senior executive managements of its subsidiaries inside and outside the Kingdom using the designated forms.

Part Fifteen: internal control environment

First: organisational structure

1. The Bank's organisational structure is developed and reviewed periodically by the Bank's Executive Management and the Board of Directors to ensure that such structure ensures the following:
   - That such structure is in line with the Bank's work requirements and the Bank's strategic plans.
   - That there are efficient lines of communication.
   - That the required level of internal control is maintained and the separation of tasks that constitute monitoring tools.
2. Board must approve the Bank's organisational structure that outlines the hierarchical organisation including Board Committees and Executive Management.
3. The Board shall ensure that the organisational structure accurately reflects the lines of responsibility and authority, including at least the following levels of supervision:
   - The Board of Directors.
   - Separate departments for risk, compliance, and audit that are not involved in daily executive work.
   - Departments/employees not directly involved in the Bank's daily operations (such as the credit review staff and middle office officers).
4. The Board shall establish and enforce clear limitations on authority, accountability, and commitment at all administrative levels of the Bank.
5. The Board shall ensure that the Senior Executive Management carries out its responsibilities related to the management of the Bank's daily operations and that it contributes to the corporate governance of the Bank. It shall also ensure that the Senior Executive Management delegates powers to employees, establishes an effective management structure that promotes accountability, and performs tasks in the various areas and activities in a manner consistent with the policies and procedures adopted by the Board.
6. The Board must implement sufficient controls to hold the Senior Executive Management accountable.
7. Notwithstanding the provisions of the Companies' Law, the positions of Chairman of the Board and General Manager shall not be combined. There shall be no relation, up to the fourth kin, between the General Manager and the Chairman of the Board, any of the Board Members of major shareholders.
8. The General Manager shall, in addition to what is stated in the statutes, work on the following:
   - Develop the strategic direction of the bank.
   - Implement the Bank's strategies and policies.
   - Implement the decisions of the Board.
   - Provide guidance for the implementation of short- and long-term business plans.
   - Communicate the Bank's strategic vision and mission to the staff.
   - Inform the Board of all important aspects of the Bank's operations.
   - Manage the daily operations of the Bank.

9. A charter, specific to each of the Bank's departments, shall be adopted. It shall clearly specific the responsibilities to avoid redundancy in performing the various required tasks as well as ensure a high level of accountability and responsibility.
10. A job description is prepared for every position inside the Bank to ensure the concepts of accountability and responsibility, and to ensure that there are objective bases performance measurement.

Second: internal control systems

1. The structure of the internal control systems shall be reviewed by the internal auditor and the external auditor, at least once a year.
2. The Bank shall establish procedures that enable employees to report concerns regarding the possibility of violations in a timely manner, in confidence, and in a manner that allows these concerns to be independently investigated and followed up on, whereby the implementation of such procedures shall be monitored by the Audit Committee.

Third: activating the role of departments concerned with the bank's risk management and internal control

These departments include:

Internal audit

1. To ensure the efficiency and effectiveness of the internal audit work, the Internal Audit Department shall be directly linked to the Board of Directors/Audit Committee and is not assigned any executive work to maintain its complete independence. The Internal Audit Department submits its reports to the Chairman and members of the Audit Committee.
2. The Board shall ensure and enhance the independence of internal auditors and provide them with an appropriate position in the Bank's organisational structure, as well as ensure that they are qualified to carry out their duties, including the right to access all records and information and to contact any employee within the Bank to perform the tasks assigned to them and prepare their reports without external interference.
3. The Board shall take the necessary steps to improve the efficiency of the internal audit by giving the audit process the required weight, instituting it within the bank, and monitoring the correction of audit notes.
4. The Internal Audit Department develops a strategy and defines an audit plan for approval by the Audit Committee, in addition to proposing the structure and scope of the internal audit.
5. The Audit Committee should confirm that there are adequate resources, including a sufficient number of trained, qualified employees to manage the internal audit activities.
6. The Audit Department shall have the right to obtain any information and contact any employee within the bank and shall be given all the authorities that enable it to perform the tasks entrusted to it as required.
7. The Bank shall document the audit department's functions, powers, and responsibilities within the internal audit department, as approved by the Board and circulated within the Bank.
8. The Internal Audit Department is responsible for informing the Audit Committee of any potential conflict of interest.
9. The Internal Audit Department exercises its duties and prepares its reports without any external interference, and it has the right to discuss its reports with the departments that have been audited.
10. The primary responsibility of the internal audit department - which must be risk- based - includes reviewing the following at a minimum:
    - The Bank's financial reporting procedures (to ensure that the main information about financial, administrative and operations matters are accurate, reliable, and timely.)
    - Compliance with the Bank's internal policies, international standards, and procedures, as well as the related laws and instructions.
    - Verifying the availability and compliance with suitable internal control systems for the Bank's and its subsidiaries' activities.
    - Conducting audits of financial and administrative processes to guarantee that key data pertaining to these areas is complete, correct, and up to date.
    - Reviewing compliance with the Corporate Governance Manual.
    - Reviewing the validity and comprehensiveness of stress testing, in accordance with the methodology approved by the Board.
    - Ensure the accuracy of the procedures followed for the Bank's Internal Capital Adequacy Assessment (ICAAP) process.

Risk management department

1. The Risk Management Department shall be provided with qualified human resources and the necessary training to maintain the ongoing development of its performance.
2. The Board shall ensure the risk management department's independence by submitting its reports to the risk management committee and granting the department the necessary powers to obtain information from other departments of the bank and collaborate with other committees to carry out its tasks.
   - The Bank's Risk Management department's duties and functions are defined and authorised by the Risk Committee. The following are the minimum requirements:
   - Recommend the level of acceptable risks (Risk Appetite) to the Board.
   - Submit suggestions to the Risk Management Committee regarding the Bank's risk exposure, as well as examples of exceptions to the risk management policy.
   - Monitor the Bank's departments' compliance with the required risk levels.
   - Review the Bank's Risk Management Framework before it is approved by the Board.
   - Execute the risk management strategy in addition to developing policies and work procedures to manage all types of risks.
   - Develop various risk management policies.
   - Review and analyse all the risks that the bank faces, including credit risks, market risks, liquidity risks, and operational risks.
   - Develop methodologies to identify, measure, and control each type of risk.
   - Recommend to the Risk Management Committee risk limits, approvals, reporting, and recording of exceptions to the risk management policy.
   - Provide the Board and Senior Executive Management with information on risk measurement and the actual Risk Profile for all the Bank's activities as compared to the Risk Appetite document. Ensure that any negative deviations are appropriately addressed. (The Board shall regularly review qualitative and quantitative risk statistics at each Board meeting).
   - Verify the compatibility of the risk measurement methodologies with the used management information systems.
   - Provide the necessary information regarding the bank's risks for public disclosure and publication.
   - Participate in the membership of committees concerned with risk management such as the Credit Committees and the Asset and Liability Management Committee (ALCO).
   - The Board shall verify that abuses are dealt with at acceptable risk levels, including holding the relevant senior executive management accountable.
   - The Board of Directors ensured that the Risk Management Department conducts regular stress tests to measure the Bank's ability to withstand shocks and face high risks. The Board shall play a significant role in approving the hypotheses and scenarios used, discussing the results of the tests, and approving the actions to be taken in response to these results.
   - The Board shall adopt a methodology for the internal assessment of capital adequacy, whereby such methodology shall be comprehensive, efficient, and able to identify all risks that the Bank may face. It shall take into consideration the Bank's strategic plan and capital plan. The Board shall revise the methodology regularly and verify that it is duly implemented and ascertain that the bank retains an adequate capital to face all the risks it may face.
   - Before approving any expansion of the Bank's activities, the Board must consider the risks resulting from such expansion and the abilities and qualifications of the risk management staff.
   - The Board shall adopt a charter for the Bank's risk appetite.

Compliance department

1. The Board is responsible for ensuring the independence of the Compliance Department, prevent it from being given any executive responsibilities, and ensure that it continues to be provided with qualified, trained and adequately remunerated staff.
2. The powers, functions, and responsibilities of the Compliance Department will be documented and circulated within the Bank after being approved by the Board.
3. The Compliance Department shall prepare an effective methodology to ensure the Bank's compliance with all applicable laws and regulations and any relevant guidelines and instructions.
4. The Compliance Department shall oversee the development of anti-money laundering policies and processes, as well as taking the required steps to detect suspicious transactions and report them to the appropriate supervisory authorities.

5. The Board authorises and supervises the compliance policy through the Compliance Committee, ensuring that it is reviewed and implemented on a regular basis. The Compliance Department oversees its planning and development inside the bank.
6. In accordance with the Central Bank's directives, the Compliance Department shall submit reports on the results of its work and compliance monitoring to the Board through the Compliance Committee, with a copy delivered to the Executive Management.

Fourth: activating the role of the external auditor

1. The Board shall ensure that the external auditor rotates every seven years between the audit offices and their subsidiaries, affiliates, or affiliated companies. The first 7-year period shall start as of 2010.
2. The first year after rotation, the new auditor must work jointly with the previous auditor.
3. The previous auditor cannot be re-elected until at least two years have passed after its last election at the Bank, excluding joint audit assignments.
4. The external auditor must provide the Audit Committee with a copy of its report.
5. At least once a year, the external auditor shall meet with the audit committee without the presence of the Executive Management.

Fifth: policies and procedures

1. Policies and procedures for all banking activities are developed to ensure the integrity of the Bank's operations.
2. These policies and procedures shall be circulated to all administrative levels in the Bank.
3. All policies and procedures shall be evaluated on a regular basis to ensure that they reflect any amendments or changes to laws, regulations, economic situations, and other Bank-related matters, as well as the issuance of any new policies that may be required.
4. The Executive Management shall ensure that the Bank's policies determine the basis for dealing with related parties, in terms of loan control thereto, the procurement of equipment and services, or any other dealing including identifying who has the authority over the aforementioned situations.
5. The Bank's departments concerned with the internal control systems must ensure that the operations of the related parties have been carried out in compliance with this policy.
6. The Bank's written policies shall identify all operational procedures that require Board approval. The Board determines the mechanism through which these actions are authorised internally.

Sixth: disclosure

1. The Board shall ensure that meaningful financial and non-financial information that is of interest to stakeholders is published and made available to the Central Bank, shareholders, depositors, other banks, and the public with a focus on issues of concern to shareholders.
2. The Board shall adopt a disclosure policy that clearly outlines all matters requiring disclosure by the Bank, as well as the frequency and means of disclosure.
3. The Board is responsible for ensuring the Bank's compliance with the disclosures required under the International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), Central Bank instructions, and other relevant legislation, as well as ensuring that Executive Management is aware of changes to the International Financial Reporting Standards.
4. The Bank's management shall be responsible for ensuring compliance with all modifications to the International Financial Reporting Standards (IFRS).
5. The Bank should be informed of changes in international financial reporting methods as well as the level of transparency required of financial institutions.
6. The Executive Management shall submit reports on disclosure developments to the Board, in addition to presenting recommendations on ways to enhance the Bank's own disclosure practices beyond those required by the Central Bank of Jordan in this regard.
7. The Bank will publish its Corporate Governance Manual on its website and any other suitable means to make it available to the public. The Bank must also disclose the Corporate Governance Manual in its annual report, along with information of interest to stakeholders, including the Manual and the extent to which it is committed to implementing its policies.
8. The Bank's annual report must include a clause stating that the Board is accountable for the accuracy and integrity of the Bank's financial statements and other information contained in the report, as well as for the adequacy of internal control systems.

9. The Board must ensure that the Bank's annual and quarterly reports contain disclosures that allow existing and prospective shareholders to view the Bank's operating results and financial position.
10. The Board must ensure that the annual report includes, at minimum, the following:
    - A summary of the Bank's organisational structure.
    - A summary of the tasks and responsibilities of the Board's committees and any powers delegated by the Board to such committees.
    - Information relevant to the stakeholders identified in the Bank's Corporate Governance Manual, as well as the Bank's commitment to implementing the manual's requirements.
    - Information on each Board member in terms of qualifications, experience, contribution to the Bank's capital, whether they are independent or not, their membership in Board committees, the date of their appointment, any memberships they occupy in the Boards of other companies, and all forms of remuneration received from the Bank for the year, as well as the loans granted to them by the bank, and any other transactions that took place between the bank and the member or related parties.
    - Information about the Risk Management Department, including its structure, nature of operations and developments it has undergone.
    - The number of Board meetings and committee meetings attended by each member.
    - Names of Board members and Senior Executive Management who resigned during the year.
    - A summary of the Bank's remuneration policy and disclosure of all forms of remuneration to each individual member of the Board and all forms of remuneration granted to each individual member of the Senior Executive Management for the previous year.
    - Information on shareholders who own 1% or more of its capital, including the identification of the ultimate beneficiary of their contributions and whether any of these contributions are pledged (fully or partially).
    - Declarations from all Board members that the member did not obtain any benefits through his work at the Bank and has not declared whether such benefits have been in cash or in kind, and whether personally to him/her or to any person related thereto for the previous year.

Seventh: treatment of stakeholders

The principles of corporate governance require that all stakeholders be treated with fairness, transparency, and disclosure, and enable stakeholders to evaluate the Bank's position, including its financial performance. It also requires that the relationship between management and stakeholders be governed by accountability rules whereby the following must be adhered to:

1. The Board shall establish a specific structure to ensure communication with stakeholders by disclosing and disseminating pertinent information regarding the Bank's activities through the following:
    - General Assembly meetings.
    - Annual Report.
    - Quarterly reports containing financial information in addition to the Board's report on the Bank's stock trading and financial position during the year.
    - The Bank's website.
    - Shareholders Relationship Division.
2. The Board shall ensure that a section of the Bank's website includes an explanation of shareholders' rights and encourages them to attend and vote in General Assembly meetings, as well as publish documents related to the meetings, such as the full text of the invitation and meeting minutes.

Section Sixteen: Board committees

The following committees shall emanate from the Board of Directors or any other committees the formation of which is deemed necessary by the Board, to guide, follow- up and monitor the work of the Bank and to submit periodic reports and recommendations to the Board in this regard:

1. Audit Committee.
2. Management Committee.
3. Risk Committee.
4. Corporate Governance Committee.
5. Nominations and Remuneration Committee.
6. Compliance Committee.
7. IT Governance Committee.
8. Credit Facilities Committee.

No Board Member may be appointed as chairman of more than one of the main committees (the Audit Committee / Risk Committee / Corporate Governance Committee / Nominations and Remuneration Committee). Moreover, the Board Member may not serve as President of more than two board committees. Following is a description of the tasks, authorities and memberships of each committee:

The following is an explanation of the duties, responsibilities, and memberships of each of these committees:

Audit committee

Objective

To assist the Board of Directors in carrying out its responsibilities in terms of supervising and monitoring the preparation of financial reports, internal control systems, the audit process, regulatory compliance, and activating the external auditor's role.

The Committee Charter shall be endorsed by the Board and shall be an integral part of the bank's Corporate Governance Manual. The Board shall specify the Audit Committee's authorities and supervisory responsibilities, which are to be exercised and implemented in the Bank and its subsidiaries.

Formation

- The Committee shall be formed by a decision from the Board. The Board's Secretary shall act as secretary of the Committee. The work of any other committee may not be combined with the work of this Committee.
- The Committee consists of at least three Board Members, the majority of whom, including the Committee's President, are independent. The Committee shall elect one of its members as its President, provided that he/she shall not be the Chairman of the Board of Directors or any President of any other Board Committee.
- All Committee members must possess adequate academic qualifications and work experience in accounting, finance, or any other specialties or similar fields related to the Bank's business.

Meetings

- The committee convenes at least once every three months at the invitation of its Chairman, as needed, in accordance with a decision of the bank's board, or at the request of one of its other members. If the committee determines it is essential, it may also convene at the request of the external auditor or the head of the internal audit department.
- The Head of the Internal Audit Department attends Committee meetings.
- When the majority of the committee's members and the chairman are present in person, the meeting is deemed lawful. If personal attendance is not possible, the committee member may participate in the meeting through telephone or video conference to discuss the agenda with the committee chairman's approval. He/she will then have the ability to vote and sign the meeting minutes as long as the quorum is met, and the minutes are approved by the chairman and secretary.

Authorities

- The committee operates under the direction of the Board and delivers to it its reports and suggestions regarding the outcomes of its duties. The recommendations/decisions of the committee are determined by a majority vote. In the event of a tie vote, the committee president's vote will prevail.
- The Audit Committee may request any information from the Executive Management or seek outsourcing and invite any executive in the bank to attend its meetings.
- The Committee shall study any matter presented to its attention by the Board of Directors or any matter the Committee considers important to be discussed and decided upon.
- The Committee shall settle differences between the Executive Management and the internal and external auditors and other regulatory authorities regarding financial reports and the internal audit remarks and scope of its work.

Functions and responsibilities

The Audit Committee's responsibility does not replace the Board's or the Executive Management's responsibilities with regard to overseeing the adequacy of the Bank's internal controls. It also does not affect the Board's ability to directly contact the Executive Management, internal auditors or external auditors.

The committee's responsibilities

Financial reporting and disclosure requirements

Review the annual, semi-annual, and quarterly financial statements of Jordan branches and the consolidated bank before presenting them to the Board, and ensuring that the following requirements are met:

- Obtain a certificate from the external auditor regarding the adequacy of the provisions/expected credit loss, investments, potential obligations, and any need for additional provisions.
- Verify the accuracy of calculating interest, suspended profits, and the provision for expropriated real estate, and assessing any deficiencies in provisions.
- Provide an assessment of the bank's non-performing debts or those that could potentially become bad debts.
- Identify any accounting issues that have a material impact on the financial statements, such as changes in accounting policies or unusual movements, and evaluating the accuracy and integrity of accounting and control procedures, as well as the extent of compliance with them.
- Obtain the external auditor's opinion on the validity of accounting treatments on any amendments to the financial statements.
- Ensure that the bank complies with the International Financial Reporting Standards (IFRS) and International Accounting Standards (IAS), and the disclosures required by these standards, as well as the instructions of the Central Bank, the Securities Commission, and other relevant legislation, and that executive management is aware of changes to these standards and that reports are submitted to the Board.

Internal audit

- Review and recommend to the Board for approval the charter of the internal audit department, ensuring that it includes the department's duties, authorities, and responsibilities. The committee shall also ensure that the charter is distributed throughout the bank.
- Thoroughly examine and assess the internal audit plan, which is based on key risks, including the information systems audit plan. Ensure that the plan's scope is comprehensive, without limitations, and aligns with the bank's strategic objectives. Evaluate the plan's effectiveness, approve it, and monitor its progress. Additionally, review and approve any significant modifications to the plan.
- Review the organisational structure and balance the internal audit department with the internal audit department head, as well as ensuring the availability of qualified employees, including information systems audit staff and any other necessary resources, and training them to carry out the work of the internal audit department effectively and efficiently.
- Verify the rotation of the internal audit employees in respect of auditing the Bank's activities every three years at most.
- Review the quarterly audit report, which covers the most important internal audit observations, recommendations based on internal audit notes or investigation outcomes, Audit Committee recommendations, and emerging risks. This report is required by the Central Bank to evaluate the internal control system on a quarterly basis and is updated annually to include a review of the bank's compliance with corporate governance practices. The review should also assess the execution of the approved audit plan, advisory tasks, compliance with regulatory requirements, and any deviations or fundamental changes to these plans. If any deviations occur, the reasons leading to them should be documented, such as limited resources or external circumstances, along with their impact on the implementation of the plan. The Audit Committee should also inform the Board of any essential observations.
- Ensure that the Central Bank is provided during the first quarter of each year with a report on the audit of the information and related technology issued by the Internal Audit, comprising the Executive Management's response and the Board's review and recommendations in accordance with the COBIT instructions.
- Ensure that internal audit plans incorporate the requirements of the Central Bank and the regulatory bodies, such as assessing stress tests and conducting internal evaluation of the adequacy of the capital and provide reports to the Board.
- Hold at least one annual meeting with the Head of the Internal Audit Department without the presence of the Executive Management.
- Ensure the independence and objectivity of the internal audit, and that it is not assigned any executive work, as well

as provide employees thereof with an appropriate position in the Bank's organisational structure and ensure that they are qualified to carry out their duties and report the same to the Board of Directors.

- Take the necessary measures to enhance the efficiency of the internal audit by granting the audit process the appropriate weight within the bank. This includes monitoring the correction of audit notes and presenting reports to the Board.
- Review and follow up on the observations contained in the Central Bank's reports and the external auditors, taking necessary actions as required.
- Recommend the appointment or acceptance of the resignation or termination of the services of the Head of the Internal Audit Department to the Board, subject to acquiring the Central Bank's no-objection letter.
- Evaluate the performance of the Head of Internal Audit on an annual basis, determine his salary, annual increase, remuneration, and other benefits.
- Assess the performance of the internal audit staff on an annual basis, and based on the evaluation results, determine their remuneration and annual raise. Ensure that they are able to verify the adequacy of internal audit control systems, audit financial and administrative matters, and comply with the Bank's internal policies, international standards, and relevant statutes.
- Review the performance evaluation results of the Internal Audit's activities and its compliance with the internal audit standards, principles of professional ethics, and the definition of internal audit.

External auditor

- Ensure the external auditor's independence, regular rotation, and compliance with the Central Bank's guidelines for the nomination and assignment of audit offices. Recommend the external auditor's expenses and termination of services to the Board.
- Monitor the external auditor's performance throughout all stages of the audit, ensuring their adherence to the scope and plan of work, and reviewing their semi-annual reports with the Board.
- Ensure that the external auditor submits a report on the audit of information and associated technology to the Central Bank during the first quarter of each year. This report should include the response of executive management and any recommendations issued, in accordance with the instructions for information and technology and corporate governance.
- Invite the managing partner of the external auditor's office to attend its meetings relating to the external auditing activities, with the exception of meetings related to the evaluation of the efficiency of external audit. The Committee shall also facilitate attendance of the said partner at meetings of other committees that are relevant to the audit if the Audit Committee deems it necessary.
- Meet with the managing partner of the external auditor's office at least once a year, without Executive Management present, to discuss any reservations or obstacles, and report significant remarks to the Board.
- Recommend to the Board whether to approve or reject additional services assigned to the audit office beyond auditing accounts, after assessing their impact on independence. If additional services are requested from another audit office or specialised entity, ensure they do not conflict with independence and objectivity.
- Execute the tasks assigned to the Audit Committee in the external audit policy approved by the Committee.

Compliance

- Schedule a meeting with the compliance officer at least once a year, in the absence of Executive Management, to review the Bank's compliance with laws, policies, and processes, and to report any findings to the Board.
- Obtain continuous updates from the Compliance Department, Executive Management and Legal Counsel of the Bank for any compliance related issues.
- In coordination with the Compliance Department, ensure that there are no conflicts of interest that may arise from making deals, concluding contracts, or entering projects with related parties, and reviewing and monitoring all dealings with related parties and informing the Board of them in accordance with the policies approved by the Board in this regard.
- Review and monitor the policy and procedures for reporting malpractices, which enable employees to report any error in financial reports or other matters in a confidential manner, and that the committee ensures that the necessary arrangements for independent investigation are in place, and that the results of the investigation are followed up on and dealt with objectively in coordination with the Compliance Department.
- Monitor compliance with the Code of Conduct and Work Ethics.

Control system

- Ensure that internal audit analyses the control system, internal controls, and corporate governance at least once a year and reports any findings to the Board.
- Ensure that the external auditor reviews the control and internal control system at least once a year by reviewing the observations in their reports and correspondences, including the protection and security of information and the corrective measures taken by executive management, and informing the Board of Directors of any observations it deems necessary.

Other responsibilities

- The Committee shall review the results of official investigations in which the Internal Audit participates as well as the corrective actions taken by the Executive Management if needed and inform the Board of any remarks that it deems significant.
- The Committee shall verify that all of the Bank's activities are subject to auditing, including outsourced activities to ascertain that an independent and impartial entity confirm on at least an annual basis the availability of business continuity plans with third parties which are relied upon that guarantee the availability and confidentiality of the data and operations of banks in the event of any emergency.
- The Committee shall ensure that internal audit keeps abreast of the best sound practices in the event of any emergency, through emergency bulletins and others issued by professional or specialised audit bodies.
- The Committee shall revise its Charter annually and propose amendments to the Board for approval.
- The Committee shall ensure, at least once a year, that all the responsibilities referred to in the Charter are complied with.

Responsibilities of the committee's secretary

- Provide each member of the committee with the Board-approved Audit Committee Charter.
- Coordinate with the President and members of the Committee and the Head of the Internal Audit Department to specify dates for Committee meetings.
- Ensure effective communication and information sharing among committee members, board committees, and management, and facilitate access to all necessary information for the respective members.
- Prepare the agenda of the meeting and all relevant documents and information related to the meeting at the request of the Committee's President and send it with its contents to the members and the Head of the Audit Committee and the invited members of the Executive Management prior to the time of the meeting by sufficient time.
- Record the Committee's meetings in official minutes that comprise the actions taken by the Committee and follow-up the recommendations made by the Committee in addition to any topics postponed at previous meetings. The Committee's secretary must be able to write accurate meeting minutes and provide an accurate account of proceedings, including any voting that took place, reservations, suggestions, and enclose or reference any documents referred to during the meetings. The secretary shall also duly keep records and documents of Committee meetings.
- Prepare a draft of the official minutes of meeting and follow up on its signature by the President and members of the Committee.

Management committee

- The Management Committee Charter shall be approved by the Board and is considered an integral part of the Bank's Corporate Governance Manual.
- This Charter shall be reviewed annually by the Committee in cooperation with the bank's Executive Management. Proposed amendments shall be submitted to the Board for approval.
- The names of Committee members and the Committee's activities shall be disclosed in the Bank's Annual Report.

Committee's membership

- The Committee is formed by the Board's decision.
- The Committee consists of at least three Board Members.
- Members must have sufficient banking knowledge and experience to enable them to make sound decisions.

Committee's presidency

One of the Committee's members shall be the President thereof.

Quorum

The meeting shall be legal if attended by the majority of members of the Committee, with the condition that the Committee's President is present in person. If the President is unable to attend, a member may participate in the meeting through a telephone or video conference with the President's approval. The attending member shall have the right to vote and sign the meeting minutes, which shall be ratified by the Chairman and Secretary to ensure the meeting's quorum.

Voting

- The committee's decisions are taken by the majority of votes of the members present.

Committee's secretariat

- The Head of Credit Monitoring and Credit Control shall act as the Committee's Secretary.

Committee meetings

- The Committee shall work under the supervision of the Board. It shall submit its reports and recommendations on the results of its operations to the Board.
- The Committee shall meet by a call from its President whenever needed, upon a decision of the Bank's Board of Directors or at the request of one of its members.
- Members of the Senior Executive Management may participate in the meetings of the Committee to present their recommendations.

Committee's functions and responsibilities

Investment

- Study the recommendations of the Treasury and Investment Department relating to the sale and purchase of investments and the approval thereof within the Committee's authorities.
- Study the recommendations of the Treasury and Investment Department in relation to the classification or reclassification of existing securities in the Bank's portfolios as held for trading, available for sale or held to maturity and the approval thereof within the Committee's authorities.
- Study the recommendations of the Treasury and Investment Department in relation to underwriting securities through an initial public offering in the primary market and the approval thereof within the Committee's authorities.

Expenditure and procurements

- Review and consider recommendations from the Expenditure and Procurement Committee regarding the procurement of supplies, equipment, and support services, ensuring compliance with the Bank's expenditure and procurement regulations. This includes the proper procedures for inviting proposals, analysing, and selecting the best offers, and approving them within the Committee's authority.
- Evaluate the studies prepared for the purchase of property for the purposed being utilised by the Bank and make the decisions in that regard.
- The Committee shall consider any other matters related to its mandate as requested by the General Manager.

Management

- Amend and update the Articles and Memorandum of Association in line with the laws of the Hashemite Kingdom of Jordan and submitting recommendations in this regard to the Bank's Board.
- Any other administrative matters that the General Manager wishes to be presented to the Committee.

Risk management committee

- The Risk Management Committee Charter is approved by the Board, and it shall be an integral part of the Bank's Corporate Governance Manual.
- The charter shall be reviewed annually by the committee in cooperation with the Bank's Risk Department, and any proposed amendments to it are submitted to the Board for approval.
- The names of Committee members and the Committee's activities shall be disclosed in the Bank's Annual Report.

Committee's membership

- The Committee consists of at least three Board Members provided that at least one of them is independent, in addition to the Head of Risk Management in the Bank.
- The Committee members must have sufficient knowledge and understanding of the principles of risk management in Banks.
- Committee members must have full knowledge of the instructions of the Central Bank of Jordan and the regulatory authorities.
- Members must have academic qualifications and/or practical experience in the field of financial management and banking.

Committee's presidency

The President of the Committee shall be an independent Board member.

Quorum

The Committee's meetings shall be deemed valid if attended by the majority of members, with the requirement that the President of the Committee is present in person. If the President cannot attend in person, a Committee member may participate in the meeting via phone conference or videoconference with the approval of the Committee's President, and such member shall have the right to vote and sign the minutes of the meeting. The minutes of the meeting and its quorum shall be approved and ratified by the Chairman and Secretary.

Voting

Committee decisions are taken unanimously, and the Head of the Risk Management Department shall not be allowed to vote.

Committee's secretary

The Head of the Risk Management Department shall act as the Committee's secretary.

Committee's meetings

- The Committee shall operate under the supervision of the Board and submits its reports and recommendations on the results of its performance.
- The Risk Management Committee shall meet by a call of its President at least four times a year, whenever needed, upon a decision of the Bank's Board of Directors or at the request of one of its members.

Committee's functions and responsibilities

- Review and approve the risk management framework, including the Risk Management Governance, Risk Appetite, and Risk Profile, as well as the risk management strategy and general framework for reporting.
- Approve the annual risk management plan.
- Approve risk management policies, including credit, operational and market risk management policies, liquidity risk policy, interest rate risk, investment policy, business continuity plan, and contingency plan, provided that they are reviewed annually by the committee.
- Follow up and evaluate the various types of risks that the bank may be exposed to.
- Ensure the identification of risks with a significant impact, as well as any activities undertaken by the Bank that may expose it to risks greater than the level of acceptable risks and submit reports on their resolution to the Board.

- Verify that there is no discrepancy between the actual risks taken by the Bank and the level of acceptable risks approved by the Board.
- Review the remarks contained in the Central Bank's and the external auditor's reports regarding the Bank's risk management and track the measures implemented in response.
- Discuss and express an opinion on any issue presented to it by the Bank's Board or any matter that the Committee deems necessary to discuss.
- Adopt the Internal Assessment Methodology for capital adequacy, considering the Bank's strategic plan and the capital plan, reviewing the methodology periodically, and ensuring that the bank maintains sufficient capital to meet all the risks it faces.
- Adopt the stress test policy, discuss the results of the tests periodically, and adopt the procedures to be taken based on these results.
- Produce periodic reports outlining the extent to which current risks align with policies and acceptable levels of risk, in order for the Board to make informed decisions and monitor the committee's progress.
- Adopt an information security policy, including cyber security policies.
- Approve the cyber security program.

Corporate governance committee

- The Committee is formed by decision of the Bank's Board and consists of at least three members, majority of which are independent, and includes the Chairman of the Board.
- The Board elects the members of the committee from among its members, and the committee continues its work throughout the term of membership of the Board.
- The committee operates under the supervision of the Board and submits its reports and recommendations on the results of its performance.

Committee's presidency

The Chairman of the Board shall be the Committee's President.

Quorum

The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting

The committee's decisions are taken by majority votes.

Committee's secretary

The Head of the Compliance Department shall act as the Committee's Secretary.

Committee's meetings

The Committee shall meet upon a call by its President at least twice a year, whenever needed, upon a decision of the directors or at the request of one of its members.

Committee's responsibilities

- Recommend the approval of the Bank's Corporate Governance Guide to the Board, conduct an annual review, and ensure that this policy complies with Central Bank directives, the Companies Law, and the Banking Law.
- Ensure that this policy is available to all shareholders (especially minority shareholders).
- Annual review of the Disclosure Policy and Code of Conduct and recommend any amendments thereto to the Board.
- Ensure that all concerned parties, from the Board to the Executive Management, adhere to the approved Corporate Governance policy and the Code of Conduct.
- Ensure that the Bank applies the Corporate Governance policy in all its operations and activities.
- Ensure the effectiveness of the internal control systems in monitoring corporate governance at the Bank.

Nominations and remuneration committee

Committee formation

This Committee is composed of at least three members, the majority of whom shall be independent including the Committee's President.

Committee's presidency

The Committee elects a President from among its members, provided he/she is independent.

Quorum

The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting

The Nominations and Remuneration Committee's decisions and recommendations shall be taken by the absolute majority of the members. In the event of a tie, the President shall have the casting vote.

Committee's secretary

The Secretary of the Committee shall be the Head of the Human Resources Department, or as decided by the Committee.

Committee meetings

- The Committee meets at the invitation of its President at least twice a year, or whenever the need arises, or based on a request from the board, or at the request of one of its members. The minutes of meeting will be recorded.
- The Nominations and Remuneration Committee presents its decisions and recommendations to the Board, and a report of its performance will be presented during the annual general meeting, as well as a report on its performance to the ordinary general assembly meeting of the Bank.

Committee's functions

1. Ensure that the Board of Directors' is formed according to the instructions and laws in force, as follows:
   - The number of Board Members shall be at least eleven and not more than thirteen, as determined by the Bank's by-laws.
   - None of the Board Members may be an Executive Member.
   - Independent Board members must make up at least one-third of the Board and, in the event of a fraction, that number will be rounded up to the nearest whole number; however, they can't make up more than half of the Board.

     The following are the requirements and conditions necessary to ensure the independence of the member as a minimum:

     - He/she should have high financial or banking qualifications or experience.
     - The member or any of his/her relatives (in the first degree) may not have a direct or indirect interest in

contracts, projects, or engagements with the bank or any of its affiliates or subsidiaries with a value of at least JOD 50,000.

- The member cannot be a board member of the bank or one of its subsidiaries therein for more than eight consecutive years.
- Neither he/she nor any company in which he/she is a Board member, owner, or major shareholder should obtain credit from the bank more than 5% of the bank's subscribed capital, and he/she should not be a guarantor of credit from the bank in excess of the same percentage.
- The member should not be a major shareholder in the bank, or a representative or affiliate of a major shareholder, his/her contribution with an affiliate must not constitute the amount of a major shareholder and must not be a major shareholder in the group that owns the bank.
- Members must not be related to any of the other Board members or to any Board members of the Bank's subsidiaries, or to any of the major shareholders in the Bank, up to the second degree.
- The member or one of his/her relatives (up to the second degree) must not have held a position as a Board member or with the executive management of the bank or any affiliate or subsidiary company during the last three years preceding the date of election.
- The member must not be an employee of the bank or had worked as an employee of the bank or any affiliate or subsidiary company during the last three years preceding the date of election.
- The member is not related (up to first degree) to the Bank's external auditor, the member or one of his relatives (up to first degree) is not a partner or an employee at the bank's external auditor office and has not been a partner or employee during the last three years preceding the date of election.

2. Ensure the suitability of Board Members, provided that the Chairman and members of the Board must meet the following conditions:
   - To be at least twenty-five years of age.
   - Must not be a Board Member, General Manager, Regional Manager, or an employee of another bank inside the Kingdom, unless the other bank is affiliated with the Bank.
   - Must not be a lawyer, legal advisor, or auditor for the bank.
   - Must at least hold a bachelor's degree in economics, finance, accounting, business administration, or any of the similar specialisations. The Nominations and Remuneration Committee may consider adding other specialisations if they are associated with experience related to banking business.
   - Must not be an employee of the government or any public institution unless he/she is a representative thereof.
   - Neither the Board Member nor the representative thereof is a member or representing a member in the Board of another similar or competitor bank and is not a member of the Board of directors of more than five public shareholding companies inside the Kingdom in his/her personal capacity in some and as a representative of a legal person in others
   - Must have at least five years of experience in banking, finance, or similar fields.
   - To be of good conduct and reputation.
   - The Chairman and each member of the Board must sign the declaration of suitability prescribed by the Corporate Governance of Banks No. (63/2016), which shall be kept with the Bank and a copy of which shall be sent to the Central Bank, accompanied by the member's CV.
   - The Chairman of the Board shall ensure that the Central Bank is notified of any material information that may adversely affect the suitability of any of its Board Members.
3. Determine whether the independent Board member continues to meet the requirements of an independent member on an annual basis, notify the Central Bank and the Securities Commission in the event that any member of the Board loses their independent status.
4. Identify if a person is qualified to become a Board member, considering their capabilities and qualifications. In the event of re-nomination of the member, review their effective performance and attendance in the Board meetings. The committee must also obtain the Central Bank's no-objection for their candidacy at least two weeks before the Bank's Shareholders General Assembly meeting.
5. Develop a clear methodology to ensure that all members of the Board allocate sufficient time to carry out their duties as members of the Board, including, for example, the extent of the member's multiple associations with memberships of other boards / bodies / forums...etc.
6. Ensure that Board members attend workshops or seminars on banking issues, particularly risk management, corporate governance, and the latest developments in the banking business.
7. Provide Board Members with important background information and briefs on the Bank at their request and ensure

they are always updated on the latest banking developments.

8. Annually evaluate the work of the Board, its committees, and its members, with the condition that the committee informs the Central Bank and the Securities Commission of the results.
9. Determine the Bank's needs for qualified individuals for Senior Executive Management positions and the basis of the selection and nominate the qualified individuals to the Board to join the Senior Executive Management, whether by way of appointment, promotion or transfer including temporary assignment and obtain the Central Bank's no objection letter in that respect.
10. Set-up the policies related to human resources in the Bank, including succession and training policies, and monitor and review their implementation annually.
11. Follow specific and approved bases for evaluating the performance of the Board and the general manager, so that the standard for performance evaluation is objective.
12. Prepare a system for evaluating the performance of the general manager, including setting key performance indicators, so that the criterion for evaluating the performance includes the financial and administrative performance of the Bank, and the extent of their achievement of the bank's medium and long-term plans and strategies. The committee must inform the Central Bank of the outcome of this evaluation.
13. Ensure a remuneration policy for the bank's executive management is developed, reviewed periodically, and implemented. The committee also recommends the salaries of the general manager and the rest of the senior executive management, their remunerations, and other privileges.
14. Set-up a policy for granting remuneration, benefits, incentives, and salaries in the bank, including the executive management, so that it is objective and transparent, and reviewed annually. Provide the Central Bank with a copy of it within a maximum period of seven working days from the date of its approval by the Board.
15. Ensure the suitability of members of the executive management, provided that whoever is appointed to the executive management of the bank fulfills the following conditions:
    - Not to be a member of the Board of Directors of any other bank inside the Kingdom unless such bank is a subsidiary of the Bank or has an affiliation with the Bank.
    - Must be full-time dedicated to managing the Bank's business and not have any other significant employment outside of the Bank.
    - Has a minimum of an undergraduate university degree in Economics, Finance, Accounting, Business Administration, or a related field that is relevant to the Bank's operations.
    - Has at least five years of experience in the banking or related industry, except for the General Manager or Regional Manager positions, where the experience in banking must not be less than 10 years.
    - Must have a good reputation and be of good conduct.
    - The appointment of the member shall not create a conflict of interest due to any relationship with the Chairman of the Board of Directors, any member thereof, or any significant shareholder, including up to third-degree kinship in the case of the General Manager and up to first-degree kinship for holders of senior positions.

Committee's authorities:

The committee shall have the following authorities:

- Request any data or information from the Bank's personnel who shall, in turn, be cooperative and provide such information in a complete and accurate manner.
- Request legal, financial, administrative, or technical advice from any external advisor.
- Request the presence of any employee in the Bank to get the necessary clarifications.

Compliance committee

- The Compliance Committee Charter shall be approved by the Board, and it shall be deemed to be an integral part of the Bank's Corporate Governance Manual.
- This Charter shall be reviewed annually by the Committee with the participation of the Compliance Department. Proposed amendments shall be submitted to the Board for approval.
- The names of the Committee's members and the Committee's activities shall be disclosed in the Bank's Annual Report.

Committee's membership

- The Committee consists of three Board members, including the Chairman of the Committee, the majority of which are independent members. The Head of the Bank's Compliance Department is the Committee's Secretary.
- Members should possess general banking experience and have full knowledge and understanding of the instructions issued by the Central Bank of Jordan and other regulatory authorities governing the operations of the Bank and its subsidiaries.
- Committee members must have sufficient knowledge and understanding of the principles of compliance management in banks.
- All members must have the necessary academic qualifications and practical experience in financial management, banking, or related fields.
- The Chairman of the Compliance Committee must attend the annual General Assembly meeting.

Committee's presidency

The Committee shall elect its President that from among its members provided that he/she shall be an independent member.

Quorum

The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting

Committee decisions shall be taken by the majority of votes. The Head of the Compliance Department shall not be entitled to vote.

Committee meetings

The Compliance Committee shall meet by a call from its President at least four times a year, whenever needed, upon a decision of the Board of Directors or at the request of one of its members.

Committee's secretary

The Head of the Compliance Department shall act as the Committee's Secretary.

Committee secretary's responsibilities

- Prepare a proper draft minute and having them signed by the President and members of the Committee.
- Provide each member with the Board-approved Compliance Committee Charter.
- Convey information among members of the Committee, board committees and the Executive Management, and facilitate member access to all the necessary information.
- Record the official minutes of its meetings, documenting the work carried out, including the status of recommendations and any postponed issues from previous meetings. The minutes shall accurately reflect any votes, reservations, or suggestions taken, and include any documents attached or referred to during the meetings. The Committee shall ensure that the minutes are written accurately, and that records and documents related to its meetings are properly kept.
- Prepare the agenda of the meeting and all relevant documents and information related to the meeting at the request of the Committee's President and send it with its contents to the members and the Head of the Audit Committee and the invited members of the Executive Management prior to the time of the meeting by sufficient time.
- Duly keep the records and documents of the Committee's meetings.

Functions and responsibilities

- Review the observations contained in the reports of the Compliance Unit, the Central Bank's reports, the external auditor's reports, and the Internal Audit reports related to monitoring of compliance control, Combating Money Laundering (CML), and Terrorist Financing (CFT) at the bank, and following up on the actions that must be taken accordingly.
- Recommend to the Board the approval of the Compliance Department's policies or any amendments thereto.
- Ensure the accuracy and integrity of compliance control procedures and the extent of adherence to them.
- Receive annual audit reports by the Compliance Unit on the compliance of all Bank policies, procedures, and programs with the relevant laws and regulations.
- Ensure full compliance with the laws, regulations, and instructions that the Bank is subject to.
- Receive statistical reports of suspicious transactions that the Anti-Money Laundering and Terrorist Financing Unit was notified of.
- Report to the Board on the results of compliance work in the Bank.
- Review any issue presented to the Committee by the Bank's Board, or any matter that the Committee deems necessary to discuss and express an opinion thereon.
- Approve the implementation of any recommendations issued by any of the committees emanating from the Board or the Executive Management regarding assigning any tasks to the Compliance Department and any other related matters in this regard.

It is important to note that the Compliance Committee's responsibility does not replace the responsibilities of the Board or the Executive Management of the bank in terms of the bank's compliance with the instructions and directives of the various regulatory authorities, nor does it affect the Board's ability to communicate directly with the Executive Management.

Information technology governance committee

Committee formation

- The committee is formed by a decision of the Board.
- The committee must consist of at least three Board members, it is preferable that the members have experience or strategic knowledge in information technology.
- The committee will elect one of its members as its chairman.
- The Board will determine the objectives of the committee and delegate responsibilities and authorities to it, in accordance with its charter.

Committee's authorities

- When necessary, and at the expense of the bank, the Committee may seek assistance from external specialists in the field of information technology governance and strategic expertise, in coordination with the Chairman of the Board, to enhance objective opinions.
- The committee may invite any member of the Bank's executive management, including those in internal audit, the heads of risk management and the head of compliance, or those involved in external audit, to its meetings to solicit their input.

Committee meetings

- The committee operates under the supervision of the Board and submits periodic reports and recommendations on its performance to the Board.
- The committee must meet at least quarterly upon the invitation of its chairman, or whenever necessary based on a decision of the Bank's Board or at the request of any other member.
- The meeting of the committee is considered legal if most of its members attend, including the chairman. If personal attendance is not possible, a committee member may attend virtually with the approval of the chairman and will have the right to vote and sign the minutes of the meeting, provided that the chairman and secretary approve the minutes and confirm the quorum.
- The Committee shall make its decisions and recommendations unanimously. If the votes are tied, the side with which the Committee Chairman voted will prevail. Minutes of the meeting will be recorded.

Committee's secretary

The Chief Technology Officer (CTO) shall be the Secretary of the Committee.

Committee's functions and responsibilities

The delegation of powers by the Board to the Committee or any other committee does not relieve the Board of its responsibilities in this regard. The Committee shall undertake the following functions:

1. Approve the IT strategic objectives and appropriate organisational structures, including the Steering Committees at the level of Senior Executive Management (particularly the IT Steering Committee). This is to be done in a manner that guarantees the realisation and fulfillment of the Bank's strategic objectives and achievement of the best added value from the projects and investments in IT resources, and the utilisation of the necessary tools and standards to monitor and confirm the achievement of same, such as the use of IT Balanced Scorecards, calculation of the return on investment, and measurement of the impact of contribution to increasing the financial and operating effectiveness.
2. Approve the general framework for managing, controlling, and monitoring IT resources and projects, specifically (COBIT), in accordance with and meeting the aims and needs of the Central Bank's instructions for governance, information management, and associated technology. This is accomplished by the sustainable attainment of institutional goals, as well as the achievement of the matrix of information objectives and associated technology, and it encompasses the operations of information technology governance.
3. Adopt the corporate objectives and the information and associated technology objective and define the sub-objectives necessary to achieve them.
4. Adopt a matrix of responsibilities (RACI Chart) for the main processes and sub-processes of IT governance, specifying the entities, persons, or parties who are Responsible, Accountable, Consulted, and Informed for each operation.
5. Maintain an IT risk management framework that is consistent with the bank's broader risk management strategy and is fully compliant with all IT governance requirements.
6. Approve the budget for IT resources and projects in line with the Bank's strategic objectives.
7. General supervision and review of IT operations, resources, and projects to guarantee their adequacy and effective contribution to meeting the Bank's requirements and business.
8. View the IT audit reports and take the necessary measures to address deviations.
9. Recommend to the Board the adoption of the necessary procedures to rectify any deviations.

Credit facilities committee

- The Credit Facilities Committee Charter shall be endorsed by the Board, and it shall be deemed to be an integral part of the Bank's Corporate Governance Manual.
- This Charter shall be reviewed whenever needed by the Committee in cooperation with the Executive Management of the Bank. Proposed amendments shall be submitted to the Board for approval.
- The names of Committee's members and the Committee's activities shall be disclosed in the Bank's Annual Report.

Committee's membership

- The Committee shall be formed by the Board's decision.
- The Committee consists of at least five Board members. One of its members may be independent, provided that he/she is not a member of the Audit Committee.
- Members must have sufficient banking knowledge and experience to enable them to make sound decisions.
- The Board may delegate some or all of the authorities of the Committee in respect of amending the conditions or structuring the credit facilities for the concerned credit committees (the highest committee in Executive Management according to the instructions). The Credit Facilities Committee should be informed of the decisions taken within these authorities. It is also necessary to amend the structure of authorities in line with what has already been stated in this regard.

Chairing the committee

The Chairman of the Board shall be the President of the Committee.

Quorum

The Committee's meeting is considered legal when attended by at least four members, provided that attendance shall be in person. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting

Committee decisions are taken by the majority of votes regardless of the number of members in attendance. In the event of a tie, the President shall have the casting vote.

Committee's secretariat

The Head of Credit Monitoring and Control shall act as the Committee's secretary.

Committee meetings

- The Committee shall operate under the supervision of the Board. It shall submit its reports and recommendations on the results of its performance.
- The Committee meets at the invitation of its Chairman whenever the need arises.
- Members of the Executive Management may participate in the committee meetings to present their recommendations.

Committee's functions and responsibilities

1. Study and approve the recommendations of the concerned credit committees to take the appropriate decision in respect of granting, renewing, modifying and/or cancellation of the credit facilities that fall within the scope of the Committee's authority or present its recommendations to the Board. The upper limits of the powers vested in this Committee regarding the granting, modification, renewal or restructuring of credit facilities whereby there shall be clear authorities to the Board in that regard.
2. Approve special credit and exceptions to these programs.
3. Study the reports generated by the Control Department and the Legal Department on the follow-up of bad debts in which litigation are filed, and make suitable decisions within the committee's powers, or make recommendations to the Board.
4. Approve amendments to the policies for granting credit facilities to employees.
5. Approve the granting of any credit facilities to employees outside the authority of the CEO.
6. Any other matters related to credit, which the CEO deems to be presented to the Committee.
7. The committee shall periodically submit to the Board the details of the credit facilities it approved.
8. View the credit policy and any amendments thereto, which shall include, as a minimum, the following:
   - Different credit limits
   - Risk-weighted pricing policy
   - Different lending approval authorities
   - Risk Appetite policy
   - Different credit products

This is for the purpose of ensuring compliance at all levels.

Decisions related to Board members and those related to them

The necessary approvals for decisions related to Board Members and persons related to them are obtained by e-mail, and sent to all Board Members, except for related members.

A statement on compliance with the corporate governance manual

The Bank adheres to the instructions of the Corporate Governance Manual issued by its Board.

Control objectives for information and related technologies manual **(COBIT)**

Section 1: Introduction

Information and related technologies governance is defined as the process of allocating roles and duties and characterising the relationships between parties, various entities, and stakeholders (e.g. the Board and Executive Management). This is implemented with the intention of maximising the Bank's added value by following the optimal approach that ensures a balance between risks and anticipated revenues by implementing the rules, foundations, and mechanisms necessary for sound decision making and defining the strategic directions and objectives of the Bank, as well as implementing mechanisms for monitoring and examining compliance with the degree to which they are attained, so as to ensure the sustainability and development of the bank.

Information technology resources are essential for the bank's operations and goals. They have a significant impact on the competitiveness of the bank's products and services, as well as on decision-making and risk management. Therefore, this justifies the large investments in IT to ensure that the Bank operates efficiently and effectively.

In lieu of that, to minimise risks and avoid making unfeasible investments the bank must manage its IT resources according to recognised international best practices. This requires adhering to sound principles and fundamentals to ensure the Bank does not accumulate significant losses that accumulate over time and harm the Bank's reputation.

Since the issue of information technology governance in the world has seen a positive development, general frameworks for a set of foundations and principles at a high level of maturity have emerged. On top of that is the COBIT Control Objective for Information and Related Technology framework, where the general framework for governance and management of information and its associated technology consists of a set of foundations, basic principles, the first of which is the strategic alignment which must be achieved through the IT strategic objectives that must lead to the achievement of the Bank's strategic objectives. The Bank should also use its IT resources (Resource Optimisation) within the available alternatives to maximise added value (Benefit Realisation), as assessed primarily by the criterion of information technology's contribution to accomplishing the Bank's strategic objectives and focus on IT risk management (Risk Optimisation). In an integrated manner that is consistent with the bank's overall risk management processes and in accordance with sound procedures and practices that lead to sound risk-based decision-making mechanisms and ensure the achievement of added value at the lowest costs while mitigating expected losses and risks as much as possible within the limits of acceptable risks.

Furthermore, the Senior Management (the Board of directors and Executive Management) shall engage in organisational planning and corporate processes by developing strategies, policies, and action plans, as well as building and adapting hierarchical and circular organisational structures (in the form of committees) in a way that leads to the achievement of strategic goals and the development of mechanisms, tools, and standards that measure the added value of information technology. Receiving feedback is also important for continual growth and development, all while adhering to the principle of separating responsibilities and functions and correctly distributing them among the Board of Directors and Executive Management.

Based on Bank al Etihad's belief in the importance of IT governance and management and its positive impact on the Bank's integrity, the Board of Directors has decided to adopt this Manual ("COBIT Manual"). The COBIT Manual has been developed in accordance with the Central Bank of Jordan's COBIT Manual. It complies with and complements the Bank's Corporate Governance Manual and the Central Bank's Corporate Governance Regulations for Banks and conforms to international best practices regarding IT governance and management. This Manual has been adopted by the Board and will be reviewed and updated by the Board's IT Governance Committee whenever the need arises.

Section 2: Definitions

The words and expressions contained in this manual shall have the meanings specified thereafter unless the context indicates otherwise. The Banking Law shall be referred to regarding any other definitions not set forth in this Manual:

1. **IT governance:** the process of optimising the distribution of roles and responsibilities among the various parties and stakeholders (e.g. the Board of Directors and the Executive Management), to maximise the Bank's added value. This is achieved through the implementation of policies, procedures, and organisational structures that guide strategic alignment, resource optimisation, and risk management. The framework enables the Bank to balance risks and anticipated revenues while maintaining high standards of integrity and compliance with applicable laws and regulations. It also includes mechanisms for monitoring and ensuring compliance with strategic objectives, contributing to the Bank's sustainability and development.
2. **Management of accompanying Information Technology:** This encompasses a set of ongoing activities falling under the responsibility of the executive management. These activities include planning, aimed at achieving strategic objectives, including alignment and organization; construction and development activities, encompassing procurement and implementation; operational activities, including service delivery and support; monitoring activities, involving measurement and evaluation; and ensuring the continuity of achieving the bank's objectives and its strategic directions.
3. **Governance and management objectives:** A set of continuous activities that fall under the responsibility of the Executive Management that are crucial to achieving the Bank's strategic objectives. These activities include planning, which involves alignment and organisation, construction, as well as development activities, such as procurement and implementation and operating activities, such as service delivery and support, as well as monitoring activities, such as measurement and evaluation.
4. **Information and associated technology objectives:** A set of main and subsidiary objectives related to the activities of IT governance and management necessary to achieve corporate objectives.
5. **Corporate objectives:** A set of objectives related to governance and corporate management necessary to achieve the needs of stakeholders and the objectives of this Manual.
6. **Board:** The Board of Directors of the Bank.
7. **Executive management:** Includes the Bank's General Manager, Deputy General Manager, Assistant General Manager, Chief Financial Officer, Operations Manager, Risk Manager, Treasury Manager and Compliance Manager.
8. **Stakeholders:** Any party with an interest in the Bank, such as shareholders, employees, creditors, customers, external suppliers, or concerned regulatory authorities.
9. **Auditor:** The (natural or legal) person or the body competent to examine the Bank's IT-based operations in line with the requirements of the instructions applicable in this regard with whom the Bank's management contracts to achieve those requirements for a period of not less than three consecutive years and not more than six consecutive years.

Section three: Corporate governance structure

The Corporate Governance structure is explained in detail in the Corporate Governance Manual.

Section four: IT governance and management objectives

1. Fulfilling the stakeholder's needs and achieving the bank's directions and objectives.

This can be done by achieving the IT objectives in a manner that guarantees:

1. Provision of high-quality information as a basis for supporting the Bank's decision-making mechanism.
2. Prudent management of IT resources and projects, maximising the utilisation of those resources and minimising unnecessary or inefficient use of them.
3. Provision of a distinct and supportive technological infrastructure that enables the Bank to achieve its objectives.
4. Improving the Bank's various operations by employing an efficient and reliable technological system.
5. Prudent management of IT risks to ensure the necessary protection of the Bank's assets.
6. Assistance in achieving compliance with the requirements of laws, legislations, and instructions, in addition to compliance with internal business strategies, policies, and procedures.
7. Improving the internal control system.
8. Maximising the level of satisfaction with IT by its users by fulfilling business needs efficiently and effectively.
9. Management of the services of outsourced parties assigned with executing various processes, tasks, services and products.

2. Achieving comprehensive IT governance and management

This can be realised by availing not only the technology itself but also the following Seven Enablers to accompany and complement the IT services:

1. Principles, Policies and Frameworks.
2. Governance and Management Objectives.
3. Organisational Structures.
4. Information and Reports.
5. Services, Programs and Infrastructure for Information Technology.
6. Contacts, Skills and Experiences.
7. Values, Ethics and Behavior System with the needed provision with specific specifications and dimensions to meet and fulfill the IT requirements and objectives not only in the IT processes but also in all the Bank's IT-based operations.

3. Adopting practices work rules and regulations

These should be in line with the best international standards and used as a foundation for launching the governance and management of IT processes, projects and resources.

4. Separation of processes and functions

This is to be realised by separating the Board's governance processes, functions and responsibilities from those falling within the jurisdiction of the Executive Management responsibility in respect of information and related technologies.

5. Enhancing the mechanisms of self-monitoring, independent oversight, and compliance checks

Enhancing self-monitoring mechanisms, independent oversight, and compliance checks in the areas of IT governance and management, in a way that contributes to the continuous improvement and development of performance.

Part 5: Overall objectives of governance and management

1. The Bank's Executive Management is expected to comply with the overall objectives of governance and management, with the Information Technology Steering Committee being primarily responsible for ensuring compliance. The Information Technology Governance Committee and the Board as a whole are ultimately responsible in this regard. All departments, especially the Information Technology Department, the Information Security Department, and the Project Management Department, are responsible for defining and refining their operations to align with the requirements of all governance and management objectives.
2. The Board and the Risk Management Department are directly responsible for evaluations, guidance, and oversight.
3. The Board and the Risk Management Department are directly responsible for ensuring the "prudent management of IT risks" and the "risk management" process.

Section Six: Publication of the IT governance manual

The Bank shall post its IT Governance Manual on its website and/or through any other appropriate means for the public's review. The Bank shall also declare in its Annual Report the existence of the IT Governance Manual as well as information of interest to stakeholders and the extent of its compliance in implementing the contents thereof. The application of the IT governance and management requirements is a first step and a starting point towards the continuous improvement and development of IT governance and management. Accordingly, the Bank's management must keep pace with future updates in the general framework.

Section Seven: Duties and responsibilities

The scope of implementing IT Governance instructions includes all the Bank's IT based operations in its various branches and departments. All stakeholders are deemed to be concerned with the implementation of the Manual, each according to their role and position. The following are the concerned parties and their main responsibilities:

1. The Chairman, Board members and the external experts hired.

   Assume the roles and responsibilities for general direction, approve of tasks and responsibilities, support, and provide the necessary funding.

2. The Chief Executive Officer , and his/her deputies, assistants, and operations managers and branch managers.

   Assume the responsibilities of naming the appropriate persons with experience in the Bank's operations to represent them and describe their functions and responsibilities.

3. IT Steering Committee

   Assume the roles and responsibilities of managing, directing, and supervising the implementation of the Manual, recommend the provision of the resources required for the conclusion thereof and ensure that all parties understand the requirements and objectives of the Manual correctly.

4. Internal Audit

   Assume the roles and responsibilities entrusted to them as mentioned in Clause VII and participate in what represents the role of internal auditing in executive matters as an independent consultant and controller.

5. Risk, Information Security, Compliance and Legal Departments

   Assume the roles and responsibilities of participating in the project/program that represents the function of such departments ensuring that the project/program is properly represented by all concerned parties.

6. Experts and Holders of Technical and Professional Certificates related to the COBIT 5 Foundation standard (e.g. COBIT 5 Assessor, COBIT 5 Foundation, COBIT 5 Implementation, and CGEIT) who are recruited from within and outside the Bank.

   Assume the role of a supervisor to disseminate knowledge and facilitate the implementation process.

Section Eight: Committees

IT governance committee

Committee formation

- The Committee is formed by a decision of the Board of Directors.
- The Committee is composed of at least three Board members. It is preferrable that members have experience or strategic knowledge in IT.
- The Committee elects one of its members as its President.
- The Board shall determine the Committee's objectives and delegate powers to it, in accordance with a Charter.

Committee's authorities

- The Committee may seek assistance, when necessary, and at the Bank's expense, from external experts, in the field of IT governance and strategic knowledge, in coordination with the Chairman of the Board, to enhance objective opinions.
- The Committee may invite any of the Bank's Executive Management to attend its meetings to seek their opinion, including those concerned with the internal audit and members of the executive management (such as the risk and compliance manager) or those concerned with the external audit.

Committee meetings

- The Committee shall operate under the supervision of the Board and submits its periodic reports and recommendations on the results of its performance.
- The Committee shall meet at the invitation of its Chairman on a quarterly basis at least, whenever needed, or upon a decision of the Board or at the request of any of its members.
- The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.
- The Committee shall take its decisions and recommendations by the majority of votes of those present. In the event of a tie, the side with which the President shall have the casting vote. The Committee shall maintain documented minutes of meeting.

Committee's secretary

The Chief Technical Officer (CTO) shall perform the duties of the Committee's Secretary.

Functions and responsibilities

The delegation of powers by the Board to the Committee or any other committee does not relieve the Board of its responsibilities in this regard. The Committee shall undertake the following functions:

1. Adoption of strategic objectives for Information Technology and appropriate organizational structures, including steering committees at the highest executive management level, particularly the Information Technology Steering Committee. This encompasses achieving and fulfilling the bank's strategic objectives, attaining optimal value-added from projects and investments in information technology resources, utilizing necessary tools and standards to monitor and ensure the realization of these goals, such as employing the Balanced IT Scorecards system and calculating the Investment On Return rate, and measuring the impact of contribution to increased financial and operational efficiency.
2. Approve the general framework for managing, controlling, and monitoring IT resources and projects, which simulates the best international standards in this regard, specifically (COBIT). This should be done in a manner to ensure the achievement of the goals and requirements of the IT governance instructions and issued by the Central Bank through the realisation of corporate objectives, IT matrix objectives, and IT governance processes.
3. Approve the corporate objectives matrix and IT objectives, while describing the secondary objectives required for the fulfilment thereof.
4. Approve the Responsibility Assignment Matrix (RACI Chart) for the main and sub-processes of IT governance, as well as the sub-processes stemming from it. This includes designating the primary responsible entity, entities, person, or parties (Responsible), those who are accountable (Accountable), those who are consulted (Consulted), and those who are informed (Informed) about all operations.

5. Ensure the existence of a general framework for IT Risk Management that conforms and integrates with the Bank's overall general framework for risk management, and takes into account and fulfills all governance and management objectives.
6. Approve IT resources and projects budget in line with the Bank's strategic objectives.
7. General supervision and review of the progress of IT operations, resources, and projects to ensure their adequacy and effective contribution to achieving the Bank's requirements and business activities.
8. View IT audit reports and take the necessary measures to address any deviations thereof.
9. Recommend to the Board of Directors the necessary measures required to rectify any deviations.
10. The IT Governance Committee, in addition to its tasks stipulated in the instructions, shall approve the importance and priority of governance and management goals and their relevance to the (Enterprise Goals and Alignment Goals), in addition to the other six enablers and components. It shall do so by relying on a qualitative and/or quantitative study prepared for this purpose at least annually. The said study shall take into account the Design Factors mentioned in Design Guide - COBIT 2019

IT steering committee

The IT Committee has been formed to ensure IT strategic alignment, resource optimisation, benefit realisation, and risk minimisation to sustainably fulfil the Bank's strategic objectives.

Committee formation

- The Committee is formed by a decision of the Senior Executive Management.
- The Committee will be chaired by the General Manager and include in its membership members of the Executive Management officers, including the Chief Technical Officer (CTO), the Risk Management Director and Information Security Director.
- The Board elects one of its members to act as a controller in addition to the Internal Audit Manager.

Committee's authorities

The Committee may invite others to attend its meetings to seek their opinion.

Committee meetings

- The Committee shall meet at least once every three months, or whenever the need arises.
- The Committee shall take its decisions and recommendations unanimously. If the votes are tied, the side with which the Committee Chairman voted will prevail. A record of the minutes of meetings will be kept.

Quorum

The meeting of the Committee shall be legal in the presence of at least 3 members of class (A) and 2 of class (B). The Committee shall consist of 15 members, where the General Manager, the Deputy General Manager, the CTO, and the Head of Risk Management shall be class (A), and the other members shall be class (B), and the Head of Internal Audit and a Board Member shall act as observer members.

Committee's secretary

The Chief Technical Officer (CTO) shall act as the Committee's Secretary.

Functions and responsibilities

The Committee shall undertake the following functions:

1. Develop annual plans aimed at realising the strategic objectives determined by the Board, continuously supervising the internal and external factors impacting them.
2. Link the corporate objectives matrix to the IT objectives matrix; approve and continuously review them to guarantee the achievement of the Bank's strategic objectives, and define, review, and monitor a set of measurement standards and assign the concerned persons from the Executive Management to continuously monitor same and apprise the Committee thereof.
3. Recommend the allocation of financial and non-financial resources necessary to achieve the goals and objectives of governance and management. The committee shall also recommend the use of qualified and suitable human resources through organisational structures that cover all necessary operations to support the objectives. It is important for the committee to consider the separation of tasks to avoid conflicts of interest, and to adapt the technological infrastructure and related services to serve the desired objectives. Additionally, the committee shall take over the supervision of the implementation of governance and management projects and objectives.
4. Prioritise IT projects and programs.
5. Monitor the level of technical and technological services and continuously work to upgrade and improve their efficiency.
6. Present the necessary recommendations to the IT Governance Committee regarding the following matters:
   - Allocate the necessary resources and mechanisms capable of achieving the functions of the IT Governance Committee.
   - Any deviations that may adversely affect the achievement of strategic goals.
   - Any unacceptable risks related to IT security.
   - Performance reports and compliance with the requirements of the general framework for managing and controlling IT resources and projects.
7. Provide the IT Governance Committee with the minutes of its meetings as soon as they are drafted and ensuring that they are duly reviewed.

Section Nine: Internal and external audits

a. The Board shall allocate adequate budgets and the necessary tools and resources, including the qualified personnel, through departments specialised in auditing IT, and ensure that both the Bank's Internal Audit Department and the external auditor are capable of reviewing and auditing the recruitment and management of IT resources and projects. This shall be done through qualified and internationally accredited professionals in this field who hold valid professional accreditation certificates, such as (CISA), from internationally qualified associations according to the standards set by international certification organisations and/or other equivalent standards.

b. The Board's Audit Committee along with the external auditors shall provide the Central Bank of Jordan with an annual report for the internal audit and another report for the external audit, each of which includes the response of the Executive Management and the review and recommendations of the Board thereon, as specified in item (D/2) of this article and the audit report template. This shall be made during the first quarter of the year.

c. The Audit Committee should include the responsibilities, powers, and scope of work for IT auditing within the audit charter, and within the procedures agreed upon with the external auditor.

d. The Board shall ensure, through the Audit Committee, that the internal and external auditors, when carrying out specialised IT auditing, comply with the following:
   1. IT Audit Standards according to the latest update of the International Standard (ITAF) issued by the Information Systems Audit and Control Association (ISACA), including:
      - Carrying out audit functions within an approved plan in this regard that considers the relative importance of operations, the level of risks, and the degree of impact on the Bank's objectives and interests.
      - Provision and compliance with ongoing training and education by specialised staff.
      - Commitment to the standards of professional and administrative independence and ensuring that there are no current or future conflicts of interest.
      - Compliance with the standards of objectivity, using due professional diligence, maintaining competitive and professional level of the required contacts and skills with profound knowledge of the Bank's IT-based mechanisms, audit reports and other audits (financial, operational, and legal), together with the ability to present evidence corresponding to the case and common sense in detecting unacceptable practices that violate the provisions of the laws, regulations, and instructions.

2. Examination, assessment and review of operations pertaining to the utilisation and management of IT resources and the Bank's operations based thereon and give a reasonable overall audit assurance in respect of the overall risk level related to IT Information within an audit scheme that comprises at least the areas indicated under the manual issued by the Central Bank; provided that the audit shall be repeated in respect of all areas or part thereof at least once every year should the risks be rated as either 4 or 5 on the risk rating scale, at least once every two years should the risks be rated 3, and at least once every three years should the risks be rated 1 or 2; subject to the ongoing change in the risk level and taking into account the fundamental changes occurring in the IT environment during the mentioned audit periods. The Central Bank of Jordan shall be furnished with the first audit reports regardless of the risk rating, provided that the assessment process of the said areas shall comprise the Bank's mechanisms in terms of strategic planning, drawing-up policies and principles, the written and approved operation procedures, methods of employing various resources including the IT resources and the human factor, monitoring, control, improvement and development mechanisms and tools. The outcomes of audits shall be duly documented and evaluated, based on the significance of weaknesses and shortcomings (observations) and activated controls, in addition to assessing the level of remaining risks pertaining to each of them using a systematic standard for measuring and analysing risks. This shall include the agreed corrective measures intended for implementation by the Bank's Management, on specific dates set for correction, indicating within a special schedule the title of the person responsible at the Bank to whom the respective observation belongs.
3. Regular procedures for following up on audit results to ensure that any issues identified in the auditor's reports are addressed within the specified timeframe. If the responsible parties fail to address these issues within the specified timeframe, the level of risk and importance should be raised, and the Board shall be kept informed as necessary.
4. Include an annual evaluation process, which should be carried out by the Board through the Audit Committee and in accordance with the organisational administrative hierarchy of the audit department's departments. The evaluation process should include objective measurement criteria that consider all of the information stated in point (d) above.
5. The Bank may outsource the internal IT audit services of IT Information to a specialised external entity that is completely independent of the approved external auditor, provided that all the requirements of the Central Bank's instructions in that regard and any other relevant instructions are fulfilled. The Board of Directors and its Audit Committee shall maintain their roles relating to the examination of compliance and ensure meeting such requirements, as a minimum.
6. The reports of the internal and external auditors are allowed to be approved by the Information Technology Governance Committee or the committee acting in its place, provided that the reports are shared with the Board.

Section Ten: Principles, policies and frameworks

- The Board, or the committees delegated by it, shall adopt the system of principles, policies, and frameworks required to achieve the general framework for managing, controlling, and monitoring IT resources and projects in a way that meets the requirements of governance and administration goals and objectives.
- The Board or its delegated committees shall approve the principles, policies, and frameworks, especially those related to IT risk management, information security management, and human resources management, which meet the requirements of governance and management objectives.
- The Board, or the committees delegated by it, shall approve the policies system required to manage the governance and management resources and objectives, provided that each policy owner shall determine the scope of implementation, review and updating frequency, access and distribution authorities, objectives, responsibilities, work procedures related thereto, penalties in case of non-compliance, and the examination mechanisms of compliance.
- All internal and external partners shall participate upon creating the policies adopting best international practices and update same as references for drafting such policies

Section Eleven: Organisational structures

- The Board shall approve the hierarchical organisational structures and committees, particularly those related to the management of IT resources, operations, and projects, or IT risk management, information security management, and human resources management, to meet the requirements of governance and management objectives, executive management, and the Bank's objectives efficiently and effectively.
- When approving and amending the Bank's organisational structures, it is important to ensure the separation of roles and meet bilateral control requirements, at minimum, as well as update and ensure the adequacy of job descriptions upon approving and modifying the Bank's organisational structures.

Section Twelve: Information and reports

- The Board and Senior Executive Management must develop the necessary infrastructure and information systems to provide information and reports for the users thereof, as a foundation upon which the Bank's decision-making processes are based. Accordingly, information quality requirements must be met, including credibility and confidentiality requirements and compliance with such information, in addition to other requirements stipulated by (COBIT 5 - Enabling Information).
- The Board, or its delegated committees, must adopt an information and reporting system that takes into account the identification of information and report owners. The system should delegate access and usage powers according to the needs of the work and concerned partners. The system should be continuously reviewed and developed to keep pace with the Bank's goals and operations and meet accepted international standards.

Section Thirteen: IT Services, tools, programs and infrastructure

- The Board, or its delegated committees and Senior Executive Management, must adopt the IT system of services, tools, programs, and infrastructure that support and assist in achieving the objectives of governance, management, and administration, as well as the IT objectives, and ultimately the corporate objectives.
- The Board, or its delegated committees and Senior Executive Management, must approve the IT system of services, tools, programs, and infrastructure, and ensure that it is provided and developed on a continuous basis to keep pace with the development of the Bank's objectives and operations in line with the best acceptable international practices in this regard.

Section Fourteen: Knowledge, skills, and experience

- The Board, or its delegated committees, must adopt the HR Competencies Matrix and HR management policies necessary to meet the requirements of governance and management objectives, and the requirements of the Central Bank of Jordan instructions in general and ensure that the right person is placed in the right position.
- The Bank's management must employ qualified and trained professionals with experience in IT resource management, risk management, information security management, and IT audit management, based on academic and professional knowledge and practical experience recognised by qualified international associations in accordance with international accreditation standards for donor institutions for professional certificates and/or any other parallel standards, each according to their specialisation.
- The Bank's Executive Management must continue with enrolling its personnel in ongoing training and education schemes for maintaining a high level of knowledge and skills in a manner that fulfills and realises governance and management objectives.
- The annual performance evaluation mechanisms of Bank's Executive Management shall comprise objective measuring standards that take into consideration participation through the job position in realising the Bank's objectives.

Section Fifteen: Values, ethics, and behaviours

- The Board, or the delegated committees, must adopt a corporate and professional ethics system that reflects the accepted international professional code of conduct for dealing with information and related technologies, which shall clearly define desirable and undesirable behaviors and their repercussions.
- The internal and external auditor must comply with the code of ethics and professional practices conduct approved by the Board so that it includes, at a minimum, the system of professional ethics contained in the International Standard (ITAF) issued by the Information Systems Audit and Control Association (ISACA) and its updates.
- The Board and the Senior Executive Management must employ a variety of tools to promote the use of desirable behaviours and discourage the use of undesirable behaviours by methods of a rewards and penalties system.

Section Sixteen: Outsourcing

The Bank shall, upon concluding outsourcing agreements with external parties for the purpose of providing IT human resources, services, programs and infrastructure to manage the bank's operations, the bank shall make sure that such external parties comply with the implementation of the COBIT 5 instructions, whether totally or partially commensurate with the importance and nature of the Bank's operations, services, programs and infrastructure provided before and during the contract duration. The Board of Directors and Senior Executive Management shall not be relieved from the ultimate responsibility for fulfilling the requirements of all instructions, including the audit requirements.

Statement of compliance with COBIT manual

Bank al Etihad is fully committed to complying with the instructions of the Central Bank of Jordan regarding the governance of information technology.

Consolidated financial statements for the Year ended December 31, 2022

Independent Auditor Report

AM/ 010932

To the Shareholders

Bank al Etihad

(A Public Shareholding Limited Company)

Amman – The Hashemite Kingdom of Jordan

Report on the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Bank Al Etihad (A Public Shareholding Limited Company) "The Bank" and its subsidiaries ("The Group"), which comprise the consolidated statement of financial position as of December 31, 2022, the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in owners' equity, consolidated statement of cash flows for the year, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Bank as of December 31, 2022, and its consolidated financial performance and its cash flows for the year in accordance with International Financial Reporting Standards (IFRSs) as adopted by the Central Bank of Jordan.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Jordan, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

The accompanying consolidated financial statement are a translation of the original consolidated financial statements, which are in the Arabic language, to which reference should be made.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current year. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

For each matter below, our description of how our audit addressed the matter is provided in that context:

Key audit matters	How our audit addressed the key audit matter
1. Allowance for Credit Losses on Credit Facilities As described in Notes 9 to the consolidated financial statements, the Bank had direct credit facilities of JOD 3,991 million as at 31 December 2022 representing 60% of total assets. The Bank also had indirect credit facilities of JOD 1,412 million, which are not recognized in the Statement of Financial Position. The total allowance for expected credit losses relating to these facilities was JOD 177 million. The determination of the Banks's expected credit losses for credit facilities is a material and complex estimate requiring significant management judgement in the evaluation of the credit quality and the estimation of inherent losses in the portfolio. The financial statement risk arises from several aspects requiring substantial judgement of management, such as the estimation of probabilities of default and loss given defaults for various stages, the determination of significant increase in credit risk (SICR) and credit-impairment status (default), the use of different modelling techniques and consideration of manual adjustments. In calculating expected credit losses, the bank considered credit quality indicators for each loan and portfolio, stratifies loans and advances by risk grade and estimates losses for each loan based upon their nature and risk profile. The Bank's expected credit losses are calculated against credit exposures, according to the requirements of International Financial Reporting Standard 9 Financial Instruments (IFRS 9) as adopted by the Central Bank of Jordan (CBJ). Credit exposures granted directly to the Jordanian Government as well as credit exposures guaranteed by the Jordanian Government are excluded from the determination of the allowance for expected credit losses. In addition, expected credit losses are also adjusted to take into consideration any special arrangements with the Central Bank of Jordan.	We established an audit approach which includes both testing the design and operating effectiveness of internal controls over the determination of expected credit losses and risk-based substantive audit procedures. Our procedures over internal controls focused on the governance over the process controls around the ECL methodology, completeness and accuracy of credit facilities data used in the expected loss models, management review of outcomes, management validation and approval processes, the assignment of borrowers' risk classification, consistency of application of accounting policies and the process for calculating allowances. The primary procedures which we performed to address this key audit matter included, but were not limited to, the following: • For a risk-based sample of individual loans, we performed a detailed credit review, assessed the appropriateness of information for evaluating the credit-worthiness and staging classification of individual borrowers and challenged the assumptions underlying the expected credit loss allowance calculations, such as estimated future cash flows, collateral valuations and estimates of recovery as well as considered the consistency of the Bank's application of its impairment policy. Further, we evaluated controls over approval, accuracy and completeness of impairment allowances and governance controls, including assessing key management and committee meetings that form part of the approval process for credit impairment allowances; • For credit facilities not tested individually, we evaluated controls over the modelling process, including model monitoring, validation and approval. We tested controls over model outputs and the mathematical accuracy and computation of the expected credit losses by re-performing or independently calculating elements of the expected credit losses based on relevant source documents with the involvement of our credit specialists. We challenged key assumptions, inspected the calculation methodology and traced a sample back to source data. We evaluated key assumptions such as thresholds used to determine SICR and including the related weighting;

Key audit matters	How our audit addressed the key audit matter
Recognition of specific allowances on impaired facilities under the CBJ instructions is based on the rules prescribed by the CBJ on the minimum allowances to be recognized together with any additional allowances to be recognized based on management's estimate of expected cash flows related to those credit facilities. In calculating expected credit losses, the Bank considered credit quality indicators for each loan and portfolio, stratified credit facilities by risk grades and estimated losses for each facility based upon their nature and risk profile. Auditing these complex judgements and assumptions involves especially challenging auditor judgement due to the nature and extent of audit evidence and effort required to address these matters and therefore this item is considered to be a key audit matter.	• We evaluated post model adjustments and management overlays in the context of key model and data limitations identified by the Bank in order to assess these adjustments, focusing on PD and LGD used for corporate loans, and challenged their rationale; • We assessed the amendments made by management by evaluating the model adjustments in relation to macroeconomic factors and the forward-looking scenarios which were incorporated into the impairment calculations by utilizing our internal specialists to challenge the multiple economic scenarios chosen and weighting applied to capture non-linear losses; and • We determined if the amount recorded as the allowance for expected credit losses was determined in accordance with the instructions of the Central Bank of Jordan. • We assessed the disclosure in the consolidated financial statements relating to this matter against the requirements of IFRSs.

2. IT systems and controls over financial reporting

The Bank is vitally dependent on its complex information technology environment for the reliability and continuity of its operations and financial reporting process due to the extensive volume and variety of transactions which are processed daily across the Bank's businesses; this includes cyber risks.

Inappropriate granting of or ineffective monitoring of access rights to IT systems therefore presents a risk to the accuracy of financial accounting and reporting. Appropriate IT controls are required to protect the Bank's IT infrastructure, data and applications, ensure transactions are processed correctly and limit the potential for fraud and error as a result of change to an application or underlying data.

Unauthorized or extensive access rights cause a risk of intended or unintended manipulation of data that could have a material effect on the completeness and accuracy of financial statements. Therefore, we considered this area as key audit matter.

Our audit approach depends to a large extent on the effectiveness of automated controls and IT-dependent manual controls and therefore we performed an understanding of the Bank's IT related control environment and identified IT applications, databases and operating systems that are relevant for the financial reporting process and to our audit:

For relevant IT-dependent controls within the financial reporting process we identified, with the involvement of our internal IT specialist, supporting general IT controls and evaluated their design, implementation and operating effectiveness. We performed an understanding of applications relevant for financial reporting and testing key controls particularly in the area of access protection, integrity of system interfaces and linkage of such controls to the reliability, completeness and accuracy of financial reporting including computer-generated reports used in financial reporting. Our audit procedures covered, but were not limited to, the following areas relevant for financial reporting:

- General IT controls relevant to automated controls and computer-generated information covering access security, program changes, data centre and network operations.
- Controls relating to access permissions to IT systems for new employees or employees changing roles, whether that access was subject to appropriate screening and approved by the authorized personnel.

Key audit matters	How our audit addressed the key audit matter
	• Controls regarding the removal of an employee or former employee access rights within an appropriate period of time after having changed roles or leaving the Bank. • Controls regarding the appropriateness of system access rights for privileged or administrative authorizations (superusers) being subject to a restrictive authorization assignment procedure and regular review thereof. • Password protection, security setting regarding modification of applications, databases and operating systems, the segregation of department and IT user and segregation of employees responsible for program development and those responsible for system operations. • Key automated controls on significant IT systems relevant to business processes. • Computer generated information used in financial reports from relevant applications; and we performed journal entry testing as stipulated by International Standards on Auditing.

Other information

Management is responsible for other information. The other information consists of information provided in the annual report other than the consolidated financial statements and the related auditor's report. We expect that the annual report will be provided to us after the date of our report. Our opinion on the consolidated financial statements does not include the other information, and we do not express any form of assurance or conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs as adopted by the Central Bank of Jordan, and for such internal control as management determines necessary to enable the preparation of the consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Obtain sufficient and appropriate audit evidence regarding the consolidated financial information of the entities or business activities within the Group ("The Bank and its subsidiaries") to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and implementation of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period, and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

The Bank maintains proper books of accounts, which are in agreement with the consolidated financial statements. We recommend that the General Assembly of Shareholders approve these consolidated financial statements.

Amman – The Hashemite Kingdom of Jordan

February 27, 2023

Deloitte & Touche (M.E.) – Jordan

Deloitte & Touche (M.E.)
ديلويت اند توش (الشرق الأوسط)
010105

List (A)

	Note	December 31,	
		2022	2021
		JOD	JOD
ASSETS:			
Cash and balances at the Central Bank of Jordan	5	761,806,411	934,430,468
Balances at banks and financial institutions - net	6	207,342,608	541,476,707
Deposits at banks and financial institutions - net	7	14,013,824	8,770,685
Financial assets at fair value through statement of profit or loss	8	18,423,896	18,296,366
Direct credit facilities and financing - net	9	3,991,118,781	3,351,124,328
Financial assets at fair value through other comprehensive income	10	61,301,069	44,159,121
Financial assets at amortized cost - net	11	1,325,766,644	1,099,096,231
Investments in associates	12	345,954	343,708
Property and equipment - net	13	68,516,377	66,425,046
Deferred tax assets	21/b	32,820,280	27,747,673
Right of use assets - net	43	29,461,656	27,555,989
Intangible assets - net	14	26,893,693	27,451,684
Other assets - net	15	153,079,760	115,643,211
TOTAL ASSETS		6,690,890,953	6,262,521,217
LIABILITIES AND OWNERS' EQUITY:			
LIABILITIES:			
Banks' and financial institutions' deposits	16	337,850,140	316,782,838
Customers' deposits	17	5,186,344,444	4,910,374,102
Cash margins	18	257,368,027	244,827,786
Borrowed funds	19/a	141,707,946	108,566,531
Subordinated loans	19/b	46,115,000	21,300,000
Sundry provisions	20	631,897	858,903
Leasing liabilities	43	29,680,581	27,366,812
Income tax provision	21/a	28,930,915	21,931,794
Deferred tax liability	21/b	844,854	161,769
Other liabilities	22	101,380,499	80,883,165
TOTAL LIABILITIES		6,130,854,303	5,733,053,700
OWNERS' EQUITY:			
BANK'S SHAREHOLDERS' EQUITY:			
Authorized and paid-up capital	23	160,000,000	160,000,000
Share premium	23	80,213,173	80,213,173
Statutory reserve	24	76,227,974	68,169,340
Voluntary reserve	24	51,192,173	46,167,117
Fair value reserve - net	26	6,482,816	1,741,270
Retained earnings	27	78,930,524	71,721,054
TOTAL BANK'S SHAREHOLDERS' EQUITY		453,046,660	428,011,954
Non-controlling interests		106,989,990	101,455,563
TOTAL OWNERS' EQUITY		560,036,650	529,467,517
TOTAL LIABILITIES AND OWNERS' EQUITY		6,690,890,953	6,262,521,217

The accompanying notes from (1) to (49) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (B)

	Note	For the Year Ended December 31,	
		2022	2021
		JOD	JOD
Interest income and returns	30	315,768,650	261,400,698
Interest and debit expenses	31	135,119,493	104,197,790
Net Interest Income and Returns		180,649,157	157,202,908
Net commission income	32	33,768,587	26,002,840
Net interest, returns and commission income		214,417,744	183,205,748
Gain from foreign currencies	33	11,440,002	6,840,488
(Loss) gain from financial assets at fair value through statement of profit or loss	34	(1,484,919)	2,141,994
(Loss) gain from financial assets at amortized costs		(45,933)	758,949
Dividends from financial assets at fair value through other comprehensive income	10 & 35	690,867	469,491
Other income	36	1,998,383	2,159,068
Total Income		227,016,144	195,575,738
Employees' expenses	37	57,467,355	48,751,704
Depreciation and amortization	13 & 14	15,563,353	14,591,384
Other expenses	38	40,802,634	31,643,398
Right-of-use assets depreciation	43	4,187,342	3,819,862
Rent expense	43	558,065	463,109
Financing costs	43	1,171,165	1,027,420
Allowance for expected credit loss	28	34,237,331	28,892,263
Provision for impairment of seized assets	15	895,181	1,678,632
Sundry provisions	20	407,782	(474,995)
Total Expenses		155,290,208	130,392,777
Profit from operations		71,725,936	65,182,961
Bank's share from associates profits	12	8,496	451
Profit for the year before tax		71,734,432	65,183,412
Income tax	21/a	(27,934,009)	(23,758,117)
Profit for the Year		**43,800,423**	**41,425,295**
Attributable to:			
Bank's Shareholders		34,327,652	32,499,895
Non-Controlling Interests		9,472,771	8,925,400
		43,800,423	**41,425,295**
		JOD/ FILS	JOD/ FILS
Basic and diluted earnings per share for the year attributable to the Bank's Shareholders	39	215/-	203/-

The accompanying notes from (1) to (49) constitute an integral part of these consolidated financial statements and should be read with them and with the audit report.

List (C)

	For the Year Ended December 31,	
	2022	2021
	JOD	JOD
Profit for the Year	43,800,423	41,425,295
Comprehensive income items		
Items that will not be reclassifiable to the consolidated statement profit or loss in the subsequent period		
Net change in fair value reserve after tax	6,766,050	3,924,815
Total Comprehensive Income for the Year	**50,566,473**	**45,350,110**
Comprehensive income Attributable to:		
Bank's Shareholders	41,084,617	36,424,710
Non-Controlling Interests	9,481,856	8,925,400
	50,566,473	**45,350,110**

The accompanying notes from (1) to (49) constitute an integral part of these consolidated financial statements and should be read with them and with the audit report.

List (D)

	Notes	Authorized paid-up Capital	Share Premium	Reserves			Retained * Earnings	Total Shareholder's Equity	Non-Controlling Interests	Total Owners' Equity
				Statutory	Voluntary	Fair Value				
		JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
For the Year Ended December 31, 2022										
Beginning balance for the year		160,000,000	80,213,173	68,169,340	46,167,117	1,741,270	71,721,054	428,011,954	101,455,563	529,467,517
Total comprehensive income for the year		-	-	-	-	6,756,965	34,327,652	41,084,617	9,481,856	50,566,473
Transferred to reserve		-	-	8,058,634	5,025,056	-	(13,083,690)	-	-	-
Dividends distributed		-	-	-	-	-	(16,000,000)	(16,000,000)	(3,583,201)	(19,583,201)
Net change in non-controlling interests as a result of the increase in shares of a subsidiary	2	-	-	-	-	-	(49,911)	(49,911)	(364,228)	(414,139)
Realized gain from sale financial assets at fair value through other comprehensive income	10	-	-	-	-	(2,015,419)	2,015,419	-	-	-
Ending Balance for the Year		**160,000,000**	**80,213,173**	**76,227,974**	**51,192,173**	**6,482,816**	**78,930,524**	**453,046,660**	**106,989,990**	**560,036,650**
For the Year Ended December 31, 2021										
Beginning balance for the year		160,000,000	80,213,173	61,004,473	41,829,012	(2,609,036)	67,518,099	407,955,721	98,447,621	506,403,342
Total comprehensive income for the year		-	-	-	-	3,924,815	32,499,895	36,424,710	8,925,400	45,350,110
Transferred to reserve		-	-	7,164,867	4,338,105	-	(11,502,972)	-	-	-
Dividends distributed		-	-	-	-	-	(16,000,000)	(16,000,000)	(3,727,785)	(19,727,785)
Net change in non-controlling interests as a result of the increase in shares of a subsidiary	2	-	-	-	-	-	(368,477)	(368,477)	(2,189,673)	(2,558,150)
(Loss) realized from sale financial assets at fair value through other comprehensive income	10	-	-	-	-	425,491	(425,491)		-	-
Ending Balance for the Year		**160,000,000**	**80,213,173**	**68,169,340**	**46,167,117**	**1,741,270**	**71,721,054**	**428,011,954**	**101,455,563**	**529,467,517**

* A restricted balance from the retained earnings which amounted to JOD 32,820,280 as of December 31, 2022 (JOD 27,326,810 as of December 31, 2021), represents deferred tax asset and according to the Central Bank of Jordan, these amounts cannot be used unless a prior approval is obtained.

* Retained earnings balance includes an amount of JOD 711,364 which represents unrealized gain from revaluation of financial assets at fair value through profit or loss.

- It is forbidden to use the excess from the general banking risk reserve balance of JOD 108,397 transferred to retained earnings as of December 31, 2022 and 2021 that belongs to Safwa Islamic Bank without the Central Bank of Jordan's prior approval.

The accompanying notes from (1) to (49) constitute an integral part of these consolidated financial statements and should be read with them and with the audit report.

List (E)

	Note	For the Year Ended December 31,	
		2022	2021
		JOD	JOD
Operating Activities			
Profit before tax		71,734,432	65,183,412
Adjustments for non-cash items			
Depreciation and amortization	14 & 13	15,563,353	14,591,384
Provision for expected credit loss	28	34,237,331	28,892,263
Right-of-use assets depreciation	43	4,187,342	3,819,862
Interest on lease liabilities	43	1,171,165	1,027,420
Loss (gain) from sale of financial assets at amortized cost	11	45,933	(758,949)
Provision for impairment on seized assets	15	895,181	1,678,632
Unrealized loss (gains) from financial assets	34	1,466,882	(851,352)
Loss from sale of property and equipment	38	115,477	24,934
(Gain) from the valuation of convertible loans		(262)	(9,553)
Sundry provisions - net	20	407,782	(474,995)
Bank's share from associate company	12	(8,496)	(451)
(Gain) loss from sale of seized assets	38 & 36	(898,236)	80,567
Effect of exchange rate fluctuations on cash and cash equivalents	33	(1,521,470)	(1,796,735)
Profit before changes in assets and liabilities		**127,396,414**	**111,406,439**
Changes in Assets and Liabilities			
(Increase) in restricted cash balances		(2,243,232)	(2,447)
(Increase) in financial assets at fair value through of profit or loss		(1,594,412)	(2,225,118)
(Increase) in banks and financial institutions' deposits with maturity exceeding 3 months		(5,248,639)	(4,322,868)
(Decrease) increase in deposits at banks and financial institutions with maturity exceeding 3 months		(11,585,474)	29,000,000
(Increase) in direct credit facilities and financing		(675,077,583)	(427,140,073)
(Increase) in other assets		(37,433,232)	(17,649,052)
Increase in customers' deposits		275,970,342	907,363,110
Increase (decrease) in cash margins		12,540,241	(6,474,673)
Increase in other liabilities		21,190,378	11,876,176
Net Cash Flows (used in) from Operating Activities Before Tax and Provisions settlements		**(296,085,198)**	**601,831,494**
Income tax paid	21/a	(26,590,128)	(30,374,240)
Sundry provisions paid	20	(634,788)	-
Net Cash Flows (used in) from Operating Activities		**(323,310,114)**	**571,457,254**
Investing Activities			
(Purchase) of financial assets at fair value through other comprehensive income		(9,110,181)	(6,646,443)
Matured financial assets at amortized cost	11	275,613,794	203,587,969
(Purchase) of financial assets at amortized cost	11	(502,351,600)	(398,076,566)
(Purchase) of property and equipment and payments for purchase of property and equipment	13	(10,996,926)	(6,313,532)
Proceeds from sale of property and equipment	13	188,870	76,889
(Increase) in intangible assets	14	(6,404,113)	(6,427,704)
Cash dividends collected from an associate company	12	6,250	6,250
Net Cash flows (used in) Investing Activities		**(253,053,906)**	**(213,793,137)**
Financing Activities			
Dividends distributed to shareholders		(19,682,947)	(19,822,937)
Increase in borrowings	19/a	33,141,415	18,414,528
Increase in subordinated loans	19/b	24,815,000	-
Payments of lease liability	43	(4,588,409)	(4,160,929)
Repayment of part of lease liability interest	43	(361,996)	(297,959)
Net change in non-controlling interests as a result of the increase in the ownership of a subsidiary		(414,139)	(2,558,150)
Net Cash Flows from (used in) Financing Activities		**32,908,924**	**(8,425,447)**
Net (decrease) increase in cash and cash equivalent		**(543,455,096)**	**349,238,670**
Effect of the change in exchange rates on cash and cash equivalents	33	1,521,470	1,796,735
Cash and cash equivalents - Beginning of the year		1,205,726,235	854,690,830
Cash and Cash Equivalents - End of the Year	40	**663,792,609**	**1,205,726,235**
Non cash items:			
(Increase) in right of use assets		(6,316,819)	(4,491,057)
Increase in leasing liabilities		6,316,819	4,491,057

The accompanying notes from (1) to (49) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

1. General information

- Bank al Etihad is a public shareholding company incorporated in Jordan during 1978, in accordance with the Companies Law No (12) of (1964). Its main branch is located in Amman, and the Company was transformed into a bank during the year 1991.
- The Bank provides all of its financial and banking services through its main branch located in Amman and through its Fifty-eight branches and its subsidiaries in Jordan, and the number of Safwa Bank branches inside the Kingdom reached forty-two branches and its subsidiary.
- The Bank's shares are listed and traded on Amman Stock Exchange - Jordan.
- The consolidated financial statements were approved by the Board of Directors on February 26, 2023, and are subject to approval by the General Assembly of Shareholders.

2. Summary of significant accounting policies

Basis of preparation of the consolidated financial statement

- The accompanying consolidated financial statement of the Bank and its subsidiaries have been prepared in accordance with the standards issued by the International Accounting Standards Board, and interpretations of the International Financial Reporting Interpretation Committee arising from the International Accounting Standards Board, as adopted by Central Bank of Jordan.

  The main differences between IFRSs as they should be applied and what has been adopted by the Central Bank of Jordan are as follows:

a. Expected credit losses allowances are calculated in accordance with the Central Bank of Jordan (CBJ) instructions international financial reporting standard No. 9 and in accordance with the Central Bank of Jordan instructions whichever is more strict, the main significant differences are as follows:
   - Debt instruments issued or guaranteed by the Jordanian government are excluded, so that credit exposures issued or guaranteed by the Jordanian government are treated with no credit losses.
   - When calculating credit losses against credit exposures, the results of the calculation are compared in accordance with IFRS no. (9) with the instructions of the Central Bank of Jordan no. (47/2009) dated December 10,2009 for each stage separately and considering the extreme outcome.
   - The provision for expected credit loss is amended, taking into consideration any special instructions from the Central Bank, (if applicable).
   - In some special cases, the Central Bank of Jordan agrees to special arrangements for calculating and recording an allowance for expected credit losses for clients of direct credit facilities over a specified period.
   - Facilities related to government project extracts (transfer of government dues) are excluded from the classification when calculating allocations.
   - Based on the two circulars of the Central Bank of Jordan to banks operating in Jordan no .4375/3/10 and 14960/3/10 issued on March 15, 2020 and November 22, 2020, it is permissible for the bank to postpone the instalments due or due on some customers without considering this as a structure, and without also effecting the customer's credit rating.

b. Interest and commissions on non-performing credit facilities granted to clients are suspended, in accordance with the instructions of the Central Bank of Jordan.

c. Assets seized by the Bank in fulfillment of debts are shown in the consolidated statement of financial position, among other assets, at their current value when seized by the Bank or at their fair value, whichever is lower. Furthermore, they are reassessed on the date of the Interim consolidated financial statements separately, and any decrease in value is recorded in the consolidated statement of profit or loss while any increase in value is not recorded as revenue. In addition, any subsequent increase is taken to the statement of profit or loss to the extent of not exceeding the previously recorded value. A gradual provision has been taken according to the Central Bank of Jordan's Circular No. 10/3/13246 dated September 2, 2021, (5%) annually of the total book values of that real estate starting from the year 2022, so that the required percentage of (50%) of that real estate is reached, by the end of 2030, . In accordance to the instructions of the Central Bank of Jordan no.10/3/16234 dated October 10, 2022, no further calculation for a gradual provision is recorded against real estate that is seized by the bank against debts provided keeping the balance of provisions for seized real estate which violate banks instructions, the provisions should be released against seized real estates that have been disposed.

- The consolidated financial statements are prepared under the historical cost convention, except for financial assets and liabilities at fair value through profit or loss, financial assets at fair value through other comprehensive income and financial derivatives stated at fair value as of the date of the consolidated financial statements. Furthermore, hedged financial assets and financial liabilities are stated at fair value.
- The reporting currency of the consolidated financial statements is the Jordanian Dinar, which is the functional currency of the Bank.
- The accounting policies adopted in preparing the consolidated financial statements are consistent with those applied in the year ended December 31, 2021, except for the effect of what is stated in Note 3 – (a) and (b):

Basis of consolidation

- The accompanying consolidated financial statements include the financial statements of the Bank and the subsidiaries under its control. Moreover, control is achieved when the Bank has the ability to control the investee company, the company is exposed to variable returns or has rights to participate in the investee company, and the Bank is able to use its authority over the investee company and affects its revenue.
- Transactions, balances, revenue and expenses are eliminated between the Bank and its subsidiaries.
- The financial statements of the subsidiaries are prepared for the same financial year using the same accounting policies adopted by the Bank. If the accounting policies adopted by a subsidiary are different from those used by the Bank, the necessary adjustments to the financial statements of the subsidiary are made to comply with the accounting policies followed by the Bank.
- The results of the subsidiaries' operations are consolidated within the consolidated statement of profit or loss effective from their acquisition date, which is the date on which control over subsidiaries is effectively transferred to the Bank. Furthermore, the results of the disposed of subsidiaries are consolidated in the consolidated statement of profit or loss up to the date of their disposal, which is the date on which the Bank loses control over the subsidiaries.
- Non-controlling interests represent that part of equity that is not owned by the Bank. Non-controlling interests in the net assets of the subsidiary are presented separately in the Bank's consolidated statement of changes in owner's equity.

The Bank owns the following subsidiaries as of December 31, 2022:

Company's Name	Ownership of the Bank	December 31, 2022		Nature of Operation	Established year	Location	For the year ended December 31, 2022			
		Paid-up Capital	Investment amount				Total Assets	Total Liabilities	Total Revenues	Total Expenses
	%	JOD	JOD				JOD	JOD	JOD	JOD
Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan	10,689,988	904,385	804,347	(385,498)
Etihad for Financial Leasing Company L.L.C	100	12,000,000	12,000,000	Finance leasing	2015	Jordan	46,654,874	31,361,155	3,177,359	(2,106,604)
Etihad Islamic Investment Company L.L.C*	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan	114,583,584	33,732	3,742,215	(10,359)
Etihad for Financial Technology Company	100	100,000	100,000	Manufacturing, programming, development and supplying of programs	2019	Jordan	934,139	966,136	2,540,316	(2,658,214)
TOTAL		130,139,028	82,662,636							

The Bank owns the following subsidiaries as of December 31, 2021:

Company's Name	Ownership of the Bank	December 31, 2021		Nature of Operation	Established year	Location	For the year ended December 31, 2021			
		Paid-up Capital	Investment amount				Total Assets	Total Liabilities	Total Revenues	Total Expenses
	%	JOD	JOD				JOD	JOD	JOD	JOD
Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan	12,161,447	794,693	677,899	(371,542)
Etihad for Financial Leasing Company L.L.C	100	10,000,000	10,000,000	Finance leasing	2015	Jordan	27,088,634	14,955,670	2,315,753	(1,409,692)
Etihad Islamic Investment Company L.L.C*	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan	114,197,423	29,427	3,742,215	(7,500)
Etihad for Financial Technology Company	100	100,000	100,000	Manufacturing, programing, development and supplying of programs	2019	Jordan	747,564	661,663	376,736	(414,104)
TOTAL		128,139,028	80,662,636							

* Etihad Islamic Investment Company owned a percentage of 62.4% in Safwa Islamic Bank where the total asset amounted to JOD 2,584,117,255 total liability amounted to JOD 473,995,486 total revenue amounted to JOD 54,057,499 and total expenses amounted to JOD 29,637,524.

- Bank al Etihad owns shares in Safwa Islamic Bank directly, amounting to around 1.57% of the total shares of Safwa Islamic Bank.

Control is achieved when the Bank:

- Has power over the investee.
- Is exposed, or has rights, to variable returns from its involvement with the investee; and
- Has the ability to use its power to affect the investee's returns.

The Bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the elements of control listed above.

When the Bank has less than the majority of the voting rights of an investee, it considers that it has control over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. In this regard, the Bank considers all relevant facts and circumstances in assessing whether or not the Bank's voting rights in an investee are sufficient to give it control, including:

- The size of the Company's holding of voting rights relative to the size and dispersion of other voting rights;
- Potential voting rights held by the Company, other vote holders or other parties;
- Rights arising from other contractual arrangements; and
- Any additional facts and circumstances that indicate that the Bank has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be taken, including voting patterns at previous shareholders' meetings.

When it loses control of a subsidiary, the Bank performs the following;

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary.
- Derecognizes the book value of any non-controlling interests.
- Derecognizes transfer differences restricted in Owners' Equity.
- Derecognizes the fair value to the next controlling party.
- Derecognizes the fair value of any investment retained.
- Derecognizes any gain or loss in the profit or loss statement.
- Reclassifies owners' equity already booked in other comprehensive income to the consolidated profit or loss statement or retained earnings as appropriate.

The subsidiaries' financial statements are prepared under the same accounting policies adopted by the Bank. If the subsidiaries apply different accounting policies than those used by the Bank, the necessary modifications shall be made to the subsidiaries' financial statements to make them comply with the accounting policies used by the Bank.

The non-controlling interests represent the portion not owned by the Bank relating to ownership of the subsidiaries.

Segment information

- Business segments represent a group of assets and operations that jointly provide products or services subject to risks and returns different from those of other business sectors measured in accordance with the reports sent to the executive management and main decision makers of the Bank.
- The geographical sector relates to providing products or services in a specific economic environment subject to risks and returns different from those of sectors functioning in other economic environments.

Net interest income

Interest income and expense for all financial instruments, except for those classified as held for trading, or those measured or designated as at fair value through the consolidated statement of profit or loss, are recognized in "Net interest income" as "Interest income" and "Interest Expense" in the statement of profit or loss using the effective interest method. In Addition, the interest on financial instruments measured as at fair value through the statement of profit or loss is included within the fair value movement during the year.

The effective interest rate (EIR) is the rate that exactly discounts the estimated future cash flows of the financial instrument through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The future cash flows are estimated taking into account all the contractual terms of the instrument.

The interest income/ interest expense is calculated by applying the EIR to the gross carrying amount of non-credit impaired financial assets (i.e. at the amortized cost of the financial asset before adjusting for any expected credit loss allowance), or to the amortized cost of financial liabilities. For credit-impaired financial assets, interest income is calculated by applying

the EIR to the amortized cost of the credit-impaired financial assets (i.e. the gross carrying amount less the allowance for expected credit losses (ECLs)). For financial assets purchased or originated credit-impaired (POCI), EIR reflects the ECLs in determining the future cash flows expected to be received from the financial asset.

Interest income and expense in the Banks's consolidated statement of profit or loss also includes the effective portion of the fair value changes of derivatives designated as hedging instruments in the cash flow hedges of interest rate risk. For fair value hedges of interest rate risk related to interest income and expense, the effective portion of the fair value changes of the designated derivatives, as well as the fair value changes of the designated risk of the hedged item, are also included in interest income and expense.

Commission income

Commission income and expense include fees other than those that are an integral part of EIR. The commission included in this part of the Bank's consolidated statement of profit or loss include, among other things, commission charged for servicing a loan, non-utilization fees relating to loan commitments when it is unlikely that these will result in a specific lending arrangement, and loan syndication commission.

Fee and commission expenses concerning services are accounted for as the services are received.

Part of the contracts with clients that result from the recognition of financial instruments could be related to IFRS (9) or (15). In this case, IFRS 9-related part of the commission is recognized, and the remaining part is recognized according to IFRS (15).

Net trading income

Net trading income includes all gains and losses from changes in the fair value of financial assets and financial liabilities held for trading. The Bank has elected to present the full fair value movement of trading assets and liabilities in trading income, including any related interest income, expense, and dividends.

Net income from other financial instruments at fair value through the statement of profit or loss

Net income from other financial instruments at fair value through the statement of profit or loss includes all gains and losses from changes in the fair value of financial assets and financial liabilities at fair value through the statement of profit or loss except those that are held for trading. The Bank has elected to present the full fair value movement of assets and liabilities at fair value through the statement of profit or loss in this line, including the related interest income, expense, and dividends.

The fair value movement on derivatives held for economic hedging where hedge accounting is not applied is presented in "Net income from other financial instruments at fair value through the statement of profit or loss". However, for designated and effective fair value hedge accounting relationships, the gains and losses on the hedging instrument are presented in the same line in the statement of profit or losses as a hedged item. For designated and effective cash flow and net investment hedge accounting relationships, the gains and losses of the hedging instrument, including any hedging ineffectiveness included in the statement of profit or loss, are presented in the same line as the hedged item that affects the consolidated statement of profit or loss.

Dividend income

Dividend income is recognized when the right to receive payment is established. This is the ex-dividend date for listed equity securities, and usually the date when shareholders approve the dividend for unlisted equity securities.

The presentation of dividend income in the consolidated statement of profit or loss depends on the classification and measurement of the equity investment, i.e.:

- For equity instruments which are held for trading, dividend income is presented as gain of financial assets at fair value through the statement of profit or loss, in the consolidated statement of profit or loss;
- For equity instruments designated at fair value through other comprehensive income, dividend income is presented in the statement of profit or loss as dividends revenue from financial assets at fair value through other comprehensive income; and
- For equity instruments not designated at fair value through other comprehensive income and not held for trading, dividend income is presented as net income from other instruments at fair value through the consolidated statement of profit or loss.

Financial instruments

Initial recognition and measurement:

Financial assets and financial liabilities are recognized in the Bank's consolidated statement of financial position when the Bank becomes a party to the contractual provisions of the instrument.

Recognized financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through the statement of income) are added to or deducted from the fair value of the financial assets or financial liabilities on initial recognition, as appropriate. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through the statement of profit or loss are recognized immediately in the statement of profit or loss.

If the transaction price differs from the fair value at initial recognition, the Bank will account for such difference as follows:

- If fair value is evidenced by a quoted price in an active market for an identical asset or liability or based on a valuation technique that uses only data from observable markets, then the difference is recognized in the consolidated statement of profit or loss' initial recognition (i.e. day 1 profit or loss);
- In all other cases, fair value will be adjusted to bring it in line with the transaction price (i.e. day 1 profit or loss will be deferred by including it in the initial carrying amount of the asset or liability).

After initial recognition, the deferred gain or loss will be released to the consolidated statement of profit or loss on a rational basis, only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability or when derecognizing the instrument.

Financial assets

Initial recognition

All financial assets are recognized on the trading date when the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned. They are initially measured at fair value plus transaction costs, except for those financial assets classified as at fair value through the statement of profit or loss. Transaction costs directly attributable to the acquisition of financial assets classified as at fair value through the statement of profit or loss are recognized immediately in the consolidated statement of profit or loss.

Subsequent measurement

All recognized financial assets that are within the scope of IFRS (9) are required to be subsequently measured at amortized cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

Specifically:

- Debt instruments held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI), are subsequently measured at amortized cost.
- Debt instruments held within a business model whose objective is both to collect the contractual cash flows and to sell the debt instruments, and that have contractual cash flows that are SPPI, are subsequently measured at fair value through other comprehensive income;
- All other debt instruments (e.g. debt instruments managed on a fair value basis, or held for sale) and equity investments are subsequently measured at fair value through the statement of profit or loss.

However, the Bank may irrevocably make the following selection/ designation at initial recognition of a financial asset on an asset- by-asset basis:

- The Bank may irrevocably select to present subsequent changes in fair value of an equity investment that is neither held for trading nor contingent consideration recognized by an acquirer in a business combination to which IFRS (3) applies, in other comprehensive income.
- The Bank may irrevocably designate a debt instrument that meets the amortized cost or fair value through other comprehensive income criteria as measured at fair value through the statement of profit or loss if doing so eliminates or significantly reduces an accounting mismatch (referred to as the fair value option).

Debt instruments at amortized cost or at fair value through other comprehensive income

The Bank assesses the classification and measurement of a financial asset based on the contractual cash flow characteristics of the asset and the Bank's business model for managing the asset.

For an asset to be classified and measured at amortized cost or at fair value through other comprehensive income, its contractual terms should give rise to cash flows that are solely payments of principal and interest on the principal outstanding (SPPI).

For the purpose of (SPPI) test, principal is the fair value of the financial asset at initial recognition. That principal amount may change over the life of the financial asset (e.g. if there are repayments of principal). Interest consists of consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period, and for other basic lending risks and costs, as well as a profit margin. The SPPI assessment is made in the currency in which the financial asset is denominated.

Contractual cash flows that are SPPI are consistent with a basic lending arrangement. Contractual terms that introduce exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are SPPI. An originated or an acquired financial asset can be a basic lending arrangement irrespective of whether it is a loan in its legal form.

Assessment of business models

An assessment of business models for managing financial assets is fundamental to the classification of a financial asset. The Bank determines the business models at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Bank's business model does not depend on management's intentions for an individual instrument; therefore, the business model assessment is performed at a higher level of aggregation rather than on an instrument-by-instrument basis.

The Bank has more than one business model for managing its financial instruments that reflect how the Bank manages its financial assets in order to generate cash flows. The Bank's business models determine whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

The Bank considers all relevant information available when making the business model assessment. However, this assessment is not performed based on scenarios that the Bank does not reasonably expect to occur, such as so-called "worst case" or "stress case" scenarios. The Bank takes into account all relevant evidence available such as:

- The stated policies and objectives of the portfolio and application of those policies concerning if the management strategy focuses on obtaining contractual revenues, maintaining a specific profit rate, and matching the maturity period of financial assets with that of the financial liabilities that finance those assets.
- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way in which those risks are managed; and
- How the business managers are compensated (e.g. whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

At initial recognition of a financial asset, the Bank determines whether newly recognized financial assets are part of an existing business model or whether they reflect the commencement of a new business model. The Bank reassess its business models each reporting period to determine whether the business models have changed since the preceding period.

When a debt instrument measured at fair value through other comprehensive income is derecognized, the cumulative gain/loss previously recognized in other comprehensive income is reclassified from equity to the statement of income. In contrast, for an equity investment designated as measured at fair value through other comprehensive income, the cumulative gain/loss previously recognized in OCI is not subsequently reclassified to profit or loss but transferred within the owners' equity.

Debt instruments that are subsequently measured at amortized cost or at fair value through other comprehensive income are subject to impairment.

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss are:

- Assets with contractual cash flows that are not SPPI;
- Assets that are held in a business model other than held to collect contractual cash flows or held to collect and sell.
- Assets designated at fair value through profit or loss using the fair value option.

These assets are measured at fair value, with any gains/losses arising on re-measurement recognized in the consolidated statement of income or loss.

Reclassifications

If the business model under which the Bank holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change in business model, which results in reclassifying the Bank's financial assets. During the current financial year and previous accounting period, there was no change in the business model under which the Bank holds financial assets, and therefore, no reclassifications were made. The changes in the contractual cash flows are considered under the accounting policy on the modification and de-recognition of financial assets described below.

Foreign exchange gains and losses

The carrying amount of financial assets denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period. Specifically:

- For financial assets measured at amortized cost that are not part of a designated hedging relationship, exchange differences are recognized in the consolidated statement of profit or loss.
- For debt instruments measured at fair value through other comprehensive income that are not part of a designated hedging relationship, exchange differences on the amortized cost of the debt instrument are recognized in the statement of income. Other exchange differences are recognized in other comprehensive income in the investment's revaluation reserve.
- For financial assets measured at fair value through profit or loss that are not part of a designated hedge accounting relationship, exchange differences are recognized in the statement of profit or loss either in 'net trading income', if the asset is held for trading, or in 'net income from other financial instruments at fair value through the statement of profit or loss if otherwise held at fair value through the statement of profit or loss.
- For equity instruments measured at fair value through other comprehensive income, exchange differences are recognized in other comprehensive income in the investments revaluation reserve.

Fair value option

A financial instrument with a fair value that can be reliably measured at fair value through profit or loss (fair value option) may be classified at initial recognition even if the financial instruments are not acquired or incurred principally for the purpose of selling or repurchasing. The fair value option may be used for financial assets if it significantly eliminates or significantly reduces the measurement or recognition inconsistency that would otherwise have resulted in the measurement of the asset or liability or recognized the related gain or loss on a different basis ("accounting mismatch"). The fair value option for financial liabilities can be chosen in the following cases:

- If the selection leads to a significant cancellation or reduction of the accounting mismatch;
- If the financial liabilities are part of a portfolio managed on a fair value basis, in accordance with a documented risk management or investment strategy; or
- If a derivative is included in the underlying financial or non-financial contract and the derivative is not closely related to the underlying contract.

These instruments cannot be reclassified from the fair value category through profit or loss while retained or issued. Financial assets at fair value through the income statement are recognized at fair value with any unrealized gain or loss arising from changes in fair value recognized in investment income.

Impairment

The Bank recognizes loss allowances for expected credit losses on the following financial instruments that are not measured at fair value through the statement of income:

- Balances and deposits at banks and financial institutions;
- Direct credit facilities (loans and advances to customers);
- Financial assets at amortized cost (debt investment securities);
- Financial assets at fair value through statement of other comprehensive income;
- Off-statement of financial position exposure subject to credit risk (financial guarantee contracts issued).

No impairment loss is recognized on equity investments.

With the exception of purchased or originated credit-impaired (POCI) financial assets (which are considered separately below), ECLs are required to be measured through a loss allowance at an amount equal to:

- 12-month ECLs, i.e. lifetime ECL that result from those default events on the financial instrument that are possible within 12 months after the reporting date, (referred to as Stage 1); or
- Full lifetime ECLs, i.e. lifetime ECL that result from all possible default events over the life of the financial instrument, (referred to as Stage 2 and Stage 3).

A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. For all other financial instruments, ECLs are measured at an amount equal to the 12-month ECL.

ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Group under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's EIR.

For unutilized loan limits, the ECL is the difference between the present value of the difference between the contractual cash flows that are due to the Group if the holder of the commitment draws down the loan and the cash flows that the Group expects to receive if the loan is utilized; and

For financial guarantee contracts, the ECL is the difference between the expected payments to reimburse the holder of the guaranteed debt instrument less any amounts that the Bank expects to receive from the holder, the client, or any other party.

The Bank measures ECL on an individual basis, or on a collective basis for portfolios of loans that share similar economic risk characteristics. The measurement of the loss allowance is based on the present value of the asset's expected cash flows using the asset's original EIR, regardless of whether it is measured on an individual basis or a collective basis.

When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central Bank of Jordan Instructions No. (2009/47) dated December 10, 2009 for each stage individually, and the tougher results are taken. The credit instruments issued / guaranteed by the Jordanian Government, in addition to any other credit exposures with / guaranteed by the Jordanian government are excluded from the calculation.

Credit-impaired financial assets

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage 3 assets. Evidence of credit-impairment includes observable data about the following events:

- Significant financial difficulties facing the borrower or issuer;
- A breach of contract such as a default or past due event;
- The lender of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lender would not otherwise consider;
- The disappearance of an active market for a security because of financial difficulties; or
- The purchase of a financial asset at a deep discount that reflects the incurred credit losses.

If it may not be possible to identify a single discrete event. Instead, the combined effect of several events may have caused financial assets to become credit-impaired. The Bank assesses whether debt instruments that are financial assets measured at amortized cost or fair value through other comprehensive income are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the Bank considers factors such as bond yields, credit ratings, and the ability of the borrower to raise funding.

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower's financial condition, unless there is evidence that as a result of granting the concession, the risk of not receiving the contractual cash flows has reduced significantly, and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted, the asset is deemed credit-impaired when there is observable evidence of credit-impairment, including meeting the definition of default. The definition of default includes unlikeliness to pay indicators and a back- stop if amounts are overdue for 90 days or more. However, cases where the assets impairment is not recognized after 90 days of their becoming due are supported by reasonable information.

Purchased or originated credit-impaired (POCI) financial assets

POCI financial assets are treated differently because the asset is credit-impaired at initial recognition. For these assets, the Bank recognizes all changes in lifetime ECL since initial recognition as a loss allowance with any changes recognized in the statement of profit or loss. A favorable change for such assets creates an impairment gain.

Definition of default

Critical to the determination of ECL is the definition of default. The definition of default is used in measuring the amount of ECL and in determining whether the loss allowance is based on 12-month or lifetime ECL, as default is a component of the probability of default (PD) which affects both the measurement of ECLs and the identification of a significant increase in the credit risk below.

The Bank considers the following as constituting an event of default:

- The borrower is past due for more than 90 days on any material credit obligation to the Bank; or
- The borrower is unlikely to pay its credit obligations to the Bank in full.

The definition of default is appropriately tailored to reflect different characteristics of different types of assets. Overdrafts are considered as being past due once the customer has breached an advised limit or has been advised of a limit smaller than the current amount outstanding.

When assessing if the borrower is unlikely to pay its credit obligation, the Bank takes into account both qualitative and quantitative indicators. The information assessed depends on the type of the asset. For example, in corporate lending, a qualitative indicator used is the breach of covenants, which is not relevant for retail lending. Quantitative indicators, such as overdue status and non-payment on another obligation of the same counterparty are key inputs in this analysis. The Bank uses a variety of sources of information to assess default that is either developed internally or obtained from external sources.

Significant increase in credit risk

The Bank monitors all financial assets, issued loan commitments and financial guarantee contracts that are subject to the impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the Bank measures the loss allowance based on lifetime rather than 12-month ECL.

The Bank's accounting policy is not to use the practical expedient that financial assets with 'low' credit risk at the reporting date are deemed not to have had a significant increase in credit risk. As a result, the Group monitors all financial assets, issued loan commitments, and financial guarantee contracts that are subject to impairment for significant increase in credit risk.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Bank compares the risk of a default occurring on the financial instrument at the reporting date based on the remaining maturity of the instrument with the risk of a default occurring that was anticipated for the remaining maturity at the current reporting date when the financial instrument was first recognized. In making this assessment, the Bank considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort, based on the Bank's historical experience and expert credit assessment including forward-looking information.

Multiple economic scenarios form the basis of determining the probability of default at initial recognition and at subsequent reporting dates. Different economic scenarios will lead to a different probability of default. It is the weighting of these different scenarios that forms the basis of a weighted average probability of default that is used to determine whether credit risk has significantly increased.

For corporate lending, forward-looking information includes the future prospects of the industries in which the Bank's counterparties operate, obtained from economic expert reports, financial analysts, governmental bodies, relevant think tanks and other similar organizations, as well as consideration of various internal and external sources of actual and forecast economic information. For retail, lending forward-looking information includes the same economic forecasts as corporate lending with additional forecasts of local economic indicators, particularly for regions with a concentration to certain industries, as well as internally generated information of customer payment behavior. The Bank allocates its counterparties to a relevant internal credit risk grade depending on their credit quality. The quantitative information is a primary indicator of a significant increase in credit risk and is based on the change in lifetime PD by comparing:

- The remaining lifetime PD at the reporting date; with
- The remaining lifetime PD for this point in time that was estimated based on facts and circumstances at the time of initial recognition of the exposure.

The PDs used are forward looking, and the Bank uses the same methodologies and data used to measure the loss allowance for ECL.

The qualitative factors that indicate significant increase in credit risk are reflected in PD models on a timely basis. However, the Bank still considers separately some qualitative factors to assess if credit risk has increased significantly. For corporate lending, there is particular focus on assets included in the 'watch list', as exposure is watch-listed once there is a concern that the creditworthiness of the specific counterparty has deteriorated. For retail lending, the Bank considers the expectation of forbearance and payment holidays, credit scores and events such as unemployment, bankruptcy, divorce, or death.

Given that a significant increase in credit risk since initial recognition is a relative measure, a given change, in absolute terms, in the PD will be more significant for a financial instrument with a lower initial PD compared to a financial instrument with a higher PD.

As a back-stop when an asset becomes more than (30) days past due, the Bank considers that a significant increase in credit risk has occurred and the asset is in Stage 2 of the impairment model, i.e. the loss allowance is measured as the lifetime ECL.

Modification and derecognition of financial assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between initial recognition and maturity of the financial asset. A modification affects the amount and/or timing of the contractual cash flows either immediately or at a future date. In addition, the introduction or adjustment of existing covenants of an existing loan would constitute a modification even if these new or adjusted covenants do not yet affect the cash flows immediately but may affect the cash flows depending on whether the covenant is or is not met (e.g. a change to the increase in the interest rate that arises when covenants are breached).

The Bank renegotiates loans to customers in financial difficulty to maximise collection and minimise the risk of default. A loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of default, or default has already happened, and the borrower is expected to be able to meet the revised terms. The revised terms in most of the cases include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness) and amendments to covenants. The Bank has an established forbearance policy, which applies for corporate and retail lending.

When a financial asset is modified, the Bank assesses whether this modification results in derecognition. In accordance with the Bank's policy, a modification results in derecognition when it gives rise to substantially different terms.

- Qualitative factors, such as contractual cash flows after modification are no longer (SPPI), change in currency or change of counterparty, the extent of change in interest rates, maturity, and covenants. If these do not clearly indicate a substantial modification, then;
- A quantitative assessment is performed to compare the present value of the remaining contractual cash flows under the original terms with the contractual cash flows under the revised terms, both amounts discounted at the original effective interest.

In the case where the financial asset is derecognized, the loss allowance for ECL is re-measured at the date of derecognition to determine the net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated- credit impaired. This applies only in the case where the fair value of the new loan is recognized at a significant discount to its revised par amount because there remains a high risk of default that has not been reduced by the modification. The Bank monitors the credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms.

When the contractual terms of a financial asset are modified and the modification does not result in derecognition, the Bank determines if the financial asset's credit risk has increased significantly since initial recognition by comparing:

- The remaining lifetime PD estimated based on data at initial recognition and the original contractual terms; with
- The remaining lifetime PD at the reporting date based on the modified terms.

For financial assets modified as part of the Bank's forbearance policy, where modification did not result in derecognition, the estimate of PD reflects the Bank's ability to collect the modified cash flows taking into account the Bank's previous experience of similar forbearance action, as well as various behavioral indicators, including the borrower's payment performance against the modified contractual terms. If the credit risk remains significantly higher than what was expected at initial recognition, the loss allowance will continue to be measured at an amount equal to lifetime ECL. The loss allowance on forborne loans will generally only be measured based on 12-month ECL when there is evidence of the borrower's improved repayment behavior following modification leading to a reversal of the previous significant increase in credit risk.

Where a modification does not lead to derecognition, the Bank calculates the modification gain/loss, comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Then the Bank measures ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in the calculation of the expected cash shortfalls from the original asset.

The Bank derecognizes a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the Bank neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Bank recognizes its retained interest in the asset and an associated liability for the amounts it may have to pay. If the Bank retains substantially all the risks and rewards of ownership of a transferred financial asset, the Bank continues to recognize the financial asset and recognizes a collateralized borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain/loss that had been recognized in other comprehensive income and accumulated in equity is recognized in profit or loss, with the exception of equity investment designated as measured at fair value through other comprehensive income, where the cumulative gain/loss previously recognized in other comprehensive income is not subsequently reclassified to profit or loss.

Write-off

Financial assets are written off when there is no reasonable expectation of recovery, e.g. the customer has not entered into a payment plan with the bank. The bank classifies the funds or amounts due to be written off after exhausting all possible payment methods. But if the financing or the receivable is written off, the bank continues with the enforcement activity to try to recover the outstanding receivable, which is recognized in the consolidated statement of profit or loss when redeemed.

Presentation of allowance for ECL in the consolidated statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- For financial assets measured at amortized cost: as a deduction from the gross carrying amount of the assets;
- For debt instruments measured at fair value through other comprehensive income: no loss allowance is recognized in the statement of financial position as the carrying amount is at fair value. However, the loss allowance is included as part of the revaluation amount in the investments revaluation reserve.
- For loan commitments and financial guarantee contracts: as a provision; and
- Where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component: the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision.

Financial liabilities and equity

Debt and equity instruments issued are classified either as financial liabilities or as equity in accordance with the substance of the contractual arrangement.

A financial liability is a contractual obligation to deliver cash or another financial asset or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the Bank; or a contract that will or may be settled in the Bank's own equity instruments and is a non-derivative contract for which the Bank is or may be obliged to deliver a variable number of its own equity instruments; or a derivative contract over own equity that will or may be settled other than by the exchange of a fixed amount of cash (or another financial asset) for a fixed number of the Banks own equity instruments.

Equity instruments

Paid-up capital

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Bank are recognized at the proceeds received, net of direct issue costs.

Treasury shares

Repurchase of the Bank's own equity instruments is recognized and deducted directly in equity. No gain or loss is recognized in the consolidated statement of profit or loss when purchasing, selling, issuing, or cancelling the Bank's own equity instruments.

Compound instruments

The component parts of compound instruments (e.g. convertible notes) issued by the Bank are classified separately as financial liabilities and equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument.

At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible instruments. In the case where there are non-closed related embedded derivatives, these are separated first with the remainder of the financial liability being recorded on an amortized cost basis, using the effective interest method until extinguished upon conversion, or at the instrument's maturity date.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through profit or loss or 'other financial liabilities'.

Financial liabilities at fair value through profit or loss

Financial liabilities are classified as at fair value through the statement of profit or loss when the financial liability is (i) held for trading, or (ii) it is designated as at fair value through the statement of income. A financial liability is classified as held for trading if:

- It has been incurred principally for the purpose of repurchasing it in the near term; or
- On initial recognition, it is part of a portfolio of identified financial instruments that the Bank manages together and has a recent actual pattern of short-term profit-taking; or
- It is a derivative that is not designated and effective as a hedging instrument.
- A financial liability other than a financial liability held for trading or contingent consideration that may be paid by an acquirer as part of a business combination may be designated as at fair value through profit or loss upon initial recognition if:
- Such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- It forms part of a contract containing one or more embedded derivatives, and IFRS (9) permits the entire hybrid (combined) contract to be designated as at fair value through the statement of profit and loss.

Financial liabilities at fair value through the statement of profit or loss are stated at fair value, with any gains/losses arising on re-measurement recognized in the statement of profit or loss to the extent that they are not part of a designated hedging relationship. The net gain/loss recognized in profit or loss incorporates any interest paid on the financial liability and is included in the 'net income from other financial instruments at fair value through profit or loss.

However, for non-derivative financial liabilities designated as at fair value through the statement of income, the amount of change in the fair value of the financial liability attributable to changes in the credit risk of that liability is recognized in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. The remaining amount of change in the fair value of liability is recognized in profit or loss. Changes in fair value attributable to a financial liability's credit risk that are recognized in other comprehensive income are not subsequently reclassified to profit or loss; instead, they are transferred to retained earnings upon derecognition of the financial liability.

For issued loan commitments and financial guarantee contracts designated as at fair value through the consolidated statement of profit or loss, all gains and losses are recognized in consolidated profit or loss.

In determining whether recognizing changes in the liability's credit risk in other comprehensive income will create or enlarge an accounting mismatch in profit or loss, the Bank assesses whether it expects that the effects of changes in the liability's credit risk will be offset in profit or loss by a change in the fair value of another financial instrument measured at fair value through profit or loss.

Other financial liabilities

Other financial liabilities, including deposits and borrowings, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortized cost using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period. The EIR is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period, to the net carrying amount on initial recognition. For details on EIR, see the "net interest income section" above.

Derecognition of financial liabilities

The Bank derecognizes financial liabilities when, and only when, the Bank's obligations are discharged, canceled or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in the consolidated statement of profit or loss.

When the Bank exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, the Bank accounts for substantial modification of terms of an existing liability or part of it as an extinguishment of the original financial liability and the recognition of a new liability. It is assumed that the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective rate, is at least (10) per cent different from the discounted present value of the remaining cash flows of the original financial liability.

Derivative financial instruments

The Bank enters into a variety of derivative financial instruments some of which are held for trading while others are held to manage the Bank's exposure to interest rate risk, credit risk, and foreign exchange rate risk. Derivatives held include foreign exchange forward contracts, interest rate swaps, cross currency interest rate swaps, and credit default swaps.

Derivatives are initially recognized at fair value at the date a derivative contract is entered into, and are subsequently re-measured to their fair value at each balance sheet date. The resulting gain/loss is recognized in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship. The Bank designates certain derivatives as hedges of the fair value of recognized assets or liabilities or firm commitments (fair value hedges), hedges of highly probable forecast transactions, hedges of foreign currency risk of firm commitments (cash flow hedges), or hedges of net investments in foreign operations (net investment hedges).

A derivative with a positive fair value is recognized as a financial asset whereas a derivative with a negative fair value is recognized as a financial liability. A derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the instrument is more than (12) months, and it is not expected to be realized or settled within (12) months. Other derivatives are presented as current assets or current liabilities.

Embedded derivatives

Derivatives embedded in financial liabilities or other non-financial asset host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts, and the host contracts are not measured at fair value through profit or loss.

An embedded derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the hybrid instrument to which the embedded derivative relates is more than 12 months and is not expected to be realized or settled within 12 months. Other embedded derivatives are presented as current assets or current liabilities.

Financial guarantee contracts

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

Financial guarantee contracts issued by a group entity are initially measured at their fair values and, if not designated as at fair value through profit or loss and not arising from a transfer of a financial asset, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognized less, where appropriate, cumulative amount of income recognized in accordance with the Bank's revenue recognition policies.

Financial guarantee contracts not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The Bank has not designated any financial guarantee contracts as at fair value through profit or loss.

Commitments to provide a loan at a below-market interest rate

Commitments to provide a loan at a below-market interest rate are initially measured at their fair values and, if not designated as at fair value through profit or loss, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognized less, where appropriate, cumulative amount of income recognized in accordance with the Bank's revenue recognition policies.

Commitments to provide a loan below market rate not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The Bank has not designated any commitments to provide a loan below market rate designated at fair value through profit or loss.

Hedge accounting

The Bank designates certain derivatives as hedging instruments in respect of foreign currency risk and interest rate risk in fair value hedges, cash flow hedges, or hedges of net investments in foreign operations as appropriate. Hedges of foreign exchange risk on firm commitments are accounted for as cash flow hedges. The Bank does not apply fair value hedge accounting of portfolio hedges of interest rate risk. In addition, the Bank does not use the exemption to continue using IAS (39) hedge accounting rules, i.e. the Bank applies IFRS (9) hedge accounting rules in full.

At the inception of the hedge relationship, the Bank documents the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Bank documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationships meet all of the following hedge effectiveness requirements:

- There is an economic relationship between the hedged item and the hedging instrument;
- The effect of credit risk does not dominate the value changes that result from that economic relationship; and
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Bank actually hedges and the quantity of the hedging instrument that the Bank actually uses to hedge that quantity of the hedged item.

The Bank rebalances a hedging relationship in order to comply with the hedge ratio requirements, when necessary. In such cases, discontinuation may apply to only part of the hedging relationship. For example, the hedge ratio might be adjusted in such a way that some of the volume of the hedged item is no longer part of a hedging relationship; hence, hedge accounting is discontinued only for the volume of the hedged item that is no longer part of the hedging relationship.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio, but the risk management objective for that designated hedging relationship remains the same, the Bank adjusts the hedge ratio of the hedging relationship (i.e. rebalances the hedge) so that it meets the qualifying criteria again.

In some hedge relationships, the Bank designates only the intrinsic value of options. In this case, the fair value change of the time value component of the option contract is deferred in other comprehensive income, over the term of the hedge, to the extent that it relates to the hedged item and is reclassified from equity to profit or loss when the hedged item does not result in the recognition of a non-financial item. The Bank's risk management policy does not include hedges of items that result in the recognition of non-financial items, because the Bank's risk exposures relate to financial items only.

The hedged items designated by the Bank are time-period related hedged items, which means that the amount of the original time value of the option that relates to the hedged item is amortized from equity to profit or loss on a rational basis (e.g. straight- line) over the term of the hedging relationship.

In some hedge relationships, the Bank excludes from the designation the forward element of forward contracts or the currency basis spread of cross currency hedging instruments. In this case, a treatment is applied similar to the one applied for the time value of options. The treatment for the forward element of a forward and the currency basis element is optional, and the option is applied on a hedge-by-hedge basis, unlike the treatment for the time value of the options, which is mandatory. For hedge relationships with forwards or foreign currency derivatives such as cross currency interest rate swaps, where the forward element or the currency basis spread is excluded from the designation, the Bank generally recognizes the excluded element in other comprehensive income.

The fair values of the derivative instruments used for hedging purposes and movements in the hedging reserve are determined in equity.

Fair value hedges

The fair value change on qualifying hedging instruments is recognized in profit or loss except when the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income in which case it is recognized in other comprehensive income. The Bank has not designated fair value hedge relationships where the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income.

The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in profit or loss. For debt instruments measured at fair value through other comprehensive income, the carrying amount is not adjusted as it is already at fair value, but the part of the fair value gain or loss on the hedged item associated with the hedged risk is recognized in profit or loss instead of other comprehensive income. When the hedged item is an equity instrument designated at fair value through other comprehensive income, the hedging gain/loss remains in other comprehensive income to match that of the hedging instrument.

Where hedging gains/losses are recognized in profit or loss, they are recognized in the same line as the hedged item.

The Bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of hedged items for which the EIR method is used (i.e. debt instruments measured at amortized cost or at fair value through other comprehensive income) arising from the hedged risk is amortized to profit or loss commencing no later than the date when hedge accounting is discontinued.

Cash flow hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognized in the cash flow hedging reserve, a separate component of other comprehensive income, limited to the cumulative change in fair value of the hedged item from inception of the hedge less any amounts transferred to profit or loss.

Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss in the periods when the hedged item affects profit or loss, in the same line as the recognized hedged item. If the Bank no longer expects the transaction to occur, that amount is immediately reclassified to profit or loss.

The Bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised, or where the occurrence of the designated hedged forecast transaction is no longer considered to be highly probable. The discontinuation is accounted for prospectively. Any gain/loss recognized in other comprehensive income and accumulated in equity at that time remains in equity and is recognized when the forecast transaction is ultimately recognized in profit or loss. When a forecast transaction is no longer expected to occur, the gain/loss accumulated in equity is reclassified and recognized immediately in consolidated profit or loss.

Hedges of net investments in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain/loss on the hedging instrument relating to the effective portion of the hedge is recognized in other comprehensive income and accumulated in the foreign currency translation reserve.

Gains and losses on the hedging instrument relating to the effective portion of the hedge accumulated in the foreign currency translation reserve are reclassified to profit or loss in the same way as exchange differences relating to the foreign operation as described above.

Property and equipment

Property and equipment are measured at cost less accumulated depreciation and any impairment. Property and equipment (except land) are depreciated when ready for use using the straight-line method over their expected useful life using the following percentages:

	%
Buildings	2-4
Equipment, furniture and fixtures	7-15
Vehicles	15
Computer	20

- When the recoverable amount of any property and equipment is less than its net book value, the assets are written down to their recoverable amount, and the impairment is charged to the consolidated statement of profit or loss.
- The useful life of property and equipment is reviewed at each year-end, and changes in the expected useful life are treated as changes in accounting estimates.
- An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal.

Fair value

Fair value is defined as the price at which an asset is to be sold or paid to convert any of the liabilities in a structured transaction between the market participants on the measurement date, irrespective of whether the price can be realized directly or whether it is estimated using another valuation technique. When estimating the fair value of an asset or liability, the Bank takes into consideration, when determining the price of any asset or liability, whether market participants are required to take these factors into account at the measurement date. Fair value for the purposes of measurement and / or disclosure in these financial statements is determined on the same basis, except for measurement procedures that are similar to the fair value procedures and are not fair value such as fair value as used in IAS (36).

In addition, fair value measurements are classified, for the purposes of financial reporting to level (1), (2) or (3), based on the extent to which the inputs are clear concerning the fair value measurements and the importance of inputs to the full fair value measurements. The details are as follows:

Level (1) Inputs: Inputs derived from quoted (unadjusted) prices of identical assets or liabilities in active markets that an enterprise can obtain on the measurement date;

Level (2) Inputs: Inputs derived from data other than quoted prices used at level 1 and observable for assets or liabilities, either directly or indirectly;

Level (3) Inputs: Inputs to assets or liabilities that are not based on observable market prices.

Provisions

Provisions are recognized when the Bank has an obligation at the date of the consolidated statement of financial position arising from a past event, and the costs to settle the obligation are both probable and can be reliably measured.

Income tax

- Tax expense comprises accrued and deferred taxes.
- Accrued tax is based on taxable profits, which may differ from accounting profits published in the financial statements. Accounting profits may include non-taxable profits or tax non- deductible expenses which may be exempted in the current or subsequent financial years, or accumulated losses that are tax acceptable or items not subject to deduction for tax purposes.
- Tax is calculated based on tax rates and laws that are applicable in Jordan.
- Deferred tax is the tax expected to be paid or recovered due to temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets and liabilities are measured at the tax rates expected to be applied in the period when the asset is realized or the liability is settled, based on the laws enacted or substantially enacted at the date of the consolidated statement of financial position.
- The carrying values of deferred tax assets are reviewed at the date of the consolidated financial statement and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized.

Offsetting

Financial assets and financial liabilities are offset, and the net amount reported in the consolidated statement of financial position, when there is a legally enforceable right to offset the recognized amounts and the Bank intends to either settle them on a net basis, or to realize the asset and settle the liability simultaneously.

Revenue and expense recognition

- Interest income is recorded using the effective interest rate method except for fees and interest on non-performing facilities and financing, on which interest is transferred to the interest in suspense account and not recognized in the consolidated statement of profit or loss.
- Expenses are recognized on an accrual basis.
- Commission income is recognized upon the rendering of services. Dividend income is recognized (when approved by the General Assembly).

Date of recognition of financial assets

Purchase or sale of financial assets is recognized on the trade date, (the date that the Bank commits to purchase or sell the asset).

Financial derivatives and hedge accounting

Derivatives for trading

The fair value of derivative financial instruments held for trading (such as future foreign exchange contracts, future interest contracts, swaps contracts, foreign exchange rate option rights) is recognized in the consolidated statement of financial position. Moreover, fair value is determined at the prevailing market prices. If these prices are not available, the assessment method should be mentioned, and the amount of changes in fair value should be recognized in the consolidated statement of profit or loss.

Repurchase and resale agreements

- Assets sold with a simultaneous commitment to repurchase them at a specified future date will continue to be recognized in the Bank's consolidated financial statements due to the Bank's control of these assets and the fact that continuing exposure to the risks and rewards of these assets remains with the Bank and continue to be evaluated in accordance with the applied accounting policies. The proceeds of the sale are recorded under loans and borrowings. The difference between the sale and the repurchase price is recognized as an interest expense over the agreement term using the effective interest rate method.
- Assets purchased with a corresponding commitment to resell at a specified future date are not recognised in the Bank's consolidated financial statements since the Bank is not able to control these assets or the associated risks and benefits. The related payments are recognized as part of deposits at banks and financial institutions or direct credit facilities as applicable, and the difference between purchase and resale price is recognized as interest income over the agreement term using the effective interest rate method.

Assets Repossessed by the Bank

Assets seized by the Bank are shown in the consolidated statement of financial position, among other assets, at their current value when seized by the Bank or at their fair value, whichever is lower. Furthermore, they are reassessed on the date of the consolidated financial statements, and any decrease in value is recorded as a loss in the consolidated statement of profit or loss and comprehensive income and the increase in value is not recorded as revenue. In addition, any subsequent increase is taken to the consolidated statement of profit or loss and comprehensive income to the extent that it does not exceed the previously recorded impairment value. A declaration was issued later for this circulation dated to September 2, 2021 No. 10/3/13246 to postponed the activation of this circulation for a year, in order to complete the deduction of the required provisions against the assets seized in violation of Article No.(48) of the Banking Law No. 28 for the year 2000 by (5%) of the total book values of these assets as of the year 2022 to reach the required percentage of (50%) of these assets by the end of the year 2030. In accordance to the instructions of the Central Bank of Jordan no.10/3/16234 dated October 10, 2022, no further calculation for a gradual provision is recorded against real estate that is seized by the bank against debts provided keeping the balance of provisions for seized real estate which violate banks instructions, the provisions should be released against seized real estates that have been disposed.

Intangible assets

- Intangible assets are measured on initial recognition at cost.
- Intangible assets are classified as indefinite or with definite useful life. Intangible assets with finite lives are amortized over the useful economic life, and amortization is recorded in the consolidated statement of profit or loss, using the straight-line method during a period not exceeding 5 years from the date of the purchase transaction. Meanwhile, intangible assets with indefinite useful lives are assessed for impairment at each reporting date, and impairment losses are recorded in the consolidated statement of profit or loss.
- Internally generated intangible assets are not capitalized and are expensed in the consolidated statement of profit or loss.
- Intangible assets include computer software, programs, Safwa Islamic Bank's license and customers' deposits. The Bank's management estimates the useful life for each intangible asset, where the assets are amortized using the straight-line method from 3 to 7 years. As for Safwa Bank's license, its useful life is indefinite and it is not amortized, rather it is assessed for impairment by the Group's subsidiary.

Impairment of non-financial asset

- The carrying amount of the bank's non-financial asset is reviewed at the end of each fiscal year except for the deferred tax assets, to determine if there is an indication of impairment, and if there is an indication of impairment, the amount recoverable from these assets will be estimated.
- If the carrying amount of the assets exceeds the recoverable amount from those assets, the impairment loss is recorded in these assets.
- The recoverable amount is the fair value of the asset – less cost of sale – or the value of its use, whichever is greater.
- All impairment losses are recognized in the consolidated statement of profit or loss and other comprehensive income.
- The impairment loss for goodwill is not reversed, for other assets, the impairment loss is reversed only if the value of the carrying amount of the assets does not exceed the book value that was determined after the depreciation or amortization has been reduced if the impairment loss is not recognized in value.

Ownership of subsidiaries and goodwill

- A business combination is registered using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at the acquisition date fair value and the amount of any non-controlling interests in the acquiree.
- For each business combination, the Bank elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses in the consolidated profit or loss statement.
- Goodwill is measured at cost, which represents the excess of the amounts granted in addition to the amount of non-controlling interests over the net fair value of the assets and liabilities owned after deducting the impairment amount.
- When the Bank acquires a business, it reviews the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances, and pertinent conditions as at the acquisition date.

Investment in associates

- Associates are those companies in which the Bank exerts an effective influence on their financial and operational policy decisions, and that are not retained for trading. In this regard, investments in associates are stated according to the equity method.
- Investments in affiliates appear in the statement of financial position under the equity method, in addition to the bank's share of changes in the net assets of the affiliate. Goodwill resulting from investing in associate is recorded as part of the associate's investment account and is not amortized. The Bank's share of the associate Profits is recorded in the consolidated statement of profits or loss. In the event of a change in the equity of the associate the changes will be reflected in the Bank's statement of change in owners' equity . Profits and losses resulting from transactions between the Bank and associates are eliminated to the Bank's share in associate.

Foreign currencies

For the purpose of the consolidated financial statements, the results and financial position of each entity of the Group are presented in the functional currency unit of the Bank and the presentation currency of the consolidated financial statements.

The standalone financial statements of the Bank's subsidiaries are prepared and presented in the functional currency in which it operates. Transactions in currencies other than the functional currency of the Bank are recorded at the rates of exchange prevailing at the dates of those transactions. At the balance sheet date, financial assets and liabilities denominated in foreign currencies are translated at the rates of exchange prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the exchange rates at the date when the fair value is determined. Non-monetary items measured at historical cost in a foreign currency are not reclassified.

Exchange differences are recognized in the consolidated statement of profit or loss in the period in which they arise except for:

- Foreign exchange differences on transactions made in order to hedge foreign exchange risk.
- Foreign exchange differences on monetary items required to/ from a foreign operation that are not planned to be settled, are unlikely to be settled in the near future (and therefore, these differences form part of the net investment in the foreign operation), and are initially recognized in the comprehensive income statement and reclassified from equity to the income statement when selling or partially disposing of the net investment.

In order to present the consolidated financial statements, the assets and liabilities of the Bank's foreign operations are translated at the rates of exchange prevailing at the statement of financial position date. Income is also translated at the average exchange rates for the period, unless exchange rates change significantly during that period, in which case the exchange rates are used on the date of the transactions. Exchange differences arising, if any, are recognized in other consolidated statement of comprehensive income under a separate line item of equity.

When foreign operations are disposed of (i.e. disposal of the entire share of the Bank from foreign operations, or resulting from loss of control of a subsidiary in foreign operations, or partial exclusion by its share in a joint arrangement, or an associate company of a foreign nature in which the share held is a financial asset), all foreign exchange differences accumulated in a separate item under equity in respect of that transaction attributable to the Bank's owners are reclassified to the consolidated statement of profit or loss.

In respect of the partial disposal of a subsidiary involving foreign operations that do not result in the Bank losing control of the subsidiary, its share of the accumulated exchange differences is credited to net comprehensive income at a rate that is derecognized and not recognized in the consolidated statement of income. For all other partial liquidation (such as partial liquidation of associates or joint ventures that do not result in the Bank losing significant influence or joint control), the share of accumulated exchange differences is reclassified to the consolidated statement of profit or loss.

Leases

The bank as a lessee

The Bank assesses whether the contract contains lease when starting the contract. Moreover, the Bank recognizes the right-of-use assets and the corresponding lease obligations in relation to all lease arrangements to which the lessee is a party, except for short-term lease contracts (defined as leases of 12 months or less) and low-value asset leases. For these contracts, the Bank recognizes the lease payments as an operating expense on a straight-line basis over the period of the lease, unless another regular basis is more representative of the time pattern in which the economic benefits from the leased assets are utilized.

The lease obligation is initially measured at the present value of the lease payments that were not paid on the start date of the lease, and is discounted by using the price implicit in the lease. If this rate cannot be easily determined, the Bank uses its expected incremental borrowing rate.

- The lease payments included in the rental obligation measurement include:
- Fixed rental payments (essentially including fixed payments), minus rental incentives receivable;
- Variable rental payments that depend on an index or a rate, initially measured using the index or the rate at the date the contract begins.
- The amount expected to be paid by the lessee under the residual value guarantees.
- The price of the exercise of purchase options, if the lessee is reasonably certain of the exercise of the options; and
- Payment of the contract termination fines, if the lease reflects the exercise of the lease termination option.

Rental obligations are presented as a separate note to the consolidated statement of financial position.

Subsequently, lease obligations are subsequently measured by increasing the book value to reflect the interest in the rental obligations (using the effective interest method) and by reducing the book value to reflect the rental payments paid.

The lease obligations (and a similar adjustment to the related right-of-use assets) are re-measured whenever:

- The lease term has changed or there is an event or important change in the conditions that lead to a change in the exercise of the purchase option assessment, in which case the lease obligations are re-measured by deducting the adjusted lease payment using the adjusted discount rate.
- Lease payments change due to changes in an index, rate, or change in expected payments under the guaranteed residual value, in which cases the lease obligation is re-measured by deducting the modified rental payments using a non-variable discount rate (unless the rental payments change due to a change in the floating interest rate, in this case the adjusted discount rate is used.
- The lease contract is adjusted, and the lease amendment is not accounted for as a separate lease, in which case the lease obligation is re-measured based on the duration of the adjusted lease contract by deducting the adjusted rental payments using the adjusted discount rate at the actual price at the date of the amendment.

The Bank has not made any of these adjustments during the periods presented.

The right-of-use assets are depreciated over the life of the lease or the useful life of the asset (whichever is shorter). If the lease contract transfers the ownership of the underlying asset or the cost of the right to use, which reflects that the company expects to exercise the purchase option, then the relevant value of the right to use is depreciated over the useful life of the asset. Depreciation begins on the lease commencement date.

The right-of-use assets are presented as a separate note in the consolidated statement of financial position.

The Bank applies International Accounting Standard (36) to determine whether the value of the right to use has decreased, and calculates any impairment losses as described in the policy of “property and equipment”.

Variable rents that are not dependent on an index or rate are not included in the measurement of lease obligations and right-of-use assets. Related payments are recognized as an expense in the period in which the event or condition that leads to these payments occurs, and are included in “Other Expenditures” in the statement of profit or loss.

The bank as a lessor

The Bank enters into lease contracts as a lessor regarding some investment properties.

Leases in which the Bank is the lessor are classified as operating or finance leases. In the event that the terms of the lease contract transfer all risks and rewards of ownership to the lessee, the contract is classified as a finance lease, and all other leases are classified as operating leases.

When the Bank is an intermediary lessor, it represents the main lease and sub-contract as two separate contracts. The sublease contract is classified as finance or operating lease by reference to the original right of use arising from the main lease.

Rental income from operating leases is recognized on a straight-line basis over the period of the relevant lease. The primary direct costs incurred in negotiating and arranging an operating lease are added to the book value of the leased asset and are recognized on a straight-line basis over the lease term.

The amounts due from the lessee under finance leases are recognized as receivables with the amount of the company's net investment in the rental contracts. Finance lease income is allocated to the accounting periods to reflect a constant periodic rate of return on the Bank's existing net investment with respect to lease contracts.

When the contract includes leasing components and components other than leasing, the Bank applies IFRS 15 to distribute the amounts received or to be received under the contract for each component.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and balances at central bank's and financial institutions that mature within three months, net of banks' and financial institutions' deposits that mature within three months and restricted balances.

3. Adoption of new and revised Standards

a. New and amended IFRS Standards that are effective for the current year

The following new and revised IFRSs, which became effective for annual periods beginning on or after January 1, 2022, have been adopted in these consolidated financial statements for the Group. The application of these revised IFRSs has not had any material impact on the amounts reported for the current and prior years but may affect the accounting for future transactions or arrangements.

Amendments to IFRS 3 Business Combinations - reference to the conceptual framework

The amendments update IFRS 3 so that it refers to the 2018 Conceptual Framework instead of the 1989 Framework. They also add to IFRS 3 a requirement that, for obligations within the scope of IAS 37, an acquirer applies IAS 37 to determine whether at the acquisition date a present obligation exists as a result of past events. For a levy that would be within the scope of IFRIC 21 Levies, the acquirer applies IFRIC 21 to determine whether the obligating event that gives rise to a liability to pay the levy has occurred by the acquisition date.

Amendments to IAS 16 – property, plant and equipment - proceeds before intended use

The amendments prohibit deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced before that asset is available for use, i.e. proceeds while bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Consequently, an entity recognizes such sales proceeds and related costs in profit or loss. The entity measures the cost of those items in accordance with IAS 2 Inventories.

The amendments also clarify the meaning of 'testing whether an asset is functioning properly'. IAS 16 now specifies this as assessing whether the technical and physical performance of the asset is such that it is capable of being used in the production or supply of goods or services, for rental to others, or for administrative purposes.

If not presented separately in the statement of comprehensive income, the financial statements shall disclose the amounts of proceeds and cost included in profit or loss that relate to items produced that are not an output of the entity's ordinary activities, and which line item(s) in the statement of comprehensive income include(s) such proceeds and cost.

Amendments to IAS 37 - onerous contracts - cost of fulfilling a contract

The amendments specify that the 'cost of fulfilling' a contract comprises the 'costs that relate directly to the contract'. Costs that relate directly to a contract consist of both the incremental costs of fulfilling that contract (examples would be direct labour or materials) and an allocation of other costs that relate directly to fulfilling contracts (an example would be the allocation of the depreciation charge for an item of property, plant and equipment used in fulfilling the contract).

Annual improvements to IFRS Standards 2018-2020

The Annual Improvements include amendments to four standards:

Amendments to IFRS 1 first-time adoption of international financial reporting standards

The amendment provides additional relief to a subsidiary which becomes a first-time adopter later than its parent in respect of accounting for cumulative translation differences. As a result of the amendment, a subsidiary that uses the exemption in IFRS 1:D16 (a) can now also elect to measure cumulative translation differences for all foreign operations at the carrying amount that would be included in the parent's consolidated financial statements, based on the parent's date of transition to IFRS Standards, if no adjustments were made for consolidation procedures and for the effects of the business combination in which the parent acquired the subsidiary. A similar election is available to an associate or joint venture that uses the exemption in IFRS 1:D16 (a).

IFRS 9 financial instruments

The amendment clarifies that in applying the '10 per cent' test to assess whether to derecognize a financial liability, an entity includes only fees paid or received between the entity (the borrower) and the lender, including fees paid or received by either the entity or the lender on the other's behalf.

IFRS 16 leases

The amendment removes the illustration of the reimbursement of leasehold improvements.

IAS 41 agriculture

The amendment removes the requirement in IAS 41 for entities to exclude cash flows for taxation when measuring fair value. This aligns the fair value measurement in IAS 41 with the requirements of IFRS 13 Fair Value Measurement to use internally consistent cash flows and discount rates and enables preparers to determine whether to use pretax or post-tax cash flows and discount rates for the most appropriate fair value measurement.

B. New and revised standards in issue but not yet effective

At the date of authorization of these consolidated financial statements, the Group has not applied the following new and revised IFRS Standards that have been issued but are not yet effective:

New and revised IFRSs	Effective date
IFRS 17 insurance contracts (including the June 2020 amendments to IFRS 17) IFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts and supersedes IFRS 4 Insurance Contracts. IFRS 17 outlines a general model, which is modified for insurance contracts with direct participation features, described as the variable fee approach. The general model is simplified if certain criteria are met by measuring the liability for remaining coverage using the premium allocation approach. The general model uses current assumptions to estimate the amount, timing and uncertainty of future cash flows and it explicitly measures the cost of that uncertainty. It takes into account market interest rates and the impact of policyholders' options and guarantees. In June 2020, the Board issued Amendments to IFRS 17 to address concerns and implementation challenges that were identified after IFRS 17 was published. The amendments defer the date of initial application of IFRS 17 (incorporating the amendments) to annual reporting periods beginning on or after January 1, 2023. At the same time, the Board issued Extension of the Temporary Exemption from Applying IFRS 9 (Amendments to IFRS 4) that extends the fixed expiry date of the temporary exemption from applying IFRS 9 in IFRS 4 to annual reporting periods beginning on or after January 1, 2023. In December 2021, the IASB issued Initial Application of IFRS 17 and IFRS 9—Comparative Information (Amendment to IFRS 17) to address implementation challenges that were identified after IFRS 17 was published. The amendment addresses challenges in the presentation of comparative information. For the purpose of the transition requirements, the date of initial application is the start of the annual reporting period in which the entity first applies the Standard, and the transition date is the beginning of the period immediately preceding the date of initial application.	The amendments are applied retrospectively for annual periods beginning on or after January 1, 2023, unless impracticable, in which case the modified retrospective approach or the fair value approach is applied.
Amendments to IFRS 10 and IAS 28 - sale or contribution of assets between an investor and its associate or joint venture The amendments to IFRS 10 and IAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognized in the parent's profit or loss only to the extent of the unrelated investors' interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary (that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognized in the former parent's profit or loss only to the extent of the unrelated investors' interests in the new associate or joint venture.	The effective date is yet to be set. Earlier application is permitted.

New and revised IFRSs	Effective date
Amendments to IAS 1 presentation of financial statements – classification of liabilities as current or non-current The amendments to IAS 1 affect only the presentation of liabilities as current or non-current in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items. The amendments clarify that the classification of liabilities as current or noncurrent is based on rights that are in existence at the end of the reporting period, specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, and introduce a definition of 'settlement' to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.	The amendments are applied retrospectively for annual periods beginning on or after January 1, 2023, with early application permitted.
Amendments to IAS 1 presentation of financial statements and ifrs practice statement 2 making materiality judgements - disclosure of accounting policies The amendments change the requirements in IAS 1 with regard to disclosure of accounting policies. The amendments replace all instances of the term 'significant accounting policies' with 'material accounting policy information'. Accounting policy information is material if, when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements. The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Accounting policy information may be material because of the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is itself material. The Board has also developed guidance and examples to explain and demonstrate the application of the 'four-step materiality process' described in IFRS Practice Statement 2.	January 1, 2023, with earlier application permitted and are applied prospectively. The amendments to IFRS Practice Statement 2 do not contain an effective date or transition requirements.
Amendments to IAS 8 accounting policies, changes in accounting estimates and errors - definition of accounting estimates The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The definition of a change in accounting estimates was deleted. However, the Board retained the concept of changes in accounting estimates in the Standard with the following clarifications: A change in accounting estimate that results from new information or new developments is not the correction of an error The effects of a change in an input or a measurement technique used to develop an accounting estimate are changes in accounting estimates if they do not result from the correction of prior period errors The IASB added two examples (Examples 4-5) to the Guidance on implementing IAS 8, which accompanies the Standard. The IASB has deleted one example (Example 3) as it could cause confusion in light of the amendments.	January 1, 2023, with earlier application permitted

New and revised IFRSs	Effective date
Amendments to IAS 12 income taxes - deferred tax related to assets and liabilities arising from a single transaction The amendments introduce a further exception from the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal taxable and deductible temporary differences. Depending on the applicable tax law, equal taxable and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination and affects neither accounting nor taxable profit. For example, this may arise upon recognition of a lease liability and the corresponding right-of-use asset applying IFRS 16 at the commencement date of a lease. Following the amendments to IAS 12, an entity is required to recognize the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability criteria in IAS 12. The Board also adds an illustrative example to IAS 12 that explains how the amendments are applied. The amendments apply to transactions that occur on or after the beginning of the earliest comparative period presented. In addition, at the beginning of the earliest comparative period an entity recognizes: • A deferred tax asset (to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized) and a deferred tax liability for all deductible and taxable temporary differences associated with: - Right-of-use assets and lease liabilities - Decommissioning, restoration and similar liabilities and the corresponding amounts recognized as part of the cost of the related asset • The cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at that date.	January 1, 2023, with earlier application permitted

Management anticipates that these new standards, interpretations and amendments will be adopted in the Group's consolidated financial statements as and when they are applicable and adoption of these new standards, interpretations and amendments, may have no material impact on the consolidated financial statements of the Group in the period of initial application.

4. Significant accounting judgments and key sources of uncertainty estimates

Preparation of the consolidated financial statements and application of accounting policies require management to make judgments, estimates, and assumptions that affect the amounts of financial assets and financial liabilities, and to disclose potential liabilities. Moreover, these estimates and judgments affect revenues, expenses, and provisions, in general; as well as expected credit losses and changes in fair value that appear in the consolidated statement of comprehensive income and within shareholders' equity. In particular, the Bank's management requires judgments to be made to estimate the amounts and timing of future cash flows. These estimates are necessarily based on multiple hypotheses and factors with varying degrees of estimation and uncertainty. Meanwhile, the actual results may differ from estimates due to the changes arising from the conditions and circumstances of those estimates in the future.

Judgments, estimates, and assumptions are reviewed periodically. Moreover, the effect of the change in estimates is recognized in the financial period in which the change occurs if the change affects only the financial period. On the other hand, the effect of the change in estimates is recognised in the financial period in which the change occurs and in future periods if the change affects the financial period and future financial periods.

We believes that its estimates in the consolidated financial statements are reasonable. The details are as follows:

Impairment of property acquired

Impairment in the value of properties acquired is recognized based on recent real estate valuations by qualified independent evaluators for calculating the asset impairment, which is reviewed periodically. Any decrease in its value is recorded as a loss in the consolidated statement of profit or loss and comprehensive income, and the increase is not recorded as revenue.

A gradual provision is calculated for the property according to the Central Bank of Jordan's Circular No. 10/3/13246 dated September 2, 2021 at a rate of (5%) of the total book value of these properties from the year 2022 until the required percentage is reached (50%) of these properties by the end of the year 2030. In accordance with the Central Bank of Jordan Circular No. 10/3/16234 dated October 10, 2022, the calculation of the gradual provision for expropriated real estate for debts was stopped, provided that the allocations for expropriated real estate in violation of the provisions of the Banking Law are maintained, and that only the provision for any of the infringing real estate is released that are discarded.

Useful life tangible and intangible assets

The Bank's management periodically assesses the useful lives of tangible and intangible assets for calculating annual depreciation and amortization based on the general condition of those assets and estimated future useful lives. The impairment loss is recognized in the consolidated statement of profit or loss for the year.

Income tax

The fiscal year is charged with income tax expense in accordance with accounting regulations, laws, and standards. Moreover, deferred tax assets, liabilities, and provision are recognized.

Provision for lawsuits

A provision for lawsuits is taken to meet any legal obligations that might arise based on the legal study prepared by the Bank's legal advisor. The study identifies risks that might occur in the future, and is reviewed periodically.

Provision for end-of-service indemnity

The provision for end- of- service indemnity, representing the Bank's obligations to employees, is calculated in accordance with the Bank's internal regulations.

Assets and liabilities at cost

Management reviews the assets and liabilities at cost for estimating any impairment in value, which is recognized in the consolidated statement of profit or loss for the year.

Provision for expected credit losses

Management is required to use significant judgments and estimates to estimate the amounts and timing of future cash flows and assess the risks of a significant increase in credit risk for financial assets after initial recognition and future measurement information for the expected credit losses. The most important policies and estimates used by the Bank's management are detailed in Note (44).

When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central Bank of Jordan Instructions No. (2009/47) dated December 10, 2009 for each stage individually, and the tougher results are taken. The credit instruments issued/ guaranteed by the Jordanian Government, in addition to any other credit exposures with/ guaranteed by the Jordanian government are excluded from the calculation. In accordance with the Central Bank of Jordan Circular No. 10/3/16234 dated October 10, 2022, the calculation of the gradual provision for expropriated real estate for debts was stopped, provided that the allocations for expropriated real estate in violation of the provisions of the Banking Law are maintained, and that only the provision for any of the infringing real estate is released that are discarded.

Evaluation of business model

The classification and measurement of financial assets depends on the results of the principal and interest payments test results and business model testing. The Bank defines a business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment that reflects all relevant evidence including how the asset's performance is evaluated and measured, the risks that affect the performance of the assets and how they are managed and how asset managers are compensated. The Bank monitors financial assets measured at amortized cost or fair value through other comprehensive income that are derecognized prior to maturity to understand why they have been derecognized and whether the reasons are consistent with the objective of the business being retained. Monitoring is part of the Group's ongoing assessment of whether the business model under which the remaining financial assets are held is appropriate and, if not, whether there has been a change in the business model and therefore a future change to the classification of those assets is introduced.

Significant increase in credit risk

The expected credit loss is measured as an allowance equivalent to the expected credit loss of (12) months for the assets of the first stage, or the credit loss over the life of the assets of the second or third stage. The asset moves to the second stage if credit risk increases significantly since initial recognition. IFRS (9) does not specify what constitutes a significant increase in credit risk. In assessing whether the credit risk of any asset has increased significantly, the Bank takes into account reasonable and reliable quantitative and qualitative information. The estimates and uses by the Bank's management relating to the significant change in credit risk that result in a change in classification within the three stages (1, 2 and 3) are shown in details in Note (44).

Establishment of groups of assets with similar credit risk characteristics

When the expected credit losses are measured on a collective basis, the financial instruments are grouped on the basis of common risk characteristics (e.g. instrument type, credit risk, collateral type, initial recognition date, remaining maturity period, industry, borrower's geographic location, etc.). The Bank monitors the appropriateness of credit risk characteristics on an ongoing basis to assess whether they are still similar. This is required to ensure that, in the event of a change in the credit risk characteristics, the asset is properly reallocated. This may result in the creation of new portfolios or the transfer of assets to an existing portfolio that better reflects the credit risk characteristics of that group of assets.

Re-division of portfolios and movements between portfolios

The re-division of portfolios and movements between portfolios is more common when credit risk increases significantly (or when such a large increase is reflected). Therefore, assets are transferred from expected credit losses of between (12) months to another portfolio or vice versa. However, this may happen within the portfolios that continue to be measured on the same basis as expected credit losses for a period of (12) months or a lifetime, but the amount of credit loss changes are expected due to the varying credit risk of portfolios.

Models and assumptions used

The Bank uses various models and assumptions in measuring the fair value of financial assets as well as in assessing the expected credit loss described in the notes to the consolidated financial statements. The judgment is applied when determining the best models for each type of asset as well as for the assumptions used in those models, which include assumptions regarding the main drivers of credit risk.

a. Classification and measurement of financial assets and liabilities

The Bank classifies financial instruments or components of financial assets at initial recognition either as a financial asset or a financial liability, or as an equity instrument in accordance with the substance of the contractual agreements and the definition of the instrument. The reclassification of a financial instrument is subject to the substance of the consolidated financial statements and not to its legal form.

The Bank shall determine the classification at initial recognition and reassess such determination, if possible and appropriate, at each date of the consolidated statement of financial position.

When measuring financial assets and liabilities, certain assets and liabilities of the Bank are re-measured at fair value for financial reporting purposes. In assessing the fair value of any assets or liabilities, the Bank uses available observable market data. In the absence of Level 1 inputs, the Bank conducts evaluations using professionally qualified independent evaluators. The Bank works closely with qualified external evaluators to develop appropriate valuation and data valuation techniques.

b. Fair value measurement

If the fair values of financial assets and financial liabilities included in the consolidated statement of financial position cannot be obtained from active markets, these fair values are determined using a range of valuation techniques involving the use of accounting models. If possible, the entered data for those models will be extracted from the market data. In the absence of such market data, fair values are determined by making judgments. These provisions include liquidity considerations and model data such as derivative volatility, longer-term discount rates, pre-payment ratios and default rates on asset-backed securities. Management believes that the valuation techniques used are appropriate to determine the fair value of financial instruments.

c. Derivative financial instruments

The fair values of derivative financial instruments measured at fair value are generally obtained by reference to quoted market prices, discounted cash flow models and, where appropriate, recognized pricing models. In the absence of prices, fair values are determined using valuation techniques that reflect observable market data. These techniques include comparison with similar instruments at observable market prices, discounted cash flow analysis, pricing option models and other valuation techniques commonly used by market participants. The main factors that Management takes into consideration when applying the model are:

- The expected timing and probability of future cash flows on the instrument where such cash flows are generally subject to the terms of the instrument, although Management's judgment may be required where the counterparty's ability to repay the instrument in accordance with contractual terms is in doubt; and
- An appropriate discount rate for the instrument. Management determines the instrument discount rate at a rate higher than the non-risk rate. In assessing the instrument by reference to comparative instruments, Management considers the maturity, structure, and degree of classification of the instrument based on the system in which the existing position is compared. When evaluating tools on a model basis using the fair value of the main components, Management also considers the need to make adjustments for a number of factors, such as bid differences, credit status, portfolio service costs, and uncertainty about the model.

Lease extension and termination options

Extension and termination options are included in a number of leases. These conditions are used to increase operational flexibility in terms of contract management. Most of the held extension and termination options are renewable by both the Bank and the lessor.

Determination the lease term

When determining the duration of the lease, management takes into account all the facts and circumstances that create an economic incentive for the extension option, or no termination option. Extension options (or periods following termination options) are included only in the lease term if the lease is reasonably certain to be extended (or not terminated). The evaluation is reviewed in the event of a significant event or significant change in the circumstances affecting this assessment that are under the control of the tenant.

Key sources of uncertainty estimates

The main principal estimates used by management in applying the Bank's accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are as follows:

Determining the number and relative weight of scenarios of the outlook for each type of product / market and the identification of future information relevant to each scenario

When measuring the expected credit loss, the Bank uses reasonable and supported future information based on the assumptions of the future movement of the various economic engines and how these affect each other.

Probability of default

The potential for default is a key input in measuring the expected credit loss. The probability of default is an estimate of the probability of default over a given period of time, which includes the calculation of historical data, assumptions and expectations relating to future circumstances.

Loss given default

Loss on the assumption of default is an estimate of the loss arising from default. It is based on the difference between the contractual cash flows due and those that the financer expects to collect, taking into account cash flows from collateral and integrated credit adjustments.

Fair value measurement and valuation procedures

When estimating the fair value of financial assets and financial liabilities, the Bank uses available observable market data. In the absence of level (1) inputs, the Bank conducts evaluations using appropriate valuation models to determine the fair value of financial instruments.

Discounting rental payments

Lease payments are discounted using the Bank's incremental borrowing rate ("IBR"). Management applied the judgments and estimates to determine the incremental borrowing rate at the start of the lease.

5. Cash and balances at the Central Bank of Jordan

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Cash in treasury	130,128,294	125,176,533
Balances at Central Bank of Jordan:		
Current accounts and demand deposits	90,036,171	265,155,626
Term and notice deposits	303,200,000	315,000,000
Statutory cash reserve	238,441,946	229,098,309
Total balances at the Central Bank of Jordan	631,678,117	809,253,935
Total	**761,806,411**	**934,430,468**

- Except for the statutory cash reserve , there are no restricted balances as of December 31, 2022 and December 31, 2021.
- There are no accrued amounts during a period exceeding three months as of December 31, 2022 and December 31, 2021.
- All balances at the Central Bank of Jordan are classified within stage 1 based on the requirements of IFRS (9) as adopted by the Central Bank of Jordan . There are also no transfers between Stages (1,2,3) or written-off balances during the year ended December 31, 2022.

- Disclosure on the movements at the Central Bank of Jordan balances:

	December 31,	
	2022	2021
	JOD	JOD
Balance - beginning of the year	809,253,935	620,008,775
New balances during the year	311,340,186	354,245,160
Settled balances	(488,916,004)	(165,000,000)
Balance - end of the year	**631,678,117**	**809,253,935**

6. Balances at banks and financial institutions - net

The details of this item are as follows:

Description	Local Banks and Financial Institutions December 31,		Foreign Banks and Financial Institutions December 31,		Total December 31,	
	2022	2021	2022	2021	2022	2021
	JOD	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	571,944	443,162	115,927,270	239,619,091	116,499,214	240,062,253
Deposits maturing within 3 months	13,000,000	10,000,000	78,124,044	291,974,566	91,124,044	301,974,566
Total	13,571,944	10,443,162	194,051,314	531,593,657	207,623,258	542,036,819
Provision for expected credit loss	-	-	(280,650)	(560,112)	(280,650)	(560,112)
Balance at Bank and financial institutions - net	13,571,944	10,443,162	193,770,664	531,033,545	207,342,608	541,476,707

- Non-interest bearing balances at banks and financial institutions amounted to JOD 41,462,493 as of December 31, 2022 (JOD 55,348,360 as of December 31, 2021).
- Restricted balances at banks and financial institutions amounted to JOD 9,791,446 as of December 31, 2022 (JOD 7,548,214 as of December 31, 2021).

- The movement on balances at banks and financial institutions is as follows:

	December 31, 2022			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	542,036,819	-	-	542,036,819
New balances during the year	156,629,856	-	-	156,629,856
Settled balances	(495,709,078)	-	-	(495,709,078)
Changes resulted from adjustments	4,665,661	-	-	4,665,661
Balance - End of the Year	207,623,258	-	-	207,623,258

	December 31, 2021			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	397,274,210	-	-	397,274,210
New balances during the year	422,775,611	-	-	422,775,611
Settled balances	(276,450,530)	-	-	(276,450,530)
Changes resulted from adjustments	(1,562,472)	-	-	(1,562,472)
Balance - End of the Year	542,036,819	-	-	542,036,819

- The movement on the provision for impairment loss:

	December 31, 2022			
	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year	560,112	-	-	560,112
Impairment new balances during the year	280,650	-	-	280,650
Recovered from impairment loss on settled balances	(560,112)	-	-	(560,112)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages during the year	-	-	-	-
Changes resulting from adjustments	-	-	-	-
Balance - End of the Year	**280,650**	**-**	**-**	**280,650**

	December 31, 2021			
	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year	189,682	-	-	189,682
Impairment on new balances during the year	560,111	-	-	560,111
Recovered from impairment loss on settled balances	(189,681)	-	-	(189,681)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages during the year	-	-	-	-
Changes resulting from adjustments	-	-	-	-
Balance - End of the Year	**560,112**	**-**	**-**	**560,112**

7. Deposits at banks and financial institutions - net

The details of this item are as follows:

	Local Banks and Financial Institutions December 31,		Foreign Banks and Financial Institutions December 31,		Total December 31,	
	2022	2021	2022	2021	2022	2021
	JOD	JOD	JOD	JOD	JOD	JOD
Deposits maturing during the period from 3 months to 6 months:	-	-	2,127,000	2,771,936	2,127,000	2,771,936
More than 6 months to 9 months	6,000,000	6,000,000	2,127,000	-	8,127,000	6,000,000
More than 9 months to 12 months	-	-	3,766,575	-	3,766,575	-
More than a year	-	-	-	-	-	-
Total Balances	6,000,000	6,000,000	8,020,575	2,771,936	14,020,575	8,771,936
Provision for expected credit losses	-	-	(6,751)	(1,251)	(6,751)	(1,251)
Net Deposits at bank and financial institutions	**6,000,000**	**6,000,000**	**8,013,824**	**2,770,685**	**14,013,824**	**8,770,685**

- The movement on deposits at banks and financial institutions:

	December 31, 2022			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	8,771,936	-	-	8,771,936
New deposits during the year	14,020,575	-	-	14,020,575
Settled balances during the year	(8,771,936)	-	-	(8,771,936)
Balance - End of the Year	**14,020,575**	**-**	**-**	**14,020,575**

	December 31, 2021			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	4,449,068	-	-	4,449,068
New deposits during the year	8,771,936	-	-	8,771,936
Settled balances during the year	(4,449,068)	-	-	(4,449,068)
Balance - End of the Year	**8,771,936**	**-**	**-**	**8,771,936**

- The movement on the provision for impairment loss:

	December 31, 2022			
	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year	1,251	-	-	1,251
Impairment loss on new balances during the year	6,751	-	-	6,751
Recovered from impairment on the settled balances	(1,251)	-	-	(1,251)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages	-	-	-	-
Changes resulting from adjustments	-	-	-	-
Balance – End of the Year	**6,751**	**-**	**-**	**6,751**

	December 31, 2021			
	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year	611	-	-	611
Impairment loss on new balances during the year	1,251	-	-	1,251
Recovered from impairment on the settled balances	(611)	-	-	(611)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages	-	-	-	-
Changes resulting from adjustments	-	-	-	-
Balance – End of the Year	**1,251**	**-**	**-**	**1,251**

8. Financial assets at fair value through profit or loss

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Government bonds listed in financial markets	649,405	143,948
Corporate bonds listed in financial markets	105,388	1,512,207
Corporate shares listed in financial markets	4,813,576	3,275,739
Investment funds	12,855,527	13,364,472
Total	**18,423,896**	**18,296,366**

9. Direct credit facilities and financing - net

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Individuals (retail):		
Overdraft accounts	3,184,269	1,794,970
Loans and bills *	942,769,009	821,425,508
Credit cards	32,826,520	17,807,394
Real estate loans	1,020,109,367	897,926,656
Large Corporates		
Overdraft accounts	59,792,215	66,202,150
Loans and bills *	1,269,222,605	1,046,668,567
Small and Medium sized entities		
Overdraft accounts	26,032,619	24,662,480
Loans and bills *	226,258,176	201,854,139
Government and public sector	599,215,519	431,243,828
Total	**4,179,410,299**	**3,509,585,692**
Less: Interest and returns in suspense	16,346,736	16,920,366
Less: Provision of expected credit losses	171,944,782	141,540,998
Net Direct Credit Facilities and Financing	**3,991,118,781**	**3,351,124,328**

* Net after deducting interest and commission received in advance of JOD 9,567,287 as of December 31, 2022 (JOD 5,395,416 as of December 31, 2021).

- Direct credit and financing facilities included in stage (3) amounted to JOD 153,168,123 which is equivalent to 3.66% of total direct credit and facilities as of December 31, 2022 (JOD 130,919,534 which is equivalent to 3.73% of total direct credit and financing facilities as of December 31, 2021).
- Direct credit and financing facilities included in stage (3) amounted to JOD 136,821,387 which is equivalent to 3.29% of total direct credit facilities balance after deducting interest and revenue in suspense as of December 31, 2022 (JOD 113,999,168, which is equivalent to 3.26% of total credit facilities balance after deducting interest and revenue in suspense as of December 31, 2021).
- Direct credit facilities granted to and guaranteed by the Jordanian Government amounted to JOD 597,310,735 which is equivalent to 14.29% of total direct credit facilities as of December 31, 2022 (JOD 323,740,585 which is equivalent to 9.22% as of December 31, 2021).
- The facilities according to the Islamic Shari'a related to Safwa Islamic Bank amounted to JOD 1,988,082,241 which is equivalent to 47.57% of total direct credit facilities as of December 31, 2022 (JOD 1,635,040,078 which is equivalent to 46.59% as of December 31, 2021).

Disclosure of the movement on facilities and financing:

For the Year ended December 31, 2022	Individual	Real Estate Loans	Corporations		Governmental and Public Sector	Total
			Large Corporate	SME's		
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures – beginning of the year	841,027,872	897,926,656	1,112,870,717	226,516,619	431,243,828	3,509,585,692
New exposures during the year	316,780,780	248,463,020	401,708,269	85,547,179	185,448,254	1,237,947,502
Exposures settled during the year	(106,427,232)	(63,331,521)	(177,939,359)	(40,714,123)	(7,518,897)	(395,931,132)
The total impact on the volume of exposures as a result of changing						
the classification between stages	(3,648,710)	(5,292,565)	975,370	(2,743,189)	-	(10,709,094)
Changes resulted from adjustments	(68,150,031)	(57,648,570)	(4,719,386)	(12,139,376)	(9,957,666)	(152,615,029)
Written off or transferred to off statements of financial position debts	(802,881)	(7,653)	(3,880,791)	(4,176,315)	-	(8,867,640)
Total balance at the end of the year	**978,779,798**	**1,020,109,367**	**1,329,014,820**	**252,290,795**	**599,215,519**	**4,179,410,299**

For the Year ended December 31, 2021	Individual	Real Estate Loans	Corporations		Governmental and Public Sector	Total
			Large Corporate	SME's		
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures – beginning of the year	708,769,983	783,136,250	1,182,132,275	201,552,664	212,514,816	3,088,105,988
New exposures during the year	279,104,233	226,327,877	262,092,126	63,997,767	249,131,690	1,080,653,693
Exposures settled during the year	(82,528,208)	(63,191,499)	(235,641,194)	(24,479,131)	(11,354,833)	(417,194,865)
The total impact on the volume of exposures as a result of changing						
the classification between stages	(5,181,406)	(3,473,092)	(22,666,556)	(2,047,373)	-	(33,368,427)
Changes resulted from adjustments	(55,741,152)	(44,072,000)	(69,669,289)	(11,681,128)	(19,047,845)	(200,211,414)
Written off or transferred to off statements of financial position debts	(3,395,578)	(800,880)	(3,376,645)	(826,180)	-	(8,399,283)
Total balance at the end of the year	**841,027,872**	**897,926,656**	**1,112,870,717**	**226,516,619**	**431,243,828**	**3,509,585,692**

* During the year ended on December 31, 2022, direct credit facilities and financing amounting to JOD 6,924,913 were transferred to off-balance items (JOD 7,679,135 as on December 31, 2021) and direct credit facilities and financing in the amount of JOD 1,942,727 were written off, in accordance with the decisions of the Board of Directors in this regard (JOD 720,148 as of December 31, 2021)

The movement on the expected credit loss for credit facilities and financing was as follows:

For the Year ended December 31, 2022	Individual	Real Estate Loans	Corporations		Governmental and Public Sector	Total
			Large Corporate	SME's		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	29,479,940	12,703,958	85,512,145	13,844,955	-	141,540,998
Impairment on new credit facilities during the year	4,753,678	1,720,420	18,462,315	2,767,331	-	27,703,744
Recovered from Impairment on settled credit facilities	(2,728,178)	(1,878,967)	(6,089,828)	(1,377,776)	-	(12,074,749)
Transferred to stage (1)	2,049,575	244,990	(547,367)	62,925	-	1,810,123
Transferred to stage (2)	(740,042)	(517,527)	(345,844)	(1,231,760)	-	(2,835,173)
Transferred to stage (3)	(1,309,533)	272,537	893,211	1,168,835	-	1,025,050
Effect on impairment losses due to changes in the classifications between stages	3,122,664	930,459	7,765,372	4,167,866	-	15,986,361
Changes resulted from adjustments	(588,018)	(1,861,156)	5,341,033	575,915	-	3,467,774
Written off or transferred to off statements of financial position debts	(438,853)	-	(837,036)	(3,403,457)	-	(4,679,346)
Balance - End of the Year	**33,601,233**	**11,614,714**	**110,154,001**	**16,574,834**	**-**	**171,944,782**
Redistribution:						
Provision on an Individual basis	31,004,301	11,609,978	110,154,001	16,139,066	-	168,907,346
Provision on a collective basis	2,596,932	4,736	-	435,768	-	3,037,436
	33,601,233	**11,614,714**	**110,154,001**	**16,574,834**	**-**	**171,944,782**

For the Year ended December 31, 2021	Individual	Real Estate Loans	Corporations		Governmental and Public Sector	Total
			Large Corporate	SME's		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	25,401,230	14,336,802	67,069,526	12,675,056	-	119,482,614
Impairment on new Credit facilities during the year	4,294,530	2,592,837	13,173,332	2,691,006	-	22,751,705
Recovered from Impairment on paid credit facilities	(3,544,806)	(2,813,721)	(9,924,727)	(1,584,591)	-	(17,867,845)
Transferred to stage (1)	1,838,768	816,969	(108,871)	(78,919)	-	2,467,947
Transferred to stage (2)	570,129	(568,155)	(5,067,934)	(13,859)	-	(5,079,819)
Transferred to stage (3)	(2,408,897)	(248,814)	5,176,805	92,778	-	2,611,872
Effect on impairment losses due to changes in the classifications between stages	4,790,917	84,891	7,449,335	1,021,510	-	13,346,653
Changes resulted from adjustments	652,814	(1,133,266)	10,339,158	(445,341)	-	9,413,365
Written off or transferred to off statements of financial position debts	(2,114,745)	(363,585)	(2,594,479)	(512,685)	-	(5,585,494)
Balance - End of the Year	**29,479,940**	**12,703,958**	**85,512,145**	**13,844,955**	**-**	**141,540,998**
Redistribution:						
Provision on an Individual basis	27,004,054	12,703,784	85,512,145	13,167,915	-	138,387,898
Provision on a collective basis	2,475,886	174	-	677,040	-	3,153,100
	29,479,940	**12,703,958**	**85,512,145**	**13,844,955**	**-**	**141,540,998**

- The value of the provisions that were no longer needed as a result of debt settlements and transferred to other debts amounted to JOD 12,074,749 as of December 31, 2022 (JOD 17,867,845 as of December 31, 2021).

Interest in suspense

The following is the movement on interest in suspense:

For the Year ended December 31, 2022	Individual	Real estate loans	Corporate Entities		Government and Public Sector	Total
			Corporate	SMEs		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	4,102,597	2,471,153	7,707,710	2,638,906	-	16,920,366
Add: Interest and returns suspended during the year	2,571,842	270,601	1,539,725	908,266	-	5,290,434
Less: Interest and returns transferred to revenue	(740,249)	(25,038)	(767,070)	(143,413)	-	(1,675,770)
Interest in suspense written-of by decisions	(364,026)	(7,653)	(3,043,756)	(772,859)	-	(4,188,294)
Balance - End of the Year	**5,570,164**	**2,709,063**	**5,436,609**	**2,630,900**	**-**	**16,346,736**

For the Year ended December 31, 2021	Individual	Real estate loans	Corporate Entities		Government and Public Sector	Total
			Corporate	SMEs		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	4,120,410	2,935,998	7,655,932	2,282,901	-	16,995,241
Add: Interest and returns suspended during the year	1,935,720	427,845	1,342,528	752,560	-	4,458,653
Less: Interest and returns transferred to revenue	(672,700)	(455,395)	(508,584)	(83,060)	-	(1,719,739)
Interest in suspense written-of by decisions	(1,280,833)	(437,295)	(782,166)	(313,495)	-	(2,813,789)
Balance - End of the Year	**4,102,597**	**2,471,153**	**7,707,710**	**2,638,906**	**-**	**16,920,366**

The following are the credit exposures according to IFRS (9):

As of December 31, 2022

	According to IFRS (9) as adopted by Central Bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Individual	922,069,122	4,163,637	-	19,419,787	1,245,673	-	37,290,889	28,191,923	5,570,164	978,779,798	33,601,233	5,570,164
Real estate loans	834,776,421	439,083	-	162,491,965	3,791,138	-	22,840,981	7,384,493	2,709,063	1,020,109,367	11,614,714	2,709,063
Corporate	955,650,437	12,699,994	-	304,983,705	46,028,615	-	68,380,678	51,425,392	5,436,609	1,329,014,820	110,154,001	5,436,609
SME's	182,000,253	1,357,846	-	45,634,967	1,668,355	-	24,655,575	13,548,633	2,630,900	252,290,795	16,574,834	2,630,900
Governmental and Public Sector	599,215,519	-	-	-	-	-	-	-	-	599,215,519	-	-
	3,493,711,752	**18,660,560**	**-**	**532,530,424**	**52,733,781**	**-**	**153,168,123**	**100,550,441**	**16,346,736**	**4,179,410,299**	**171,944,782**	**16,346,736**

As of December 31, 2021

	According to IFRS (9) as adopted by Central Bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Individual	779,565,332	4,016,954	-	30,940,041	2,990,363	-	30,522,499	22,472,623	4,102,597	841,027,872	29,479,940	4,102,597
Real estate loans	748,559,244	1,237,043	-	132,472,608	5,508,400	-	16,894,804	5,958,515	2,471,153	897,926,656	12,703,958	2,471,153
Corporate	799,254,383	10,950,904	-	251,230,166	28,714,382	-	62,386,168	45,846,859	7,707,710	1,112,870,717	85,512,145	7,707,710
SME's	149,748,862	1,145,780	-	55,651,694	2,549,592	-	21,116,063	10,149,583	2,638,906	226,516,619	13,844,955	2,638,906
Governmental and Public Sector	431,243,828	-	-	-	-	-	-	-	-	431,243,828	-	-
	2,908,371,649	**17,350,681**	**-**	**470,294,509**	**39,762,737**	**-**	**130,919,534**	**84,427,580**	**16,920,366**	**3,509,585,692**	**141,540,998**	**16,920,366**

The movement on the gross credit facilities and financing as of the year-end:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures – beginning of the year	2,236,721,529	671,650,120	405,064,033	65,230,476	130,919,534	3,509,585,692
New exposures during the year	873,192,344	248,803,782	91,188,989	13,149,999	11,612,388	1,237,947,502
Exposures settled during the year	(278,403,995)	(58,381,601)	(40,054,005)	(8,245,413)	(10,846,118)	(395,931,132)
Transferred to stage (1)	39,922,235	22,390,672	(39,080,246)	(22,361,845)	(870,816)	-
Transferred to stage (2)	(95,708,692)	(9,412,106)	98,578,866	11,081,587	(4,539,655)	-
Transferred to stage (3)	(8,850,386)	(3,007,140)	(30,105,610)	(4,400,701)	46,363,837	-
Total impact on volume of exposures as a result of changing the classification between stages	(5,161,410)	(1,404,834)	2,413,745	(636,335)	(5,920,260)	(10,709,094)
Changes resulting from adjustments	(77,882,231)	(60,756,535)	(8,398,796)	(894,320)	(4,683,147)	(152,615,029)
Written off or transferred to off statements of financial position debts	-	-	-	-	(8,867,640)	(8,867,640)
Total balance at the end of the year	**2,683,829,394**	**809,882,358**	**479,606,976**	**52,923,448**	**153,168,123**	**4,179,410,299**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures – beginning of the year	2,023,885,152	572,632,425	342,616,631	30,726,382	118,245,398	3,088,105,988
New exposures during the year	750,278,160	236,184,831	76,916,417	11,684,408	5,589,877	1,080,653,693
Exposures paid during the year	(302,786,525)	(43,112,125)	(53,793,088)	(2,796,948)	(14,706,179)	(417,194,865)
Transferred to stage (1)	59,840,822	786,149	(56,175,283)	(786,102)	(3,665,586)	-
Transferred to stage (2)	(136,611,567)	(32,188,318)	140,087,906	32,796,228	(4,084,249)	-
Transferred to stage (3)	(6,554,449)	(4,952,724)	(25,374,658)	(1,692,361)	38,574,192	-
Total impact on volume of exposures as a result of changing the classification between stages	(17,996,645)	(266,360)	(12,736,601)	(2,953,445)	584,624	(33,368,427)
Changes resulting from adjustments	(133,333,419)	(57,433,758)	(6,477,291)	(1,747,686)	(1,219,260)	(200,211,414)
Written off or transferred to off statements of financial position debts	-	-	-	-	(8,399,283)	(8,399,283)
Total balance at the end of the year	**2,236,721,529**	**671,650,120**	**405,064,033**	**65,230,476**	**130,919,534**	**3,509,585,692**

The movement of the provision for impairment losses as for the year-end:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	16,142,002	1,208,679	37,818,316	1,944,421	84,427,580	141,540,998
Impairment losses on new exposures during the year	6,220,521	1,469,139	9,240,217	17,325	10,756,542	27,703,744
Recovered from impairment of the settled exposures during the year	(3,025,518)	(102,871)	(2,565,700)	(239,502)	(6,141,158)	(12,074,749)
Transferred to stage (1)	2,022,230	844,592	(1,410,570)	(837,941)	(618,311)	-
Transferred to stage (2)	(963,864)	(12,446)	2,709,358	842,624	(2,575,672)	-
Transferred to stage (3)	(68,616)	(11,773)	(3,959,179)	(179,465)	4,219,033	-
Total impact on volume of exposures as a result of changing the classification between stages	(1,610,546)	(821,440)	5,176,876	(759,792)	14,001,263	15,986,361
Changes resulting from adjustments	(2,585,309)	(44,220)	5,216,687	(279,894)	1,160,510	3,467,774
Written off or transferred to off statements of financial position debts	-	-	-	-	(4,679,346)	(4,679,346)
Total ECL balance at the end of the year	**16,130,900**	**2,529,660**	**52,226,005**	**507,776**	**100,550,441**	**171,944,782**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	17,865,958	891,869	28,807,402	154,124	71,763,261	119,482,614
Impairment losses on the new exposures during the year	5,282,840	637,405	7,893,105	260,432	8,677,923	22,751,705
Recovered from impairment of the paid exposures during the year	(4,452,639)	(77,533)	(3,815,132)	(3,324)	(9,519,217)	(17,867,845)
Transferred to stage (1)	4,218,979	1,040	(2,664,820)	(994)	(1,554,205)	-
Transferred to stage (2)	(1,617,553)	(44,479)	3,058,678	416,966	(1,813,612)	-
Transferred to stage (3)	(62,463)	(27,577)	(5,879,244)	(10,405)	5,979,689	-
Total impact on volume of exposures as a result of changing the classification between stages	(3,679,207)	(862)	1,662,786	850,535	14,513,401	13,346,653
Changes resulting from adjustments	(1,413,913)	(171,184)	8,755,541	277,087	1,965,834	9,413,365
Written off or transferred to off statements of financial position debts	-	-	-	-	(5,585,494)	(5,585,494)
Total ECL balance at the end of the year	**16,142,002**	**1,208,679**	**37,818,316**	**1,944,421**	**84,427,580**	**141,540,998**

The distribution of total credit and financing facilities by the internal credit rating for Individuals is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)		Total
	Individual	Collective	Individual	Collective	Individual	Total	
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	106,713	-	-	-	-	106,713	168,320
2	1,824,765	-	-	-	-	1,824,765	873,341
3	3,765,242	-	33,489	-	-	3,798,731	4,300,905
4	5,141,924	-	35,268	-	-	5,177,192	8,119,442
5	3,555,899	-	431,557	-	-	3,987,456	4,087,850
6	1,866,048	-	1,826,942	-	-	3,692,990	2,608,964
7	1,268,467	-	1,463,969	-	-	2,732,436	1,081,490
8	-	-	-	-	1,864,529	1,864,529	1,483,270
Not rated	560,173,134	344,366,930	9,415,653	6,212,909	35,426,360	955,594,986	818,304,290
Total	**577,702,192**	**344,366,930**	**13,206,878**	**6,212,909**	**37,290,889**	**978,779,798**	**841,027,872**

The movement on credit and financing facilities for Individuals is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures - beginning of the year	501,149,300	278,416,032	14,263,466	16,676,575	30,522,499	841,027,872
New exposures during the year	183,575,517	126,568,710	3,503,498	154,328	2,978,727	316,780,780
Settled exposures during the year	(74,572,408)	(26,787,546)	(1,326,168)	(1,427,678)	(2,313,432)	(106,427,232)
Transferred to stage (1)	8,824,627	9,089,428	(8,010,971)	(9,076,150)	(826,934)	-
Transferred to stage (2)	(6,816,773)	(1,843,613)	7,776,644	2,923,645	(2,039,903)	-
Transferred to stage (3)	(3,773,855)	(1,825,274)	(2,270,800)	(1,929,432)	9,799,361	-
Total impact on volume of exposures as a result of changing the classification between stages	(1,076,621)	(1,667,640)	(391,904)	(427,712)	(84,833)	(3,648,710)
Changes resulting from adjustments	(29,607,595)	(37,583,167)	(336,887)	(680,667)	58,285	(68,150,031)
Written off or transferred to off statements of financial position debts	-	-	-	-	(802,881)	(802,881)
Balance - End of the Year	577,702,192	344,366,930	13,206,878	6,212,909	37,290,889	978,779,798

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures - beginning of the year	431,648,647	226,708,921	18,486,881	3,602,075	28,323,459	708,769,983
New exposures during the year	148,664,693	125,350,364	1,039,363	1,268,194	2,781,619	279,104,233
Settled exposures during the year	(56,697,313)	(20,884,918)	(1,830,905)	(316,884)	(2,798,188)	(82,528,208)
Transferred to stage (1)	12,557,032	43,892	(10,473,167)	(43,845)	(2,083,912)	-
Transferred to stage (2)	(9,500,051)	(14,567,611)	11,048,488	14,929,211	(1,910,037)	-
Transferred to stage (3)	(3,613,556)	(3,471,017)	(2,039,401)	(789,648)	9,913,622	-
Total impact on volume of exposures as a result of changing the classification between stages	(1,687,996)	(27,250)	(1,741,085)	(1,641,595)	(83,480)	(5,181,406)
Changes resulting from adjustments	(20,222,156)	(34,736,349)	(226,708)	(330,933)	(225,006)	(55,741,152)
Written off or transferred to off statements of financial position debts	-	-	-	-	(3,395,578)	(3,395,578)
Balance - End of the Year	**501,149,300**	**278,416,032**	**14,263,466**	**16,676,575**	**30,522,499**	**841,027,872**

The movement on the provision for impairment loss for Individuals credit facilities is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	2,836,186	1,180,768	1,695,245	1,295,118	22,472,623	29,479,940
Impairment loss on new exposures during the year	601,043	1,435,166	307,775	7,023	2,402,671	4,753,678
Recovered from impairment of the settled exposures during the year	(398,433)	(95,944)	(80,045)	(65,826)	(2,087,930)	(2,728,178)
Transferred to stage (1)	1,374,294	807,027	(770,116)	(800,376)	(610,829)	-
Transferred to stage (2)	(72,763)	(7,359)	732,494	820,717	(1,473,089)	-
Transferred to stage (3)	(43,081)	(8,543)	(543,795)	(178,966)	774,385	-
Effect on impairment loss due to the changes in the classifications between stages	(1,312,289)	(788,333)	(63,671)	(767,866)	6,054,823	3,122,664
Effect on the provision resulting from adjustment	(1,302,429)	(41,673)	(148,037)	(194,001)	1,098,122	(588,018)
Written off or transferred to off statements of financial position debts	-	-	-	-	(438,853)	(438,853)
Total ECL balance - end of the year	1,682,528	2,481,109	1,129,850	115,823	28,191,923	33,601,233

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	2,919,780	833,401	1,494,949	40,025	20,113,075	25,401,230
Impairment loss on new exposures during the year	926,434	627,258	147,025	215,521	2,378,292	4,294,530
Recovered from impairment of the settled exposures during the year	(1,269,641)	(68,273)	(152,793)	(2,489)	(2,051,610)	(3,544,806)
Transferred to stage (1)	1,973,002	726	(722,752)	(680)	(1,250,296)	-
Transferred to stage (2)	(65,749)	(34,652)	1,078,593	381,479	(1,359,671)	-
Transferred to stage (3)	(22,192)	(12,367)	(156,904)	(9,607)	201,070	-
Effect on impairment loss due to the changes in the classifications between stages	(1,837,914)	(618)	(157,675)	628,928	6,158,196	4,790,917
Effect on the provision resulting from adjustment	212,466	(164,707)	164,802	41,941	398,312	652,814
Written off or transferred to off statements of financial position debts	-	-	-	-	(2,114,745)	(2,114,745)
Total ECL balance - end of the year	2,836,186	1,180,768	1,695,245	1,295,118	22,472,623	29,479,940

The distribution of total credit and financing facilities by internal credit rating for Real Estate Loans is as follows:

	December 31, 2022						2021
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	244,502	-	-	-	-	244,502	287,650
2	5,664,693	-	624,150	-	-	6,288,843	6,439,643
3	20,284,056	-	7,844,390	-	-	28,128,446	36,642,669
4	23,252,171	-	2,741,499	-	-	25,993,670	30,535,746
5	52,998,626	-	47,250,835	-	-	100,249,461	102,665,201
6	8,942,909	-	28,720,140	-	-	37,663,049	31,400,125
7	2,800,980	-	34,672,861	-	-	37,473,841	29,194,032
8	-	-	-	-	9,007,175	9,007,175	7,045,137
Not rated	284,349,766	436,238,718	12,489,135	28,148,955	13,833,806	775,060,380	653,716,453
Total	**398,537,703**	**436,238,718**	**134,343,010**	**28,148,955**	**22,840,981**	**1,020,109,367**	**897,926,656**

The movement on credit and financing facilities for Real Estate is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures - beginning of the year	376,384,835	372,174,409	105,409,058	27,063,550	16,894,804	897,926,656
New exposures during the year	117,691,695	108,465,081	11,667,697	9,426,144	1,212,403	248,463,020
Settled exposures during the year	(26,367,311)	(27,351,688)	(4,439,858)	(1,935,652)	(3,237,012)	(63,331,521)
Transferred to stage (1)	11,023,616	9,386,685	(10,995,283)	(9,386,685)	(28,333)	-
Transferred to stage (2)	(43,334,250)	(4,013,633)	43,589,362	4,563,678	(805,157)	-
Transferred to stage (3)	(2,888,117)	(598,839)	(4,445,266)	(1,164,483)	9,096,705	-
Effect on the volume of exposures due to the changes between stages	(1,004,644)	(97,819)	(4,336,638)	130,158	16,378	(5,292,565)
Changes resulting from adjustments	(32,968,121)	(21,725,478)	(2,106,062)	(547,755)	(301,154)	(57,648,570)
Written off or transferred to off statements of financial position debts	-	-	-	-	(7,653)	(7,653)
Total exposures - End of the Year	**398,537,703**	**436,238,718**	**134,343,010**	**28,148,955**	**22,840,981**	**1,020,109,367**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures - beginning of the year	337,527,166	320,689,571	92,292,819	14,165,914	18,460,780	783,136,250
New exposures during the year	104,625,938	105,664,812	12,084,766	3,259,471	692,890	226,327,877
Settled exposures during the year	(27,641,671)	(19,079,003)	(10,757,621)	(1,715,735)	(3,997,469)	(63,191,499)
Transferred to stage (1)	13,945,976	160,202	(12,385,669)	(160,202)	(1,560,307)	-
Transferred to stage (2)	(32,255,022)	(12,848,545)	33,578,112	12,983,266	(1,457,811)	-
Transferred to stage (3)	(420,589)	(822,513)	(3,293,935)	(766,803)	5,303,840	-
Effect on the volume of exposures due to the changes between stages	(1,143,427)	(47,284)	(2,120,729)	(698,193)	536,541	(3,473,092)
Changes resulting from adjustments	(18,253,536)	(21,542,831)	(3,988,685)	(4,168)	(282,780)	(44,072,000)
Written off or transferred to off statements of financial position debts	-	-	-	-	(800,880)	(800,880)
Total exposures - End of the Year	**376,384,835**	**372,174,409**	**105,409,058**	**27,063,550**	**16,894,804**	**897,926,656**

The movement on the provision for impairment for Real Estate credit facilities is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	1,236,869	174	5,508,400	-	5,958,515	12,703,958
Impairment loss on new exposures during the year	82,237	4,328	347,657	-	1,286,198	1,720,420
Recovered from impairment on the settled exposures during the year	(51,923)	(13)	(502,988)	-	(1,324,043)	(1,878,967)
Transferred to stage (1)	345,027	-	(337,545)	-	(7,482)	-
Transferred to stage (2)	(94,079)	-	198,508	-	(104,429)	-
Transferred to stage (3)	(5,958)	-	(378,490)	-	384,448	-
Effect on impairment losses due to the changes in the classifications between stages	(330,762)	-	166,565	-	1,094,656	930,459
Effect on the provision resulting from adjustment	(747,064)	247	(1,210,969)	-	96,630	(1,861,156)
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance - end of the year	**434,347**	**4,736**	**3,791,138**	**-**	**7,384,493**	**11,614,714**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	1,114,464	52	7,276,536	-	5,945,750	14,336,802
Impairment loss on new exposures during the year	77,801	148	1,656,757	-	858,131	2,592,837
Recovered from impairment on the settled exposures during the year	(80,387)	-	(1,497,133)	-	(1,236,201)	(2,813,721)
Transferred to stage (1)	914,185	-	(622,762)	-	(291,423)	-
Transferred to stage (2)	(95,806)	-	428,181	-	(332,375)	-
Transferred to stage (3)	(1,410)	-	(373,574)	-	374,984	-
Effect on impairment losses due to the changes in the classifications between stages	(840,255)	-	22,263	-	902,883	84,891
Effect on the provision resulting from adjustment	148,277	(26)	(1,381,868)	-	100,351	(1,133,266)
Impairment loss on written-off exposures or transferred	-	-	-	-	(363,585)	(363,585)
Total ECL balance - end of the year	**1,236,869**	**174**	**5,508,400**	**-**	**5,958,515**	**12,703,958**

The distribution of total credit and financing facilities by internal credit rating for corporates is as follows:

	December 31, 2022						2021
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	-	-	-	-	-	-	-
2	31,280,776	-	2,563	-	-	31,283,339	15,761,685
3	117,204,016	-	1,005,972	-	-	118,209,988	127,648,472
4	192,903,944	-	3,369,157	-	-	196,273,101	90,006,253
5	257,825,351	-	45,834,011	-	-	303,659,362	249,276,983
6	334,516,908	-	53,333,622	-	-	387,850,530	310,092,814
7	17,981,273	-	195,157,275	-	-	213,138,548	253,344,155
8	-	-	-	-	60,946,772	60,946,772	50,099,052
Not rated	3,938,169	-	6,281,105	-	7,433,906	17,653,180	16,641,303
Total	**955,650,437**	**-**	**304,983,705**	**-**	**68,380,678**	**1,329,014,820**	**1,112,870,717**

The movement on credit and financing facilities for corporates is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures - beginning of the year	799,254,383	-	251,230,166	-	62,386,168	1,112,870,717
New exposures during the year	326,181,561	-	69,612,168	-	5,914,540	401,708,269
Settled exposures during the year	(145,990,465)	-	(29,139,633)	-	(2,809,261)	(177,939,359)
Transferred to stage (1)	14,911,407	-	(14,911,407)	-	-	-
Transferred to stage (2)	(40,198,521)	-	41,631,691	-	(1,433,170)	-
Transferred to stage (3)	(87,561)	-	(14,995,221)	-	15,082,782	-
Effect on the volume of exposures due to the changes between stages	(2,524,577)	-	6,970,883	-	(3,470,936)	975,370
Changes resulting from adjustments	4,104,210	-	(5,414,942)	-	(3,408,654)	(4,719,386)
Written off or transferred to off statements of financial position debts	-	-	-	-	(3,880,791)	(3,880,791)
Total exposures - End of the Year	**955,650,437**	**-**	**304,983,705**	**-**	**68,380,678**	**1,329,014,820**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures - beginning of the year	933,059,189	-	195,780,692	-	53,292,394	1,182,132,275
New exposures during the year	203,851,260	-	57,203,598	-	1,037,268	262,092,126
Settled exposures during the year	(192,645,752)	-	(36,896,170)	-	(6,099,272)	(235,641,194)
Transferred to stage (1)	25,045,462	-	(25,045,462)	-	-	-
Transferred to stage (2)	(85,072,272)	-	85,610,219	-	(537,947)	-
Transferred to stage (3)	(2,031,290)	-	(16,590,049)	-	18,621,339	-
Effect on the volume of exposures due to the changes between stages	(14,353,746)	-	(8,260,081)	-	(52,729)	(22,666,556)
Changes resulting from adjustments	(68,598,468)	-	(572,581)	-	(498,240)	(69,669,289)
Written off or transferred to off statements of financial position debts	-	-	-	-	(3,376,645)	(3,376,645)
Total exposures - End of the Year	**799,254,383**	**-**	**251,230,166**	**-**	**62,386,168**	**1,112,870,717**

The movement on the provision for impairment for corporates is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	10,950,904	-	28,714,382	-	45,846,859	85,512,145
Impairment loss on new exposures during the year	5,191,134	-	8,414,615	-	4,856,566	18,462,315
Recovered from impairment of the settled exposures during the year	(2,399,817)	-	(1,909,054)	-	(1,780,957)	(6,089,828)
Transferred to stage (1)	193,817	-	(193,817)	-	-	-
Transferred to stage (2)	(741,184)	-	1,619,856	-	(878,672)	-
Transferred to stage (3)	-	-	(1,771,883)	-	1,771,883	-
Effect on impairment loss due to the changes in the						
classifications between stages	(110,875)	-	5,134,422	-	2,741,825	7,765,372
Effect on the provision resulted from adjustment	(383,985)	-	6,020,094	-	(295,076)	5,341,033
Impairment loss on written-off exposures or transferred	-	-	-	-	(837,036)	(837,036)
Total ECL balance at the end of the year	**12,699,994**	**-**	**46,028,615**	**-**	**51,425,392**	**110,154,001**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	11,535,717	-	18,790,244	-	36,743,565	67,069,526
Impairment loss on new exposures during the year	3,980,003	-	5,018,498	-	4,174,831	13,173,332
Recovered from impairment of the settled exposures during the year	(2,755,618)	-	(1,967,294)	-	(5,201,815)	(9,924,727)
Transferred to stage (1)	1,175,983	-	(1,175,983)	-	-	-
Transferred to stage (2)	(1,257,517)	-	1,319,448	-	(61,931)	-
Transferred to stage (3)	(27,337)	-	(5,211,399)	-	5,238,736	-
Effect on impairment loss due to the changes in the classifications between stages	(879,373)	-	1,813,598	-	6,515,110	7,449,335
Effect on the provision resulted from adjustment	(820,954)	-	10,127,270	-	1,032,842	10,339,158
Impairment loss on written-off exposures or transferred	-	-	-	-	(2,594,479)	(2,594,479)
Total ECL balance at the end of the year	**10,950,904**	**-**	**28,714,382**	**-**	**45,846,859**	**85,512,145**

The distribution of total credit and financing facilities by internal credit rating for (SME's) is as follows:

	December 31, 2022						2021
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	-	-	-	-	-	-	-
2	-	-	-	-	-	-	6,690
3	28,379,063	-	274,096	-	-	28,653,159	28,928,179
4	34,368,018	-	940,541	-	-	35,308,559	32,022,387
5	39,950,276	-	856,573	-	-	40,806,849	27,550,027
6	40,286,189	-	3,327,891	-	-	43,614,080	38,241,212
7	9,611,133	-	20,275,686	-	-	29,886,819	34,510,086
8	-	-	-	-	19,090,434	19,090,434	16,101,227
Not rated	128,864	29,276,710	1,398,596	18,561,584	5,565,141	54,930,895	49,156,811
Total	**152,723,543**	**29,276,710**	**27,073,383**	**18,561,584**	**24,655,575**	**252,290,795**	**226,516,619**

The movement on credit and financing facilities for SME's is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	128,689,183	21,059,679	34,161,343	21,490,351	21,116,063	226,516,619
New exposures during the year	60,295,317	13,769,991	6,405,626	3,569,527	1,506,718	85,547,179
Settled exposures during the year	(23,954,914)	(4,242,367)	(5,148,346)	(4,882,083)	(2,486,413)	(40,714,123)
Transferred to stage (1)	5,162,585	3,914,559	(5,162,585)	(3,899,010)	(15,549)	-
Transferred to stage (2)	(5,359,148)	(3,554,860)	5,581,169	3,594,264	(261,425)	-
Transferred to stage (3)	(2,100,853)	(583,027)	(8,394,323)	(1,306,786)	12,384,989	-
Effect on impairment loss due to the changes in the classifications between stages	(555,568)	360,625	171,404	(338,781)	(2,380,869)	(2,743,189)
Changes resulting from adjustments	(9,453,059)	(1,447,890)	(540,905)	334,102	(1,031,624)	(12,139,376)
Written off or transferred to off statements of financial position debts	-	-	-	-	(4,176,315)	(4,176,315)
Balance - End of the Year	**152,723,543**	**29,276,710**	**27,073,383**	**18,561,584**	**24,655,575**	**252,290,795**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	109,135,334	25,233,933	36,056,239	12,958,393	18,168,765	201,552,664
New exposures during the year	44,004,579	5,169,655	6,588,690	7,156,743	1,078,100	63,997,767
Settled exposures during the year	(14,446,956)	(3,148,204)	(4,308,392)	(764,329)	(1,811,250)	(24,479,131)
Transferred to stage (1)	8,292,352	582,055	(8,270,985)	(582,055)	(21,367)	-
Transferred to stage (2)	(9,784,222)	(4,772,162)	9,851,087	4,883,751	(178,454)	-
Transferred to stage (3)	(489,014)	(659,194)	(3,451,273)	(135,910)	4,735,391	-
Effect on impairment loss due to the changes in the classifications between stages	(811,476)	(191,826)	(614,706)	(613,657)	184,292	(2,047,373)
Changes resulting from adjustments	(7,211,414)	(1,154,578)	(1,689,317)	(1,412,585)	(213,234)	(11,681,128)
Written off or transferred to off statements of financial position debts	-	-	-	-	(826,180)	(826,180)
Balance - End of the Year	**128,689,183**	**21,059,679**	**34,161,343**	**21,490,351**	**21,116,063**	**226,516,619**

The movement on the provision for impairment for (SME's) credit facilities is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	1,118,043	27,737	1,900,289	649,303	10,149,583	13,844,955
Impairment loss on new exposures during the year	346,107	29,645	170,170	10,302	2,211,107	2,767,331
Recovered from impairment of the settled exposures during the year	(175,345)	(6,914)	(73,613)	(173,676)	(948,228)	(1,377,776)
Transferred to stage (1)	109,092	37,565	(109,092)	(37,565)	-	-
Transferred to stage (2)	(55,838)	(5,087)	158,500	21,907	(119,482)	-
Transferred to stage (3)	(19,577)	(3,230)	(1,265,011)	(499)	1,288,317	-
Effect on impairment losses due to the changes in the classifications between stages	143,380	(33,107)	(60,440)	8,074	4,109,959	4,167,866
Effect on the provision resulted from adjustment	(151,831)	(2,794)	555,599	(85,893)	260,834	575,915
Impairment loss on written-off exposures or transferred	-	-	-	-	(3,403,457)	(3,403,457)
Total ECL balance at the end of the year	**1,314,031**	**43,815**	**1,276,402**	**391,953**	**13,548,633**	**16,574,834**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	2,295,997	58,416	1,245,673	114,099	8,960,871	12,675,056
Impairment loss on new exposures during the year	298,602	9,999	1,070,825	44,911	1,266,669	2,691,006
Recovered from impairment of the settled exposures during the year	(346,993)	(9,260)	(197,912)	(835)	(1,029,591)	(1,584,591)
Transferred to stage (1)	155,809	314	(143,323)	(314)	(12,486)	-
Transferred to stage (2)	(198,481)	(9,827)	232,456	35,487	(59,635)	-
Transferred to stage (3)	(11,524)	(15,210)	(137,367)	(798)	164,899	-
Effect on impairment losses due to the changes in the classifications between stages	(121,665)	(244)	(15,400)	221,607	937,212	1,021,510
Effect on the provision resulting from adjustment	(953,702)	(6,451)	(154,663)	235,146	434,329	(445,341)
Impairment loss on written-off exposures or transferred	-	-	-	-	(512,685)	(512,685)
Total ECL balance at the end of the year	**1,118,043**	**27,737**	**1,900,289**	**649,303**	**10,149,583**	**13,844,955**

The distribution of total credit and financing facilities by internal credit rating for Government and Public Sector is as follows:

	December 31, 2022						2021
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	454,956,137	-	-	-	-	454,956,137	328,504,301
2	61,377	-	-	-	-	61,377	415,294
3	21,971,084	-	-	-	-	21,971,084	17,914,960
4	26,168,489	-	-	-	-	26,168,489	17,660,765
5	68,996,106	-	-	-	-	68,996,106	39,332,166
6	-	-	-	-	-	-	2,416,341
7	2,062,326	-	-	-	-	2,062,326	-
8	-	-	-	-	-	-	-
Not rated	25,000,000	-	-	-	-	25,000,000	25,000,001
Total	**599,215,519**	**-**	**-**	**-**	**-**	**599,215,519**	**431,243,828**

The movement on credit and financing facilities for the Government and Public Sector is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures - beginning of the year	431,243,828	-	-	-	-	431,243,828
New exposures during the year	185,448,254	-	-	-	-	185,448,254
Settled exposures during the year	(7,518,897)	-	-	-	-	(7,518,897)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-	-	-
Changes resulting from adjustments	(9,957,666)	-	-	-	-	(9,957,666)
Written off or transferred to off statements of financial position debts	-	-	-	-	-	-
Total exposures - End of the Year	**599,215,519**	**-**	**-**	**-**	**-**	**599,215,519**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Total exposures - beginning of the year	212,514,816	-	-	-	-	212,514,816
New exposures during the year	249,131,690	-	-	-	-	249,131,690
Settled exposures during the year	(11,354,833)	-	-	-	-	(11,354,833)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-	-	-
Changes resulting from adjustments	(19,047,845)	-	-	-	-	(19,047,845)
Written off or transferred to off statements of financial position debts	-	-	-	-	-	-
Total exposures - End of the Year	**431,243,828**	**-**	**-**	**-**	**-**	**431,243,828**

The movement on the provision for impairment for the Government and Public Sector credit facilities is as follows:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	-	-	-	-	-	-
Impairment loss on new exposures during the year	-	-	-	-	-	-
Recovered from impairment on the settled exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on impairment losses due to the changes in the						
classifications between stages	-	-	-	-	-	-
Effect on the provision resulting from adjustments	-	-	-	-	-	-
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance at the end of the year	**-**	**-**	**-**	**-**	**-**	**-**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	-	-	-	-	-	-
Impairment loss on new exposures during the year	-	-	-	-	-	-
Recovered from impairment on the settled exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on impairment losses due to the changes in the						
classifications between stages	-	-	-	-	-	-
Effect on the provision resulting from adjustments	-	-	-	-	-	-
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance at the end of the year	**-**	**-**	**-**	**-**	**-**	**-**

10. Financial assets at fair value through other comprehensive income

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Quoted shares in active markets	31,168,445	23,863,120
Unquoted shares in active markets	15,601,160	12,115,197
Investment funds	14,531,464	8,180,804
	61,301,069	**44,159,121**

- Profit transferred as a result of selling financial assets at fair value through the statement of other comprehensive income amounted to JOD 2,015,419 as of December 31, 2022 (JOD 425,491 losses as of December 31, 2021).
- Cash dividends on the above-mentioned financial assets amounted to JOD 690,867 for the year ended December 31, 2022 (JOD 469,491 for the year ended December 31, 2021).

11. Financial assets at amortized cost - net

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Quoted Financial Assets:		
Foreign treasury bills	104,144,987	31,996,765
Corporate bonds and debentures	138,050,446	129,212,530
Unquoted Financial Assets:		
Governmental treasury bills	65,623,344	40,577,646
Governmental guaranteed bonds	989,915,966	865,755,929
Corporate bonds and debentures	28,702,000	32,452,000
	1,326,436,743	**1,099,994,870**
Less: Provision for impairment related to financial assets within stage (1)	670,099	648,639
Provision for impairment related to financial assets within stage (2)	-	-
Provision for impairment related to financial assets within stage (3)	-	250,000
	1,325,766,644	**1,099,096,231**
Bonds and Bills Analysis		
With Fixed rate	1,326,045,700	1,099,192,171
With Floating rate	391,043	802,699
Total	**1,326,436,743**	**1,099,994,870**
Bonds Analysis as per International Financial Reporting Standard (9):		
stage (1)	1,326,436,743	1,099,744,870
stage (2)	-	-
stage (3)	-	250,000
Total	**1,326,436,743**	**1,099,994,870**

- The following is the movement on financial assets at amortized cost:

December 31, 2022	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	1,099,744,870	-	250,000	1,099,994,870
New investments during the year	488,046,763	-	-	488,046,763
Accrued investment	(275,659,727)	-	-	(275,659,727)
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	-	-	-	-
Transferred to Stage (3)	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-
Change resulting from adjustments	14,304,837	-	-	14,304,837
Written-off investments	-	-	(250,000)	(250,000)
Balance - End of the Year	**1,326,436,743**	**-**	**-**	**1,326,436,743**

December 31, 2021	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	903,067,980	1,429,344	250,000	904,747,324
New investments during the year	372,932,659	-	-	372,932,659
Accrued investment	(201,399,676)	(1,429,344)	-	(202,829,020)
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	-	-	-	-
Transferred to Stage (3)	-	-	-	
Effect on volume of exposures due to the changes between stages	-	-	-	-
Change resulting from adjustments	25,143,907	-	-	25,143,907
Written-off investments	-	-	-	-
Balance - End of the Year	**1,099,744,870**	**-**	**250,000**	**1,099,994,870**

- The following is the movement on the provision for expected credit losses for financial assets at amortized cost:

	December 31, 2022				2021
	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total	Total
	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	648,639	-	250,000	898,639	743,890
Impairment losses on new investments during the year	134,818	-	-	134,818	217,565
Recovered from impairment losses on accrued investments	(102,740)	-	-	(102,740)	(178,780)
Transferred to Stage (1)	-	-	-	-	-
Transferred to Stage (2)	-	-	-	-	-
Transferred to Stage (3)	-	-	-	-	-
Impact on the provision - for the year ended- due to reclassifications between the three stages during the year	-	-	-	-	-
Change resulted from adjustments	(10,618)	-	-	(10,618)	115,964
Written-off investments	-	-	(250,000)	(250,000)	-
Balance - End of the Year	**670,099**	**-**	**-**	**670,099**	**898,639**

- During the year 2022, financial assets at amortized cost were sold with a nominal value amounting to JOD 12,679,911 (JOD 42,307,163 during the year 2021), the operation resulted in a loss of JOD 45,933 during the year 2022 (JOD 758,949 profit during 2021)

12. Investments in associate

The details of this item are as follows:

Company Name	Country of Residence	Ownership%	Nature of Activity	December 31,	
				2022	2021
				JOD	JOD
Jordan Blending & Packing of Fertilizers Co.	Jordan	25%	Industrial	345,954	343,708

	December 31,	
	2022	2021
	JOD	JOD
Balance beginning of the year	343,708	349,507
Group's share from profit of the year - net	8,496	451
Collected cash dividends	(6,250)	(6,250)
Balance End of the Year	**345,954**	**343,708**

The details of the associate's assets and liabilities are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Total Assets	1,753,953	1,671,117
Total Liabilities	(370,139)	(296,285)
Net Assets	**1,383,814**	**1,374,832**

13. Property and equipment - net

The details of this item are as follows:

For the year ended December 31, 2022	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cost:						
Balance - beginning of the year	22,628,397	24,766,056	60,346,039	1,390,840	19,015,563	128,146,895
Additions	2,822,770	9,425	5,629,137	-	2,326,528	10,787,860
Disposals	-	(296,124)	(3,297,975)	-	(1,253,341)	(4,847,440)
Balance - End of the Year	**25,451,167**	**24,479,357**	**62,677,201**	**1,390,840**	**20,088,750**	**134,087,315**
Accumulated Depreciation:						
Balance - beginning of the year	-	8,269,014	41,061,866	734,608	14,504,812	64,570,300
Annual depreciation	-	511,032	5,933,025	189,374	1,967,818	8,601,249
Disposals	-	(294,204)	(3,168,418)	-	(1,080,471)	(4,543,093)
Balance - End of the Year	**-**	**8,485,842**	**43,826,473**	**923,982**	**15,392,159**	**68,628,456**
Net book value of property and equipment	25,451,167	15,993,515	18,850,728	466,858	4,696,591	65,458,859
Payments to purchase property and equipment	-	1,412,005	1,032,979	-	612,534	3,057,518
Net Book Value – End of the Year	**25,451,167**	**17,405,520**	**19,883,707**	**466,858**	**5,309,125**	**68,516,377**

For the year ended December 31, 2021	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cost:						
Balance - beginning of the year	22,628,397	22,211,369	59,555,949	1,353,399	18,313,111	124,062,225
Additions	-	2,660,606	1,129,836	132,341	1,194,780	5,117,563
Disposals	-	(105,919)	(339,746)	(94,900)	(492,328)	(1,032,893)
Balance - End of the Year	**22,628,397**	**24,766,056**	**60,346,039**	**1,390,840**	**19,015,563**	**128,146,895**
Accumulated Depreciation:						
Balance - beginning of the year	-	7,762,267	35,800,212	649,595	12,720,368	56,932,442
Annual depreciation	-	612,628	5,518,308	177,326	2,260,666	8,568,928
Disposals	-	(105,881)	(256,654)	(92,313)	(476,222)	(931,070)
Balance - End of the Year	**-**	**8,269,014**	**41,061,866**	**734,608**	**14,504,812**	**64,570,300**
Net book value of property and equipment	22,628,397	16,497,042	19,284,173	656,232	4,510,751	63,576,595
Payments to purchase property and equipment	-	824,785	1,619,226	-	404,440	2,848,451
Net Book Value – End of the Year	**22,628,397**	**17,321,827**	**20,903,399**	**656,232**	**4,915,191**	**66,425,046**
Annual depreciation rate %	-	2 - 4	7 - 15	15	20	

- Property and equipment include fully depreciated assets of JOD 34,762,898 as of December 31, 2022 (JOD 26,301,862 as of December 31, 2021), which are still in-use by the Bank.

14. Intangible assets - net

The details of this item are as follows:

For the year ended December 31, 2022	Computer Software	Bank's License (Fair Value)*	Customers Deposits	Goodwill	Total
	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	15,518,337	9,928,000	624,835	1,380,512	27,451,684
Additions	6,404,113	-	-	-	6,404,113
Amortization for the year	(6,337,269)	-	(624,835)	-	(6,962,104)
Balance - End of the Year	**15,585,181**	**9,928,000**	**-**	**1,380,512**	**26,893,693**

For the year ended December 31, 2021	Computer Software	Bank's License (Fair Value)*	Customers Deposits	Goodwill	Total
	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	14,488,256	9,928,000	1,249,668	1,380,512	27,046,436
Additions	6,427,704	-	-	-	6,427,704
Amortization for the year	(5,397,623)	-	(624,833)	-	(6,022,456)
Balance - End of the Year	**15,518,337**	**9,928,000**	**624,835**	**1,380,512**	**27,451,684**

- This item represents the intangible assets resulting from the acquisition of Safwa Islamic Bank during the year 2017* and it is subject to fair value impairment tests at the end of each year

15. Other assets

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Accrued interest and revenue	21,157,525	14,733,131
Prepaid expenses	5,923,531	4,896,046
Assets seized by Bank in repayment of debts *	52,978,257	51,302,874
Clearing cheques	168,219	37,765
Transfers and cheques under collection	261,956	179,570
Paid guaranteed insurance	4,050,439	2,982,731
Discounted commercial papers	55,057,239	28,236,148
Convertible loans to shares	177,250	176,988
Other	13,305,344	13,097,958
Total	**153,079,760**	**115,643,211**

* The regulations of the Central Bank of Jordan requires the disposal of the assets seized by Bank in repayment of debts during a maximum period of two years from the acquisition date. However, in some exceptional cases, the Central Bank of Jordan has the right to extend the period for a maximum of two subsequent years.

- The following is a summary of the movement on the assets seized by bank in repayment of debts:

	December 31,	
	2022	2021
	JOD	JOD
Balance - beginning of the year	51,302,874	49,408,223
Additions	6,002,533	9,800,110
Disposals	(3,431,969)	(6,226,827)
Impairment provision	(895,181)	(1,678,632)
Balance - End of the Year	**52,978,257**	**51,302,874**
Below is a summary of the movement on the provision for the assets seized by bank:		
Balance beginning of year	5,175,496	3,496,864
Additions during the year	895,181	1,678,632
Balance - End of the year	**6,070,677**	**5,175,496**

- The impairment provision against the assets seized by the Bank amounted to JOD 2,091,554 as of December 31, 2022 (JOD 1,792,742 as of December 31, 2021). Furthermore, the provision for the assets seized by the Bank for a period of more than (4) years amounted to JOD 3,979,123 as of December 31, 2022 (JOD 3,382,754 as of December 31, 2021).

16. Banks' and financial institutions deposits

The details of this item are as follows:

	December 31, 2022			December 31, 2021		
	Inside Jordan	Outside Jordan	Total	Inside Jordan	Outside Jordan	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	35,924,451	69,529,019	105,453,470	41,465,412	92,582,106	134,047,518
Time deposits	9,479,990	222,916,680	232,396,670	7,418,000	175,317,320	182,735,320
Total	**45,404,441**	**292,445,699**	**337,850,140**	**48,883,412**	**267,899,426**	**316,782,838**

17. Customers' deposits

The details of this item are as follows:

For the year ended December 31, 2022	Individual	Corporate	SMEs	Government and Public Sector	Total
	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	511,295,365	268,307,899	297,624,686	6,582,775	1,083,810,725
Saving deposits	898,433,383	30,052,609	64,363,067	5,765,644	998,614,703
Time and notice deposits	1,602,562,585	650,377,036	148,271,873	281,272,109	2,682,483,603
Certificates of deposit	368,987,701	6,795,000	16,995,712	28,657,000	421,435,413
Total	3,381,279,034	955,532,544	527,255,338	322,277,528	5,186,344,444

For the year ended December 31, 2022	Individual	Corporate	SMEs	Government and Public Sector	Total
	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	442,030,552	357,945,726	307,652,101	17,204,152	1,124,832,531
Saving deposits	845,840,833	39,406,551	28,043,366	2,239,391	915,530,141
Time and notice deposits	1,480,697,923	609,689,896	151,319,249	270,288,299	2,511,995,367
Certificates of deposit	319,227,063	6,098,000	13,691,000	19,000,000	358,016,063
Total	3,087,796,371	1,013,140,173	500,705,716	308,731,842	4,910,374,102

- The Jordanian government and public sector's deposits inside the kingdom reached JOD 322,277,528 representing 6.21% of total deposits as of December 31, 2022 (JOD 308,731,842 representing 6.29% of total deposits as of December 31, 2021).
- Non-interest bearing deposits reached JOD 1,095,540,368 representing 21.12% of total deposits as of December 31, 2022 (JOD 1,093,277,884 representing 22.26% of total deposits as of December 31, 2021).
- Restricted deposits amounted to JOD 5,594,094 representing 0.11% of total deposits as of December 31, 2022 (JOD 3,951,130 representing 0.08% of total deposits as of December 31, 2021).
- Dormant deposits reached JOD 46,969,179 representing 0.91% of total deposits as of December 31, 2022 (JOD 41,491,499 representing 0.84% of total deposits as of December 31, 2021).
- Customers' deposits include an amount of JOD 1,900,147,848 which represents the shared customers' investments related to Safwa Islamic Bank as of December 31, 2022 (JOD 1,665,485,522 as of December 31, 2021).

18. Cash margins

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Margins against direct credit facilities	161,719,676	159,176,772
Margins against indirect credit facilities	81,862,743	74,624,636
Balances against margin receivables	5,841,581	4,493,180
Other margins	7,944,027	6,533,198
Total	**257,368,027**	**244,827,786**

19. Borrowed funds and subordinated loans

a. Borrowed funds

The details of this item are as follows:

December 31, 2022	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
Central Bank of Jordan borrowing *	37,065,805	11,124	7,079	Monthly	Bank Promissory	% 1.75-% 0.5
Central Bank of Jordan borrowing *	408,700	37	34	Quarterly	Bank Promissory	%1
Central Bank of Jordan borrowing *	3,425,153	36	31	Semi-annual	Bank Promissory	0.50% -1.00%
Central Bank of Jordan borrowing *	1,125,104	22	9	Annual	Bank Promissory	0.50% -1.00%
Central Bank of Jordan borrowing *	51,672,440	26,293	16,864	Monthly	Bank Promissory	0.00%
International Bank for Reconstruction and Development **	3,000,000	20	9	Semi-annual starting from September 15, 2018	Bank Promissory	1.95%
Arab Fund for Economic and Social Development ***	690,000	15	4	Semi-annual	Bank Promissory	2.50%
Arab Fund for Economic and Social Development ***	1,589,016	34	34	Semi-annual	Bank Promissory	3.00%
Arab Fund for Economic and Social Development ***	1,576,749	34	34	Semi-annual	Bank Promissory	3.00%
Arab Fund for Economic and Social Development ***	1,200,000	34	34	Semi-annual	Bank Promissory	3.00%
Arab Fund for Economic and Social Development ***	961,967	34	34	Semi-annual	Bank Promissory	3.00%
Jordan Mortgage Refinance Company	10,000,000	1	1	One instalment	Bank Promissory	4.40%
The European Bank for Reconstruction and Development	673,550	7	7	Semi-annual starts from September 1, 2024		7.45%
The European Bank for Reconstruction and Development	35,450	7	7	Semi-annual starts from September 1, 2024	-	4.85%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	7.75%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	4.70%
Jordan Mortgage Refinance Company (related to subsidiary)	2,500,000	1	1	One instalment	-	4.60%
Local Banks (related to a subsidiary)	6,000,000	92	92	Quarterly	-	6.50%
Local Banks (related to a subsidiary)	265,012	48	12	Monthly	-	5.90%
Local Banks (related to a subsidiary)	7,971,000	432	432	Monthly	-	6.00%
Local Banks (related to a subsidiary)	4,998,000	288	288	Monthly	-	6.00%
Local Banks (related to a subsidiary)	2,550,000	144	144	Monthly	-	6.00%
Total	141,707,946					

December 31, 2021	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
Central Bank of Jordan borrowing *	30,485,626	9,348	6,088	Monthly	Bank Promissory	0.50% - 1.75%
Central Bank of Jordan borrowing *	1,283,180	70	42	Quarterly	Bank Promissory	1.00%
Central Bank of Jordan borrowing *	3,538,044	37	28	Semi-annual	Bank Promissory	0.50% - 1.00%
Central Bank of Jordan borrowing *	781,433	22	7	Annual	Bank Promissory	0.50% - 1.00%
Central Bank of Jordan borrowing *	41,227,479	22,552	18,109	Monthly	Bank Promissory	-
International Bank for Reconstruction and Development **	3,600,000	20	12	Semi-annual starting from September 15, 2018	Bank Promissory	1.99%
Arab Fund for Economic and Social Development ***	1,110,000	15	6	Semi-annual	Bank Promissory	2.50%
Arab Fund for Economic and Social Development ***	1,589,016	34	34	Semi-annual	Bank Promissory	3.00%
Arab Fund for Economic and Social Development ***	1,576,749	34	34	Semi-annual	Bank Promissory	3.00%
Arab Fund for Economic and Social Development ***	1,200,000	34	34	Semi-annual	Bank Promissory	3.00%
Jordan Mortgage Refinance Company	10,000,000	1	1	One instalment	Bank Promissory	4.40%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	4.60%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	4.70%

December 31, 2021	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	4.70%
Jordan Mortgage Refinance Company (related to subsidiary)	2,500,000	1	1	One instalment	-	4.60%
Local Banks (related to a subsidiary)	2,880,000	48	48	Quarterly	-	3.75%
Local Banks (related to a subsidiary)	795,004	48	36	Monthly	-	5.90%
Total	**108,566,531**					

* Funds have been reborrowed from the Central Bank of Jordan to corporates and SMEs sectors at an interest rate ranging from 0% - 11.75%.

** Funds have been reborrowed from the International Bank for Reconstruction and Development to corporates and SMEs sectors at an interest rate ranging from 6% - 11%.

*** Funds have been reborrowed from the Arab Fund for Economic and Social Development to corporates and SMEs sectors at an interest rate ranging from 5.5% - 11%.

b. Subordinated loans

The details of this item are as follows:

December 31, 2022	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
The European Bank for Reconstruction and Development	24,815,000	1	1	One instalment dated December 22, 2032	-	11.85%
The European Bank for Reconstruction and Development	21,300,000	1	1	One instalment dated April 8, 2027	-	9.50%
	46,115,000					

December 31, 2021	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
The European Bank for Reconstruction and Development	**21,300,00**	1	1	One instalment dated April 8, 2027	-	6.50%

20. Sundry provisions

The details of this item are as follows:

For the Year Ended December 31, 2022	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JOD	JOD	JOD	JOD	JOD
Provision for end-of-service indemnity	81,479	28,031	-	29,788	79,722
Provision for lawsuits and contingent liabilities	677,424	711,675	634,788	302,136	452,175
Other provisions	100,000	-	-	-	100,000
Total	**858,903**	**739,706**	**634,788**	**331,924**	**631,897**

For the Year Ended December 31, 2021	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JOD	JOD	JOD	JOD	JOD
Provision for end-of-service indemnity	41,877	39,602	-	-	81,479
Provision for lawsuits and contingent liabilities	531,021	158,403	-	12,000	677,424
Other provisions	761,000	-	-	661,000	100,000
Total	**1,333,898**	**198,005**	**-**	**673,000**	**858,903**

21. Income tax

a. Income tax provision

The movement on the income tax provision during the year is as follows:

December 31,	2022	2021
	JOD	JOD
Balance - beginning of the year	21,931,794	24,618,987
Income tax paid	(26,590,128)	(30,374,240)
Accrued income tax	33,457,335	27,665,660
Provision for prior years income tax	131,914	21,387
Balance - End of the Year	**28,930,915**	**21,931,794**

Income tax appearing in the consolidated statement of profit or loss represents the following:

Year ended December 31,	2022	2021
	JOD	JOD
Income tax accrued for the current year profit	33,457,335	27,665,660
Income tax for prior years	131,914	21,387
Deferred tax assets	(5,493,471)	(4,090,699)
Deferred tax liability for the year	(161,769)	161,769
	27,934,009	**23,758,117**

b. Deferred tax assets/ Liabilities

The details of this item are as follows:

Deferred Tax Assets	December 31, 2022					2021
	Beginning Balance	Amounts Released	Amounts Added	Ending Balance	Deferred Tax	Deferred Tax
	JOD	JOD	JOD	JOD	JOD	JOD
Financial assets at fair value through other comprehensive income	1,357,435	1,357,435	-	-	-	420,863
Financial assets at fair value through profit or loss	-	-	711,192	711,192	150,624	-
Provision seized assets	5,073,805	-	895,181	5,968,986	2,268,215	1,928,046
Provision for bonuses	4,310,120	4,310,120	5,885,861	5,885,861	2,236,627	1,637,846
Advertising expenses	150,000	75,000	-	75,000	28,500	57,000
Provision for lawsuits against the Bank	677,424	231,630	-	445,794	169,402	257,421
Unaccepted provision for credit financing and facilities stage 3	3,270,000	1,810,208	-	1,459,792	554,721	1,242,600
General provision	100,775	-	89,225	190,000	53,200	28,217
Provision for contingent labilities	100,000	-	-	100,000	38,000	38,000
Differences due to the application IFRS 16	636,762	-	136,576	773,338	293,868	241,970
Provision for expected credit losses stage 1 or 2	57,518,482	-	13,467,995	70,986,477	26,974,861	21,857,023
Provision for end-of-service indemnity	81,479	1,757	-	79,722	30,294	30,962
Provision for finance lease awards	27,589	-	44,486	72,075	20,181	7,725
Legal expenses	-	-	6,381	6,381	1,787	-
Total	**73,303,871**	**7,786,150**	**21,236,897**	**86,754,618**	**32,820,280**	**27,747,673**
Deferred tax liabilities						
Financial assets at fair value through profit or loss	2,248,553	2,248,553	-	-	-	161,769
Financial assets at fair value through comprehensive income	-	-	7,364,272	7,364,272	844,854	-
Total	**2,248,553**	**2,248,553**	**7,364,272**	**7,364,272**	**844,854**	**161,769**

* Deferred tax liabilities include an amount of JOD 844,854 resulting from the profits of evaluating financial assets at fair value through the statement of other comprehensive income that appears within the fair value reserve in owners' equity.

- The movement on the deferred income tax assets is as follows:

	Assets		Liabilities	
	December 31,		December 31,	
	2022	2021	2022	2021
	JOD	JOD	JOD	JOD
Balance - beginning of the year	27,747,673	25,590,727	161,769	-
Additions	7,936,382	6,523,174	844,854	161,769
Disposals	(2,863,775)	(4,366,228)	(161,769)	-
Balance - End of the Year	**32,820,280**	**27,747,673**	**844,854**	**161,769**

c. Reconciliation of the accounting profit with taxable profit

December 31,	2022	2021
	JOD	JOD
Accounting profit	71,734,432	65,183,412
Non-taxable income	(10,298,695)	(15,070,804)
Non-deductible expenses for tax purposes	27,989,653	24,726,668
Taxable Profit	**89,425,390**	**74,839,276**
Effective income tax rate	38.95%	36.45%

- The legal income tax rate for the Bank was 35% in addition to the national contribution of 3%, the legal income tax rate for Etihad Leasing Company and Etihad Financial Brokerage companies has reached to 24% in addition to the national contribution of 4% and the income tax rate for Etihad Financial Technology has reached to 20% in addition to the national contribution of 1%.
- The Bank submitted the tax return until the year 2021 and a final settlement was reached with the Income Tax Department on the results of the Bank's business until the end of 2018 while the Income and Sales Tax Department is reviewing the records for the years of 2019 and 2020. No decision was issued until the date of preparing the financial statements, and the Income and Sales Tax Department did not review the bank's accounting records for the year 2021. In the opinion of the management and the tax advisor, the allocated provision is sufficient as of December 31, 2022.
- The clearance with Safwa Islamic Bank has been reached with the Income and Sales Tax Department up to the end of the year 2020. The tax return for the year 2021 have been submitted within the legal period and have not been audited by the Income and Sales Tax Department until the date of preparing the consolidated financial statements.
- A tax clearance was obtained from the Income and Sales Tax Department on the results of Misk Financial Brokerage Company (a subsidiary of Safwa Islamic Bank) until the end of 2021, With the exception of 2019, with regard to the tax years 2011, 2012 and 2013, and based on the letter of the company's legal advisor , a court decision was issued and it acquired the final status to write off the imposed amounts and accept the annual income statements as they are, but the court decision was not implemented by the Income and Sales Tax Department to date.
- A final settlement with the Income Tax Department for Al Etihad for Financial Brokerage Co. has been reached up to the year 2020. A tax return was submitted for the year 2021, and the Income and Sales Tax Department did not review the accounting records until the consolidated financial statements were prepared.
- A final settlement was reached with the Income Tax Department on the results of the Etihad Financial Leasing Company's business until the year 2021.
- A final settlement was reached with the Income Tax Department on the results of the Etihad Islamic Company's business until the year 2020 and the tax return for the year 2021 was submitted, and the Income and Sales Tax Department did not review the accounting records until the date of preparing the consolidated financial statements.
- A final settlement was reached with the Income Tax Department on the results of the Financial Technology Company's business until the year 2020, and the tax return for the year 2021 was submitted, and the Income and Sales Tax Department did not review the accounting records until the date of preparing the consolidated financial statements.
- The percentage of deferred tax was 38% and 13% and in the Bank's management opinion these deferred taxes will be realized in the future.

22. Other liabilities

The details of this item are as follows:

December 31,	2022	2021
	JOD	JOD
Accrued interest expenses	40,431,290	28,652,911
Revenue received in advance	2,223,903	1,524,079
Accounts payable	653,729	553,459
Accrued expenses	15,165,919	11,159,682
Incoming transfers	236,318	78,733
Postdated cheques	13,044,653	11,268,610
Temporary deposits	12,550,904	13,224,080
Provision for expected credit losses for the off-balance sheet items	5,021,887	5,615,184
Unpaid Dividends	461,103	560,849
Online payment system settlements	1,980,162	464,293
Other liabilities	9,610,631	7,781,285
Total	**101,380,499**	**80,883,165**

Below is the movement of the indirect facilities on a collective basis during the year:

2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	1,015,159,013	-	96,577,713	-	2,698,130	1,114,434,856
New exposure during the year	839,452,533	-	85,586,428	-	39,775	925,078,736
Accrued exposure	(570,482,042)	-	(70,422,074)	-	(346,424)	(641,250,540)
Transferred to stage (1)	6,783,501	-	(6,450,661)	-	(332,840)	-
Transferred to stage (2)	(3,727,859)	-	3,788,837	-	(60,978)	-
Transferred to stage (3)	(264,610)	-	(15,000)	-	279,610	-
Effect on the exposure results change classification between stages	23,395	-	355,750	-	-	379,145
Changes resulted from adjustments	16,252,354	-	(2,936,262)	-	(28,701)	13,287,391
Balance at the End of the Year	**1,303,196,285**	**-**	**106,484,731**	**-**	**2,248,572**	**1,411,929,588**

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	976,015,098	-	49,946,145	-	1,785,217	1,027,746,460
New exposure during the year	619,714,836	-	69,064,506	-	46,585	688,825,927
Accrued exposure	(546,619,061)	-	(26,829,484)	-	(247,977)	(573,696,532)
Transferred to stage (1)	3,293,843	-	(3,202,438)	-	(91,405)	-
Transferred to stage (2)	(9,409,189)	-	9,409,189	-	-	-
Transferred to stage (3)	(1,171,288)	-	(272,970)	-	1,444,258	-
Total impact on volume of exposures as a result of changing the classification between stages	7,678,458	-	154,954	-	(39,448)	7,793,964
Changes resulting from adjustments	(34,343,684)	-	(1,692,189)	-	(199,100)	(36,234,973)
Balance at the End of the Year	**1,015,159,013**	**-**	**96,577,713**	**-**	**2,698,130**	**1,114,434,856**

Below is the movement on the impairment loss for indirect facilities on a collective bases during the year:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	4,818,038	-	601,399	-	195,747	5,615,184
Impairment loss on new exposures during the year	1,978,444	-	458,936	-	6,400	2,443,780
Recovered from the impairment loss of the accrued exposures	(2,592,308)	-	(262,070)	-	(10,000)	(2,864,378)
Transferred to stage (1)	78,860	-	(68,860)	-	(10,000)	-
Transferred to stage (2)	(20,800)	-	21,778	-	(978)	-
Transferred to stage (3)	(251)	-	(179)	-	430	-
Total impact on volume of exposures as a result of						
changing the classification between stages	(54,437)	-	29,899	-	29,570	5,032
Changes resulting from adjustments	(64,135)	-	(113,596)	-	-	(177,731)
Balance at the End of the Year	**4,143,411**	**-**	**667,307**	**-**	**211,169**	**5,021,887**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	4,114,834	-	629,452	-	148,332	4,892,618
Impairment loss on new exposures during the year	2,839,842	-	292,026	-	34,640	3,166,508
Recovered from the impairment loss of the accrued exposures	(2,039,116)	-	(336,155)	-	(8,325)	(2,383,596)
Transferred to stage (1)	77,716	-	(77,716)	-	-	-
Transferred to stage (2)	(39,008)	-	39,008	-	-	-
Transferred to stage (3)	(9)	-	(1,068)	-	1,077	-
Total impact on volume of exposures as a result of						
changing the classification between stages	47,730	-	100,000	-	20,023	167,753
Changes resulting from adjustments	(183,951)	-	(44,148)	-	-	(228,099)
Balance at the End of the Year	**4,818,038**	**-**	**601,399**	**-**	**195,747**	**5,615,184**

The distribution of the total indirect facilities (guarantees) according to the Bank's internal credit ratings:

	December 31, 2022						2021
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	8,000	-	-	-	-	8,000	8,000
2	32,442,360	-	-	-	-	32,442,360	25,579,063
3	34,259,090	-	-	-	-	34,259,090	34,755,972
4	25,100,047	-	-	-	-	25,100,047	30,790,374
5	44,825,996	-	12,600	-	-	44,838,596	35,767,594
6	21,455,081	-	657,841	-	-	22,112,922	28,784,607
7	12,935,659	-	7,670,448	-	-	20,606,107	17,254,985
8	-	-	-	-	1,972,663	1,972,663	2,404,125
Not rated	26,970,150	-	13,535,549	-	275,909	40,781,608	31,271,597
Total	**197,996,383**	**-**	**21,876,438**	**-**	**2,248,572**	**222,121,393**	**206,616,317**

Below is the movement on the indirect facilities- guarantees:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	181,700,374	-	22,217,813	-	2,698,130	206,616,317
New exposure during the year	60,686,227	-	7,876,115	-	39,775	68,602,117
Accrued exposure	(46,140,465)	-	(3,798,863)	-	(346,424)	(50,285,752)
Transferred to stage (1)	4,167,813	-	(3,834,973)	-	(332,840)	-
Transferred to stage (2)	(1,734,261)	-	1,795,239	-	(60,978)	-
Transferred to stage (3)	(264,610)	-	(15,000)	-	279,610	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	(32,582)	-	246,900	-	-	214,318
Changes resulting from adjustments	(386,113)	-	(2,610,793)	-	(28,701)	(3,025,607)
Balance at the End of the Year	**197,996,383**	**-**	**21,876,438**	**-**	**2,248,572**	**222,121,393**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	182,577,859	-	22,818,742	-	1,785,217	207,181,818
New exposure during the year	55,448,391	-	4,815,042	-	46,585	60,310,018
Accrued exposure	(46,912,481)	-	(5,966,164)	-	(247,977)	(53,126,622)
Transferred to stage (1)	382,891	-	(291,486)	-	(91,405)	-
Transferred to stage (2)	(2,760,251)	-	2,760,251	-	-	-
Transferred to stage (3)	(1,171,288)	-	(272,970)	-	1,444,258	-
Total impact - as of end of the year - on volume of exposures as a result of		-		-		
changing the classification between the three stages during the year	215,748	-	(266,561)	-	(39,448)	(90,261)
Changes resulting from adjustments	(6,080,495)	-	(1,379,041)	-	(199,100)	(7,658,636)
Balance at the End of the Year	**181,700,374**	**-**	**22,217,813**	**-**	**2,698,130**	**206,616,317**

Below is the movement on the provision for the indirect facilities - guarantees:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	417,381	-	209,603	-	195,747	822,731
Impairment loss on new exposures during the year	93,001	-	49,719	-	6,400	149,120
Recovered from the impairment loss of the accrued exposures	(95,350)	-	(45,740)	-	(10,000)	(151,090)
Transferred to stage (1)	30,537	-	(20,537)	-	(10,000)	-
Transferred to stage (2)	(7,334)	-	8,312	-	(978)	-
Transferred to stage (3)	(251)	-	(179)	-	430	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	(24,165)	-	11,371	-	29,570	16,776
Changes resulting from adjustments	(53,056)	-	(43,213)	-	-	(96,269)
Balance at the End of the Year	**360,763**	**-**	**169,336**	**-**	**211,169**	**741,268**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	523,285	-	202,465	-	148,332	874,082
Impairment loss on new exposures during the year	94,744	-	38,162	-	34,640	167,546
Recovered from the impairment loss of the accrued exposures	(78,494)	-	(18,646)	-	(8,325)	(105,465)
Transferred to stage (1)	890	-	(890)	-	-	-
Transferred to stage (2)	(10,909)	-	10,909	-	-	-
Transferred to stage (3)	(9)	-	(1,068)	-	1,077	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	1,080	-	6,572	-	20,023	27,675
Changes resulting from adjustments	(113,206)	-	(27,901)	-	-	(141,107)
Balance at the End of the Year	**417,381**	**-**	**209,603**	**-**	**195,747**	**822,731**

The distribution of the total indirect facilities (unutilized limits) according to the Bank's internal credit ratings:

	December 31, 2022						2021
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	2,085,541	-	-	-	-	2,085,541	1,057,389
2	46,843,848	-	-	-	-	46,843,848	21,247,382
3	107,387,713	-	-	-	-	107,387,713	129,905,626
4	161,747,343	-	-	-	-	161,747,343	130,380,392
5	156,493,687	-	-	-	-	156,493,687	109,233,178
6	60,963,169	-	1,474,918	-	-	62,438,087	60,295,475
7	4,974,287	-	38,702,139	-	-	43,676,426	45,592,330
8	-	-	-	-	-	-	-
Not rated	68,745,463	-	5,270,275	-	-	74,015,738	70,824,850
Total	**609,241,051**	**-**	**45,447,332**	**-**	**-**	**654,688,383**	**568,536,622**

Below is the movement on the indirect facilities - unutilized limits

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	522,328,808	-	46,207,814	-	-	568,536,622
New exposure during the year	347,055,923	-	39,978,874	-	-	387,034,797
Accrued exposure	(279,875,039)	-	(39,570,997)	-	-	(319,446,036)
Transferred to stage (1)	2,615,688	-	(2,615,688)	-	-	-
Transferred to stage (2)	(1,639,098)	-	1,639,098	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	55,977	-	108,850	-	-	164,827
Changes resulting from adjustments	18,698,792	-	(300,619)	-	-	18,398,173
Balance at the End of the Year	**609,241,051**	**-**	**45,447,332**	**-**	**-**	**654,688,383**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	522,657,669	-	11,543,057	-	-	534,200,726
New exposure during the year	314,730,428	-	37,694,359	-	-	352,424,787
Accrued exposure	(314,063,382)	-	(7,565,144)	-	-	(321,628,526)
Transferred to stage (1)	2,910,952	-	(2,910,952)	-	-	-
Transferred to stage (2)	(5,950,573)	-	5,950,573	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	7,462,710	-	421,515	-	-	7,884,225
Changes resulting from adjustments	(5,418,996)	-	1,074,406	-	-	(4,344,590)
Balance at the End of the Year	**522,328,808**	**-**	**46,207,814**	**-**	**-**	**568,536,622**

Below is the movement on the provision for the indirect facilities - unutilized ceilings:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	4,093,627	-	337,774	-	-	4,431,401
Impairment loss on new exposures during the year	1,650,929	-	349,392	-	-	2,000,321
Recovered from the impairment loss of the accrued exposures	(2,238,544)	-	(164,421)	-	-	(2,402,965)
Transferred to stage (1)	48,323	-	(48,323)	-	-	-
Transferred to stage (2)	(13,133)	-	13,133	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	(30,272)	-	18,178	-	-	(12,094)
Changes resulting from adjustments	7,117	-	(69,782)	-	-	(62,665)
Balance at the End of the Year	**3,518,047**	**-**	**435,951**	**-**	**-**	**3,953,998**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	3,257,281	-	393,477	-	-	3,650,758
Impairment loss on new exposures during the year	2,509,730	-	204,454	-	-	2,714,184
Recovered from the impairment loss of the accrued exposures	(1,733,407)	-	(298,683)	-	-	(2,032,090)
Transferred to stage (1)	76,826	-	(76,826)	-	-	-
Transferred to stage (2)	(26,978)	-	26,978	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	46,650	-	92,533	-	-	139,183
Changes resulting from adjustments	(36,475)	-	(4,159)	-	-	(40,634)
Balance at the End of the Year	**4,093,627**	**-**	**337,774**	**-**	**-**	**4,431,401**

The distribution of the total indirect facilities (letter of credits) according to the Bank's internal credit ratings:

	December 31, 2022						2021
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	158,175	-	-	-	-	158,175	-
2	22,353,915	-	-	-	-	22,353,915	10,297,466
3	87,925,225	-	-	-	-	87,925,225	57,727,912
4	101,005,648	-	-	-	-	101,005,648	121,602,696
5	44,180,506	-	-	-	-	44,180,506	10,948,809
6	10,773,949	-	-	-	-	10,773,949	16,484,162
7	1,046,024	-	2,677,623	-	-	3,723,647	26,379,664
8	-	-	-	-	-	-	-
Not rated	42,882,737	-	13,889,150	-	-	56,771,887	37,173,610
Total	**310,326,179**	**-**	**16,566,773**	**-**	**-**	**326,892,952**	**280,614,319**

Below is the movement on the indirect facilities - letters of credit :

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	261,917,828	-	18,696,491	-	-	280,614,319
New exposure during the year	265,287,703	-	15,137,251	-	-	280,424,954
Accrued exposure	(214,703,156)	-	(17,596,619)	-	-	(232,299,775)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(354,500)	-	354,500	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(1,821,696)	-	(24,850)	-	-	(1,846,546)
Balance at the End of the Year	**310,326,179**	**-**	**16,566,773**	**-**	**-**	**326,892,952**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	176,881,706	-	13,997,443	-	-	190,879,149
New exposure during the year	215,782,388	-	17,099,510	-	-	232,881,898
Accrued exposure	(104,443,362)	-	(11,711,273)	-	-	(116,154,635)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(698,365)	-	698,365	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(25,604,539)	-	(1,387,554)	-	-	(26,992,093)
Balance at the End of the Year	**261,917,828**	**-**	**18,696,491**	**-**	**-**	**280,614,319**

Below is the movement on the indirect facilities provision - letter of credit:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	251,901	-	29,248	-	-	281,149
Impairment loss on new exposures during the year	142,122	-	11,497	-	-	153,619
Recovered from the impairment loss of the accrued exposures	(205,234)	-	(27,136)	-	-	(232,370)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(333)	-	333	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	350	-	-	350
Changes resulting from adjustments	(16,883)	-	(601)	-	-	(17,484)
Balance at the End of the Year	**171,573**	**-**	**13,691**	**-**	**-**	**185,264**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	190,508	-	30,963	-	-	221,471
Impairment loss on new exposures during the year	213,717	-	24,636	-	-	238,353
Recovered from the impairment loss of the accrued exposures	(106,768)	-	(16,279)	-	-	(123,047)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(1,121)	-	1,121	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	895	-	-	895
Changes resulting from adjustments	(44,435)	-	(12,088)	-	-	(56,523)
Balance at the End of the Year	**251,901**	**-**	**29,248**	**-**	**-**	**281,149**

The distribution of the total indirect facilities (acceptances) according to the Bank's internal credit ratings:

	December 31, 2022						2021
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	624,955	-	-	-	-	624,955	39,628
3	41,346,530	-	-	-	-	41,346,530	11,507,384
4	45,243,453	-	-	-	-	45,243,453	7,903,859
5	24,943,861	-	-	-	-	24,943,861	2,618,016
6	11,511,722	-	-	-	-	11,511,722	640,639
7	99,314	-	26,005	-	-	125,319	9,226,363
8	-	-	-	-	-	-	-
Not rated	61,862,837	-	22,568,183	-	-	84,431,020	26,731,709
Total	**185,632,672**	**-**	**22,594,188**	**-**	**-**	**208,226,860**	**58,667,598**

Below is the movement on the indirect facilities acceptances:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	49,212,003	-	9,455,595	-	-	58,667,598
New exposure during the year	166,422,680	-	22,594,188	-	-	189,016,868
Accrued exposure	(29,763,382)	-	(9,455,595)	-	-	(39,218,977)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(238,629)	-	-	-	-	(238,629)
Balance at the End of the Year	**185,632,672**	**-**	**22,594,188**	**-**	**-**	**208,226,860**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	93,897,864	-	1,586,903	-	-	95,484,767
New exposure during the year	33,753,629	-	9,455,595	-	-	43,209,224
Accrued exposure	(81,199,836)	-	(1,586,903)	-	-	(82,786,739)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	2,760,346	-	-	-	-	2,760,346
Balance at the End of the Year	**49,212,003**	**-**	**9,455,595**	**-**	**-**	**58,667,598**

Below is the movement on the indirect facilities provision - Acceptance:

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	55,129	-	24,774	-	-	79,903
Impairment loss on new exposures during the year	92,392	-	48,328	-	-	140,720
Recovered from the impairment loss of the accrued exposures	(53,180)	-	(24,773)	-	-	(77,953)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(1,313)	-	-	-	-	(1,313)
Balance at the End of the Year	**93,028**	**-**	**48,329**	**-**	**-**	**141,357**

December 31, 2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	143,760	-	2,547	-	-	146,307
Impairment loss on new exposures during the year	21,651	-	24,774	-	-	46,425
Recovered from the impairment loss of the accrued exposures	(120,447)	-	(2,547)	-	-	(122,994)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	10,165	-	-	-	-	10,165
Balance at the End of the Year	**55,129**	**-**	**24,774**	**-**	**-**	**79,903**

23. Paid-up capital and share premium

Capital:

The authorized and paid-in capital amounted to JOD 160 million, divided into 160 million shares at a par value of JOD 1 per share as of December 31, 2022, and December 31, 2021.

Share premium:

Share premium amounted to JOD 80,213,173 as of December 31, 2022, and 2021.

Dividends paid:

The dividends distributed to shareholders amounted to JOD 16,000,000 for the year 2022 (16,000,000 JOD for the year 2021).

24. Reserves

The details of the reserves as of December 31, 2022, and 2021 are as follows:

a. Statutory reserve

This reserve represents amounts transferred from income before tax at a rate of 10% during the year and the prior years, and according to the Banking law, the statutory reserve is not available for distribution to shareholders.

b. Voluntary reserve

This reserve represents amounts transferred from the pre-tax profits at a rate not exceeding 20% during the year and the prior years. The voluntary reserve shall be utilized for the purposes determined by the Board of Directors and the General Assembly shall have the right to distribute it in whole or in part as dividends to the shareholders.

The restricted reserves are as follows:

Reserve Name	December 31,		Regulation
	2022	2021	
	JOD	JOD	
Statutory reserve	76,227,974	68,169,340	According to the Bank regulatory authorities' regulations and companies' regulations
Fair value reserve	6,482,816	1,741,270	According to the regulations of the Central Bank of Jordan and the Jordan Securities Commission

25. Proposed dividends and shares

The Board of Directors proposed in its meeting that was held on February 26, 2023, a recommendation to the General assembly of shareholders to approve the distribution of cash dividends amounted to JOD 16 million at 10% of paid-in capital and capital increase amounted to JOD 40 million equivalent to 25% of the paid-in capital where the paid-up capital becomes JOD 200 million by distributing free shares to shareholders. This recommendation is subject to the approval of the Central Bank of Jordan and the General Assembly of Shareholders.

26. Fair value reserve - net

The details are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Balance at the beginning of the year	1,741,270	(2,609,036)
Unrealized gains	8,022,682	5,858,568
Deferred tax assets	(420,863)	(1,933,753)
Deferred tax liabilities	(844,854)	-
(Gains) loss from sale of financial assets at fair value through other comprehensive income	(2,015,419)	425,491
Balance at the End of the Year	**6,482,816**	**1,741,270**

- The fair value reserve appears after netting the balance of deferred tax liabilities of JOD 844,854 as of December 31, 2022 (against the netting of deferred tax assets of JOD 420,863 as of December 31, 2021)

27. Retained earnings

The movement on retained earnings is as follows:

	December 31,	
	2022	2021
	JOD	JOD
Balance – beginning of the year	71,721,054	67,518,099
Income for the year	34,327,652	32,499,895
Gains (loss) from sale of financial assets through comprehensive income	2,015,419	(425,491)
Transferred to reserves	(13,083,690)	(11,502,972)
Dividends distributed	(16,000,000)	(16,000,000)
Shares in subsidiaries	(49,911)	(368,477)
Balance – End of the Year	**78,930,524**	**71,721,054**

- Retained earnings includes an amount of JOD 711,364 which represents gains from the differences on the revaluation of the financial assets at fair value through the statement of profit or loss.
- Retained earnings includes a restricted amount of JOD 32,820,280 as of December 31, 2022 (JOD 27,326,810 as of December 31, 2021), which represents deferred tax assets. According to the Central Bank of Jordan's instructions, this amount should not be used unless prior approval is obtained from the Central Bank of Jordan.

28. Provision for expected credit losses on financial assets

The details are follows:

	December 31,	
	2022	2021
	JOD	JOD
Balances at banks and financial institutions	(279,462)	370,430
Deposits with banks and banking institutions	5,500	640
Financial assets at amortized costs	21,460	154,749
Direct credit facilities and financing	35,083,130	27,643,878
Contingent liabilities	**(593,297)**	**722,566**

29. Subsidiaries with material non-controlling interests

First: Percentage owned by non-controlling interests

December 31, 2022

Company's Name	Country of residence	Ownership Percentage	Activity Nature	Distributions
				JOD
Safwa Islamic Bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	62.26%	Provides all financial, banking and investment services according to Islamic Sharia	6,000,000
Etihad Islamic for Investment Company LLC.	Jordan	42.00%	The Company's purposes are to acquire companies' stocks, bonds and shares	3,350,000

December 31, 2021

Company's Name	Country of residence	Ownership Percentage	Activity Nature	Distributions
				JOD
Safwa Islamic Bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	62.47%	Provides all financial, banking and investment services according to Islamic Sharia	6,000,000
Etihad Islamic for Investment Company LLC.	Jordan	42.00%	The Company's purposes are to acquire companies' stocks, bonds and shares	3,500,000

Second: The following is selected financial information for subsidiaries with material non-controlling interests

a. Condensed statement of financial position before the elimination of inter-company transactions and after reclassification for some items:

	Safwa Islamic Bank (Etihad Islamic for Investment Company)	Safwa Islamic Bank (Etihad Islamic for Investment Company)
	December 31, 2022	December 31, 2021
	JOD	JOD
Financial assets	2,529,565,317	2,280,958,707
Other assets	46,341,260	44,101,163
Total assets	**2,575,906,577**	**2,325,059,870**
Financial Liabilities	2,336,101,720	2,104,048,898
Other Liabilities	68,000,516	58,333,245
Total Liabilities	**2,404,102,236**	**2,162,382,143**
Equity	171,804,341	162,677,727
Total Liabilities and Equity	**2,575,906,577**	**2,325,059,870**
Equity attributed to non-controlling interests	106,366,138	100,988,449
Non-Controlling Interest Share at Al Etihad Islamic for Investment Company	623,852	467,114
Total non-controlling interests	**106,989,990**	**101,455,563**

b. Condensed statement of income before the elimination of inter-company transactions:

	Safwa Islamic Bank (Etihad Islamic for Investment Company)	Safwa Islamic Bank (Etihad Islamic for Investment Company)
	December 31, 2022	December 31, 2021
	JOD	JOD
Gross Income	68,002,662	59,991,991
Profit for the year	15,112,021	14,060,320
Total Comprehensive Income	15,126,614	14,060,320
Attributable to non-controlling interests	9,486,207	8,928,550
Non-controlling interests share in profits (losses) of Etihad Islamic for Investment Company	(4,351)	(3,150)
Non-Controlling Interests	**9,481,856**	**8,925,400**

30. Interest and returns income

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Direct Credit Facilities and Financing		
Individual (retail)		
Overdraft accounts	136,461	116,230
Loans and discounted bills	71,349,409	60,022,096
Credit cards	1,940,405	1,417,247
Real estate Loans	70,000,236	59,118,362
Large corporates		
Overdraft accounts	5,786,525	5,583,573
Loans and discounted bills	68,603,610	61,299,053
SME's		
Overdraft accounts	2,100,006	1,728,237
Loans and discounted bills	12,477,341	9,925,389
Government and Public Sector	21,178,572	16,924,103
Balances at the Central Bank	6,911,290	3,266,082
Balances and deposits at banks and financial institutions	4,457,040	1,133,212
Financial assets at fair value through statement of profit or loss	21,538	4,604
Financial assets at amortized cost	49,135,776	40,078,406
Others	1,670,441	784,104
	315,768,650	**261,400,698**

31. Interest and debit expenses

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Banks and financial institutions deposits	4,623,506	3,133,273
Customers' deposits:		
Current accounts and demand deposits	4,478,420	1,240,318
Saving deposits	5,192,547	4,751,746
Time and notice deposits	93,105,635	69,567,309
Certificates of deposit	13,359,983	12,644,782
Cash margins	3,072,617	3,779,283
Borrowed funds	2,456,675	1,455,659
Subordinated loans	1,177,269	1,403,729
Deposits Insurance Corporation's fees	7,652,841	6,221,691
	135,119,493	**104,197,790**

32. Net commission income

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Direct credit facilities and financing commissions	5,871,993	5,443,475
Indirect credit facilities and financing commissions	15,250,347	9,359,937
Other	14,723,654	12,571,850
Less: Commission expense	(2,077,407)	(1,372,422)
Net Commission Income	**33,768,587**	**26,002,840**

33. Gains from foreign currencies

The details of this item are as follows

	December 31,	
	2022	2021
	JOD	JOD
Resulting from dealings / tradings	9,918,532	5,043,753
Resulting from valuations	1,521,470	1,796,735
	11,440,002	**6,840,488**

34. (Loss) gains from financial assets at fair value through profit or loss

The details of this item are as follows:

December 31, 2022	(Losses) Gains Realized	(Losses) Gains Unrealized	Dividends income Received	Total
	JOD	JOD	JOD	JOD
Treasury bills and bonds	6,166	(10,346)	-	(4,180)
Corporate shares	(253,408)	(563,459)	117,687	(699,180)
Financial derivatives	64,408	-	-	64,408
Investment funds	38,226	(893,077)	8,884	(845,967)
	(144,608)	**(1,466,882)**	**126,571**	**(1,484,919)**

December 31, 2021	(Losses) Gains Realized	(Losses) Gains Unrealized	Dividends income Received	Total
	JOD	JOD	JOD	JOD
Treasury bills and bonds	88,150	685	-	88,835
Corporate shares	1,050,936	(413,243)	88,427	726,120
Financial derivatives	(47,108)	-	-	(47,108)
Investment funds	108,679	1,263,910	1,558	1,374,147
	1,200,657	**851,352**	**89,985**	**2,141,994**

35. Dividends from financial assets at fair value through other comprehensive income

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Dividends from stock investments	689,898	458,811
Returns from investment fund distributions	969	10,680
	690,867	**469,491**

36. Other income

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Safety deposits boxes rental	200,260	230,762
Dormant accounts	121,492	114,742
Bonded revenue	243,226	231,188
Net income from recovered bad debts	294,536	1,119,763
Income from sale of seized assets	898,236	-
Other income	240,633	462,613
	1,998,383	**2,159,068**

37. Employee's expenses

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Salaries, benefits and allowances	42,851,427	38,396,757
Bank's contribution to social security	4,384,455	4,001,503
Bank's contribution to saving fund	1,785,296	-
Medical expenses	2,155,193	1,944,492
Per diems	329,302	215,740
Training expenses	833,367	413,784
Uniforms	4,173	6,389
Advertising and marketing incentives	4,931,991	3,588,089
Employees' life insurance expense	190,272	178,750
Others	1,879	6,200
	57,467,355	**48,751,704**

38. Other expenses

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Postage, telephone telex and reutters	3,702,405	3,063,435
Stationery and printing	1,200,244	1,224,161
Water, electricity and fuel expense	1,120,662	790,264
Maintenance of machines and equipment	14,221,359	12,026,841
Insurance expenses on the Bank's assets and activities	2,813,030	1,495,116
Lawyer, auditing, maintenance, programs and consulting fees	3,301,436	2,042,409
Governmental Fees and professional licenses	1,575,299	1,334,525
Loss from disposal of property and equipment	115,477	24,934
Board of Directors' transportations and allowances	1,579,784	1,502,738
Advertising	6,147,949	4,477,052
Donations and subscriptions	3,022,956	1,902,770
Board of Directors' remuneration	109,996	106,000
Loss from disposal of owned assets	-	80,567
Others	1,892,037	1,572,586
	40,802,634	**31,643,398**

39. Basic diluted earrings per share for the period attributable to the bank's shareholders

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Profit for the year	34,327,652	32,499,895
Weighted average number of shares	160,000,000	160,000,000
Earnings per share attributable to the Bank's shareholders:		
Basic and diluted	-/215	-/203

40. Cash and cash equivalents

the details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Cash and balances with CBJ maturing within 3 months	761,806,411	934,430,468
Add: Balances with banks and financial institutions maturing within 3 months	207,623,258	542,036,819
Less: Banks and financial institutions deposits maturing within 3 months	295,845,614	263,192,838
Less: Restricted balances	9,791,446	7,548,214
	663,792,609	**1,205,726,235**

41. Derivatives

The following table shows the positive and negative fair value for the financial derivatives along with the distribution of their nominal value based on their maturities.

December 31, 2022	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Customers' commitments against purchased forward agreements	284,830	81,018	14,758,091	9,609,047	5,149,044	-	-
Interest rates swap contracts	-	-	-	-	-	-	-
Banks' commitments against purchased forward agreements	181,481	320,731	179,020,897	171,837,997	7,182,900	-	-
	466,311	**401,749**	**193,778,988**	**181,447,044**	**12,331,944**	**-**	**-**

December 31, 2021	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Customers' commitments against purchased forward agreements	733	42,175	2,529,570	1,515,798	1,013,772	-	-
Interest rates swap contracts	-	-	-	-	-	-	-
Banks' commitments against purchased forward agreements	61,685	62,140	50,448,317	49,466,287	982,030	-	-
	62,418	**104,315**	**52,977,887**	**50,982,085**	**1,995,802**	**-**	**-**

Nominal value represents the value of transactions outstanding at year-end and does not refer to market risks or credit risks.

42. Related party transactions and balances

The accompanying consolidated financial statements include the financial statements of the Bank and the following subsidiaries:

Company's Name	Ownership	The Company's Capital	
		2022	2021
	%	JOD	JOD
Etihad Islamic for Investment Company LLC.	58	113,039,028	113,039,028
Safwa Islamic Bank	37.74	100,000,000	100,000,000
Etihad for Financial Brokerage Co. Ltd	100	5,000,000	5,000,000
Etihad for Financial Leasing Co.	100	12,000,000	10,000,000
Etihad for Financial Technology	100	100,000	100,000

The balances and transactions between the Bank and its subsidiaries have been eliminated.

The Group entered into transactions with major shareholders, directors, senior management in the ordinary course of business at commercial interest and commission rates. All the credit facilities granted to related parties are performing, and no provisions have been taken except for what is shown below:

The details of this item are as follows:

	Related Party				Total	
	Board of Directors	Executive management members and Major Shareholders	Subsidiaries	Others (Executive Management of the Bank and Related Parties)	2022	2021
	JOD	JOD	JOD	JOD	JOD	JOD
On- Consolidated Statement of Financial Position Items:						
Direct credit facilities and financing	2,685,367	3,340,676	1,435,438	59,970,680	67,432,161	75,104,514
Deposits	168,726,040	5,000,060	17,913,850	15,460,963	207,100,913	133,603,635
Deposits at banks and financial institutions	-	-	354,838	-	354,838	348,802
Intangible assets	-	-	2,615,855	-	2,615,855	197,386
Off- Consolidated Statement of Financial Position Items:						
Letter of credits	-	-	-	4,161,389	4,161,389	3,188,733
Acceptance	-	-	-	-	-	-
Letter of guarantee	100,000	-	828,500	9,193,334	10,121,834	10,507,756
					For the Year Ended December 31,	
					2022	2021
					JOD	JOD
Consolidated Statement of Profit or Loss Items						
Interest, returns and commissions income	139,137	83,596	75,372	5,191,158	5,489,263	7,381,742
Interest and expenses and debit interest	3,726,538	76,027	414,311	244,280	4,461,156	2,072,677
Software maintenance expenses	-	-	351,314	-	351,314	376,736

- The interest income rates on credit facilities range from 2% to 17%, and interest expense rates on customers' deposits range from 0.75% to 5.5%.

Below is a summary of the remunerations for the Bank's executive management:

	2022	2021
	JOD	JOD
Salaries and bonuses of the Executive Management	6,442,465	5,633,181
Board of Directors' transportation and allowances	1,619,987	1,549,433
Total	**8,062,452**	**7,182,614**

43. Right-of-use assets/ leasing liabilities

This items includes the following:

1. Right-of-use assets

The Bank leases many assets including land and buildings, and the average lease term is 8 years.

Below is the movement on the right-of-use assets during the year:

	For the Year Ended December 31,	
	2022	2021
	JOD	JOD
Beginning balance	27,555,989	27,031,520
Add: Additions during the year	6,316,819	4,491,057
less: Disposal during the year	(223,810)	(146,726)
Less: Depreciation for the year	(4,187,342)	(3,819,862)
Balance at the end of the year	**29,461,656**	**27,555,989**

Restricted balances in the statement of profit or loss

	For the Year Ended December 31,	
	2022	2021
	JOD	JOD
Depreciation for the year	(4,187,342)	(3,819,862)
Interest during the year	(1,171,165)	(1,027,420)
Lease expense during the year	(558,065)	(463,109)

2. Lease liabilities

	For the Year Ended December 31,	
	2022	2021
	JOD	JOD
Beginning balance	27,366,812	26,453,949
Add: Additions during the year	6,316,819	4,491,057
Interest during the year	1,171,165	1,027,420
Less: Disposal during the year	(223,810)	(146,726)
Paid during the year *	(4,950,405)	(4,458,888)
Balance at the end of the year	**29,680,581**	**27,366,812**

*including interest of JOD 361,996.

Analysis of the accrual of lease liabilities:	For the Year Ended December 31,	
	2022	2021
	JOD	JOD
Less than one year	2,272,581	2,133,756
From 1 year to 5 years	9,546,437	9,924,805
More than 5 years	17,861,563	15,308,251
	29,680,581	**27,366,812**

The undiscounted lease liabilities amounted to JOD 35,862,010 as of December 31, 2022 (JOD 32,800,307 as of December 31, 2021).

The following is the analysis of the maturity:

Analysis of the maturity of undiscounted lease liabilities:	For the Year Ended December 31,	
	2022	2021
	JOD	JOD
Less than one year	3,009,103	2,810,979
From 1 year to 5 years	11,847,582	11,939,333
More than 5 years	21,005,325	18,049,995
	35,862,010	**32,800,307**

44. Risk management

The Bank continuously develops the risk management structure to ensure effective management of all of its operations, the efficiency of the risk management process, and proper application of the regulatory controls across all of the Bank's operations.

The risk management responsibility is allocated across various levels as summarized below:

1. Business units

The Business units comprise of employees who, through their nature of work, manage the various risks associated with the Bank's operations in line with the acceptable risk appetite as determined by the Bank and specified in its policies.

To ensure efficient risk management, the Bank fully separates the functions of the business units from those of risk management. For example, credit underwriting and credit administration function is completely independent from Customer Relations Management (CRM) within the business units. This ensures the integrity of credit decisions, and higher efficiency. In addition, the Middle Office operates under the umbrella of market risk, independent from the treasury.

2. Risk management

This department operates independently from all business units. It reports to the Board of Directors through the Risk Management Committee to ensure its independence and ability to detect, measure, govern, and monitor risks within acceptable risk appetite as determined by the Bank; as well as submit periodic reports to the Board of Directors in this regard.

3. Internal audit

The Internal Audit Department is fully independent and directly reports to the Board Audit Committee. The Department functions as the last line of defense through implementing an audit plan that includes periodic audits of all the Bank's activities to ensure the detection of any violations of systems and noncompliance with the Banks' policies and procedures or the supervisors' regulations

4. Risk Management Committee

The Board of Directors endorsed the Risk Management Committee as stipulated in it's charter, which has been drafted in accordance with best risk management practices and CBJ requirements. The Committee comprises of Board members and the Chief Risk Officer. All reports prepared by the Risk Management Department are submitted to the Committee periodically to ensure that the Committee's members are well informed of all risks in a timely manner. This enables the committee members to make decisions, and take measures to mitigate risks that are not in line with the established risk appetite, and submit reports to the Board in this regard.

5. Board of Directors

The Board of Directors has the following responsibilities with regard to risk management:

- Determining the acceptable risk levels for the Bank's various activities.
- Reviewing and approving the various risk policies.
- Monitoring risks and ensuring that necessary controls are in place through the Risk Management Committee.
- Delegating authority related to the approval, amendment, and renewal of credit to the credit committees while reviewing their performance and the validity of their decisions, a matter which would reflect on the quality of the credit portfolio.
- Approving the investments policies and decisions and approving investment transactions and dealing limits.

6. Assets and liabilities management committee

The Assets and Liabilities Management Committee comprises of the CEO as President and the Head of Business units, Head of Finance and Head of Risk as members. The Committee reviews the statement of financial position and recommends any amendments thereto, in addition to approving the liquidity and market risk management principles. Moreover, the Committee reviews the policies related to these risks, recommends their approval by the Board, and studies the various risk reports in order to take any necessary decisions related to amending the acceptable risks levels by the Bank.

The Committee also recommends to the Board the allocation of capital for the various activities of the Bank in a manner that ensures that the use of capital is optimized.

a. Credit risks

Credit risks are controlled within acceptable risk levels by the Bank through the following:

1. Credit Policy:

   This policy accurately determines the general guidelines for credit underwriting, levels of acceptable credit risks, and basis used for establishing credit risk pricing and acceptable collateral. In addition, the policy outlines the monitoring activities over credit and ensure early detection of credit quality deterioration of the portfolio.

2. Training and Development:

   The continuous training and development of all credit staff and managers ensures better understanding of the client's business activity and needs, the fostering of expertise in credit analysis, and a better understanding of risks when taking credit decisions; as well as ensuring the effective management of portfolios.

3. Authority to Grant Credit:

   Credit applications are approved by specialised credit committees which are appointed and granted authorities by the Board of Directors.

4. Credit Risk Measurement:

   The Bank put in place, a credit rating system for corporate and medium-size companies. In addition, the Bank implements a scorecards framework for retail customers as a basis for underwriting and cross-selling of retail products.

5. Internal Valuation for Capital Adequacy:

   The Bank developed a model to measure capital adequacy based on a 5-year data forecast to calculate the potential capital requirements and the effect of stress testing on the Bank's capital adequacy, profitability, and liquidity.

6. Credit Risk Monitoring:

   A specialised unit within the Risk Management Department monitors the credit portfolio and prepares the relevant reports.

   Through the early credit risk warning system, the Risk Management Department examines any indicators that may

signal the deterioration of the risk profile of a customer. Such indicators include customer's transactions, financial performance, and the risk of their economic sectors , in addition to indicators related to the performance of the client's account at the Bank. This system allows the bank to detect, early on, any deterioration in the performance of the account and enables to the bank to take necessary measures to reduce any possible losses that may result from that and to ensure the adequacy of the allocations allocated to these accounts.

7. Credit Portfolio Management:

   All departments concerned with credit continuously review the credit portfolio to maintain a good level of credit exposure quality.

   In managing the portfolio, efforts are made to ensure that the portfolio is diversified to avoid any concentration that could lead to an increase in the risk level of the portfolio. In this regard, the sectoral and the geographical distribution of the portfolio are monitored, in addition single borrower and related parties exposures are monitored and reported in addition to avoiding large credit exposures for a single customer except in exceptional cases and for discerning clients.

8. Credit Risk Mitigation:

   As a basic step to hedge credit risk, cash flows of financed projects are taken into account when determining the structure of facilities and payment schedules for any facilities granted to clients and the necessary controls to control these cash flows for use for repayment, as well as obtaining collaterals as stipulated in the credit policy, taking into account the quality and liquidity collaterals, in addition to the efficient application of procedures that ensure proper control of these guarantees and control their value and the ease of monetization where necessary.

b. Operational risks

Operational risk is defined as the risk of loss resulting from failure or inadequacy of internal processes, people or systems, or from an external source (event). This definition includes legal risks and risks related to regulatory authorities.

The Operational Risk Policy covers the role of Operational Risk Management in risk identification, risk assessment, ongoing monitoring and controlling operational risk, and comply with all relevant regulatory requirements, to reduce some or all of the negative effects resulting from these risks. It covers more than one methodology to manage these risks, the first of which is the Control and Risk Self Assessment methodology (CRSA), through identifying the inherent risks related to each department and/or unit and evaluating the controls to identify weaknesses and measure the level of effectiveness of the existing controls, where these controls are examined periodically and are reported to the senior management in order to evaluate the effectiveness and efficiency of them and to mitigate any residual risks through adding new controls or enhancing the existing ones. The Operational Risk Department is also defining key risk indicators that will enhance the risk monitoring as it is considered an early warning tool that enables decision makers to identify undesirable events and potential losses before they occur.

In addition, the Bank creates a data loss register resulting from operational risks in order to assess the Bank's exposure to operational risks and the effectiveness of internal controls. The aim of operational risk is not to prevent every risk materializing but to mitigate the risk to the acceptable limit in alignment with the risk appetite of the Bank.

c. Information Security

Information security risk management adopts the latest techniques, solutions, and the international best practices to ensure the protection of information, and to prevent it from being accessed by unauthorized people, to maintain the confidentiality and integrity of information, and to ensure its availability and continuity of supporting systems.

For this purpose, Bank al Etihad has retained qualified staff along with the required resources to protect the bank and it's customers information from cyber and information security breaches in accordance with the international best practices and standards. The Bank has maintained an effective business continuity plan which defines how the bank will manage the incidents in case of a disaster and other disruptive cases, to ensure the continuity of the Bank's operations.

Stress testing

The objectives of stress testing are to determine the negative stress events that could face the bank and its business, and measure their impact on the bank's solvency, liquidity and reputation.

Also, stress testing will identify the areas of weaknesses that the bank could face as a result of these negative stress events and allow the board of directors and executive management, to develop a strategic plan to reduce its impact and confronting them when they occur or avoid them. The stress test process aims to improve and enhance the sound management of the bank's risks, in addition to complying with the instructions of the regulatory authorities issued in this regard, and international best practices.

Choosing the stress testing scenarios

Stress scenarios that cover all possible risks encountered by the Bank are selected. The impact of stressful scenarios are assessed on different bank portfolios, and on Profit and Loss, Capital Adequacy Ratio and other regulatory limits , as follows:

1. Measuring the effect of stress scenarios on the Bank's credit portfolio concerning the increase in the percentage of non-performing loans due to many factors, including concentration in granting credits, deterioration of the economic sectors due to financial crises, quality of the credit portfolio, decrease in the value of collaterals, and other factors. The impact of these stress scenarios on income statement, Balance sheet, and capital adequacy ratios.
2. Measuring the effect of stress situations on the Bank's investments in terms of liquidity and change in the market prices such as Interest Rates, Foreign Exchange rate etc. The impact of these risk scenarios is assessed on the income statement, statement of financial position, and capital adequacy ratios.
3. Measuring the effect of stress scenarios on the Bank's assets and liabilities in the event of depreciation or appreciation of local currency against foreign currencies.
4. Measuring the effect of stress scenarios on the Bank's liquidity due to several factors, including loss of deposits, concentration of the clients' deposits and Banks' deposits and extensive deposit withdrawals. The effect of these risk scenarios is factored into the calculation of the legal liquidity ratio, Liquidity Coverage Ratio and other liquidity ratios.
5. Measuring the effect of stress on the Bank's operational risks. The impact of this risk scenario is assessed on the capital adequacy ratio and Profit and loss.

Based on the results of these tests, contingency and recovery plans are established to face financial and economic crises should they arise. Furthermore, risk mitigation tools are implemented, such as hedging and risk transfer strategies and minimum accepted collaterals limits, and what corresponds to the results of stress tests.

Governance of the application of stress-testing situations

Responsibility of the Board of Directors

1. Reviewing the results of the stress tests of the bank on a semi-annual basis (every six months), in order to direct the bank to take measures and/or enforce controls accordingly.
2. Ensuring that the executive management complies by the plans and policies prepared to face any stress scenarios as it arises.
3. Verifying that the Risk Management Department is performing stress tests periodically and that the Board has a major role in approving the underlying assumptions and scenarios, test results analysis, and approving the contingency and recovery plans.

Executive management's responsibility

1. Making the right recommendations, based on the stress-testing results, and reporting them to the Board of Directors.
2. Implementing the decisions of the Board of Directors related to the Bank's stress testing results, in addition to informing the Board about these results.
3. Implementing and controlling stress testing, in compliance with the methodology approved by the Board of Directors.
4. Taking the stress testing results into consideration when planning capital with the aim of reaching the capital that matches the Bank's strategy and risk structure, in addition to taking the results into consideration while performing (ICAAP).
5. Ensuring full cooperation among the Bank's different departments through coordinating with the Risk Management Department to come up with the closest real world stress testing results that the Bank might be prone to as a result of the local and international financial and economic circumstances.

The bank's definition for applying default and the mechanism for processing default

The group is committed to the instructions of the regulatory authorities and best practices in the banking sector with regard to the application of default and the mechanism for dealing with bad debts.

Non-performing facilities are defined as those facilities that carry high levels of risk or needs supervision, and the following is a brief description of these statuses:

- **Watch List**

Borrower with no assured profits and extremely unstable operational revenues. The obligors' assets are witnessing a decrease in their value, coupled with an increase in doubtful debts without sufficient collaterals. Meanwhile, his exposure is constantly increasing and is greater than the accepted standards in his sector. In addition, the management and controls are weak. Debts classified as watch list will remain as such for a period of time under this rating to be monitored, so that their credit rating is improved in case the data that led to their classification under watch list will change or their credit rating downgraded.

- **Substandard**

Borrower is considered non-performing. Where Recovering the granted credit facilities based on the client's operational revenues is questionable, and their assets are not protected at an acceptable degree by net equity. In addition, the borrower's ability to commit to financial obligations or provide additional collaterals is weak. The facilities classified under this level of risks require a special provision according to the instructions of the Central Bank of Jordan.

- **Doubtful**

The Bank's chances of recovering the debts granted to the borrower is doubtful, and part of the principal is likely to be lost under the given circumstances that demonstrate the borrower's inability to fulfill their obligations towards the Bank. The facilities classified under this level of risks require a special provision according to the instructions of the Central Bank of Jordan.

- **Loss**

It is probable that part of the granted amount will be recovered in the future, and the Bank is still not fully convinced that recovery is unlikely. This matter does not encourage the Bank to irrevocably write off the debt, or cease the recovery process. The facilities classified under this level require special provision according to the instructions of the Central Bank of Jordan.

General Guidelines for dealing with default

- Proposed rescheduling arrangements are based on the client's ability to commit to it's financial obligations, as the Bank's aim is not only to improve the credit portfolio classification, but to also recover the loan amount granted to the client.
- While rescheduling debt repayment, a study of the borrower's cash flows must be conducted, especially if the borrower has liabilities towards creditors other than the Bank. This entails studying the borrower's cash flows, current guarantees, and any other extra assets that can be liquidated as an extra source for the repayment, or as an additional guarantee to mitigate the client's credit risk. Other aspects of the client are also studied, including the client's ability to manage the facilities, and validity of the legal documents and contracts in the Bank's possession, to ensure that they maintain the Bank's rights in case legal actions are taken against the borrower.
- In case the client commits to their repayment schedule for a period of not less than 3 months, the account classification is upgraded to a performing status.

Internal credit classification system

The Bank adopts an internal risk rating system to calculate the Risk Rating of Corporate and SMEs clients. The aim of this system is to asses credit risks at client and facility level . For each borrower a risk grade from 1-10 is calculated, where risk grade (1) is the least risky, The calculation of Obligor and facility risk rating is the responsibility if the credit department.

Internal Risk classification of Obligors ensures:

- The ability to maintain a high asset quality, monitor the portfolio's quality, and identify effective plans and future strategies for managing credit risks.
- Linking credit quality, performance efficiency and pricing.
- Determining the authority level for granting and/or renewing the credit limits.

The following table shows the building blocks of the Risk Grade:

Indicator	Indicator's nature
Financial items	Quantitative
Management	Qualitative
Corporate	Qualitative
Economic sector	Qualitative

In order to calculate the Risk Rating, financial statements for 3 years and information about the economic sectors performance should be submitted, accordingly obligors are classified as follows:

Risk level	Risk rank
Excellent	1
Strong	2+ - 2-
Good	3+ - 3-
Satisfactory	4+ - 4-
Adequate	5+ - 5-
Marginal	6+ - 6-
Watch List	7+ - 7-
Non-performing	8-10

Mechanism used to calculate the expected credit losses on the financial instruments for each item separately

Expected credit losses are calculated on an individual basis on the system that is implemented by the Bank based on parameterized models and methodologies adopted by the Board of Directors and approved by the external auditor in the preparation of interim and year-end financial statements.

a. Probability of default (PD)

The probability of default is measured for the purpose of calculating the expected credit losses in accordance with IFRS9 through using statistical models based on historical default data, credit exposure classification, and stressed and forecasted macroeconomic trends for corporates and SME's portfolio. As for the retail facilities portfolio, statistical models have been adopted based on the product characteristics and the client's credit behavior.

Under IFRS (9) all credit exposures and debt instruments that are listed under stage (1), are assigned a 12 month Probability of default. As for the credit exposures under Stage 2, the probability of default on a credit exposures is taken into consideration over the lifetime of the exposure.

b. Loss given default (LGD) (guarantees/ risk mitigators)

When calculating the loss given default (LGD), the collaterals pledged against granting the credit exposure are evaluated. Moreover, only collaterals classified as risk mitigants are taken into account (legally documented within credit contracts, while nothing precludes the Bank from reaching the collateral) for the purpose of calculating the repayable amount of the credit exposure after applying haircuts as stipulated in CBJ Debt Classification Instructions No. (47/2009). In addition, LGDs are applied on the uncovered portion of the credit exposure. The LGD estimates are based on historical data related to recoveries upon liquidation as a result of execution on the guarantee due to default, taking into account the time dimension.

c. Exposure at Default (EAD)

When calculating Exposure at Default (EAD), the outstanding amount and type of debt instrument that will be utilized by the debtor will be taken into consideration when calculating the expected credit loss to each stage from International financial reporting standard (9) stages. The exploitation factor is calculated after conducting a study on the withdrawal ratios

and the historical exploitations of currencies and different types of debt.

Furthermore, indirect credit exposures (non-financed) are considered on-balance credit exposures on which expected credit loss is calculated. Their probability of default is calculated as well based on historical default.

d. Time value of money

The expected credit loss is calculated by using the time value and Effective interest rate (EIR) as a discounting factor.

Governance of applying the requirements of the International Financial Reporting Standard, including the responsibilities of management and executive management, to ensure compliance with the regulatory requirements and applying the international standard.

The Board of Directors

The Board of Directors will oversee the process and results of calculating provisions according to the international standard in order to make decisions that are consistent with these results and ensure that the executive management adheres to the processes and policies set for the adequacy of provisions. An approved policy that identifies exceptional and justified cases in which the results and outputs of the system are modified and that An independent body shall be determined to be the authority to make the exception or amendment decision and these cases shall be presented to the board for approval.

Risk Committee

The Risk Committee also plays a supervisory role in the IFRS9 Process. The Risk Committee will continue to supervise the inherit risks of the loan and investment portfolio. The risk committee shall insure that:

- The business pricing strategy is commensurate with the costs of impairment from IFRS9.
- Provisioning sufficiently covers the expected credit losses.
- Capital is maintained above the threshold levels and remediation plans are in place

Audit Committee

The provision calculation results according to the international standard are submitted to the Audit Committee, which verifies the adequacy of the Bank's coverage of the expected credit loss in all of the Bank's financial statements.

Executive Management

Senior management should be able to demonstrate an understanding of the inherent risks when pricing exposures and managing Client Relationships. Pricing should to a certain extent reflect the inherent risk in transactions and compensate for booked ECL.

Executive Management is responsible for implementing the reliable credit risk strategies approved by the Board of Directors and for developing the policies and procedures stated above.

Risk Management Department

The Risk Management Department ensures that the provisions adequately cover credit exposures. Ensure that the process and outputs of the system are fairly presented. The results are presented to the Board of Directors, the Risk Committee and Executive Management.

Rescheduled Loans

These represent loans previously classified under within Stage (3) in accordance with rescheduling principles. These loans amounted to JOD 20,264,350 as of December 31, 2022 (JOD 32,015,189 as of December 31, 2021).

Restructured Loans

Restructuring is the rearranging credit obligations in terms of adjusting installments, extending the tenor of the facility, postponing installments, or extending the grace period. These loans amounted to JOD 337,016,435 during the year 2022 (JOD 441,353,859 during the year 2021).

Debt securities and treasury bills

The Schedule below shows the distribution of bonds according to the rating agencies classification:

Rating grade	Rating Institution	Within financial assets at fair value through P&L 2022	Within financial assets amortized cost 2022	Total 2022	Total 2021
		JOD	JOD	JOD	JOD
AAA	S&P	-	-	-	21,220,499
AA+	S&P	-	90,544,524	90,544,524	-
AA	S&P	-	3,558,797	3,558,797	3,598,933
AA-	S&P	-	16,797,158	16,797,158	4,175,768
A+	S&P	-	14,070,357	14,070,357	8,267,579
A	S&P	-	25,712,346	25,712,346	47,277,189
A-	S&P	-	13,771,547	13,771,547	802,398
BBB+	S&P	-	10,847,647	10,847,647	4,316,994
BBB	S&P	-	18,440,448	18,440,448	20,626,529
BBB-	S&P	-	10,975,309	10,975,309	2,558,608
BB+	S&P	70,245	7,475,927	7,546,172	12,962,353
BB	S&P	-	16,134,722	16,134,722	-
BB-	S&P	-	4,829,455	4,829,455	15,016,283
B+	S&P	684,548	1,562,843	2,247,391	6,252,787
B	S&P	-	-	-	677,123
B-	S&P	-	698,673	698,673	-
Not rated	S&P	-	34,907,581	34,907,581	46,665,768
Governmental	S&P	-	1,055,539,310	1,055,539,310	906,333,575
Total		**754,793**	**1,325,766,644**	**1,326,521,437**	**1,100,752,386**

All the above bonds are classified under stage 1.

b. Market risk

Market risk is defined as the risk arising from changes in interest rates, exchange rates, securities prices, and any other instrument held by the bank, such as minerals, in which the price fluctuations leads the bank to bear losses as a result of any consolidated financial positions inside or outside the consolidated statements of financial position.

The Bank adopts a conservative policy in managing these risks where these risks are controlled through the adoption of clear policies regarding them and the adoption of exposure ceiling for each type of these risks. Our policy aims to reduce these risks to the lowest levels.

Interest rate risk

Interest rate risks represent losses arising from fluctuations in interest rates in the markets or from changes in product prices arising from the change in interest rates that has a negative impact on the bank's revenues and its equity.

These risks may also arise from the mismatch in the re-pricing dates of assets and liabilities in a manner that may result in a decrease in the group's revenues as a result of the timing difference in re-pricing.

Interest rate risk lies in debt instruments and derivatives whose value is linked to market prices.

Interest rate risks are managed by the Risk Management department. The asset liability management provided with regular gap reports on interest rates re-pricing, in addition to sensitivity reports related to interest rate price changes per currency. These reports show that interest rate risks are within the lowest range.

The following is the sensitivity analysis of the impact on the provision for expected credit losses as a result of the change in the economic indicators used in calculating the provision for credit losses for the year 2022:

Companies:	Corporate credit facilities	Credit facilities for the government and the public sector	Credit Facilities Real Estate Loans	Credit facilities for small and medium enterprises (SMEs)	Indirect credit facilities (commitments and contingencies)	Other credit facilities
	JOD	JOD	JOD	JOD	JOD	JOD
Cash 2M						
5%	(1,590,017)	-	(82,997)	-	-	(360,851)
-5%	(3,870,412)	-	(147,001)	-	-	(959,884)
Central bank financial statements						
5%	2,657,281	-	41,785	-	-	759,513
-5%	(5,177,394)	-	(181,497)	-	-	(1,304,174)
Loans granted to the private sector						
5%	(4,901,828)	-	(203,003)	-	-	(1,181,694)
-5%	199,176	-	(31,137)	-	-	110,144
Small and Medium Enterprises (SME)						
Cash						
5%	-	-	134	13,484	-	5,836
-5%	-	-	(139)	(13,759)	-	(5,950)
Consumer Price Index						
5%	-	-	4,785	556,418	-	245,187
-5%	-	-	(4,873)	(818,184)	-	(345,762)
Bank lending rate						
5%	-	-	2,936	299,532	-	130,950
-5%	-	-	(3,930)	(376,921)	-	(161,353)
Retail:						
M1 Cash						
5%	16	-	7,017	-	135,321	17,678
-5%	(4)	-	1,160	66	(48,167)	(9,422)
Producer Price Index						
5%	(3)	-	(2,988)	14	(53,219)	(7,223)
-5%	3	-	(2,403)	(19)	899	1,541

1. Credit exposures distributions

For the year ended December 31, 2022

Internal Rating for the Bank Performing exposures	Category Classification According to (47/2009)	Total Exposure Value	Expected Credit Loss	Probability of Default	Exposure when Default	Average Loss on Default
		JOD	JOD	%	JOD	%
1	Performing	457,559,068	430	(0%) - (8.4%)	444	53.0%
2	Performing	137,319,999	69,805	0%	77	44.7%
3	Performing	462,257,919	1,406,826	(0%) - (8.4%)	372	44.2%
4	Performing	609,853,636	3,729,983	(0%) - (82.7%)	505	45.5%
5	Performing	786,864,771	12,581,698	(0%) - (82.7%)	673	47.1%
6	Performing	578,812,233	12,891,435	(0%0) - (78.7%)	272	44.9%
7	Performing	352,876,992	35,658,253	(0%) - (82.7%)	290	43.7%
Unclassified	Performing	4,279,813,500	10,824,129	(0%) - (82.7%)	1,482	51.1%
Total		**7,665,358,118**	**77,162,559**		**4,117**	
Non-performing exposures						
8	Non - performing	92,881,573	60,590,315	100%	75	72.5%
Unclassified	Non - performing	62,535,122	40,171,295	100%	51	74.4%
Total		**155,416,695**	**100,761,610**		**126**	
Grand Total		**7,820,774,813**	**177,924,169**		**4,243**	

2. Credit risk according to economic sectors:

a. Total exposure distribution according to financial instruments:

	Financial	Industrial	Trading	Real Estate	Agriculture	Shares	Individuals	Government and Public	Other	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash at central banks	631,678,117	-	-	-	-	-	-	-	-	631,678,117
Balances at banks and financial institutions	207,342,608	-	-	-	-	-	-	-	-	207,342,608
Deposits at banks and financial institutions	14,013,824	-	-	-	-	-	-	-	-	14,013,824
Direct credit facilities and financing	30,390,998	377,938,473	518,674,862	1,005,785,590	80,942,458	236,964,452	586,541,897	599,215,519	554,664,532	3,991,118,781
Treasury, bills and Bonds and as follows:	106,328,310	19,968,430	29,628,777	-	-	-	-	1,162,089,617	8,506,303	1,326,521,437
Within: Financial assets at fair value through statement of profit and loss	105,388	-	-	-	-	-	-	649,405	-	754,793
Within: Financial assets at amortized cost	106,222,922	19,968,430	29,628,777	-	-	-	-	1,161,440,212	8,506,303	1,325,766,644
Other Assets	4,519,425	916,578	44,298,769	832,446	11,203,075	9,217	1,202,031	11,261,620	22,620,847	96,864,008
Total	**994,273,282**	**398,823,481**	**592,602,408**	**1,006,618,036**	**92,145,533**	**236,973,669**	**587,743,928**	**1,772,566,756**	**585,791,682**	**6,267,538,775**
Letter of guarantees	31,238,899	57,972,787	33,481,425	4,058,271	692,377	162,008	40,425,316	-	53,349,042	221,380,125
Letter of credit	13,100,124	50,517,620	107,086,296	-	2,510,562	3,442,377	85,183,861	-	16,924,280	278,765,120
Acceptances	898,600	22,931,000	77,459,964	286,071	3,046,655	-	49,608,670	-	53,854,543	208,085,503
Other Liabilities	62,556	115,362,497	73,374,329	3,418,473	2,887,608	2,087,966	152,492,267	-	301,048,689	650,734,385
Total 2022	**1,039,573,461**	**645,607,385**	**884,004,422**	**1,014,380,851**	**101,282,735**	**242,666,020**	**915,454,042**	**1,772,566,756**	**1,010,968,236**	**7,626,503,908**
Total 2021	**1,552,772,071**	**546,868,262**	**737,826,806**	**891,387,082**	**140,783,022**	**189,903,179**	**722,793,868**	**1,378,485,179**	**781,859,881**	**6,942,679,350**

b. Distribution of exposure according to staging (IFRS 9)

	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Financial	1,023,913,043	-	15,653,292	7,126	-	1,039,573,461
Industrial	576,636,280	5,184,231	54,696,072	2,584,129	6,506,673	645,607,385
Trading	762,066,303	15,823,938	92,560,482	7,822,848	5,730,851	884,004,422
Real Estates	407,466,120	439,263,595	128,102,732	28,161,564	11,386,840	1,014,380,851
Agriculture	34,322,009	960,194	65,306,397	376,898	317,237	101,282,735
Shares	17,352,028	202,191,149	19,830,300	2,624,085	668,458	242,666,020
Individual	749,445,598	138,584,294	19,717,265	4,251,208	3,455,677	915,454,042
Government and public sector	1,772,566,756	-	-	-	-	1,772,566,756
Other	851,460,657	5,345,297	137,331,855	6,587,814	10,242,613	1,010,968,236
Total 2022	**6,195,228,794**	**807,352,698**	**533,198,395**	**52,415,672**	**38,308,349**	**7,626,503,908**
Total 2021	**5,717,274,246**	**670,441,441**	**459,603,637**	**63,286,055**	**32,073,971**	**6,942,679,350**

3. Exposure according to geographical distribution

a. Total exposure distribution according to the geographical regions - net:

	Inside Jordan	Other Middle East Countries	Europe	Asia *	Africa	America	Other Countries	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at CBJ	631,678,117	-	-	-	-	-	-	631,678,117
Balances at banks and financial institutions	3,858,321	22,504,129	117,974,408	15,706,689	2,795,297	43,016,200	1,487,564	207,342,608
Deposits at banks and financial institutions	6,000,000	-	8,013,824	-	-	-	-	14,013,824
Direct credit facilities and financing	3,991,118,781	-	-	-	-	-	-	3,991,118,781
Treasury Bills and Bonds are as follows:	1,084,853,471	52,190,032	63,667,778	20,189,963	-	105,620,193	-	1,326,521,437
Within Financial assets at fair value through statement of profit and loss	-	35,143	-	-	-	719,650	-	754,793
Within Financial assets at amortized cost	1,084,853,471	52,154,889	63,667,778	20,189,963	-	104,900,543	-	1,325,766,644
Other Assets	96,864,008	-	-	-	-	-	-	96,864,008
Total	**5,814,372,698**	**74,694,161**	**189,656,010**	**35,896,652**	**2,795,297**	**148,636,393**	**1,487,564**	**6,267,538,775**
Letter of guarantees	220,296,285	1,083,840	-	-	-	-	-	221,380,125
Letter of credit	274,824,229	3,940,891	-	-	-	-	-	278,765,120
Acceptances	207,994,928	90,575	-	-	-	-	-	208,085,503
Other Liabilities	650,734,385	-	-	-	-	-	-	650,734,385
Total 2022	**7,168,222,525**	**79,809,467**	**189,656,010**	**35,896,652**	**2,795,297**	**148,636,393**	**1,487,564**	**7,626,503,908**
Total 2021	**6,243,017,388**	**237,984,562**	**266,995,031**	**48,380,745**	**-**	**144,968,584**	**1,333,040**	**6,942,679,350**

b. Exposure distribution according to staging (IFRS 9)

	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Inside Jordan	5,736,947,411	807,352,698	533,198,395	52,415,672	38,308,349	7,168,222,525
Other Middle East countries	79,809,467	-	-	-	-	79,809,467
Europe	189,656,010	-	-	-	-	189,656,010
Asia	35,896,652	-	-	-	-	35,896,652
Africa	2,795,297	-	-	-	-	2,795,297
America	148,636,393	-	-	-	-	148,636,393
Other Countries	1,487,564	-	-	-	-	1,487,564
Total 2022	**6,195,228,794**	**807,352,698**	**533,198,395**	**52,415,672**	**38,308,349**	**7,626,503,908**
Total 2021	**5,717,274,246**	**670,441,441**	**459,603,637**	**63,286,055**	**32,073,971**	**6,942,679,350**

* Except middle east countries

4. Credit exposures that have been reclassified

a. Total credit exposures that have been classified

December 31, 2022	Stage (2)		Stage (3)		Total Exposure that have been Reclassified	Percentage of Exposure that have been Reclassified
	Total Exposure Amount	have been Exposure that Reclassified	Amount Total Exposure	Exposure that have been Reclassified		
	JOD	JOD	JOD	JOD	JOD	%
Cash and balances at central banks	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-
Direct credit facilities and financing	532,530,424	109,660,453	153,168,123	46,363,837	156,024,290	3.73%
Treasury Bills and Bonds are as follows:	-	-	-	-	-	-
Within Financial assets at fair value through statement of profit and loss	-	-	-	-	-	-
Within Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-
Within Financial assets at amortized cost	-	-	-	-	-	-
Other Assets	-	-	-	-	-	-
Total	**532,530,424**	**109,660,453**	**153,168,123**	**46,363,837**	**156,024,290**	**3.73%**
Letter of guarantees	21,876,438	1,292,119	2,248,572	269,610	1,561,729	0.71%
Letter of credit	16,566,773	354,500	-	-	354,500	0.07%
Acceptances	22,594,188	-	-	-	-	0.00%
Other Liabilities	45,447,332	(19,393)	-	-	(19,393)	0.00%
Grand Total	**639,015,155**	**111,287,679**	**155,416,695**	**46,633,447**	**157,921,126**	**2.85%**

b. Expected credit loss for exposures that have been reclassified

December 31, 2022	Exposures that have been reclassified			Expected credit loss due to reclassified exposures				
	Exposure Reclassified from Stage (2)	Exposure Reclassified from Stage (3)	Total Exposures Reclassified	Stage (2) - Individual	Stage (2) - Collective	Stage (3) - Individual	Stage (3) - Collective	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-
Direct credit facilities and financing	109,660,453	46,363,837	156,024,290	699,299	(174,766)	4,108,734	(325,826)	4,307,441
Treasury Bills and Bonds are as follows:								
Within Financial assets at fair value through statement of profit and loss	-	-	-	-	-	-	-	-
Within Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-
Within Financial assets at amortized cost	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-
Total	**109,660,453**	**46,363,837**	**156,024,290**	**699,299**	**(174,766)**	**4,108,734**	**(325,826)**	**4,307,441**
Letter of guarantees	1,292,119	269,610	1,561,729	4,190	163	267	-	4,620
Letter of credit	354,500	-	354,500	333	-	-	-	333
Acceptances	-	-	-	-	-	-	-	-
Other Liabilities	(19,393)	-	(19,393)	(14,133)	-	-	-	(14,133)
Grand Total	**111,287,679**	**46,633,447**	**157,921,126**	**689,689**	**(174,603)**	**4,109,001**	**(325,826)**	**4,298,261**

5. Credit Risk Exposures (after provision for impairment, outstanding interest and returns, and before collateral and other risk mitigators

	December 31,	
	2022	2021
	JOD	JOD
Items inside Consolidated Financial Position		
Balances at central bank	631,678,117	809,253,935
Balances at banks and financial institutions	207,342,608	541,476,707
Deposits at banks and financial institutions	14,013,824	8,770,685
Direct Credit Facilities and Financing - Net:		
Individual	939,608,401	807,445,335
Real estate mortgages	1,005,785,590	882,751,545
Corporates:		
Large corporates	1,213,424,210	1,019,650,862
SME's	233,085,061	210,032,758
Government and Public Sector	599,215,519	431,243,828
Total	**3,991,118,781**	**3,351,124,328**
Treasury Bills and Bonds:		
Within financial assets at fair value through statement of profit and loss	754,793	1,656,155
Within financial assets at amortized cost	1,325,766,644	1,099,096,231
Other assets	96,864,008	61,203,073
Total Financial Position Items	**6,267,538,775**	**5,872,581,114**
Off- Consolidated Financial Position Items		
Letters of guarantees	221,380,125	205,793,586
Letters of credits	278,765,120	241,611,734
Acceptances	208,085,503	58,587,695
Unutilized limits of credit facilities and financing	650,734,385	564,105,221
Total Off-Consolidated Financial Position Items	**1,358,965,133**	**1,070,098,236**
Total On- and Off - Consolidated Financial Position Items	**7,626,503,908**	**6,942,679,350**

- The above table represents the Bank's maximum credit exposure as of December 31, 2022 and 2021 without taking into account collaterals or other credit risk mitigators.

6. Expected credit losses as of December 31, 2022

Description	Stage (1) - Individual	Stage (1) - Collective	Stage (2) - Individual	Stage (2) - Collective	Stage (3)	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	280,650	-	-	-	-	280,650
Deposits at bank and financial institutions	6,751	-	-	-	-	6,751
Direct credit facilities and financing	16,130,900	2,529,660	52,226,005	507,776	100,550,441	171,944,782
Debt instruments within portfolio of the financial assets at amortized costs	670,099	-	-	-	-	670,099
Letters of guarantees	360,763	-	169,336	-	211,169	741,268
Unutilized limits	3,518,047	-	435,951	-	-	3,953,998
Letters of credit	171,573	-	13,691	-	-	185,264
Acceptances	93,028	-	48,329	-	-	141,357

Expected Credit Losses as of December 31, 2021

Description	Stage (1) - Individual	Stage (1) - Collective	Stage (2) - Individual	Stage (2) - Collective	Stage (3)	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	560,112	-	-	-	-	560,112
Deposits at bank and financial institutions	1,251	-	-	-	-	1,251
Direct credit facilities and financing	16,142,002	1,208,679	37,818,316	1,944,421	84,427,580	141,540,998
Debt instruments within portfolio of the financial assets at amortized costs	648,639	-	-	-	250,000	898,639
Letters of guarantees	417,381	-	209,603	-	195,747	822,731
Unutilized limits	4,093,627	-	337,774	-	-	4,431,401
Letters of credit	251,901	-	29,248	-	-	281,149
Acceptances	55,129	-	24,774	-	-	79,903

Sectoral analysis

a. Bank activities information

For management purposes, the Bank is organized into the following major business segments based on the reports used by the general manager and decision of the Bank through the following main business sectors

- Individual accounts: This item includes following up on individual customer's deposits and granting them credit facilities, credit cards and other services.
- Small and Medium Enterprises Accounts: This item includes following up on the client's deposits and credit facilities. Moreover, these clients are classified based on the volume of the granted deposits and facilities according to the Bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Large Companies' Accounts: This item includes following up on the client's deposits and credit facilities. Moreover, these clients are classified based on the volume of the deposits and facilities according to the Bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Treasury: This item includes providing treasury and trading services and managing the Bank's funds and long- term investments at amortized costs, which are maintained to collect the contractual cash flows.
- Investments and Foreign Currencies Management: This item includes the Bank's local and foreign investments which are recorded at fair value, in addition to the foreign currencies trading / services.
- Others: This sector includes all the accounts not listed within the sectors mentioned above, such as shareholder's rights, investments in associates, property and equipment, general management, support management, and the treasury.
- The bank manages concentrations in the business sectors based on the instructions of the Central Bank in this regard, which stipulated that the customer concentration does not exceed 25% of the bank's regulatory capital.

The following table represents information on the Bank's business sectors:

	Individual	Corporates	SMEs	Treasury	Other	For the Year Ended December 31, 2022
Description	JOD	JOD	JOD	JOD	JOD	JOD
Total Income	156,775,952	103,212,893	20,053,063	82,239,122	1,932,014	364,213,044
(Provision) Impairment of direct credit facilities and financing	(3,445,525)	(24,486,380)	(6,824,628)	519,202	-	(34,237,331)
Segments' results*	76,305,026	34,018,103	6,275,055	74,490,738	1,689,891	192,778,813
Expenses not allocated to sectors						(121,052,877)
Operating profit						**71,725,936**
The bank's share of the profits of an associate company						8,496
Operating income before tax						71,734,432
Income tax						(27,934,009)
Income for the Year						**43,800,423**
Capital Expenditures						17,401,039
Depreciation and Amortization						15,563,353
						December 31, 2022
Other Information						
Segment Assets	1,668,927,865	1,902,263,737	269,367,762	2,539,186,365	-	6,379,745,729
Undistributed assets on segments	-	-	-	-	311,145,224	311,145,224
Total Assets	**1,668,927,865**	**1,902,263,737**	**269,367,762**	**2,539,186,365**	**311,145,224**	**6,690,890,953**
Segment Liabilities	3,470,918,417	1,380,080,384	565,515,000	543,682,326	-	5,960,196,127
Undistributed liabilities	-	-	-	-	170,658,176	170,658,176
Total Liabilities	**3,470,918,417**	**1,380,080,384**	**565,515,000**	**543,682,326**	**170,658,176**	**6,130,854,303**

Description	Individual	Corporates	SMEs	Treasury	Other	For the Year Ended December 31, 2021
	JOD	JOD	JOD	JOD	JOD	JOD
Total Income	115,855,784	104,494,584	16,982,695	62,822,876	990,011	301,145,950
(Provision) Impairment of direct credit facilities and financing	(6,232,137)	(20,255,387)	(1,692,790)	(711,949)	-	(28,892,263)
Segments' results*	51,090,055	49,307,058	9,685,989	56,253,726	346,647	166,683,475
Expenses not allocated to sectors						(101,500,514)
operating profit						65,182,961
The bank's share of the profits of an associate company						451
Operating income before tax						65,183,412
Income tax						(23,758,117)
Income for the Year						**41,425,295**
Capital Expenditures						12,741,236
Depreciation and Amortization						14,591,384
						2021
Other Information						
Segment Assets	1,431,220,998	1,519,708,663	246,332,056	2,429,407,498	-	5,626,669,215
Undistributed assets on segments	-	-	-	-	635,852,002	635,852,002
Total Assets	**1,431,220,998**	**1,519,708,663**	**246,332,056**	**2,429,407,498**	**635,852,002**	**6,262,521,217**
Segment Liabilities	3,418,643,911	1,185,997,011	536,926,803	448,681,479	-	5,590,249,204
Undistributed liabilities	-	-	-	-	142,804,496	142,804,496
Total Liabilities	**3,418,643,911**	**1,185,997,011**	**536,926,803**	**448,681,479**	**142,804,496**	**5,733,053,700**

* The segment results item includes the results obtained for each business sector, which represents the total income after deducting the expected credit losses expense.

b. Geographical distribution information

This note represents the geographical distribution of the Bank's business. The Bank mainly operates in the Kingdom, which represents local business

The following is the distribution of the Bank's revenues, assets and capital expenditures by geographical sector:

	Inside Jordan		Outside Jordan		Total	Total
	2022	2021	2022	2021	2022	2021
	JOD	JOD	JOD	JOD	JOD	JOD
Total Income	355,505,970	292,660,505	8,707,074	8,485,445	364,213,044	301,145,950
Capital Expenditure	14,188,696	6,328,305	3,212,343	6,412,931	17,401,039	12,741,236

	Inside Jordan		Outside Jordan		Total	Total
	December 31,		December 31,		December 31,	December 31,
	2022	2021	2022	2021	2022	2021
	JOD	JOD	JOD	JOD	JOD	JOD
Total Assets	6,237,724,876	5,580,465,714	453,166,077	682,055,503	6,690,890,953	6,262,521,217

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
December 31, 2022										
Cash and balances at central banks	631,678,117	-	-	-	-	-	-	-	631,678,117	-
Balances at banks and financial institutions	207,623,258	-	-	-	-	-	-	-	207,623,258	280,650
Deposits at banks and financial institutions	14,020,575	-	-	-	-	-	3,000,000	3,000,000	11,020,575	6,751
Credit and Financing Facilities:										
Individual	978,779,798	33,057,162	725,589	-	26,195,830	210,622,656	-	270,601,237	708,178,561	33,601,233
Real estate mortgages	1,020,109,367	6,046,867	267,101	-	848,053,416	20,144,863	1,498,424	876,010,671	144,098,696	11,614,714
Large corporates	1,329,014,820	23,080,848	6,414,255	240,300	234,276,252	13,222,463	110,794,636	388,028,754	940,986,066	110,154,001
SME's	252,290,795	12,090,030	275,986	-	81,109,834	3,301,593	94,389,167	191,166,610	61,124,185	16,574,834
Government and Public Sector	599,215,519	-	-	-	-	-	-	-	599,215,519	-
Treasury Bills and Bonds are as follows:										
Within Financial assets at fair value through statement of profit and loss	754,793	-	-	-	-	-	-	-	754,793	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	1,326,436,743	-	-	-	-	-	-	-	1,326,436,743	670,099
Other assets	96,864,008	-	-	-	-	-	-	-	96,864,008	-
Total	6,456,787,793	74,274,907	7,682,931	240,300	1,189,635,332	247,291,575	209,682,227	1,728,807,272	4,727,980,521	172,902,282
Financial guarantees	222,121,393	29,731,065	26,895	-	12,379,986	147,289	7,853,014	50,138,249	171,983,144	741,268
Letter of credit	278,950,384	50,710,768	-	726,699	16,807,143	-	560,568	68,805,178	210,145,206	185,264
Acceptances	208,226,860	9,622,544	-	-	-	-	581,371	10,203,915	198,022,945	141,357
Other liabilities	654,688,383	-	-	-	5,843,342	-	-	5,843,342	648,845,041	3,953,998
Grand Total	**7,820,774,813**	**164,339,284**	**7,709,826**	**966,999**	**1,224,665,803**	**247,438,864**	**218,677,180**	**1,863,797,956**	**5,956,976,857**	**177,924,169**

- The bank maintains collateral or other credit enhancements to mitigate credit risk associated with financial assets. The Group maintains financial instruments amounting to JOD 1,691,700,946 as of December 31, 2022 (compared to JOD 2,098,058,128 as of December 31, 2021) with a loss allowance for it due to guarantees at the end of the reporting period.
- The estimated value of collateral, which is not recognized, held at the end of the reporting period is JOD 1,924,606,541 as of December 31, 2022 (compared to JOD 1,135,362,349 as of December 31, 2021. The value of collateral is not considered except to the extent that mitigates credit risk. There was no change in the bank's collateral policy during the current year. The following are the main types of collateral and associated asset types.

Financial Assets	Related collaterals
Real estate loans	Real estate guarantees, advance trusts and personal guarantees
Personal loans	The portfolio consists of personal loans and credit cards and is linked to guarantees such as salary transfer, personal guarantees, cash insurance, cars
Corporate Loans	Real estate, equity shares, cash guarantees, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies, cars and machinery
SME's	Real estate, equity shares, cash guarantees, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies, cars and machinery
Government and public sector	-
Deposits with banks and banking institutions	Margin accounts
guarantees	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies
Documentary credits and acceptances	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies
Other Liabilities	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
December 31, 2021										
Cash and balances at central banks	809,253,935	-	-	-	-	-	-	-	809,253,935	-
Balances at banks and financial institutions	542,036,819	-	-	-	-	-	-	-	542,036,819	560,112
Deposits at banks and financial institutions	8,771,936	-	-	-	-	-	3,000,000	3,000,000	5,771,936	1,251
Credit and Financing Facilities:	-	-	-	-	-	-	-	-	-	-
Individual	841,027,872	31,101,059	1,433,010	-	21,520,004	185,508,661	90,957	239,653,691	601,374,181	29,479,940
Real estate mortgages	897,926,656	17,234,999	241,800	-	698,019,847	33,070,566	409,230	748,976,442	148,950,214	12,703,958
Large corporates	1,112,870,717	26,927,573	14,605,335	-	228,995,981	12,036,746	74,750,481	357,316,116	755,554,602	85,512,145
SME's	226,516,619	16,018,486	1,027,949	435,663	64,869,309	7,163,839	71,141,559	160,656,805	65,859,814	13,844,955
Government and Public Sector	431,243,828	-	-	-	-	-	-	-	431,243,828	-
Treasury Bills and Bonds are as follows:										
Within Financial assets at fair value through statement of profit and loss	1,656,155	-	-	-	-	-	-	-	1,656,155	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	1,099,994,870	-	-	-	-	-	-	-	1,099,994,870	898,639
Other assets	61,203,073	-	-	-	-	-	-	-	61,203,073	-
Total	6,032,502,480	91,282,117	17,308,094	435,663	1,013,405,141	237,779,812	149,392,227	1,509,603,053	4,522,899,427	143,001,000
Financial guarantees	206,616,317	31,817,968	78,810	280,000	19,637,441	128,889	6,257,339	58,200,447	148,415,870	822,731
Letter of credit	241,892,883	39,785,261	-	-	3,626,088	-	9,956,244	53,367,593	188,525,290	281,149
Acceptances	58,667,598	1,589,941	-	-	-	-	-	1,589,941	57,077,657	79,903
Other liabilities	568,536,622	-	-	-	636,000	-	-	636,000	567,900,622	4,431,401
Grand Total	**7,108,215,900**	**164,475,287**	**17,386,904**	**715,663**	**1,037,304,670**	**237,908,701**	**165,605,810**	**1,623,397,034**	**5,484,818,866**	**148,616,184**

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Machinery	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
December 31, 2022										
Cash and balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct credit facilities and financing	-	-	-	-	-	-	-	-	-	-
Individual	37,290,889	2,609	-	-	1,818,305	7,558,874	236,170	9,615,958	27,674,931	28,191,923
Real estate mortgages	22,840,981	-	-	-	9,698,940	-	110,000	9,808,940	13,032,041	7,384,493
Large corporates	68,380,678	154,680	-	-	13,818,033	2,867,237	9,006,056	25,846,006	42,534,672	51,425,392
SME's	24,655,575	646,097	-	-	8,097,153	731,287	4,524,004	13,998,541	10,657,034	13,548,633
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:										
Within financial assets at fair value through statement profit of and loss	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	-	-	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-	-	-
Total	**153,168,123**	**803,386**	**-**	**-**	**33,432,431**	**11,157,398**	**13,876,230**	**59,269,445**	**93,898,678**	**100,550,441**
Letter of guarantees	2,248,572	395,834	-	-	791,121	-	352,184	1,539,139	709,433	211,169
Letters of credit	-	-	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	**155,416,695**	**1,199,220**	**-**	**-**	**34,223,552**	**11,157,398**	**14,228,414**	**60,808,584**	**94,608,111**	**100,761,610**

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Machinery	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
December 31, 2021										
Cash and balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct credit facilities and financing										
Individual	30,522,499	3,802	-	-	2,205,283	6,910,878	46,944	9,166,907	21,355,592	22,472,623
Real estate mortgages	16,894,804	-	-	-	12,571,198	-	110,000	12,681,198	4,213,606	5,958,515
Large corporates	62,386,168	31,297	-	-	13,079,790	2,607,550	5,472,224	21,190,861	41,195,307	45,846,859
SME's	21,116,063	544,586	-	-	6,711,486	904,101	5,148,874	13,309,047	7,807,016	10,149,583
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:										
Within financial assets at fair value through statement profit of and loss	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	250,000	-	-	-	-	-	-	-	250,000	250,000
Other assets	-	-	-	-	-	-	-	-	-	-
Total	131,169,534	579,685	-	-	34,567,757	10,422,529	10,778,042	56,348,013	74,821,521	84,677,580
Letter of guarantees	2,698,130	304,103	-	-	75,000	-	87,840	466,943	2,231,187	195,747
Letters of credit	-	-	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	**133,867,664**	**883,788**	**-**	**-**	**34,642,757**	**10,422,529**	**10,865,882**	**56,814,956**	**77,052,708**	**84,873,327**

B. Market risks

Market risks are defined as those risks resulting from price fluctuations in a way that affects the Group's profit or owners' equity. This definition includes the change in the currencies exchange rates, stocks prices, and interest rates.

The Group uses a conservative policy to manage market risk. Moreover, these risks are controlled through the adoption of clear policies in this regard and establishing risk limits for each risk type. Our policy aims to reduce minimise these risks.

1. Interest rate risks

A conservative policy is adopted to manage interest rate risks, whereby most of the Bank's assets and liabilities are re-priced in the short term. This limits the effect of interest rate fluctuations on the Bank's profitability and the price of its assets and investments.

Interest rate risks are managed by the assets and liabilities committee in which they are provided with regular gap reports on interest rates re-pricing, in addition to sensitivity reports related to interest rate price changes per currency. These reports show that interest rate risks are within the lowest range.

December 31, 2022		Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
Currency	Increase in Interest Rate	JOD	JOD
Jordanian Dinar	1%	8,946	8,946
US Dollar	1%	1,739	1,739
Euro	1%	226	226
GBP	1%	40	40
Japanese Yen	1%	293	293
Other Currencies	1%	1	1

December 31, 2021		Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
Currency	Increase in Interest Rate	JOD	JOD
Jordanian Dinar	1%	7,132	7,132
US Dollar	1%	3,285	3,285
Euro	1%	456	456
GBP	1%	44	44
Japanese Yen	1%	377	377
Other Currencies	1%	(183)	(183)

In case of a negative change in the interest rate, then the effect will be the same as the change in the above-mentioned table with an opposite sign.

2. Currency risks

The Group's policy is to fully hedge the currency risk by limiting open positions in foreign currencies only within the limits set and according to a clear policy which reduces the sensitivity of the Group's profitability to currency price changes. limits are placed for open positions for each currency and total currencies, and daily evaluations of these positions are made to reduce the risks of currency exchange rates to the minimum.

Currency	change in Currency Exchange Rate	Effect on Profits and Losses	Effect on Equity
For the Year 2022		JOD	JOD
US Dollar	1%	51,456	61,361
Euro	1%	(550,198)	-
GBP	1%	(34,637)	-
Japanese Yen	1%	(7,166)	-
Other Currencies	1%	145,422	-
For the Year 2021			
US Dollar	1%	436,072	33,560
Euro	1%	(107,846)	-
GBP	1%	23,465	-
Japanese Yen	1%	(463)	-
Other Currencies	1%	(21,530)	-

In case of a 1% decrease in the currency exchange rate, the effect will be the same as the financial effect mentioned in the tables above with an opposite sign.

3. Change in stock price risks

Trading portfolio risk management depends on a policy that is based on diversification of investments, where investments are distributed on a sectoral basis, within the most stable sectors, and across several financial markets to reduce risks to acceptable levels. Regular monitoring of risks is also conducted through:

- Determining the different investments limits
- Determining limits to stop losses per investment coupled with daily monitoring
- Regularly assessing the investment portfolio by an independent body (intermediary office)
- Performing sensitivity analysis to measure the extent to which these investments may be impacted in case the markets invested in drop, so as to maintain risks within levels acceptable to the Bank. These risks are managed by the Risks Management Department in cooperation with the Treasury Department.

Moreover, their recommendations are submitted to the Assets and Liabilities Management Committee.

Market	Change in Market Index	Effect on profits and losses	Effect on Equity
For the Year 2022:		JOD	JOD
Amman Stock Exchange	5%	240,679	501,594
Al-Quds Stock Exchange (Palestine)	5%	-	1,056,828
Foreign market	5%	-	-
NEW YORK STOCK EXCHANGE	5%	-	-
Borsa Italiana	5%	-	-
Swiss Market index (SMI)	5%	-	-
For the Year 2021:			
Amman Stock Exchange	5%	160,296	401,734
Al-Quds Stock Exchange (Palestine)	5%	-	791,422
Foreign market	5%	3,491	-
NEW YORK STOCK EXCHANGE	5%	-	-
Borsa Italiana	5%	-	-
Swiss Market index (SMI)	5%	-	-

c. Liquidity risks

The Bank continuously expands its depositors' base and diversifies the sources of its funds with the aim of maintaining its stability. In this respect, the Bank maintains its liquidity level within risk appetite limits.

Bank's liquidity risk management policy ensures that the bank maintains liquidity limits at the corresponding banks to ensure easy access to high quality liquid assets and can be liquidated at reasonable cost and time in case of an unexpected demand.

To measure the Bank's liquidity levels, a schedule is prepared periodically to verify that liquidity is within the acceptable levels. In addition, the Legal liquidity ratio is calculated on daily basis to ensure compliance with the regulatory requirements and internal policies. Various stress scenarios' identified and measured to ensure the Bank's ability to withstand any changes that might take place in the financial markets.

The Treasury Department manages funds in line with the Bank's liquidity policy endorsed by the Assets and Liabilities Management Committee and submits regular reports to the Committee. Moreover, the Risk Management Department monitors the liquidity levels and ensures adherence to the Bank's internal policies.

(44/c) Liquidity risks:

First: The table below summarizes the distribution of (undiscounted) liabilities based on the remaining contractual maturity period on the date of the financial statements

As of December 31, 2022:	Less than a Month	1-3 Months	3-6 Months	6 months-1 year	1-3 Years	More than 3 Years	Maturity	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Liabilities:								
Banks and financial institution deposits	169,524,848	80,081,275	8,504,526	16,107,000	17,500,000	-	47,170,934	338,888,583
Customers' deposits	1,636,419,263	1,052,689,460	865,247,398	1,201,388,545	439,321,423	10,797,540	-	5,205,863,629
Margin accounts	48,041,468	15,118,553	19,589,213	26,692,567	33,115,132	121,355,657	-	263,912,590
Borrowed Funds	59,830	254,995	283,224	11,422,208	54,170,659	69,245,648	-	135,436,564
Subordinated loans	-	-	-	-	-	60,004,459	-	60,004,459
Sundry provisions	-	-	-	-	-	-	631,897	631,897
Income tax provisions	-	-	-	-	-	-	28,930,915	28,930,915
Leasing liabilities	479,557	290,021	958,285	1,281,240	7,726,708	25,126,199	-	35,862,010
Deferred tax liability	-	-	-	-	-	-	844,854	844,854
Other liabilities	-	-	-	-	-	-	101,380,499	101,380,499
Total	**1,854,524,966**	**1,148,434,304**	**894,582,646**	**1,256,891,560**	**551,833,922**	**286,529,503**	**178,959,099**	**6,171,756,000**
Total assets (according to expected maturities)	**1,164,212,544**	**379,432,962**	**427,001,284**	**569,224,842**	**1,268,653,192**	**2,559,387,016**	**326,489,678**	**6,694,401,518**
As of December 31, 2021:								
Liabilities:								
Banks and financial institution deposits	211,915,575	41,515,535	1,000,000	6,688,083	11,500,000	-	44,781,806	317,400,999
Customers' deposits	1,583,763,249	975,745,378	753,947,543	1,195,113,270	433,228,713	-	-	4,941,798,153
Margin accounts	61,217,531	14,883,124	18,750,240	19,805,937	29,083,854	106,499,260	-	250,239,946
Borrowed Funds	331,192	312,432	597,135	10,325,064	56,726,629	42,542,679	-	110,835,131
Subordinated loans	-	-	-	-	-	25,337,955	-	25,337,955
Sundry provisions	-	-	-	-	-	-	858,903	858,903
Income tax provisions	-	-	-	-	-	-	21,931,794	21,931,794
Leasing liabilities	593,959	304,148	707,965	1,204,908	7,585,434	22,403,893	-	32,800,307
Deferred tax liability	-	-	-	-	-	-	161,769	161,769
Other liabilities	-	-	-	-	-	-	80,883,165	80,883,165
Total	**1,857,821,506**	**1,032,760,617**	**775,002,883**	**1,233,137,262**	**538,124,630**	**196,783,787**	**148,617,437**	**5,782,248,122**
Total assets (according to expected maturities)	**1,636,530,838**	**366,828,245**	**275,200,847**	**395,210,225**	**1,122,228,756**	**2,166,386,007**	**300,136,299**	**6,262,521,217**

Interest Rate Re-Pricing Gap:

Classification is based on interest re-pricing or maturing, whichever is closer.

Interests rates sensitivity is as follows:

As of December 31, 2022	Less than 1 Month	From 1 Month to 3 Months	More than 3 Months to 6 Months	More than 6 Months to 1 Year	From 1-3 Years	More than 3 Years	Non-interest Bearing	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Assets:								
Balances at central banks	303,200,000	-	-	-	-	-	458,606,411	761,806,411
Balances at banks and financial institutions	147,765,158	18,395,607	-	-	-	-	41,181,843	207,342,608
Deposits at banks and financial institutions	-	-	2,127,000	8,127,000	3,766,575	-	(6,751)	14,013,824
Financial assets at fair value through statement of profit and loss	-	-	-	-	-	754,793	17,669,103	18,423,896
Direct credit facilities and financing - net	74,845,403	122,865,027	2,175,958,549	195,967,494	593,509,796	863,095,906	(35,123,394)	3,991,118,781
Financial assets at fair value through statement other comprehensive income	-	-	-	-	-	-	61,301,069	61,301,069
Financial assets at amortized cost	5,170,801	47,896,760	90,249,026	201,976,780	358,055,579	623,087,797	(670,099)	1,325,766,644
Investments in associates	-	-	-	-	-	-	345,954	345,954
Right of use assets	-	-	-	-	-	-	29,461,656	29,461,656
Property and equipment	-	-	-	-	-	-	68,516,377	68,516,377
Intangible assets	-	-	-	-	-	-	26,893,693	26,893,693
Deferred tax assets	-	-	-	-	-	-	32,820,280	32,820,280
Other assets	4,470,202	10,571,616	6,951,890	2,315,507	125,601	-	128,644,944	153,079,760
Total Assets	**535,451,564**	**199,729,010**	**2,275,286,465**	**408,386,781**	**955,457,551**	**1,486,938,496**	**829,641,086**	**6,690,890,953**
Liabilities								
Banks and financial institution deposits	110,761,160	79,630,984	8,504,526	16,000,000	17,500,000	-	105,453,470	337,850,140
Customers' deposits	1,535,437,620	789,258,599	656,439,018	1,000,491,066	98,380,233	10,797,540	1,095,540,368	5,186,344,444
Margin accounts	125,674,439	927,566	753,548	11,349,204	-	-	118,663,270	257,368,027
Borrowed Funds	55,978	45,116	88,825	4,090,932	34,096,815	51,657,840	51,672,440	141,707,946
Subordinated Loans	-	-	-	-	-	46,115,000	-	46,115,000
Sundry provisions	-	-	-	-	-	-	631,897	631,897
Income tax provision	-	-	-	-	-	-	28,930,915	28,930,915
Leasing liabilities	-	-	-	-	-	-	29,680,581	29,680,581
Deferred tax liability	-	-	-	-	-	-	844,854	844,854
Other liabilities	-	-	-	-	-	-	101,380,499	101,380,499
Total Liabilities	**1,771,929,197**	**869,862,265**	**665,785,917**	**1,031,931,202**	**149,977,048**	**108,570,380**	**1,532,798,294**	**6,130,854,303**
Interest Rate Re- Pricing Gap	**(1,236,477,633)**	**(670,133,255)**	**1,609,500,548**	**(623,544,421)**	**805,480,503**	**1,378,368,116**	**(703,157,208)**	**560,036,650**
As of December 31, 2021								
Total Assets	**824,171,296**	**231,176,235**	**1,941,981,158**	**257,219,034**	**834,597,068**	**1,226,067,603**	**947,308,823**	**6,262,521,217**
Total Liabilities	**1,698,334,432**	**761,624,544**	**544,912,437**	**1,037,479,425**	**140,278,557**	**50,183,018**	**1,500,241,287**	**5,733,053,700**
Interest Rate Re- Pricing Gap	**(874,163,136)**	**(530,448,309)**	**1,397,068,721**	**(780,260,391)**	**694,318,511**	**1,175,884,585**	**(552,932,464)**	**529,467,517**

Concentration in currency risk:

As of December 31, 2022	USD	EUR	GBP	JPY	Other	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Assets						
Cash and balances at central Bank of Jordan	113,934,240	5,852,938	2,255,346	-	19,440,963	141,483,487
Balances at banks and financial institutions	110,765,072	42,231,661	8,202,998	8,392,202	25,021,901	194,613,834
Deposits at banks and financial institutions	-	3,766,575	4,254,000	-	-	8,020,575
Financial assets at fair value through statement of profit and loss	8,919,285	4,691,035	-	-	-	13,610,320
Direct credit and financing facilities- net	440,303,421	4,822	106,049	35,995,465	1,135,299	477,545,056
Financial assets at fair value through other comprehensive income	30,704,853	-	-	-	-	30,704,853
Financial assets at amortized cost	362,584,625	50,344,934	5,247,501	-	484,141	418,661,201
Convertible Loans	177,250	-	-	-	-	177,250
Other assets	59,489,762	(1,025,718)	67,196	5,869	21,104	58,558,213
Total Assets	**1,126,878,508**	**105,866,247**	**20,133,090**	**44,393,536**	**46,103,408**	**1,343,374,789**
Liabilities						
Banks and financial institution deposits	99,812,095	52,185,473	1,775,068	43,235,605	5,242,611	202,250,852
Customers' deposits	960,367,364	96,371,452	21,602,657	1,633,939	24,329,646	1,104,305,058
Cash margin	56,442,935	10,856,732	171,205	194,335	1,948,953	69,614,160
Borrowed amounts	35,450	-	-	-	-	35,450
Other liabilities	5,075,033	1,472,424	47,867	46,238	39,971	6,681,533
Total Liabilities	**1,121,732,877**	**160,886,081**	**23,596,797**	**45,110,117**	**31,561,181**	**1,382,887,053**
Net concentration in the Consolidated Statement of Financial Position	**5,145,631**	**(55,019,834)**	**(3,463,707)**	**(716,581)**	**14,542,227**	**(39,512,264)**
Contingent Liabilities Off - Consolidated Statement of Financial Position	**835,849,531**	**145,680,864**	**5,741,714**	**38,452,163**	**32,731,638**	**1,058,455,910**
As of December 31, 2021						
Total Assets	**1,168,072,252**	**125,233,317**	**19,654,162**	**47,065,897**	**34,045,998**	**1,394,071,626**
Total Liabilities	**1,124,465,024**	**136,017,925**	**17,307,696**	**47,112,147**	**36,198,987**	**1,361,101,779**
Net concentration in the Consolidated Statement of Financial Position	**43,607,228**	**(10,784,608)**	**2,346,466**	**(46,250)**	**(2,152,989)**	**32,969,847**
Contingent Liabilities Off - Consolidated Statement of Financial Position	**514,731,301**	**60,859,503**	**2,743,161**	**8,809,194**	**31,786,820**	**618,929,979**

Secondly: Off- Consolidated of Financial Position Items:

As of December 31, 2022	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JOD	JOD	JOD	JOD
Letters of credit	312,427,041	14,465,911	-	326,892,952
Acceptances	208,226,860	-	-	208,226,860
Unutilized limits	654,688,383	-	-	654,688,383
Letters of guarantees	208,157,519	13,780,669	183,205	222,121,393
Total	**1,383,499,803**	**28,246,580**	**183,205**	**1,411,929,588**

As of December 31, 2021	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JOD	JOD	JOD	JOD
Letters of credit	275,356,989	5,183,934	73,396	280,614,319
Acceptances	58,667,598	-	-	58,667,598
Unutilized limits	568,536,622	-	-	568,536,622
Letters of guarantees	193,273,171	13,282,341	60,805	206,616,317
Total	**1,095,834,380**	**18,466,275**	**134,201**	**1,114,434,856**

45. Capital management

a. The capital adequacy ratio was calculated as of December 31, 2022 and 2021 based on the decisions of the Basel III Committee, where the bank's regulatory capital consists of the basic capital of ordinary shares (CET1), the additional capital and the second tranche of Tier 2.

b. The requirements of the regulatory authorities regarding the capital of ordinary shares

The instructions of the Central Bank of Jordan require that the minimum regulatory capital be equivalent to (12.5%) of the assets and off-balance sheet items weighted with risks, as well as market risks and operational risks. This ratio is considered the minimum level of capital adequacy, as the bank is committed at all times to maintaining an adequacy ratio that exceed the minimum by an appropriate margin and also in accordance with the requirements of the Basel III Committee.

c. How to achieve the objectives of capital management

Capital management is represented in the optimal use of sources of funds in order to achieve the highest possible return on capital and within the system of acceptable risk limits approved by the Board of Directors, while maintaining the minimum required according to laws and regulations. The bank follows a policy based on striving to reduce the cost of Fund to the minimum possible by finding low-cost sources of funds and working to increase the customer base and optimal employment of these sources in acceptable risk investments to achieve the highest possible return on capital.

d. Capital Adequacy

In addition to subscribed capital, capital includes the statutory reserve, voluntary reserve, share premium, retained earnings, cumulative change in fair value , general banking risk reserve and treasury stocks.

The Bank is committed to applying the requirements set forth by regulators concerning capital, as follows:

1. The Central Bank of Jordan's instructions that capital adequacy ratio should not go below 12.5%.
2. Compliance with the minimum limit set for the paid capital of Jordanian Banks, which is JOD 100 million.
3. The Bank's investments in stocks and shares should not exceed 50% of subscribed capital.
4. The ratio of credit limits (credit concentration) to regulatory capital.
5. Banks and Companies' laws related to the deduction of the legal reserve at a rate of 10% of the Bank's profit before tax.

	December 31,	
	2022	2021
	JOD	JOD
Common Equity Shareholders Rights		
Authorized and paid-up capital	160,000,000	160,000,000
Retained earnings after deduction of the expected distributions	62,930,524	55,721,054
The cumulative change in fair value	6,482,816	1,741,270
Share premium	80,213,173	80,213,173
Statuary reserve	76,227,974	68,169,340
Voluntary reserve	51,192,173	46,167,117
Recognizable non controlling shareholders	52,695,298	44,971,234
Total Equity capital for common stock	489,741,958	456,983,188
Regulatory Adjustments (deductions from Capital)		
Goodwill and intangible assets	(26,893,693)	(27,451,684)
(10%) Deferred tax assets resulting from investments within Tier 1	(32,820,280)	(27,747,673)
Net Equity of common stockholders	430,027,985	401,783,831
Additional capital		
Recognizable minority rights	9,508,557	7,936,100
Total Capital (Tier 1 capital)	439,536,542	409,719,931
Tier 2 Capital		
Provision for debts tools listed in Tier 1	16,918,596	16,856,320
Recognizable non-controlling shareholders	12,440,771	10,581,467
Financial tools issued by the Bank that bear supporting capital	41,855,000	21,300,000
Total Supporting Capital	71,214,367	48,737,787
Total Regulatory Capital	510,750,909	458,457,718
Total Risk Weighted Assets	**3,703,440,657**	**3,163,350,502**
Capital Adequacy Ratio	**13.79%**	**14.49%**
Primary Capital Ratio	**11.61%**	**12.70%**
Supporting Capital Ratio	**1.92%**	**1.54%**

	2022	2021
	JOD	JOD
Financial leverage rate		
Tier 1 Capital	439,536,543	409,719,931
Total assets in and out of the financial positions after removing deductible items from Tier 1	7,540,758,028	6,779,248,072
Financial leverage rate	5.83%	6.05%

Capital adequacy was calculated as of December 31, 2022 and December 31, 2021 based on the instruction of Basel Committee III.

Liquidity Coverage Ratio (LCR):	December 31,	
	2022	2021
	JOD	JOD
Total high quality liquid assets	1,558,144,018	1,641,503,678
Total high-quality liquid assets after deduction and minus cap adjustments For both Level 2 (A) and (B) assets	1,537,265,604	1,621,038,339
Net cash outflow	800,257,317	852,210,704
Liquidity Coverage Ratio (LCR)	192.10%	190.20%
The liquidity coverage ratio is according to the average end of each month	189.23%	182.77%

46. Analysis of the Maturities of Assets and Liabilities

The following table illustrates the assets and liabilities according to the expected maturity periods:

December 31, 2022	Up to 1 Year	Over 1 Year	Total
	JOD	JOD	JOD
Assets:			
Cash and balances at CBJ	761,806,411	-	761,806,411
Balances at banks and financial institutions	207,342,608	-	207,342,608
Deposits at banks and financial institutions	14,013,824	-	14,013,824
Direct credit facilities and financing - net	1,133,148,196	2,857,970,585	3,991,118,781
Financial assets at fair value through statement of profit or loss	18,423,896	-	18,423,896
Financial assets at fair value through statement of other comprehensive income	-	61,301,069	61,301,069
Financial assets at amortized cost	345,293,367	980,473,277	1,325,766,644
Right of use assets	2,589,168	26,872,488	29,461,656
Investments in associates	345,954	-	345,954
Property and equipment	-	68,516,377	68,516,377
Intangible assets	-	26,893,693	26,893,693
Deferred tax assets	32,820,280	-	32,820,280
Other assets	153,042,786	36,974	153,079,760
Total Assets	**2,668,826,490**	**4,022,064,463**	**6,690,890,953**
Liabilities:			
Banks and financial institutions deposits	337,850,140	-	337,850,140
Customers' deposits	5,108,073,520	78,270,924	5,186,344,444
Margin accounts	102,702,183	154,665,844	257,368,027
Borrowed funds	3,178,347	138,529,599	141,707,946
Subordinated loan	-	46,115,000	46,115,000
Sundry provisions	631,897	-	631,897
Income tax provision	28,930,915	-	28,930,915
Leasing liabilities	2,272,581	27,408,000	29,680,581
Deferred tax liability	844,854	-	844,854
Other liabilities	98,836,947	2,543,552	101,380,499
Total Liabilities	**5,683,321,384**	**447,532,919**	**6,130,854,303**
Net	**(3,014,494,894)**	**3,574,531,544**	**560,036,650**

December 31, 2021	Up to 1 Year	Over 1 Year	Total
	JOD	JOD	JOD
Assets:			
Cash and balances at CBJ	934,430,468	-	934,430,468
Balances at banks and financial institutions	541,476,707	-	541,476,707
Deposits at banks and financial institutions	8,770,685	-	8,770,685
Direct credit facilities and financing - net	939,276,775	2,411,847,553	3,351,124,328
Financial assets at fair value through statement of profit or loss	18,296,366	-	18,296,366
Financial assets at fair value through statement of other comprehensive income	-	44,159,121	44,159,121
Financial assets at amortized cost	201,741,802	897,354,429	1,099,096,231
Right of use assets	2,547,802	25,008,187	27,555,989
Investments in associates	343,709	-	343,709
Property and equipment	-	66,425,046	66,425,046
Intangible assets	-	27,451,684	27,451,684
Deferred tax assets	27,747,673	-	27,747,673
Other assets	115,616,617	26,593	115,643,210
Total Assets	**2,790,248,604**	**3,472,272,613**	**6,262,521,217**
Liabilities:			
Banks and financial institutions deposits	316,782,838	-	316,782,838
Customers' deposits	4,833,328,646	77,045,456	4,910,374,102
Margin accounts	102,684,334	142,143,452	244,827,786
Borrowed funds	3,178,979	105,387,552	108,566,531
Subordinated loan	-	21,300,000	21,300,000
Sundry provisions	858,903	-	858,903
Income tax provision	21,931,794	-	21,931,794
Leasing liabilities	2,133,757	25,233,055	27,366,812
Deferred tax liability	161,769	-	161,769
Other liabilities	78,339,613	2,543,552	80,883,165
Total Liabilities	**5,359,400,633**	**373,653,067**	**5,733,053,700**
Net	**(2,569,152,029)**	**3,098,619,546**	**529,467,517**

47. Contingent liabilities and commitments

a. Credit liabilities and commitments

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Letters of credit	326,892,952	280,614,319
Acceptances	208,226,860	58,667,598
Letters of guarantees:		
Payments	69,272,424	57,290,790
Performance	93,575,650	78,362,876
Other	59,273,319	70,962,651
Futures currency contracts	193,778,988	52,977,887
Unutilized Limits of Credit Facilities and Financing Limits	654,688,383	568,536,622
Total	**1,605,708,576**	**1,167,412,743**

b. Contractual obligations

The details of this item are as follows:

	December 31,	
	2022	2021
	JOD	JOD
Property and equipment purchase contracts	1,848,382	1,038,000
Intangible assets purchase contracts	1,257,753	4,997,683

48. Lawsuits against the bank

The total cases filed against the Group amounted to JOD 3,728,619 as of December 31, 2022 in addition to other customs cases (JOD 1,902,950 as of December 31, 2021), and the provisions prepared for them amounted to JOD 452,175 as of December 31, 2022 (JOD 677,424 as of December 31, 2021) and according to the estimation of the bank management and the consultant, it is legal that the allocations deducted for these cases are sufficient.

49. Fair value hierarchy

a. The fair value of financial assets and financial liabilities of the Bank specified at fair value on an ongoing basis:

Some financial assets and liabilities of the Bank are evaluated at fair value at the end of each financial period. The following table shows the information about how to determine the fair value of these financial assets and liabilities (evaluation methods and inputs used):

Financial Assets	Fair Value, December 31		The Level of Fair Value	Evaluation Method and Inputs used	Important Intangible Inputs	Relation between the Fair Value and the Important Intangible Inputs
	2022	2021				
	JOD	JOD				
Financial Assets at Fair Value						
Financial Assets at Fair Value through statement of Profit or Loss:						
Government bonds listed on financial markets	649,405	143,948	Level 1	Quoted prices in financial markets	N/A	N/A
Companies bonds listed on financial markets	105,388	1,512,207	Level 1	Quoted prices in financial markets	N/A	N/A
Companies shares listed on financial market	4,813,576	3,275,739	Level 1	Quoted prices in financial markets	N/A	N/A
Investments Funds	12,855,527	13,364,472	Level 2	The treasury manager evaluation of fair value	N/A	N/A
Total	**18,423,896**	**18,296,366**				
Financial Assets at Fair Value through Other Comprehensive Income:						
Quoted Shares in active markets	31,168,445	23,863,120	Level 1	Quoted prices in financial markets	N/A	N/A
investment fund	14,531,464	8,180,804	level 2	The treasury manager evaluation of fair value	N/A	N/A
Unquoted Shares in active markets	15,601,160	12,115,197	Level 3	Through using equity method and based on the latest available financial information	N/A	N/A
Total	61,301,069	44,159,121				
Total Financial Assets at Fair Value	**79,724,965**	**62,455,487**				

There were no transfers between level 1 and level 2 during the year ended December 31, 2022 and 2021.

The movement financial assets classification fair value through (level 3):

	For the year ended, December 31	
	2022	2021
	JOD	JOD
Beginning balance	12,115,197	9,736,478
Additional	1,822,283	1,151,692
Disposal	(278,850)	-
Change in fair value	1,942,530	1,227,027
Total	**15,601,160**	**12,115,197**

b. The fair value of the financial assets and financial liabilities of the Bank non-specific fair value on an ongoing basis:

Except for what is set out in the table below, we believe that the carrying amount of financial assets and liabilities shown in the consolidated financial statements of the Bank approximates their fair value:

	December 31, 2022		December 31, 2021		The level of
	Book value	Fair value	Book value	Fair value	Fair Value
	JOD	JOD	JOD	JOD	
Financial Assets of Non-specified Fair Value					
Term deposits, call accounts and certificate of deposits at the Central Bank	303,200,000	303,373,603	315,000,000	315,034,521	Level 2
Current accounts, and deposits at Banks and Financial Institutions	221,356,432	221,576,199	550,247,392	550,340,958	Level 2
Direct credit facilities at amortized costs	3,991,118,781	3,997,546,728	3,351,124,328	3,354,401,231	Level 2
Other financial assets at amortized costs	1,325,766,644	1,339,871,884	1,099,096,231	1,110,233,119	Level 2
Total Financial Assets of Non-specified Fair Value	**5,841,441,857**	**5,862,368,414**	**5,315,467,951**	**5,330,009,829**	
Financial Liabilities of Non-specified Fair Value					
Banks' and Financial Institutions' deposits	337,850,140	338,859,787	316,782,838	317,366,600	Level 2
Customers' deposits	5,186,344,444	5,224,671,507	4,910,374,102	4,937,737,864	Level 2
Cash margin	257,368,027	257,570,975	244,827,786	245,002,277	Level 2
Borrowed funds	141,707,946	142,050,271	108,566,531	108,906,660	Level 2
Subordinated loans	46,115,000	46,665,807	21,300,000	21,576,900	
Total Financial Liabilities of Non-specified Fair Value	**5,969,385,557**	**6,009,818,347**	**5,601,851,257**	**5,630,590,301**	

The fair value of the financial assets and liabilities for level 2 was determined in accordance with agreed pricing models, which reflect the credit risk of the parties dealt with.

Network of branches, subsidiaries and exchange offices operating in the Hashemite Kingdom of Jordan

Amman branches:

Public Administration

Shmeisani - Abdul Rahim Al Wakid Street

Shmeisani Branch

Abdul Rahim Al Wakid Street

Jabal Amman Branch

Abu Firas Al-Hamdani Street

Dabouq Branch

Juma Al Shibli Street Building No. (6)

Gardens Branch

Wasfi Al-Tal Street / Al-Baraka Commercial Complex

Sweifieh Branch

Ali Nasouh Al-Taher Street / Adel Hajarat Complex

Mecca Street Branch

Mecca Street / Nassim Dada Complex

Jubaiha Branch

Yajouz Street / Al Manhal Traffic Light

City Mall Branch

City Mall / King Abdullah II Street

Dahiyat Al-Yasmin Branch

Badia Street / Asmaa Complex

Marj Al-Hamam branch

Al Muntakhab Al Watanee St / Al-Nahar Commercial Complex / Dallah Circle

Downtown Branch

Ridha Street

Wihdat Branch

Abbad Bin Bishr Street / Abu Abdo Commercial Complex

Marka Al Shamaliyeh Branch

King Abdullah I Street / Al Tayyara Circle

Taj Mall Branch

Abdoun / Taj Mall / Saad Abdo Shammout Street

Abdoun Branch

Salman Al-Qudah Street / opposite to Crumz

Abdoun Al Shamaley Branch

Ali Sido Al-Kurdi Street / Al-Fayez Commercial Complex

Um Uthaina Branch

Shatt Al-Arab Street

JoPark Branch

Sweifieh / Princess Tagreed Street

Jabal Al-Hussein Branch

Jamal Eddin Al-Afghani Street / opposite C-Town

Rainbow Street Branch

Jabal Amman / Rainbow Street

Bayader Branch

Jamal Qaitouqa Street / Al-Amani Complex

Rabieh Branch

Siqilieh Street

Khalda Branch

Wasfi Al-Tal Street / Nicola Jreisat's Sons' Complex

Sahab Branch

King Abdullah II Industrial City/ Sahab/ Banks District

Tabarbour Branch

Eighth Bin Al Yamani Street/ near Carrefour

Al-Hashemi Al-Shamali Branch

Bathaa Street/ near Tuffaha Bakery

Dahiyat Al-Rasheed Branch

Akef Al-Fayiz Street / Hay Al-Siddiq / near Umaima Housing

Sweileh Branch

Princess Raya Bint Al Hussein Street/ Majodalani Complex

Boulevard Branch

The new Abdali project/ Boulevard

Moqabalein Branch

Radio and TV Street opposite the wholesale markets

Abu Alanda Branch

Al-Hezam Street / Al-Nahar Market

King Hussein Business Park Branch

Medical City Street / King Hussein Business Park

Sports City Branch

Al-Shaheed Street/near Total Gas Station

Shafa Badran Branch

Amman/ next to Lijam Hotel / near Applied Science University

Sweifieh Village Mall Branch

Sweifieh / Sweifieh Village Mall

New Dabuq Branch / Hilda Complex

Dabuq - the intersection of Al-Ekram Street and Saleh Al-Nuaimat Street

Weibdeh Branch

Weibdeh / Paris Circle

Mecca Mall Branch

Mecca Street / Mecca Mall

Dahiyat Al Nakheel Branch

Marj Al-Hamam/ Dahyet Al-Nakhil/ Muntakhab Al Watanee Street

Central Vegetable Market Branch

Ras Al Rabta / Central Vegetable Market area

A mobile office belonging to the Shmeisani branch

Shmeisani / Abdul Rahim Al-Wakid Street

Other governorate branches:

Madaba Branch

West Amman Road / Al Yarmouk Street

Zarqa Branch

Saadeh Street

New Zarqa Branch

Makka Mukarrama St / Al-Kurdi Plaza Complex

Zarqa Free Zone Branch

Main entrance to the Zarqa Free Zone

Ramtha Branch

Khat Al Sham Street

Irbid branch

Al Husn Street

Al Huson Branch

King Talal Street

Jerash Branch

Amman Gate/ near the second traffic light

Aqaba Branch

Alssada Street

Mahes Branch

Municipal Street / Hussein Shayeb Building

Amman Centre Branch / Irbid

New Amman Centre Street / Al-Saydawi Building

Mafreq Branch

Jerash Street / opposite Khairat Al Shamal Poultry and Feeds Company

Salt Branch

Salt / Salt Gate / Dababneh Complex

Karak Branch

Al-Karak / Al-Karak Governorate Gate / Al-Thaniyyah/ Madanat complex

Irbid Branch / Yarmouk University Street

Irbid / Yarmouk University Street opposite the Faculty of Economics and Administrative Sciences gate / Nmeir Badr Complex

Bab Al-Madina Market Branch, Zarqa Mall

Zarqa / Jaeish Street

Jabal al Shamali Branch / Russaifa

Russaifa / Yajooz Street

Ajloun Branch

Ajloun / King Hussein Street

Exchange unit:

Central Exchange Unit

1. Amman/ Shmeisani/ Abdul Rahim Al-Wakid Street

2. Abdali Boulevard

The Bonded: Bonded Warehouses

Amman Industrial City/ Sahab

Subsidiaries:

Etihad Financial Brokerage Company

Shmeisani Housing Bank Complex

Etihad Leasing Company

Mecca Street / Al-Ghaith Complex

Islamic Investment Company

Shmeisani / Abdel Rahim Al-Wakid Street

Etihad Financial Technology Company

Medical City Street / King Hussein Business Complex

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